

# **Tata Consultancy Services Ltd. (TCS)**

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**Call: Jul 2023**

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## **Call: Oct 2023**

*(no extractable text — likely a scanned image PDF)*

## Call: Jan 2024

TATA Consultancy Services Limited  
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Registered Office 9th Floor Nirmal Building Nariman Point Mumbai 400 021.  
Corporate identification No. (CIN): L22210MH1995PLC084781

TCS/SE/281/2023-24 January 16, 2024 National Stock Exchange of India Limited BSE Limited  
Exchange Plaza, C-1, Block G, Bandra Kurla P. J. Towers,  
Complex, Bandra (East) Dalal Street,  
Mumbai - 400051 Mumbai - 400001  
Symbol - TCS Scrip Code No. 532540 Dear Sirs,  
Sub: Transcript of the earnings conference call for the quarter and nine-month period  
ended December 31, 2023

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)  
Regulations, 2015, please find enclosed the transcript of the earnings conference call for the  
quarter and nine-month period ended December 31, 2023, conducted after the meeting of  
Board of Directors held on January 11, 2024, for your information and records.  
The above information is also available on the website of the Company: www.tcs.com .

Thanking you, Yours faithfully, For Tata Consultancy Services Limited  
Pradeep Manohar Gaitonde Company Secretary

Encl: As above

Tata Consultancy Services Limited  
Q3 and Nine -month Ended 31st December 2023 Earnings Conference Call  
January 11, 2024, 19:30 hrs IST (09:00 hrs US ET)

Moderator: Ladies and gentlemen, good day, and welcome to the TCS Earnings  
Conference Call. As a reminder, all participant lines will be in the listen -only  
mode, and there will be an opportunity for you to ask questions after the  
presentation concludes. Should you need assistance during the conference  
call, please signal an operator by pressing star, then zero on your touchtone  
phone. Please note that this conference is being recorded. I now hand the  
conference over to Ms. Nehal Shah from the Investor Relations team at TCS.  
Thank you, and over to you.

Nehal Shah: Thank you, Operator. Good evening, and welcome, everyone. Thank you for  
joining us today to discuss TCS' financial results for the third quarter of fiscal  
year 2024 that ended December 31, 2023. This call is being webcast through  
our website and an archive , including the transcript, will be available on the  
site for the duration of this quarter. The financial statement, quarterly fact  
sheet and press releases are also available on our website.  
Our leadership team is present on this call to discuss our results. We have  
with us today Mr. K Krithivasan, Chief Executive Officer and Managing  
Director.

K Krithivasan : Hi, everyone.

Nehal Shah: Mr. N G Subramaniam, Chief Operating Officer and Executive Director.

N G Subramaniam : Good evening, everyone.

Nehal Shah: Mr. Samir Seksaria, Chief Financial Officer.

Samir Seksaria: Hello, everyone.

Nehal Shah: And Mr. Milind Lakkad, Chief HR Officer.

Milind Lakkad: Hi, everyone.

Nehal Shah: Our management team will give a brief overview of the company's  
performance, followed by a Q&A session. As you are aware, we don't provide  
specific revenue or earnings guidance. And anything said on this call reflects  
our outlook for the future or which could be construed as a forward -looking  
statement must be reviewed in conjunction with the risks that the company  
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faces. We have outlined these risks in the second slide of the quarterly fact sheet available on our website and e mailed out to those who have subscribed on our mailing list. With that, I would like to turn the call over to Krithi.

K Krithivasan : Thank you, Nehal. Good day, everyone, and wishing you al

I a very happy new

year. Our Q3 performance shows a remarkable resilience against the backdrop of macro uncertainty. The demand for our company's services remains robust, resulting in strong deal wins and order book.

Our deal pipeline remains solid and deal conversions have been timely. New deal ramp -ups are also going ahead as planned. Speaking about the headline numbers for the quarter : In Q3, our revenues grew 4.0% in rupee terms, 1.7% in constant currency terms and 2.9% in dollar terms.

Our operating margin was at 25%, and net margin was at 19.4%. Our ability to maximize market opportunities is evident in our strong TCV of \$8.1 billion and a book -to-bill ratio of 1.1.

We are seeing solid deal momentum across markets, resulting in strong double -digit growth in our last 12 months TCV, which is a reflection of our deepening partnership with clients .

During the quarter, we started to deliver BSNL 4G /5G network -related equipment and services, a project of national importance. We are executing this project as a system integrator partnering with other OEMs. The transformational nature of this project and the solutions delivered are enhancing TCS reputation of being a critical partner to BSNL and the Atmanirbhar vision of the Government of India. I'll now invite Samir, Milind and N GS to go over different aspects of our performance during the quarter. I'll step in later to provide more color on the demand trends we are seeing. Over to you, Samir.

Samir Seksaria: Thank you, Krithi. Good day and wishing all of you a great start to the new year. In the third quarter of FY '24, our revenues were ₹60,583 crores , which is a Year-on-Year (Y-o-Y) growth of 4 .0%. In dollar terms, the revenue was \$7.28 billion, a Y-o-Y growth of 2.9% and in CC terms, the Y -o-Y growth was 1.7%.

Let me now go over our financial performance. Our operating margin is at 25%, a sequential expansion of 75 basis points , comprising 80 basis points headwind on account of seasonal furloughs and higher third -party expenses offset by 60 basis points improvement on account of efficiency improvements through productivity and realization and a further 70 basis points

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improvement from reduction in subcontractor expenses. Currency gains accounted for the remaining 25 bps.

Net income margin in Q3 was 19.4%. Our EPS grew 8.4% on a Y-o-Y basis. Effective tax rate stayed unchanged at 25.8%. Our accounts receivable increased by 2 days sequentially at 67 days sales outstanding in dollar terms. Net cash from operations was ₹112.76 billion, which is a cash conversion of 102%. Free cash flows were ₹103.52 billion and invested funds at the end of the period stood at ₹457.31 billion. The Board has recommended an interim dividend of ₹27 per share, including a special dividend of ₹18 per share. The company successfully completed its 5th buyback during the quarter. Shareholder payouts year till date were at ₹46,223 crores between the buybacks, dividends and taxes, including the recommended dividend for the quarter.

Please note that in Q3, we recorded \$125 million towards settlement of legal claim , as an extraordinary item for the t hree months and 9 months ending December 31, 2023. All the above comparisons and commentary in this management call will exclude this extraordinary adjustment.

Over to you, Milind.

Milind Lakkad: Thank you, Samir. Let me start by wishing all of you a very happy new year. Our workforce at the end of the third quarter was 603,305. LTM attrition in IT services was 13.3%, down 1.6% sequentially, in our comfort range of 11% to 14%.

TCS has always been firm in its commitment to the holistic growth and

development of its employees and invest in organic talent development to build newer capabilities. We have commenced fresher hiring from campuses

and continue to recalibrate our lateral hiring, focusing more on utilizing the capacity that we've already built in the prior years.

Our business imperative remains nurturing and developing human capital and enhanced focus on reskilling and upskilling our employees . We have accelerated the rate of learning in the organization as we gear up to fulfil the opportunity on the horizon.

YTD, TCSers have logged 39.7 million learning hours and acquired 3.7 million competencies, including over 515,000 high demand competencies. Our workforce continues to be very diverse with 153 nationalities, with women making up 35.7% of the base . Over to you NGS for some color on segments and products.

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N G Subramaniam : Thank you, Milind. Happy New Year and Sankranti wishes to all of you. Let me walk you through our segmental performance. As a reminder, all growth numbers are in Y-o-Y constant currency terms.

Growth was led by the Energy, Resources and Utilities vertical which grew +11.8%, Manufacturing which grew +7.0% and Life Sciences and Healthcare which grew +3.1%.

Our Consumer Business Group grew by -0.3%. Banking, Financial Services and Insurance grew by -3.0%, Communications and Media by -4.9%, and Technology and Services by -5.0%.

Among major markets, the United Kingdom led with +8.1% growth, Continental Europe grew +0.5% and North America grew -3.0%. In emerging markets, India led with +23.4% growth, Middle East & Africa grew +16.0%, Latin America grew +13.2%, and Asia Pacific grew 3.9%.

Let me move on to our products and platforms. Our industry -leading portfolio of products and platforms saw good traction during the quarter .

- ignio™, our cognitive automation software suite, saw 27 new deal wins and 6 go -lives.

- TCS BaNCS™, our flagship product for financial services, had 6 new wins and 3 go -lives during the quarter.

- o ASX, Australia's primary securities exchange selected TCS to provide a next generation clearing and settlement platform to service the Australian market. TCS's flagship product TCS BaNCS for Market Infrastructure will enable the transformation, replacing ASX's existing platform for cash equities clearing and settlement .

- o A top Japanese Bank, providing custody and fund accounting services to some of the largest investment managers, insurance companies, and pension funds, has awarded a contract to TCS for its BaNCS solution to offer best -in-class asset servicing solution on the cloud.

- TCS BaNCS insurance platform continues to see strong growth in Q3 with 4 go -lives during the quarter.

- Quartz blockchain platform had 1 win and 1 go -live this quarter.

- In life sciences, the TCS ADD™ platform had 1 new win and 2 go -lives this quarter.

- o A US based global pharma company has chosen TCS ADD™ regulatory platform for transforming health authority submissions and responses using historic data. The solution will help in planning at a milestone - task-component level, and will also include features such as automated alerts and notifications, a rich and easy -to-use reporting dashboard and visualization.

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- TCS HOBS , our suite of products for communication service providers, had 1 new win and 2 go -lives during the quarter.

- TCS iON, our platform for digital assessment, exam administration, and

learning, had 32 new wins.

- o Our platform administered assessments for 14.5 million candidates, 160% higher year -on-year, led by growing adoption of regional languages in the exams.

- o Skilling and job creation is high on the agenda of India's state and central governments, driving growth in our assessment business.

- TCS TwinX , our digital twin solution, had 4 wins and 3 go -lives.

- o We were engaged by a major North American package delivery company to construct their delivery network twin to analyze parcel delivery operations for their North American customers. As part of this engagement, TCS TwinX is enabling a "Twin of Twins" to map their existing parcel volumes and flows across their existing network of hubs, run experiments on change in parcel volumes across these routes and drive optimization of current systems and processes for efficient future planning.

- MasterCraft and Jile won 35 new clients in Q3.

We continue to systematically invest in research, innovation and intellectual property, and ideating on new emerging technology trends to address our clients' evolving needs. Following a similar approach, we have worked extensively on building our capabilities in Gen AI, and we are confident of helping our clients to take advantage of the benefits of Gen AI. Krithi will talk more about this in his commentary.

As a proof point of the success of our ongoing investments over the years, we have been able to consistently increase the number of key clients and migrate them into higher revenue bands.

In Q3, we added 2 more clients Y-o-Y in the \$100 million band, bringing the total to 61. Seven more clients in the \$50 million band bringing the total to 137. Nine more clients in the \$20 million band, bringing the total to 299. 24 more clients in the \$10 million band, bringing the total to 480, 35 more clients in the \$5 million band, bringing the total to 693 and 71 more clients in the \$1 million -plus band bringing the total to 1,288 .

I'll now request Krithi to speak on the demand drivers during the quarter.

K Krithivasan : Thank you, NGS. As we reflect on the last quarter, enterprise adaptability and resilience continued to be high priority in the light of macro uncertainties and geopolitical volatilities. This is driving our clients to prioritize business -critical projects, where return on investment realization is immediate. We are closely partnering with our clients and leveraging our contextual knowledge to

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proactively identify solutions to business problems in these challenging times. This is, in turn, driving good deal momentum for us.

Most enterprises at the time of the pandemic invested in digital capabilities to address changing customer behaviours . In the face of macroeconomic uncertainties around fear of recession, and continued high inflation, many businesses have been cautious about further investments, creating a pent -up demand. This pent -up demand is important for long -term strategic growth for our customers, and we are optimistic that our customers will scale up these initiatives once they gain the comfort that the macro risks are receding. It's not about simply recovering previous volumes, but building strategic capabilities in a changing market landscape.

We have several strategic things across industries where we know customers will scale their investments. For instance, in the consumer business, some risk transformation areas include : Point of Sale, Channels, Future Stores, Insights & Recommendations driven by AI, Supply Chain, Loyalty, Sustainability, Forecasting, Hyper -personalization, Health & Wellness, One -Order/Travel Retailing, Intelligent Operations and Transport Control Towers.

Our order book in Q3 continued to be resilient with a TCV of \$8.1 billion and a book -to-bill ratio of 1.1 x. Our Trailing 12 -month order book grew by a healthy 11.3% Y-o-Y. The TCV for our BFSI business was \$2.6 billion. The order book for our consumer business group was at \$1.5 billion. The TCV of deals signed in North America stood at \$4.2 billion.

Moving to our demand commentary, Operating Model Transformation s

focused on improving efficiencies, digitalization, customer and employee

experience transformation, sustainability, cloud, cyber resilience and AI /Gen AI continue to be key themes, driving demand for our services.

We signed several large deals in the quarter led by vendor consolidation and operating model transformation.

On vendor consolidation : Virgin Media and O2, the UK's largest mobile network selected TCS for integrating the 2 merged entities and deliver unified employee experience across five towers.

Services from 10 different partner landscapes were consolidated into one strategic partner in TCS. VMO2 trusted and selected TCS to deliver their objective of futuristic digital workplace services to delight their end users. TCS will leverage its contextual knowledge, machine -first delivery model and future -ready talent pool to help VMO2 to enhance its regional capacity while delivering a globally best -in-class experience for their users.

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Moving on to Operating Model Transformation : Our contextual knowledge has been instrumental in reimagining the client operation s and the AI -powered TCS Cognix <sup>TM</sup> has been delivering superior business outcomes for our clients. Our integrated offering is receiving good traction from clients as it takes ownership for the entire stack of client operations, along with the underlying application, data estate s and the IT infrastructure layer. It allows enterprises to become more agile, lower their operational costs and achieve business efficiency across multiple business units.

- We were selected by a leading American aerospace manufacturer to enhance and standardize their tool chain , with the objective of increasing efficiency and speed, simplifying operations, reducing costs and advancing digital transformation. The client is partnering with TCS to not only achieve system stability, but also lay the framework for the future of IT, wh ich is key to ensuring success in its business operations.

Moving on to Growth and Transformation : Our customers are seizing the opportunities for business growth and transformation as they present themselves. Digitalization initiatives are continuing apace as our customers double down on their focus on strengthening the D igital Core.

- TCS collaborated with a global fashion retailer to build a real -time data -driven sales visualizer. TCS leveraged AI and cutting -edge technologies to build a robust observability framework solution that processes data from multiple IT systems to generate in sights and identify potential problem areas. 100% transparency on sales forecast and real -time omnichannel sales performance enabled through our solution is helping the client with prevention and faster resolution of issues , agility in fine -tuning our strategies for promotions in underperforming segments – regions /markets /products.

Customer and Employee Experience is another area of focus with changing consumer behavior ur and expectations. Customer Experience continues to remain a key priority for clients, and we have multiple deals and productive pursuits across industries. Another trend that we are seeing is CHROs doubling down on Employee Experience to improve employee engagement and productivity to create a future -ready workforce.

- We helped a leading North American retail company bring to life their innovative concept of presenting exclusive offers to their customers. The concept was designed to attract customers looking for promotional deals, high -profile and limited -edition exclusive offers and to smoothen the discovery experience during shopping. TCS leveraged its contextual knowledge to develop this product feature that presents an engaging and

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exciting interface for customers and build s an exclusi



ve appeal . The

initiative has helped attract new customers, increased the mobile app downloads, frequency of interactions and improved customer engagement.

- We won a first -of-its-kind deal with a tech company to sustainably enhance the employability of employees and contractors. The solution leverages our deep domain expertise and proprietary platform iON™. Our integrated offering – “Learning in a box” is a cloud -based learning platform that includes best -in-class subscription -based learning content coupled with 100 -plus curated practices. The platform , which can be accessed anytime, anyplace and on any device, enables engagement, motivation, impact -oriented learning.
- We were selected by a leading American aerospace manufacturer to transform their end -to-end talent acquisition process. TCS will leverage its AI -led Machine -First™ operating model, process transformation framework, our domain expertise and agile methodology to enhance talent quality, optimize time to hire and improve overall onboarding experience.

Moving on to Supply Chain Transformations : The global supply chain is rapidly evolving, trying to keep up with the dynamically changing environment and evolving technological advancements, businesses are investing in modernizing their processes, platforms, warehouses, etc . to drive better efficiency, improve agility in adapting to market shifts and improve their bottom line.

- We partnered with a Swiss multinational food and drink processing company to digitally transform its supply chain. TCS implemented an innovative operational planning platform that maximizes automation, optimizes and standardizes processes, and increases visibility. This will improve our clients' ability to sense and react to the ir ever -changing environment and On Time and In Full (OTIF) deliveries – key to customer satisfaction.
- A leading UK supermarket chain also partnered with TCS to enhance its supply chain efficiency, improve logistics forecast accuracy and availability, improve collaboration with suppliers and transparency , while reducing operating costs. The solution resulted in significant reduction of waste and markdown, improvement in lead time , and increased stock record accuracy , and annualized reduction of stock through automated order ing.

I will be now moving on to Sustainability : We are seeing that Sustainability is a core priority for organizations aiming to secure a resilient and responsible future and enhanced brand reputation. I'll now share a few examples of how

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we have played a pivotal role in assisting our clients in their sustainability journey. Clients are engaging us to develop innovative technology -led solutions with IoT, AI and advanced analytics , to reduce energy and resource consumption to measure and track green -house gas emission s across their end-to-end supply chain, reduce their carbon footprint, reduce waste, promote recycling, and report on their Sustainability initiatives.

- Based on our deep contextual knowledge, the TCS team proactively proposed a solution to reduce wastage in inventory of high -cost drugs for a leading Canadian food and pharmacy retailer. The automated inventory management has been a big contributor to our client sustainability efforts in reducing the environmental impact of medical waste, improve operational efficiency and reduced over 90% of the financial loss on account of wasted inventory.
- We have also partnered with Metcash, one of Australia's largest wholesale distribution and marketing company to support their sustainability reporting. By leveraging a global team of experts specialized in sustainability, sustainability tools and GR I standards, TCS provided a deep understanding of materiality assessment, disclosures and index benchmarking across industry

peers.

- A leading U K retailer, also partnered with us as a strategic partner in their Digital Product Passport (DPP) initiative. TCS will leverage its deep fashion

domain expertise with investments in Sustainability research, contextual knowledge and advisory capabilities to design and implement unique identifiers linked to products. This will help the retailer maintain its lead in sustainable fashion, adhere to emerging country-specific legislation across the EU and enable sustainable choices.

Now moving on to Generative AI, which is a disruptive technology that has potential to enhance efficiency and drive significant value, is generating tremendous interest among our clients. We are taking an early lead in Gen AI capabilities. We are focused on strengthening our expertise and evolving our capabilities further. Let me give you a few examples of what we are doing.

- We have launched Gen AI offerings around industry value chains, SDLC reimagining, responsible AI frameworks and invested in several centers of excellence, innovation labs to develop, accelerated frameworks and assets.

- We launched a new Cyber Insights Platform, which focuses on AI-powered threat detection. It is enhanced with machine learning models to help continuously monitor anomalies, predict potential issues well in advance and help clients to be proactive in addressing increasing threats.

- Our Products and Platforms are also being enhanced with differentiating capabilities leveraging Gen AI.

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- o We have built a co-pilot for TCS Optumera™, our AI-powered retail strategic intelligence platform, for dynamic competitive pricing, new product trends, design and testing, visual merchandising, visual merchandising recommendations, and product attribute enrichment.

- o In Life Sciences, the TCS Advanced Drug Discovery is being enhanced with literature insights, patient insights, safety case processing and medical writing.

- o TCS TwinX's digital twin powered experimentation and zero-touch marketing operations for CMO's.

- We continue to further deepen our expertise in Gen AI. This quarter, we launched a platform for skilled practitioners amongst TCS employees for exploration and experimentation on various Gen AI platforms.

We are seeing strong interest levels and engagement from customers on Gen AI. Currently we are working with several clients on improving customer contact centres (e.g., assistance with intent analysis and recommendations), and employee assistants (e.g., crew support, sales support, factory operations, HR policies support & operational manuals). Generating insights from legal contracts / construction design etc., product / marketing content generation are other key areas being explored. Further, exploration in the form of POCs is underway in several areas across the value chain. And product marketing, content generation are other key areas being explored. Further exploration in the form of POC's is underway in several areas across the value chain.

- o A leading European bank is employing Gen AI to bolster e Communication surveillance and compliance regulatory framework. The solution will enable real-time risk and anomaly detection and evaluate patterns and emotional tone of internal communication for potential issues.

- o A leading US airline has partnered with us in expanding their loyalty program by reaching out to passionate marathoners, a niche breed of endurance and features known to travel frequently and across the globe.

The innovative concept leverages Gen AI to enable meaningful engagement with loyalty members for the event, and offers them dynamically curated deals for future events.

- o A global insurance company has selected TCS to develop a Gen AI application to assist analysts in the front office for its global

wealth and

asset management division. The solution leverages a suite of LLMs to provide comprehensive and easy to understand information from unstructured data sources related to world events, company updates, and portfolio composition. Services include summarizing earnings reports,

earnings report review, industry and market trends, ratings, commentary, etc.

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We have engaged with clients for setting up Gen AI Centers of Excellence or AI offices and providing advisory services to scale proven use cases in a controlled fashion.

Coming to Cloud technologies : The investment that companies have made or are making in transitioning to cloud have become more meaningful with time. The increasing demand for smart interconnected devices, real-time insights and innovation will continue to drive the demand for scalable computing resources, making cloud transformation a strategic imperative. The focus now is also on fine-tuning strategies and optimizing consumption.

Here are a few examples of how TCS continues to partner with clients in the ir cloud transformation journey s.

- o Halfords, a U K based retailer was looking for ways to simplify the customer journey while making its products and services affordable. Taking a 'mobile -first, cloud -first' approach, the retailer collaborated with us to consolidate and migrate its critical applications to public cloud. Our client is all set for growth with this cloud transformation to deliver a 'customer -first experience ' that promises significant cost savings among other benefits.

- o We implemented the core operation s system covering Crew Management and Operations Control for Virgin Atlantic, a leading British Airline. The program involved implementation of A IMS aero product and integration of several mission -critical systems. Being the nerve center of airline operations, the implementation had to be 100% accurate to avoid any delay or cancellation of flights. The program will ensure better crew and on -time performance of Virgin Atlantic flights.

We are continuing to see significant demand in areas like cloud migration and transformation, apart from the exuberance around Gen AI, all of which represent areas of great opportunity for the long term.

We can now open the lines for questions.

Moderator: We have a first question from the line of Sudheer Guntupalli from Kotak Mahindra Asset Management. Please go ahead.

Sudheer Guntupalli: Yes. Thanks for the opportunity and congratulations on good execution. First question is to Samir, in general, companies start cost actions with a bit of lag from the point of demand deterioration, and there will be a further lag for those actions to trans late into margin expansion.

Also, attrition and supply tightness in the market cooled off significantly from where it was 12 to 15 months ago. So, if we see these two facts in conjunction,

Samir, is it fair to say that the margin improvement cycle has just started and  
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it has more legs to go, despite headwinds from some of the large deal ramp ups?

Samir Seksaria: We had clarified last quarter, and earlier, that we'll look at margins on a portfolio basis , and large deal ramp -ups should not be viewed in isolation.

And the margins we have delivered this quarter, is something which we are very happy about. We delivered a 70 basis points improvement on a back of 110 basis points improvement that we had in the previous quarter.

Sudheer Guntupalli: And my second question is to Krithi, on the recovery leg. Historically, the sector had not seen more than 3 to 4 consecutive bad quarters as long as the tightening of client spend was led by just weak macro and the underlying technology

cycle remaining sup portive, maybe because of the base effect or quasi cyclical nature of the industry.

So, going by this heuristic, Krithi, do you think it's fair to expect a good recovery going ahead, even as second guessing some of these variables like interest rates, etc ., is difficult? Or is there a reason for you to believe that the current spending tightness might also be a function of excess investments in

technology that happened during COVID and hence, the tightness may continue for some more time, something like what we had seen in the aftermath of the dot-com period.

K Krithivasan : Sudheer, we have not observed that particular heuristic maybe it's something that makes us also feel optimistic. But the way we look at it, while there was a lot of investment that happened during the pandemic, at the time of peak uncertainty, our customers are now re-evaluating the investments they have made.

And wherever it's required, clients are pa using those investments, where they think it's yielding RoI, they're continuing with it. Having said that, we also believe that even though they might have made a lot of investment, there are many organizations still are laden with lot of technology debt. And once there is a certainty, clients will start spending to reduce this technology debt.

So, we are hoping that once that certainty comes in, spending will also return. But I won't be able to predict based on past trends that it's never been more than 3 or 4 consecutive bad quarters. That would be not the heuristic that we have observed or something that we want to go by.

Sudheer Guntupalli: Okay. Thank you so much.

Moderator: We have our next question from the line of Vibhor Singhal from Nuvama Equities.

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Vibhor Singhal: Hi, thanks for taking my question and congrats on a great margin performance. I've got two questions. The first question for Samir. I think we got a very solid margin performance in this quarter. And as you rightly said after another solid performance that was in the last quarter. Is it safe to say that our aspirational band of 26% to 28% margin that we've long talked about is maybe no longer aspirational and there are ways that in near to medium term future, there are possibilities that we can probably work towards that. Is there a possibility that we are looking -- I mean, are the levers that you see that are still underutilized that can help us reach that band, and I'll ask my second question later.

Samir Seksaria: Sure, Vibhor. We remain committed to our guiding beacon, which is the 26% to 28%. And in doing so, we are focused on a disciplined execution and look forward to driving operational excellence and the levers which we have been banking upon so far, whether it's in terms of productivity, utilization, realization, etc . or given the demand environment which we have seen , banking on the subcontractor cost optimization – are also available . So, we have been able to leverage them, and they provide further opportunities for optimization. And in the long term, pricing also remains a lever, which we can further optimize . All of it in an environment where growth is sustained, will only help accelerate our momentum.

Vibhor Singhal: Got it. Thanks a lot for answering that. My next question is to Krithi. I think the deal flow in this quarter was a bit on the softer side. We, of course, know this is a seasonally soft quarter. But on a Y-on-Y basis also, I think the growth in the deal flow was a bit modest. So, any specific thing to call out? Or was it just that it was a soft quarter with higher furloughs, and the overall demand environment in your opinion or the client interest, have we seen a change in that in the last three months ?

K Krithivasan : We don't consider the TCV as soft, it's in line . The

TCV in the prior quarter,

had two mega deals and so it had the lumpiness. So, we will not be able to measure TCV , the same way we measure revenue.

So, there will be some ups and downs. But overall, we look at the pipeline and we look at the deals that we close and geographical spread and the size of the deals and the type of deals, and we are quite comfortable with the deals that we are getting in . We aren't seeing a softness on that front at all.

Vibhor Singhal: Got it. And no change in the overall demand environment that we are seeing, right? And in terms of either for the positive or for the negative side, it's pretty much the same as we have been seeing.

K Krithivasan : Yes. That's the way I would also read it Vibhor.

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Moderator: Thank you. We have a next question from the line of Sandeep Shah from Equirus Securities. Please go ahead.

Sandeep Shah: Krithi, I think you might have answered the question indirectly, but any of your discussions with any of your clients in any of the verticals or markets, give you any indication of any emerging green shoots in terms of the demand because of the Fed meeting where consensus now believes that the U.S. economy could have a soft landing as a base scenario versus a recessionary outlook, which people were predicting earlier.

K Krithivasan : Sandeep, you know that already some of our verticals are doing quite well. For instance, manufacturing, we've been reporting growth. Energy , resources and utilities have been reporting good growth. And even Life sciences and healthcare , despite last quarter being weak, has again returned to growth. And we've also been seeing our consumer business group (CBG) has been quite promising, and we started seeing some green shoots in consumer business, but we'll be able to say for sure next quarter, but it looks quite promising.

Sandeep Shah: That is helpful. And any initial color in terms of CY '24 budgets?

K Krithivasan : There are two things, Sandeep. One is we have not heard any specific color. And two, given the overall uncertainty, we find our clients are also very agile, even though they may have some thought in terms of what they want to spend, but we find that they also keep reacting to the market sentiment. So, there's a whole budget - on which projects started , or which ones got paused, it will be a very dynamic decision . So, we don't want to read too much into that aspect .

Sandeep Shah: And any update in terms of how the BSNL deals ramp -up continue to remain over four to six quarters?

N G Subramaniam : We have started to deliver the equipment s and services for BSNL. And as I explained in the previous quarters, we are approaching it from zones and circles in which we have to roll it out. We have taken up the North zone as the first milest one, and we have started to deliver equipment and services by rolling out the new radios that are stated to be delivered to BSNL in a few circles.

The data center in which the whole evolved packet core needs to be installed and operationalized that's also been progressing well. So overall, I would say that this is the first quarter where we have delivered close to about, I would say, 2,000 sites worth of equipment, and they are in the different stages of installation and commissioning. At the same time, the data centers

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installations are all progressing as per plan. And it will get done over the next, let's say, four to six quarters as we envisage.

Sandeep Shah: Okay. Thanks. And last question, I just wanted to understand on margin levers. I think CFO has called out various margin levers but is it fair to assume in each of these levers, there would be further headro

om to improve further because subcontracting cost is even lower than where we actually were during the pre -COVID times.

Samir Seksaria: True, Sandeep. As I said, depending on how the demand environment continues, optimization of subcontracting cost could be one of the levers , in addition to the other levers which we called out. Overall, as we have said, our long -term cost structures are aligned for us to reach our aspirational band of 26% to 28%.

Moderator: Thank you. We have a next question from the line of Kumar Rakesh from BNP Paribas. Please go ahead.

Kumar Rakesh: My First question was for Krithi . In your prepared remarks, you talked about the pent -up demand. So where are you seeing the signs of that? And what do you think would be the trigger for that to materialize?

K Krithivasan : No, like I did also give out certain examples . For instance, if you just take the consumer business is a channel modernization or store modernization. So, we talked about a few areas where we find that investment has not kept up pace

with the requirement, business demand. So that's what is giving us that confidence, Kumar.

Kumar Rakesh: And what would be the catalyst for that to materialize when clients eventually somewhat start to spend on the pent up demand again ?

K Krithivasan : Catalyst would be, I would say that when they have a confidence about the stability of the overall macros, Kumar. Once they are confident that the environment is good, the investments will come in.

Kumar Rakesh: Got it. My second question was you have talked about market share gain and benefiting from vendor consolidation. So apart from your scale advantage, what is helping you to be the beneficiary of these trends?

K Krithivasan : Scale advantage is only one thing, Kumar. The most important advantage is the domain capability , contextual knowledge we bring in into each of these solutions. For a vendor consolidation to be successful, you should bring in the value for the customer , in terms of the contextual knowledge, the industry knowledge in terms of delivery certainty. So, all these things matter. And the process that you want to deploy.

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So, what is your ability to bring in automation , your transformational capability, etc. So, you should be able to do everything. Just because we have a scale advantage , we don't win. We win because we have all the other advantages in giving a long -term sustained value for our customers.

Moderator: Thank you. We have a next question from the line of Manik Taneja from Axis Capital. Please go ahead.

Manik Taneja: Congratulations once again for the strong performance on margins. Just wanted to prod you further with regards to the subcontracting expenses, which are now below pre -COVID levels. Is there something structural that we are doing to our delivery organization because of which these expenses have now reduced to a much lower level. Would appreciate some commentary on that front?

Samir Seksaria: Manik, one is for subcontractors, we have been using them to meet the short -term demand -supply mismatch. And it peaked because one there were border restrictions. And second, there were these entire challenges, etc . which were happening in a higher demand environment. And we have explained that in terms of why those scenarios arose.

Now as the supply side challenges of attrition cooled off, and we had invested into capacity. That is how we can manage the demand . And when we don't require those intermediate ones is when we are optimizing our use of subcontractors, and yes, the cost is below the pandemic levels as well. And that has been thought through strategically, and you could see that it is reducing sequentially quarter -over -quarter for past few quarters.

Moderator: We have our next question f

rom the line of Gaurav Rateria from Morgan Stanley. Please go ahead.

Gaurav Rateria: Hi, Thanks for taking my question. So, first question is with respect to, is there any difference in the TCV growth trends versus ACV growth trends because of the deal tenures changing compared to what you saw last year? Or it's largely been similar to no material change there?

K Krithivasan : We don't see any trend, that kind of change . The TCV trend in terms of tenure continues to be consistent with what we saw before as well.

Gaurav Rateria: Got it. The second question is on the levers for margins that helped during the quarter, you did talk about realization and productivity. So, the general perception is that in a tough environment, it's very difficult to use a lever of realization, but you have been able to do that. Is there anything going on with respect to client negotiations that has been helping you to benefit on

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margins? And is there a -- like this is over or this is going to continue in coming quarters as well?

Samir Seksaria: Gaurav, I will distinguish realization from pricing. Pricing environment is

stable. Realization is an outcome. You can measure it as revenue per FTE and you will notice that it has been improving and it's a combination of factors, utilization versus productivity, use of tool sets, etc., helping in.

And we have been banking on these levers for a few quarters. Structurally, on a longer-term basis, the cost structures would be based on these levers and pyramid, etc. and we'll continue to drive efficiency across these metrics.

Gaurav Rateria: Got it. And last question, like I know that we should look at the TCV numbers more on a 12-month basis rather than on one quarter basis because of the variations that can happen. But if you look at trailing 12-month growth, whatever that number is, should that be a fair reflection of growth going forward in terms of revenue or there can be more nuances that you have to keep in mind? Thank you.

K Krithivasan : Gaurav, by and large, the TCV, is a lead indicator of more medium to long-term growth performance and it gives you the confidence directionally on whether what the market is thinking, how our growth would be, so from that perspective, the last three quarters, it's been very strong at \$10 billion almost every quarter.

And even this quarter, we had \$8 billion. Note that there have been some lumpiness in the prior quarters because of inclusion of mega deals. We don't see current quarter's TCV as a great big variation from what we had in the previous quarter. And as we said before, the TCV metric gives us confidence on the medium to long-term growth potential.

Moderator: We have our next question from the line of Apurva Prasad from HDFC Securities. Please go ahead.

Apurva Prasad: Thanks for taking my question. My first question is on the BFSI vertical. Would it be fair to say that BFSI grew on a sequential basis if I adjust for the large program completion in North America, which you had referred to earlier and the furlough impact in specific Europe BFSI account?

N G Subramaniam : I would agree with your view, adjusting to the large BFSI program that we completed in North America and furlough impact we had across markets; I think BFSI actually did well. The deal closures in BFSI vertical are also quite broad-based across markets. I would agree that BFSI is actually a positive thing from my perspective, and it will only further improve from here.

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Apurva Prasad: Got it. And Samir, my question to you is on margins. What further headwinds do you see as BSNL ramps up next quarter or any other headwinds that you may want to call out

for next quarter?

Samir Seksaria: See, overall, we are focused on managing our margins at a portfolio level, and that's what we called out. There were a lot of apprehensions last quarter as well in terms of how large deal wins will impact margins. We look forward towards managing it at an overall portfolio basis.

And you know the normal headwinds which we have in a year. Q1 would have expected increments related increases, etc. The business certainty of growth also a margin lever.

Moderator: Thank you. We have our next question from the line of Ravi Menon from Macquarie. Please go ahead.

Ravi Menon: Hi, thank you and congratulations on your margin performance. Samir, one popular belief is that large deals come with an increase in unbilled revenue. Can you talk us through why unbilled revenue is down Q-on-Q despite the BSNL deal ramping up this quarter?

Samir Seksaria: No, it's not always that large deals come with unbilled revenue. Yes, some of them would have it. But in this quarter, unbilled revenue is down because we had a focused effort concentrating on that metric. And I think overall, the business has delivered quite well on ensuring unbilled revenues go down. And we see a slight impact of that in terms of the DSOs going up by two days because the unbilled revenues got converted into invoicing and that's a good thing to have because it leads to better visibility on collections.

Ravi Menon: Thank you. And if I heard NGS correctly at the press conference, you said BFSI will return to growth next quarter. Is this due to a change in how discretionary spending decisions are being made or due to any specific deal ramp-ups?

N G Subramaniam : I think, as I said, overall, BFSI, if I look at all our clients in BFSI, many of them

actually grew or stayed flat. There has been a marginal growth in each one of them. And the actual de-growth eventually happened because of two large programs that we completed and the furloughs.

Adjusted for that, we believe that it will be a positive momentum for us in BFSI vertical in the next quarter. Coupled with some of the deals that we have won, I think that should also ramp up in the coming quarter in the Q4 and Q1. And all that is what makes us feel that BFSI will actually return to growth, at least in our portfolio of clients that we have.

Ravi Menon: Thank you. And one last follow-up, if I may. You talked about your specific advantages on contextual knowledge and how the overall value that you  
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provide to the customer and the solution. Could you tell us how many solution architects, overall software architects you have within your employee base, maybe a rough proportion.

K Krithivasan : We don't give that kind of break down, Ravi.

Ravi Menon: Thank you. Best of luck.

Moderator: Thank you. We have our next question from the line of Moshe Katri from Wedbush Securities. Please go ahead.

Moshe Katri: Thank you and congrats on very strong execution in a pretty tough environment. I have two questions from my side. First, we continue to see a disparity in performance in Europe versus North America. Can you provide some color on that? And do you think that disparity kind of will maybe disappear down the road given your pipeline?

K Krithivasan : If you look at our pipeline, Europe has also been good. It's improved this quarter. And we have seen our TCV in Europe also has improved. In fact, our Europe geography did better this quarter compared to North America, on a sequential basis. So, it's reasonable to expect that Europe will also return to growth in the medium to long term.

We mentioned before that we are hoping growth returns in North America as well. I don't know whether there will be parity, but there'll always be some differences, but we hope in the medium to long term, both

the markets will  
return to growth.

Moshe Katri: Understood. And then the follow-up, I just want to clarify given some of your commentary and looking at your pipeline, are we seeing more optimism for discretionary spending during the next few quarters, more on the digital side? And obviously what we've seen on the TCV side, the main drivers were more on the cost takeout kind of area. But any color on the discretionary side outlook for the next few quarters? Thanks a lot.

K Krithivasan : Whatever the proportion between discretionary, non-discretionary existed in last quarter or last couple of quarters, we see that has not filtered or changed significantly. It's continuing to be the same.

Moderator: Thank you. We'll take our last question from the line of Dipesh Mehta from Emkay Global. Please go ahead.

Dipesh Mehta : Two questions. First, on BFSI. If I look last 3 years, BFSI deal intake remained around \$10.5 billion on last 12 months basis. So more or less flattish, if I look, let's say, 3-year basis, in a way it gets reflected in revenue growth

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performance also in BFSI. Can you help us understand from a medium - to long-term perspective how one should look at BFSI growth trajectory?

Second question is about non-CIO spending exposure. If you can help us understand how we are placed to participate in non-CIO spending, CMO, CGO-related spending? Thank you.

N G Subramaniam : In BFSI, we manage a large portfolio across banking, capital markets and insurance and products and platforms. Because of the varied nature of this vertical, let's say, if banking does well, sometimes capital markets remains weak. Insurance has been doing well for us in the last few quarters. The products and platforms also had a significantly good run for us.



I believe that in banking, capital markets, insurance and the platforms if all of them fire, then you will see a very distinctively huge growth. But the nature of the industry is such that, if one or the other declines, we end up seeing a flat to negative growth. And we are managing it as a portfolio and we are happy that there is always a cost and optimization focus in BFSI .

While they continue to explore new technologies, and then in terms of the number of hours of technology services that we provide to banking financial services , we track it to the extent that look we are gaining market share in BFSI, while overall revenue and the portfolio may see some moderate growth.

That's the way I'll put it.

Dipesh Mehta : Yes. Can you answer the second one on non -CIO share of spend ?

N G Subramaniam : Non -CIO revenue across the verticals, I think you see some growth. And separately, if you look at the revenue on the CMO side or COO side, they are improving. And as enterprises adopt cloud and Generative AI technologies, what is really kicking off is the digital marketing right now. And we are seeing good growth and opportunities coming for the whole TCS interactive portfolio .

We stay focused on cost optimization and vendor consolidation on one side and the growth and transformation projects on the other side. The majority of the growth and transformation projects that we have won with in our G&T portfolio are really led by business.

Dipesh: Is it possible to quantify some numbers here? What would be the share of revenue?

N G Subramaniam : We have not started to give that out, and let's hope that this year, augurs well for us to give you more color on all of this.

Dipesh: Thanks.

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Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments. Over to you, sir

K Krithivasan : Thank you, Operator.

- In Q3, our revenue grew 4.0% in rupee terms and 1.7% in constant currency terms.

- Improved productivity and other operational efficiencies, along with further optimization of subcontractor expenses, helped expand our operating margin, offsetting margin headwinds from furloughs and higher third -party expenses.

- We were able to improve operating margin s to 25.0%. Our net margin is at 19.4%.

- Deal momentum continued to be very strong in Q3 with our order book at \$8.1 billion.

- Our LTM attrition in IT services fell further to 13.3%.

- Our Board has recommended a dividend of ₹27 per share, including special dividend of ₹18 per share.

- We continue to invest in building our Gen AI offerings, deepening our employees' skills on Gen AI and are building differentiated capabilities, integrating Gen AI in our portfolio of products and platforms. We continue to deliver strong and resilient growth, winning market share with industry - leading margins.

- Our resilience is a result of our ongoing investment and exceptional leadership team under extremely talented and dedicated workforce. I want to thank each of them for what has truly been an outstanding performance in a challenging environment that we should all be proud of.

With that, we wrap up our call for today. Thank you all for joining us. Enjoy the rest of your day and stay safe. Thank you.

Moderator: Thank you, members of the management. On behalf of TCS, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

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Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings .

## Call: Apr 2024

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ATA Consultancy Services Limited

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Corporate identification No. (CIN): L22210MH1995PLC084781

BS

E Limited

P. J. Towers,

Dalal Street,

Mumbai - 400001

Scrip Code No. 532540 TCS/SE/19/2024-25

April 17, 2024

National Stock Exchange of India Limited

Exchange Plaza, C-1, Block G, Bandra Kurla

Complex, Bandra (East)

Mumbai - 400051

Symbol - TCS

Dear S irs,

Sub: Transcript of the earnings conference call for the quarter and year ended

March 31, 2024

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ursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015, please find enclosed the transcript of the earnings conference call for the

quarter and year ended March 31, 2024, conducted after the meeting of

Board of Directors held on April 12, 2024, for your information and records.

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he above information is also available on the website of the Company: www.tcs.com .

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hanking you,

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ours faithfully,

For

r Tata Consultancy Services Limited

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radeep Manohar Gaitonde

Company Secretary

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Tata Consultancy Services Limited

Q4 FY24 Earnings Conference Call

April 12, 2024, 19:00 hrs IST (09:30 hrs US ET)

Moderator: Ladies and gentlemen, good day and welcome to the TCS Earnings conference call. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

Please note that this conference is being recorded. I now hand the conference over to Ms. Nehal Shah from the Investor Relations team at TCS. Thank you and over to you.

Nehal Shah: Thank you, operator . Good evening and welcome everyone. Thank you for joining us today to discuss TCS's financial results for the fourth quarter and full year financial year 2024 that ended March 31st, 2024.

This call is being webcast through our website and an archive including the transcript will be available on the site for the duration of this quarter. The financial statements, quarterly fact sheet and press releases are also available on our website. Our leadership team is present on this call to discuss our results.

We have with us today Mr. K Krithivasan, Chief Executive Officer and

Managing Director.

K Krithivasan: Hello everyone.

Nehal Shah: Mr. N G Subramaniam, Chief Operating Officer and Executive Director.

N G Subramaniam: Good evening to you.

Nehal Shah: Mr. Samir Seksaria, Chief Financial Officer.

Samir Seksaria : Hello.

Nehal Shah: And Mr. Milind Lakkad, Chief HR Officer.

Tata Consultancy Services Earnings Conference Call

April 12, 2024, 19:00 hrs IST (09:30 hrs US ET)

| 2 Milind Lakkad: Hi everyone.

Nehal Shah: Our management team will give a brief overview of the company's performance followed by a Q&A session. As you are aware, we don't provide specific revenue or earnings guidance, and anything said on this call which reflects our outlook for the future or which could be construed as a forward -looking statement must be reviewed in conjunction with the risks that the company faces.

We have outlined these risks in the second slide of the quarterly fact sheet available on our website and emailed out to those who have subscribed on our mailing list.

With that, I would like to turn the call over to Krithi.

K Krithivasan: Thank you, Nehal. Good day everyone.

I am pleased to share that we are wrapping up the last quarter of financial year 2024 with the strongest sequential revenue growth in many quarters , an all-time high TCV and an operating margin of 26% for the quarter, highest in the

last 12 quarters.

Our FY 2024 revenue grew at 6.8% in rupee terms, 3.4% in constant currency terms and 4.1% in dollar terms. Our operating margin for the year came in at 24.6% and net margin was at 19.3% . Our ability to maximize market opportunities is evident in our record Q4 TCV of \$13.2 billion .

We are seeing solid deal momentum across markets resulting in strong double -digit growth in our last 12 months TCV, which is a reflection of our deepening partnership with our clients.

This is going to be NGS last quarter with all of us. I want to thank NGS with whom I have worked closely for more than three decades. I witnessed first -hand the tremendous impact it has made on TCS over a 42-year long career, working side -by-side with him and our entire leadership team on every aspect of our strategy and operations.

NGS played a key role in developing and executing our growth strategy, especially our products and platform business, positioning us very well for continued market leadership. He has played a strategic role in several landmark projects that TCS undertook across geographies,

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most recently BSNL being one. We will miss him in his executive capacity very much.

I now invite Samir, Milind and NGS to go over different aspects of our performance during the quarter. I will step in later to provide more color on the demand trends we are seeing. Over to you, Samir.

Samir Seksaria: Thank you, Krithi. Good day, everyone. In the fourth quarter of FY24, our revenue grew 2.2% year -on-year in constant currency terms at **■**61,237 crores . This translates to a growth of 3.5% in rupee terms. In dollar terms, the revenue was \$7.36 million, a YoY growth of 2.3%.

For the full year, our revenue grew 3.4% YoY in constant currency at **■**240,893 crores and that translates to a growth of 6.8% in rupee terms. And in dollar terms, our revenue was at \$29.1 billion , a YoY growth of 4.1% .

Our Q4 operating margin stood at 26%, a sequential expansion of 100 basis points. This was in spite of 90 basis points due to higher third -party costs and travel expenses, offset by 190 basis points improvement from reduced subcontractor costs, improved productivity and better utilization.

Our FY24 operating margin was at 24.6%, an expansion of 50 basis points over the prior year. During the year, we had 250 basis points headwind on account of annual wage increases and other interventions and a further 90 basis points from higher third -party expenses and discretionary expenses. We were able to successfully mitigate those by optimizing subcontractor expenses, improving productivity, realization and support from currency.

Net margins in Q4 was 20.3% and for the full year was 19.3%. Our annual EPS grew 10.9% during the year.

Our effective tax rate for the year was 25.8%.

Please note that all the full year FY24 numbers are adjusted for the settlement of legal claim which was accounted for in Q3.

Our accounts receivable was at 67 days DSO in dollar terms, flat sequentially.

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Our cash conversion continues to be strong and over 100% of our net profits.

Invested funds at the end of March stood at ₹46,963 crores .

The board has recommended a final dividend of ₹28 per share. The shareholders payout year till date were ₹46,223 crores including the buyback and dividends.

Over to you, Milind.

Milind Lakkad: Thank you, Samir. Our workforce at the end of the fourth quarter was 601,546 . Our LTM attrition in IT services kept trending down throughout the year and was at 12.5% at the end of Q4, down 80 bps sequentially and in our comfort range of 11% to 13%.

TCS has been recognized as a "Global Top Employer" by the Top Employers Inst

itute for the ninth consecutive year. The global certification follows a series of localized certifications with TCS being named the top employer in 32 countries and regions.

The company remains the preferred employer and one of the largest job creators in IT services in several major markets for both, freshers and lateral hires. We have commenced fresher hiring from campuses and continue to recalibrate our lateral hiring focus ing more on utilizing the capacity that we have built over the prior years.

TCS organic talent development initiatives continue to deliver industry - leading outcomes. Employees logged 51 million learning hours during the year and acquired 5 million competencies . In FY24, several key initiatives were launched to inculcate a strong engineering culture among the company associates, build deeper skills in market -relevant technologies and create an AI -ready workforce.

As we have done consistently every year, we have announced a salary increment for all of our employees with effects on April 1st, similar in quantum to prior years, with top performers receiving double digit hikes.

Over to you NGS for some color on our segments and products and platforms.

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N G Subramaniam: Thank you, Milind. Good evening to all of you. As Krithi mentioned, I'll be superannuating from TCS in a few weeks. I thoroughly enjoyed and it's been an absolute honour interacting with all of you over this forum.

And I always have looked forward to your reports and all our interactions and the reports have only made me wiser . Thank you so much.

Let me walk you through our segmental performance now. As a reminder, all growth numbers are in year -on-year constant currency terms.

In Q4, growth was led by Regional markets, which grew 26% . Manufacturing vertical grew by 9.7%. Energy, resources and utilities grew by 7.3%. Life sciences and healthcare grew by 1.7%. Our consumer business declined by 0.3% . However, it returned to positive sequential growth in Q4. Banking, Financial Services and Insurance declined by 3.2%, but saw a return of growth in the insurance business across all markets during the quarter. CMI declined by 5.5% and Technology & Services declined by 5.6%. Among major markets, the United Kingdom led with 6.2% growth. Continental Europe declined by 2 .0%. North America declined 2.3%. In emerging markets, India led with +37.9% growth, Middle East & Africa grew +10.7%, Latin America grew +9.8%, and Asia Pacific grew 5.2%. Let me move on to our products and platforms . Our industry -leading portfolio of products and platforms saw good traction during the quarter.

- ignio <sup>TM</sup>, our cognitive automation software suite, saw 32 new deal wins and 6 go -lives.
  - TCS BaNCS <sup>TM</sup>, our flagship product for financial services, had 8 new wins and 7 go -lives during the quarter.
- o Central Bank, a leading Midwest regional Bank in North America selected TCS BaNCS for its core banking and payments modernization. The solution will come pre -integrated with TCS BaNCS for Payments, an ISO 20022 -ready solution, enabling the Bank to offer Fe dNow<sup>®</sup> services and RTP1<sup>®</sup> by The Clearing House.

#### 1 Real time payment

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- TCS BaNCS insurance platform continues to see strong growth in Q4 with 2 wins and 2 go -lives during the quarter.
- o Aviva, UK's leading insurance, wealth and retirement provider, expanded on the existing relationship with TCS, for a 15 -year deal to transform its life business and enhance customer experience leveraging the TCS BaNCS based platform. As part of this, the e nd-to-end policy administration and servicing will expand to cover over 5.5 million policies, to be managed by Diligent
- a, TCS' FCA regulated subsidiary in the UK.
- Quartz blockchain platform had 3 wins this quarter.
  - In life sciences, the TCS ADD <sup>TM</sup> platform had 1 new win and 2 go -lives this quarter.
- o Gen AI is a potential game changer in identifying probable drug candidates, optimizing trials, harnessing vast pools of dissimilar clinical data, capturing and processing efficacy, and safety data. There are many such Gen AI use cases where Pharma companie s are investing. TCS ADD <sup>TM</sup> is actively working on PoCs on Gen AI across multiple innovative use cases, including literature insights, patient insights, safety case processing, and medical writing.
- TCS Optumera <sup>TM</sup>, our AI -powered merchandise optimization suite had 1 new win in Q4.
- o A Dutch retail client has transformed its pricing strategies in their 800 Netherlands stores for the last 7 years with TCS Optumera <sup>TM</sup>, fulfilling their promise of 'providing high quality at low price'. Our product will now drive their pricing initiatives in Belgium that will help them improve usability, provide flexibility in pricing, and help maintain consistent pricing position.
- TCS iON, our platform for digital assessment, exam administration, and learning, had 22 new wins and 80+ go lives.
- o Our assessment platform administered exams for 13.9 million candidates. Our platform now offers Gen AI -powered content creation and text translation in Indian regional languages, improved security in question paper creation with restrictions in editing,

overwriting media/images, and creating duplicate subject codes and names, audio -based marking; with noise suppression and dual recording capabilities.

- TCS TwinX , our digital twin solution, had 2 wins and 2 go -lives.
- MasterCraft and Jile won 29 new clients in Q4.

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#### Client Metrics

Let me now go over our client metrics. As you are aware, our customer -centric business strategy enhances our ability to continually expand and deepen our client relationships. These metrics provide a measure of our progress in the journey and a validation of the strategy.

- In Q4, we added 2 more clients year -on-year in the \$100 million+ band bringing the total to 62.
- 6 more clients in the \$50 million+ band bringing the total to 139.
- 10 more clients in the \$20 million+ band bringing the total to 301.
- 26 more clients in the \$10 million+ band bringing the total to 487.
- 28 more clients in the \$5 million+ band bringing the total to 693.
- And 53 more clients in the \$1 million+ band bringing the total to 1,294.

I will now request Krithi to speak on the demand drivers during the call.

K. Krithivasan: Thank you, NGS. As we review the last year's performance, TCS has once again proved its adaptability and relevance to customers. By working closely with them and utilizing our contextual knowledge, we proactively identified solutions to their industry -spec ific challenges, leading to significant deal wins and market share gains for us. Our growth remained resilient amidst macro uncertainties and geopolitical volatilities.

During Q4, customers continued to reprioritize spend in projects, where return on investment was high and immediate. Several key engagement themes, which are priorities for enterprises, include operating model transformation, vendor consolidation, cloud transformation, AI enablement, i.e. Cloud and Data foundation for AI , customer and employee experience enhancement, business process optimization, sustainability, and early -stage AI -infused transformational engagements.

We continue to see pressure on customers' discretionary spend. At the same time, transformation also remains a key ask, and customers are expecting the same to be funded through savings from operations. For the BFS I vertical, 2023 was a year of resilience, balancing the challeng

es due to inflation and complex geopolitics against the initial benefits from rising interest rates. In 2024, while evolving regulation, transformati ve technologies like Gen AI, cybersecurity, embedded  
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finance, and green transition have become the constant driving change, businesses are going to be focused on innovation driving their plans and building new business models for the future that will unravel tremendous growth potential. We continue to see pent -up demand in BFS, which will be a growth driver in the medium to long term, but in the near term, clients continue to conserve cash and focu s on business - critical projects with immediate RoI.

Challenges such as economic slowdown, soft recession, high interest rates, geopolitical tensions continue to put pressure on the consumer business group vertical throughout FY 2024. However, we saw some green shoots and moderate growth during the quarter, which

represented the highest sequential growth in the last four quarters. We expect accelerated spend in the medium term in areas such as improving customer experience, loyalty and reach, hyper-personalization, scaling Retail Media Network revenues, security services, cloud transformation, cloud ERP modernization, leveraging AI / Gen AI to enhance business value.

I am now going to talk in detail about some of the major themes driving demand for our services.

We are witnessing a growing trend in deals enhancing Customer and Employee Experience for enterprises and are actively pursuing such deals and taking proactive measures across industries.

■ An American retailer of office supplies partnered with TCS to reimagine and digitally transform their loyalty program. The omni-channel platform is enabling the launch of new features like real-time reward point redemption, special savings events and customized offers and is key to improve customer retention and satisfaction. TCS leveraged its contextual knowledge to shape the cloud-based solution and deliver a highly scalable, flexible, reliable and secure solution.

■ TCS entered into a strategic partnership with a multinational energy management company to bring grid flexibility management and energy transition for global utilities and their end customer base. TCS will integrate Cloud Energy™ into customers' energy management platform and together go to market for commercial, industrial and residential end customers of global utility companies. The joint partnership will target a potential saving of around \$1 billion in energy bills for over 10 target utilities and their end industrial and

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commercial customers. It will generate a business value of \$40 - \$60 million for the customer over the next 10 years.

The global supply chain is rapidly evolving and striving to stay abreast of the ever-changing environment and advancing technological innovations. Below are a few examples of how TCS is helping businesses in modernizing processes and platforms to enhance efficiency, adaptability to market shifts and boost their bottom line.

■ An Norwegian postal service provider partnered with TCS to modernize its critical logistics management platform that was constraining its growth ambitions. TCS leverages deep contextual knowledge to implement a new digital core, a command center, improved workforce, real-time data visibility and predictive analytics and insights. This has helped the client reduce operating costs by 40%, enable timely interventions, improved user experience and reliability during peak periods. With an empowered workforce and faster time to market, the platform has fortified the company's position in the market.

■ A distributor and retailer of beauty

products was facing several challenges across the supply chain and specifically significant inefficiencies in purchase order management. TCS' assessment found that over 50% of POs contained errors, and investigation was cumbersome. A control tower with automated exception handling and shipment notifications and streamlined vendor approvals, was implemented. This reduced manual intervention in PO processing by up to ~90%, significantly mitigating the risk of human error, improving operations and vendor relations.

ESG has gained traction amongst organizations and is becoming a crucial investment. The need for emissions reporting and regulatory compliance towards net zero commitment is driving new business of data collection and deriving insights. Sustainable financing has emerged as a top priority and is driving the transition towards a carbon neutral economy.

Our clients actively seek our expertise to develop innovative technology-driven solutions that leverage IoT, AI and advanced analytics, aiming to reduce energy and resource consumption, monitor

and measure greenhouse gas emissions throughout the supply chain, minimizing carbon footprint, reducing waste, promoting recycling and reporting their sustainability initiatives.

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■ A Nordics major partnered with TCS to enable ESG credit risk assessment with varied degree of automation and complexity aligned to the sustainable financing approach for corporate customers. With an efficient and harmonized approach, this program improved ECB regulatory compliance covering four out of the six regulatory requirements. Our solution has flexibility to accommodate future regulatory requirements and supervisory expectations and enables a risk-based approach to ESG assessment and monitoring.

AI is beginning to permeate our lives incrementally through everything from the tech powering of our smartphones to autonomous driving features on cars, to the cool applications retailers use to surprise and delight consumers. As a result, its progress has been almost imperceptible.

Moving on to Generative AI, excitement over this technology is substantial. Gen AI is steadfastly at the forefront of the technology trends and customers are on the lookout for POCs on the efficiencies that can be enabled by Gen AI in application development, application maintenance and deployment automation.

A full realization of Gen AI's benefits will take time and enterprises and society still have considerable challenges to address. These include managing the risks inherent in Gen AI, reskilling and upskilling the workforce and reimagining core business processes. Customers are looking at scaling out POCs and pilots by implementing necessary guardrails. TCS has been making all the relevant investments required to participate in this opportunity.

■ Last year in August, we launched our AI.Cloud business unit, bringing together the power of cloud data and AI - including Gen AI, into a dedicated group that builds on our strategic hyperscaler partnerships and deep relationships with other major AI players.

■ We launched AI.Cloud Academy, which provides our associates with a powerful platform to train, get certified, share knowledge, accelerate deployment and play in our unique AI experience zone. We have one of the largest pools of employees trained on AI and Gen AI competencies.

The type and size of opportunities are evolving, with a noticeable shift towards larger, more strategic projects that encompass cloud and AI technologies. As Assist use cases become Augment, it will drive

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underlying initiatives on Cloud and Data. We are gradually seeing a few Gen AI use cases moving to production.

Gen AI's ability to create new data and content is driving innovation across sectors. We expect wider adoption in financial year 2025, with focus on seamless integration with current workflows with a "human-in-the-loop" approach.

■ TCS has partnered with a large turbine manufacturer to identify duplicate parts in the system, which are resulting in suppliers being charged different prices for the same item, causing losses to the manufacturer. TCS has leveraged AI to extract defined attributes from the information stored in PDFs to create a data model to identify the duplicates that resulted in \$15 million annualized savings for the manufacturer.

■ TCS is helping an enterprise in the material handling business to help service engineers with specific insights for equipment. The Machine



Learning -based solution, complemented with Gen AI, is directed to understand both structured and unstructured data around equipment manuals and enterprise data and generate targeted instructions for service personnel to improve productivity and reduce the equipment service insights.

In the past, cost and optimization benefits led to cloud adoption.

Today, cloud is not merely a technology to adopt, but a strategy for business transformation and growth itself. Cloud technologies enable us to overcome existing limitations of scale and bring partners, data supply chains and customers together and connected.

TCS has been working closely with clients and fine -tuning their cloud strategies. The following examples demonstrate this partnership.

■ Openreach, UK's largest digital network provider and a part of the BT group, wanted to implement a cloud -native microservices architecture.

On a mission to roll out fiber connectivity across the country, Openreach realized an overall enterprise rehaul was urgently required.

TCS designed a modular and scalable orchestration engine on cloud which streamlines the entire fulfilment journey from order to billing. It provides real -time business insights while optimizing cost and reducing the total time to market for the customer.

■ United Airlines engaged TCS to revolutionize pilot pay with the intention of providing real -time gross pay information with improved

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pay accuracy and transparency to its 15,000 pilots. TCS was at the forefront of this collaborative approach, leading the transformation across design, architecture and solution development. By embracing a data -driven approach with insights from United, we have truly built a future -ready cloud -based scalable solution that seamlessly evolves alongside United's vision.

■ Legal and General Retirement Institutional (LGR I) , a leading provider in the UK's Pension Risk Transfer (PRT) market, partnered with TCS to modernize its customer administration platform with the power of cloud. Leveraging the contextual knowledge of the client's application landscape, its cloud expertise and partnership is a major hyperscaler.

TCS helped the client build a highly available and resilient platform. The migration to public cloud has helped the client to enhance the capacity to on board large PRT schemes quickly and meet the demands of the growing PRT market. The new architecture has also ensured increased availability of its customer administration platform with the ability to recover applications within 1.5 hours. With the new platform, TCS has laid the foundation for LGR I's future growth, continued success and scale.

Fuelled by cloud -native capabilities and data -intensive technologies like AI / Gen AI and IoT, enterprises can harness insights and apply skills and knowledge to spur innovation to the benefit of all, whether it's solving complex societal and climate challenges or creating new markets and revenue streams. We are very optimistic about the longer -

term opportunities from this trend.

Moving on to our deal wins, TCV in Q4 was at a record high, at \$13.2 billion . This includes one mega deal we announced during the quarter. The BFSI TCV was \$4.1 billion , while the TCV for our Consumer business group was at \$1.6 billion . The TCV of deals signed in North America stood at \$5.7 billion .

Our FY24 TCV was \$42.7 billion , a record growth of 25.2% YoY .

We can now open the lines for questions.

Moderator: Thank you very much. We will now begin the question -and-answer session. We have a first question from the line of Yogesh Aggarwal from HSBC. Please go ahead.

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Yogesh Aggarwal: Hi, good evening. Just a couple of questions. On the TV, you guys mentioned that there is only one large mega -deal in the entire quarterly TCV, which is very strong. But still, the near -term growth outlook is not very clear. So, I was just a bit confused. If a large part of the deals are smaller in TCV, shouldn't the near -term outlook improve quite a bit?

That is one. And secondly, just on the India business, Krithi, in the past, companies have regretted growing India business after a while, due to issues with margins, cash flows, etc. So, do you think the market has matured now and it's not a risk going forward?

K Krithivasan: Thanks Yogesh. First on the large deal, we said there is one mega -deal in the deal pipeline. Others are all deals of normal size we have every quarter, which are large deal s, but not all are mega -deal s. So from an overall deal -term perspective, there is no change otherwise.

And since you mentioned the TV interview, we said that the number of deals that we have been winning in the last few quarters, gives us confidence that after a period, the growth would return. So, I don't see there is a reason for confusion or conflict there.

Coming to India, we do believe that we have to participate in the India growth story. And many of the large Indian enterprises, both in the public sector and private sector, are embarking on new programs to leverage the technology that's available today. So, we are selective, and we want to ensure that we enter the right deals, but we believe there are enough right deals in the market today.

Yogesh Aggarwal: Thank you so much.

Moderator: Thank you. We have our next question from the line of Sudheer Guntupalli from Kotak Mahindra AMC. Please go ahead.

Sudheer Guntupalli : Yes. Hi, team. Congratulations on a good set of numbers. Krithi, you reported solid deal wins, and you are indicating that the demand visibility has improved over the previous three months, I think on the press meet. On the contrary, one of our consulting heavy peers has indicated that demand situation further deteriorated over the previous three months.

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So, is it fair to assume that the problem of incremental deterioration over the last three months is more pertinent to the discretionary strategy consulting kind of engagements, and the rest of the portfolio remains largely resilient?

K Krithivasan: So, definitely, in a way, if you look at what we have been saying, discretionary programs with not so exciting ROI are under pressure. So, if the ROI is not immediate or ROI is not meeting the threshold the customers have set for themselves, they tend to pause those programs or delay those programs.

So, to that extent, there could be a lack of visibility in the near term.

But, as I said, since the TCV has been quite high, on the medium to long term, we are more optimistic.

Sudheer Guntupalli : Sure, Sir. Second question to Samir. If we adjust for BSNL deal ramp -up led margin dilution over the previous two quarters, your EBIT margins would

have already been somewhere midway of your aspirational band of 26% to 28%. So, my question is, have we peaked out in terms of margins or you see further scope for a margin upside?

Samir Seksaria: Sure, Sudheer. So, first, we'll look at our margins on a portfolio basis and we'll not split or exclude a single customer or geography out of it. Coming to your question on whether the margins have peaked out, as you know, first quarter we will take the impact of increments. So, we would have a headwind coming up.

But, I think, overall, during the year, we have, despite strong headwinds coming through, and in a challenging macro, we have been able to deliver consistent good margin improvement in the last three quarters, almost 100 basis points in each of the quarters.

We believe some of the levers, like the subcontractor cost which was one of the levers which helped significantly in FY'24, might have bottomed out. But with our focus on disciplined execution, we believe levers like pyramid, pricing and utilization can still help us. And if the macro risk recedes and growth reverts back higher to its normal trajectory, then that can only help us accelerate this journey.

Sudheer Guntupalli : Got it. And lastly, congratulations to NGS on a glorious career. It's a privilege to listen to you, and all the best for your future endeavours .

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N G Subramaniam: Thank you.

Moderator: Thank you. The next question is from the line of Ankur Rudra from JPMorgan. Please go ahead.

Ankur Rudra: Hi, thank you. Just the first question is on the strong signing momentum you mentioned. How are you thinking about the conversion of this into revenues over the next year or so? And how does it set you up for FY'25, given perhaps easier comparable this time (FY24 growth not being very high). Does it help you significantly?

K Krithivasan: Yes, we are quite comfortable on the revenue conversion of the deal that we signed in the last three, four quarters. And the conversion rate has been at a similar rate that we used to convert in the past as well. We've been saying in the last few quarters, the headwind has always been in those projects that we signed quite some time ago which are discretionary in nature or where the clients can slow it down or pause for some time. Those are the ones providing the headwind.

Ankur Rudra: Will FY'25 pan out better given how FY'24 was?

K Krithivasan : Ankur, last quarter also we mentioned this. Seeing the TCV of whatever we signed this quarter, we believe FY'25 should be better than FY'24.

Ankur Rudra: Understood. Maybe if you can comment a bit more in terms of how do you think or where do you think clients are and where do you think the environment is in terms of spending cycle? It's been almost, I think, two years now. It's not slightly longer till we've seen, you know, revenue sort of decline, decline, decline, perhaps bottom out and begin to recover.

How do you feel about the spend cycle right now, especially the mix of discretionary and non-discretionary? And also, if you can touch upon financial services and CMT verticals.

K Krithivasan: See, look at it this way, Ankur. Clients want to do transformative work, and they want to embrace new technology. We talked about cloud adoption, enterprise cloud modernization and also about Gen AI. Clients want to do all of them, and clients also want to conserve costs. These two are the drivers that make them choose the appropriate projects.

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Wherever they're trying to do cost and optimization, you would see programs around vendor consolidation, operating model transformation, or sometimes application rationalization. Those kinds of engagements

are started. And the savings generated are used to fund the programs that I talked about.

So, I don't think that if you look at purely the TCV and look at the kind of projects, you cannot say there's only one kind of project. You would see a fair mix. I would say maybe 55 to 60% in terms of cost and optimization and the remaining in terms of transformative engagement.

N G Subramaniam: If I can add, Ankur, to what Krithi has said, every organization wants to become an AI organization. There is a huge amount of upskilling and transition that internally they are going through to train their own people on the impact that AI can have in terms of every one of their

internal processes and their planning process, and what are the parameters that are important for their growth, all of it. So, they are going through their AI transition themselves. And in addition to that, given the number of new technologies that are coming in this space, the possibilities are opening up. As I alluded to in the press conference, the first phase of defining the architecture in which they would like to develop these programs, which LLMs will be relevant for them, which one they want to keep in-house, which one they want to keep in the public domain, what data that they have internally, what data they need to get it externally.

A lot of these strategic decisions are also at play. So, I think as far as the cost and optimization, efficiency, using AI for internal purposes, they're all -- there's no dearth of opportunities, they're all happening. But on the strategic transformation programs, the kind of work that they want to do, they are calibrating it, they want to solve all these internal issues, strategic issues first, assess the regulatory impacts before they want to progress further.

Ankur Rudra: Thank you for the color, NGS, and thank you so much for your guidance over the years. That was my last question. Thank you.

Moderator: Thank you. The next question is from the line of Kawaljeet Saluja from Kotak. Please go ahead.

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Kawaljeet Saluja: Hi. Thanks a lot. I have a couple of questions. First is on TCV and the relative lack of, what I would say, excitement about the near-term growth acceleration. Is there anything in the composition of TCV which is leading to this relative lack of enthusiasm, anything which you can throw some color on the renewal component or the ACV, anything that can help us understand the dynamics of growth and our TCV a little bit better?

K Krithivasan: Thanks, Kawaljeet. I won't call it a lack of excitement. We are quite happy with the TCV we signed. Our caution comes from the headwinds that we face. The short-term demand remains very unclear or volatile. So that's a cautionary stand. Like, once we go through the quarter, probably we'll get a better understanding of the overall net demand. So, we are quite happy with the TCV, and its conversion into revenue as well.

But what we have not been able to predict is the headwinds that come out because customers want to conserve cash and then stop some of those ongoing large programs. So that's the reason you see the amount of caution in terms of predicting the revenue.

Kawaljeet Saluja: And Krithi, anything in terms of renewals versus new TCV? Because I saw a stream of announcements, but plenty of them were renewals. So how does that compare with the historical average? And if you can throw any -- if you can add any insights on the ACV number, that would be useful as well.

K Krithivasan: We don't publish ACV number, Kawaljeet, but from a mix perspective between renewal to new revenue, there is no change. If at all, I would say that our new revenue has been stronger.

Kawaljeet Saluja: Okay. That's heartening to hear. The second question is for Samir. Samir,

any other lever through which you can juice up the margins? I understand there's some near-term headwind from compensation provision, but just to understand the perspective of profitability and how it can improve, any levers that you can highlight, because at least from the face of it to us, it looks like the engine is running nice and in a very optimized way today?

Samir Seksaria: Yes, Kawaljeet. The ones I called out -- pyramid, pricing and utilization -- definitely have further scope. And we also believe that incremental margins will have to be contributed by pricing improvements.

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Kawaljeet Saluja: Right. The final question that I have is on the BSNL deal . So there's \$1 billion of revenues that come in, say, a period of 12 to 18 months. Are there subsequent work packets that will flow in or does this create, let's say, a revenue vacuum as you move into FY 2026?

N G Subramaniam: Hi, this is NGS here. We are focusing on installing the network across 100,000 towers. We have achieved about 10,000 towers as of date, and there are further opportunities.

For example, beyond rolling out these 100,000 towers , we also have to upgrade a good number of them to 5G. That's another revenue stream that will come. And then subsequently, the maintenance support is for the next foreseeable future. That's another thing that is expected. In addition, there are also opportunities to increase the number of towers that BSNL will deploy, because clearly they are focused on what they call a saturation sites, which essentially means rolling out new towers in rural areas where hitherto even a mobile network doesn't exist. So there are clearly some more opportunities that will come from the BSNL.

But clearly, this is a mission critical project, very complex, highly integrated, and indigenously developed. The opportunities to take it to market with other operators is an opportunity that we are calibrating.

Kawaljeet Saluja: Got it. Fantastic. Thanks a lot.

Moderator: Thank you. We have our next question from the line of Surendra Goyal from Citigroup. Please go ahead.

Surendra Goyal: Good evening, everyone. Krithi, I'm just trying to understand your commentary better. You have sequential growth in Q4. You are saying that visibility has gotten better. Deal TCV trends are good and mostly regular -sized deals. And June and September are seasonally strong as well, based on what we have seen over the years.

So why are you not willing to call out growth in the coming quarters? Is the leakage in the existing big business a concern enough to hold you back despite so many positives? Any clarity would really be helpful.

K Krithivasan: Surendra, two things. One, we have never given guidance. Two, as I told, whatever answer I gave to Kawaljeet, like, there is an amount of  
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unpredictability in terms of our customers' readiness to cut the discretionary work that they are doing based on the return on investment they're seeing.

And it is also a factor of how they see the economy panning out or what they should be ready for. So, if there is a greater confidence on their overall business growth, you would see them at least embarking upon more discretionary projects or not pa using the projects. It's a question of the overall economic sentiments our customers are in. That's the reason that we are not sounding very optimistic. We have been cautious because of these reasons.

Surendra Goyal: And are there particular verticals where you see the reprioritization happening more commonly compared to the rest of the business?

K Krithivasan: No, it comes from their individual perception. See, there are some programs that have seen a number

of incremental enhancements that are supposed to be done. But when they see the new enhancements not going to yield greater value, they don't do those enhancements, they stop at wherever, whatever, after the initial set of modernization. There are programs where clients signed up to initially a very high SLA, but they realized that given the current environment, that kind of SLA is not required. Then you have a lesser number of associates handling the same program with a reduced SLA. There was one instance where the customer sold off a business to somebody else or they got out of that business , and they ran down the people in that program. Some of these decisions happen in a very short notice. This is broadly the spectrum we are seeing.

Surendra Goyal: And just a housekeeping question, are any deals which get cancelled, either because of customers selling off a business or any other reason? What you report, is that a net number or just a gross number? See, if you had signed a deal six months back and then the deal got cancelled, would this quarter be net of that cancellation or the cancellations are not accounted for?

K Krithivasan: TCV is only what we sign new in a given quarter.

Surendra Goyal: Understood. Thanks. NGS, thank you for all your insights over the years and all the best.

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N G Subramaniam: Thank you so much.

Moderator: Thank you. We have our next question from the line of Gaurav Rateria from Morgan Stanley. Please go ahead.

Gaurav Rateria: Hi, thanks for taking my question. Just wanted to get little bit better trends on BFSI. You did talk about insurance vertical growing during the quarter across geographies.

If you could lay out in terms of outlook within BFSI of subsectors, what's going to grow and where the visibility is higher, where visibility is still not there, that would be very helpful.

N G Subramaniam: Hi Gaurav, this is NGS here. I think overall our engagement with our customers in the BFSI segment has been terrific and very good partnership that led to about \$4.1 billion worth of TCV during the quarter. Insurance is doing well.

Capital markets is doing well, almost every stock market is doing well. So, there are increasing opportunities that are coming. But largely in putting controls, risk, and safety measures as opposed to trading systems or settlement systems because they're all working fine, they're all scaling, and they don't want to touch it, and they've invested a lot in the algo trading.

On the retail banking side, clearly payments and wealth management are two significant areas where we have customers wanting to try out new technologies. And especially portfolio management, portfolio optimization using Gen AI to rebalance, and assist in a way that increases their own productivity and provide that agility to their end customers is something that we are seeing and identifying arbitrage opportunities on the fly.

These are all cases that people are experimenting, and there are opportunities in payments specifically and wealth management on the retail segment. On the Market infrastructure side, there are a good number of programs in the pipeline. As you know, we signed up the deal with ASX, Australian Stock Exchange, and we implemented one of the most complex commodity systems for MCX. And we continue to engage with customers like London Clearing House and other firms.

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Large market infrastructure programs in payments, payments modernizations, and almost every market, they are considering implementing something like a UPI, faster payments, instant payments. There are lot of discussions that are going on, but these are all long-term projects, so d

eal cycles are expected to be longer. I hope that gives you a perspective.

Gaurav Rateria: Thank you for the very comprehensive answer. Just to follow up on this, where are you seeing the unexpected ramp downs or behaviour of client decision-making within these segments, and any likelihood of that kind of continuing? I mean, are you expecting this to continue in the current quarter as well?

N G Subramaniam: I think, I can't really, pinpoint something except that, look, if you take our BFSI segment, for example, most of our customers, are all long -

term strategic customers for us. We have enjoyed a phenomenal relationship and partnership with all of them. So we sign deals and they commit deals to work with us.

But then at the same time, they come back and then say that, look, yes, I signed this deal, and then I want to defer this for about a quarter. Even though contractually they may not have that option, we remain flexible with them, and then we have to accommodate them in the interest of our long-term relationship, and culturally we are like that. From that perspective, we see some volatility in decisions because, for example, if they face a headwind, come back and then talk to us and then say that, look, can you execute this program in terms of 12 months, 18 months or 24 months? And such things happen, it's an unplanned, distribution of work that we need to manage, and customers love us for that. I think we will continue to operate in that fashion to stay relevant to our customers and help in their times of need, and it is that volatility which we are not able to predict.

And at the same time, today there are so many startups coming in AI. Some of the clients want to invest in those startups rather than building it organically. Clients want to experiment and see whether the concepts what they are coming up with is interesting. Maybe I will invest in them and then accelerate their journey and adopt that technology. These are all the volatility that we see in the marketplace, for which, we will have to be respectful of clients' thoughts and decisions and accordingly align ourselves to the changing paradigm.

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And that's the volatility which I'm not able to predict, and I'm not able to communicate it. We only echo what we see and what we hear from our customers to all of you.

Gaurav Rateria: Thank you very much. Last question for Samir. On the operating margin comfort band of 26% to 28%, you did talk about pricing to be one of the levers that will be required to sustain the margin in that.

In the current environment, do you expect this to play out in the coming quarters based on the kind of deals that you have signed? Or is it more of a factor that could be, at play only when the discretionary spend were to return back? Thank you.

Samir Seksaria: Now we believe that incremental margins will have to be contributed by pricing improvements that need not be through an immediate pricing increase, but we will need to work out structurally. Towards that, it would be a combination of various factors. Overall portfolio-based pricing increase, renewals getting priced in at a higher price or when the renewals happen, asking for a price increase, or the overall new deals which come in get factored at a higher price. I wouldn't expect it in one quarter, or we go and ask for a price increase to a customer and we would get it immediately.

Gaurav Rateria: Thank you.

Moderator: Thank you. We have our next question from the line of Kumar Rakesh from BNP Paribas. Please go ahead.

Kumar Rakesh: Hi, good evening. Thank you for taking my question. My first question was for Samir. So, we are exiting this year closer to 26% on the margin side. So, through the next year, FY'25 through the quarters, should we expect the qu

arterly movement of margin similar to what we saw this year? Or there was some difference in the trajectory which we saw, and we should build accordingly?

Samir Seksaria: I think one thing for sure is like it happens in every year. We would take the impact of increments, the largest headwinds coming in Q1 and then we claw back on the margins as we go through the year. And we would expect a similar trajectory to happen in FY25.

Kumar Rakesh: Got it. And there has already been a lot of questions around the deal TCv, ACv and the revenue conversion. Additionally, Krithi, you also

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spoke about in the last part about the pent-up demand in the retail segment this quarter.

You have spoken about pent-up demand to be there in BFS. How do you see that panning out in the context where you have caution in the near term while you are also talking about there is a pent-up demand?

What do you think that would be the catalyst that, you would be looking at where the pent-up demand eventually starts translating into revenue and gives you more better visibility on demand and comfort as well?

K Krithivasan: I think, once the customers are comfortable about their demand environment, about their market could be the catalyst. For instance, see insurance today, they look at their long-term growth, or manufacturing, we find there is a lot of activity. So those sectors we find there is an investment happening. Capital markets has done reasonably well this quarter, spend happening in the regulatory sector, the risk and compliance. So, it depends on the individual customer and wherever they see that there is a greater confidence of their business, you would see the pent-up demand also being satisfied. Again, it is a factor of what is the return on investment that particular investment will give them. So it's more a factor of the individual business and the client's outlook.

Kumar Rakesh : Got it. So, in any of the verticals or pockets have you already started seeing this pent-up demand starting to...

K Krithivasan: I wouldn't call it pent-up demand, but as I spoke in my original commentary, consumer business for now we started seeing green shoots in pockets. Like even this quarter, we found airlines, transportation, doing very well. So you will see pockets in each of these verticals. I won't say any given vertical, you may not have all sub-verticals return to growth. But there will be some sub-verticals that would return to growth. But as I said, this quarter, Insurance grew well, Airlines and Transportation grew well. Manufacturing, by and large, most of the segments in manufacturing grew well. So, this is what we are seeing.

Kumar Rakesh : Perfect. That's very helpful. Thanks a lot.

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Moderator: Thank you. Ladies and gentlemen, that was the last question for today.

I now hand the conference over to the management for closing comments. Over to you, sir.

K Krithivasan: Thank you, operator. We are very pleased with our financial year 2024 performance, growing at 3.4% in constant currency, amidst the macro uncertainty prevailing in the major markets.

- Our Q4 revenue grew 3.5% in Rupee terms and 2.2% in constant currency terms. Deal momentum continued to be very strong in Q4, with our order book at \$13.2 billion for the quarter, and \$42.7 billion for the full year.
- Our Q4 operating margins improved to 26% , an expansion of 100 bps sequentially. Our net margin in Q4 stood at 20.3%.
- Our LTM attrition in IT services fell further to 12.5%.
- We continue to deliver resilient results, winning market share, and balancing growth with profitability.
- We have an exceptional leadership team and an extremely

dedicated

workforce. It has been every TCSers' hard work during the year which fuelled our collective achievements, and I would like to thank each one of them for their contribution to the company's success. With that, we wrap up our call for today. Thank you all for joining us.

Moderator: Thank you, members of the management. On behalf of TCS that concludes this conference call. Thank you for joining us and you may now disconnect your line.



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Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

## Call: Aug 2024

Tata Consultancy Services Limited  
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Corporate Identification No. (CIN): L22210MH1995PLC084781

TCS/SE/89/2024-25

July 16, 2024

National Stock Exchange of India Limited BSE Limited  
Exchange Plaza, C-1, Block G, P. J. Towers,  
Bandra Kurla Complex, Bandra (East) Dalal Street,  
Mumbai - 400051 Mumbai - 400001  
Symbol - TCS Scrip Code No. 532540

Dear Sirs,

Sub: Transcript of the earnings conference call for the quarter ended June 30, 2024

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter ended June 30, 2024, conducted after the meeting of Board of Directors held on July 11, 2024, for your information and records.

The above information is also available on the website of the Company: [www.tcs.com](http://www.tcs.com) .

Thanking you,

Yours faithfully,

For Tata Consultancy Services Limited

Pradeep Manohar Gaitonde  
Company Secretary

Encl: As above

Tata Consultancy Services Limited  
Q1 FY25 Earnings Conference Call  
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Moderator: Ladies and gentlemen, good day and welcome to the TCS Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.  
I now hand the conference over to Ms. Nehal Shah from the Investor Relations team at TCS. Thank you and over to you, ma'am.

Nehal Shah: Thank operator. Good evening and welcome, everyone. Thank you for joining us today to discuss TCS's financial results for the first quarter of FY 2025 that ended June 30, 2024. This call is being webcast through our website and an archive, including the transcript will be available on the site for the duration of this quarter. The financial statements, quarterly fact sheet and press releases are all available on our website.

Our leadership team is present on this call to discuss our results. We have with us today Mr. K Krithivasan , Chief Executive Officer and Managing Director.

K Krithivasan : Hi, good evening, good morning, everyone.

Nehal Shah: Mr. Samir Seksaria, Chief Financial Officer.

Samir Seksaria: Hello, everyone.

Nehal Shah: And Mr. Milind Lakkad, Chief HR Officer.

Milind Lakkad: Hi, everyone.

Nehal Shah: Our management team will give a brief overview of the company's performance followed by a Q&A session. As you are aware, we don't provide specific revenue or earnings guidance. And anything said on this call, which reflects Tata Consultancy Services Earnings Conference Call  
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our outlook for the future or which could be construed as a forward -looking statement must be reviewed in conjunction with the risks that the company faces. We have outlined these risks in second slide of the quarterly fact sheet available on our website and e-mail out to those who have subscribed on our mailing list.

With that, I would like to turn the call over to Krithi.

K Krithivasan : Thank you, Nehal. Good day, everyone. I'm very pleased to report a good start to the new fiscal year. Our Q1 FY '25 revenue grew at 5.4% in rupee terms, 4.4% in constant currency terms and 3.9% in dollar terms. All our markets have returned to growth on a sequential basis, similarly al

most all our vertical s also

saw positive sequential growth, except for CMI.

Our ability to deliver on large -scale complex engagements, projects of national importance and mission critical services for the world's leading companies have helped us in winning market share. Our operating margin for the quarter came in at 24.7% and net margin at 19.2%.

I'll now invite Samir and Milind to go over different aspects of our performance during the quarter. I'll step in later to provide more color on the demand trends we are seeing in our business. Over to you Samir.

Samir Seksaria: Thank you, Krithi. Good day, everyone. In the first quarter of FY '25, our revenue was **₹**62,613 crores which is a year -over-year growth of 5.4%. In dollar terms, the revenue was \$7,505 million and that's a Y -o-Y growth of 3.9% and in constant currency, our revenues grew 4.4%. Our Q1 operating margin was at 24.7% in spite of a 170 basis point headwind from annual wage hikes. In addition, third -party expenses also increased. These were offset by operating efficiency, including better productivity, improved utilization and reduction in subcontractor expenses.

Net income margin in Q1 was 19.2% and our EPS grew 10% year-over-year. Our accounts receivable DSO was at 70 days in dollar terms and up 5 days year-over-year.

Net cash from operations was \$1.34 billion , which is 92.8% of net income.

Free cash flows were \$1.23 billion and invested funds at the end of the period stood at \$5.59 billion . The Board has recommended an interim dividend of **₹**10 per share.

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I'm now going to talk about our industry leading portfolio, our production platform which saw good traction during the quarter.

- ignio <sup>™</sup>, our cognitive automation software suite, saw 24 new deal wins and 10 go -lives.

- o Our R&I efforts have led in winning 60 patents so far in this product.

- TCS BaNCS <sup>™</sup>, our flagship product for financial services, had 5 wins and 12 go -lives during the quarter.

- o Core change drivers for our product continue to be business agility, cloud - readiness, enablement of easy integration to ecosystem and partner solutions, and enhanced client experience.

- o Specific to the Securities industry, 'T+1' and shortening of settlement

cycles in general is a big growth driver for us. Custodians are also looking to see how to improve accuracy in the capture of corporate announcements and bring overall efficiency in the value chain.

- o Globally, we see increased levels of regulatory compliance requirements, and these are moving more and more real time in nature. This is another driver for the transformation of core technology.

- o A leading Japanese bank offering custody and securities lending services through its fully owned subsidiaries in the U.S., U.K. and Luxembourg has selected TCS BaNCS for Custody to integrate its global operations onto a single custody platform and will be implemented in a SaaS model.

- TCS BaNCS insurance platform continues to see strong growth in Q1 with 1 win and 6 go-lives during the quarter.

- o A leading Pan-India private insurer, has gone live with over 100 products across 8 business lines, spanning the entire business scope – from underwriting to policy servicing, claims processing and reinsurance. This represents the largest coverage of products and lines of business live on the latest version of TCS BaNCS for a general insurance company in India, positioning us very strongly in the growing market. Additionally, a digital portal for agents and intermediaries has been rolled out to 5,000+ agents to expand market reach and scale up business volumes.

- o TCS BaNCS for Intelligent Experience, our state-of-the-art framework for enabling next generation Customer experience, went live at a number of customers this quarter, strengthening what we can offer

r leveraging

Digital, Data and AI.

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- Quartz blockchain platform had 1 win and 1 go-live this quarter.

- In life sciences, the TCS ADD™ platform had 2 new wins and 4 go-lives this quarter.

- TCS OmniStore™, our AI-powered universal commerce suite, had 2 go-lives during the quarter

- o We have launched GenAI based intelligent buying guide enhancements, which is a conversational commerce system that helps agents and customers in better product discovery, personalized recommendations on products, services and offers, and flexibility to tailor the end user experience.

- TCS iON, our platform for digital assessment, exam administration, and learning, had 25 new wins and 70+ platform capabilities went live.

- o Our assessment platform administered exams for more than 11.8 million candidates.

- TCS TwinX, our digital twin solution, had 2 wins and 2 go-lives.

- MasterCraft and Jile had 32 deal wins in Q1.

Client Metrics

Let me now go over our client metrics. The steady increase in the number of clients in every revenue bucket is the ultimate validation of our customer-centric strategy.

- In Q1, we added 3 more clients year-on-year in the \$100 million+ band, bringing the total to 63.

- 3 more clients in the \$50 million+ band, bringing the total to 140.

- 4 more clients in the \$20 million+ band, bringing the total to 300.

- 18 more clients in the \$10 million+ band, bringing the total to 486.

- 20 more clients in the \$5 million+ band, bringing the total to 697.

- And 42 more clients in the \$1 million+ band, bringing the total to 1,310.

With that, I'd like to hand it over to Milind.

Milind Lakkad: Thank you, Samir. The workforce at the end of the first quarter was 606,998.

The addition during the quarter was 5,452. We will continue to recalibrate our hiring for the year based on the demand outlook.

We are focused on re-skilling and organically developing the required competencies amongst our talent base. Employees logged 11 million learning

hours during this quarter and acquired 1.2 million competencies. We have one of the most comprehensive talent development programs in the world, helping us stay ahead of the curve and continue to innovate and adapt to keep pace with the evolving business needs.

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This program has earned us the respect and admiration of our customers and employees alike. Our workforce continues to be very diverse with 151 nationalities and with women making up 35.5% of our base. Towards driving a more performance-focused work culture, we rolled out double-digit wage hikes for high performers and an average 4.5% to 7% wage hike for the rest of the employees, with effect from 1st of April.

All our efforts in rewarding the best talent in the industry are reflected in our retention rates, which are one of the best amongst industry peers. Our LTM retention in IT services was at 12.1% at the end of Q1, down 40 basis points sequentially and in our comfort range of 11% to 13%.

I will now request Krithi to speak on the various demand drivers seen this quarter.

K Krithivasan : Thank you, Milind.

I am pleased to report a strong start to the new fiscal year with all-round growth across industries and markets, led by cost optimization and business transformation. Cost optimization remains the top customer priority, including vendor consolidation and operating model transformation.

Enterprises are increasingly relying on technology to help improve their competitive advantage, transforming the way they operate. Client spending under the business transformation initiatives included supply chain modernization, sustainability, enhanced customer and employee experience, technology modernization, cloud, data and analytics and AI/GenAI initiatives.

We are investing in our workforce at scale, deepening our ecosystem partnerships and strengthening our IT teams. TCS, with its full services capability and industry-specific contextual knowledge, has always remained relevant to clients. Our strategy has resonated with clients continuing to entrust us with large and strategic deals.

TCV in Q1 was at \$8.3 billion. The BFSI TCV was at \$2.7 billion, while the TCV for our Consumer Business Group was at \$1.1 billion. The TCV of deals signed in North America stood at \$4.6 billion.

Having said that, during Q1, we continued to see the dichotomy that we have witnessed over the past six quarters.

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While larger and strategic transformation programs with enterprise-wide scope or benefits, example, cloud or data foundation, are continuing apace, some of the smaller programs with narrower scope benefits are coming under more stringent scrutiny, tending to get deprioritized. At the same time, we are seeing clients spend on initiatives oriented towards cost optimization, giving them immediate ROI.

Let me now walk you through our segmental performance. As a reminder, all growth numbers are in the year-on-year constant currency terms, unless otherwise mentioned.

- BFSI, our biggest vertical, returned to growth sequentially. On a Y-o-Y basis, it declined 0.9%.

- o For the BFSI industry, the wave of the net interest income that was strong in 2023 has been waning down in 2024. Clients are now balancing their transformation priorities to ensure business resilience and innovation to improve cost to income ratio. In the near term, we will see tech spend on enabling new partnership and ecosystem models, stronger security practices to tackle cybercrime, data governance and democratization to address risks and regulatory scrutiny, and fully integrated digital operating models.

- o Longer term, BFSI clients are expected to increase their spending towards developing integrated models using Cloud and AI, mitigating risk of legacy systems and those aimed at boosting customer experience.
- o ING Belgium partnered with TCS to modernize its legacy applications for business lending, bonus and warrants management application and branch banking operations. With our contextual knowledge of the bank's IT ecosystem, we collaborated in their simplification journey, providing ING with modernized microservices -based, cloud -hosted applications. The modernization initiative will provide simplified operations, seamless customer experience, optimized and modern front end, simplified technology landscape, higher productivity, and lower cost of operations for ING. This success story is a good example of the end-to-end large-scale IT modernization work we are doing for our clients.

- Consumer Business Group saw sequential growth for the second quarter, led by demand for cost optimization, improving end-customer experiences and Enterprise Applications Modernizations and Transformations. On a Y-o-Y basis, it declined 0.3%.

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- o Optimizing IT costs and realizing efficiencies is a big priority for Consumer Businesses. To that end, we see good demand for Operating Model Transformation and Vendor Consolidation as key themes.
- o AO World, the UK's most trusted electricals retailer engaged TCS to transform the systems that underpin its Finance and Operations functions to respond to constantly changing business dynamics and customer expectation and maintain the competitive advantage in the industry. TCS led this transformation through the design, solution blueprinting and implementation of the cloud-based platform. Through this initiative, the customer could streamline its business processes, automate numero

us

workflows and approval processes, create robust and resilient integrated systems, and bring transparency in financial reconciliation.

- o bpost, also known as the Belgian Post Group, a leading European postal services company, partnered with TCS to digitally transform the retail front-office. TCS developed a modern, scalable, and portable POS solution using open-source technologies and cloud-native architecture, reimagining both the customer journey and employee experience, and redefining the front-office environment. The new solution has improved customer and employee experience by reducing wait-times and enabling many self-service options for customers.

- Manufacturing continued with its positive streak and grew 9.4%, led by broad-based growth in all sub-sectors. Specific areas like Smart Manufacturing, Renewable energy, Battery Energy Storage Systems (BESS), Grid modernization with Digital solutions, supply chain transformation and vendor consolidation are showing a positive trend.

- o Jaguar Land Rover (JLR), UK's largest luxury automotive manufacturer has partnered with TCS to implement SAP Service Parts Management. This streamlined JLR's aftermarket parts supply chain, unifying multiple legacy systems across their two iconic brands into a single system. JLR benefited from optimized inventory worldwide, improved stock turnover, enhanced supply chain visibility, and improved collaboration and communication with suppliers. This also established common processes to support standardized operations across both brands —Jaguar and Land Rover.

- o This success story showcases how the client embarked on its supply chain transformation wherein their key objective of 'Global Inventory Optimization and Systems Consolidation' was achieved, and how TCS

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with its large project expertise and contextual knowledge was able to deliver substantial savings to the client.

- Life Sciences and Healthcare continued to do well and grew 4.0%.
  - o The pharmaceutical companies continue to invest heavily in R&D, supply chain transformation, smart manufacturing, clinical unified platform, cognitive -based case intake automation, and customer experience transformation for patients, health care personnel, and others as part of business transformation.
  - o In the healthcare customers, we see vertical integration, significant increase in home care and virtual care, and adoption of value -based care at scale.
  - o All these initiatives are leading to increased IT services spend for us.

- Energy Resources and Utilities also grew 5.7%.
  - o ERU companies are investing in transforming business and asset portfolios towards a more sustainable future, including renewables generation capacity, transmission and distribution to bring the energy to where it's needed, energy storage, and new ways of running the grid like Distributed Energy Resource Management and Virtual Power Plants. TCS is engaged in pioneering work in such initiatives for its clients.

- CMI continued to face business challenges and declined 7.4%.
  - o Given the uncertain macroeconomic outlook, clients are focused on realizing the benefits from the investments in 5G made during the pandemic period before investing in any large -scale programs. As these challenges abate, we expect spending on tech stack modernization to grow as telcos leverage automation, network intelligence, and virtualization to align with shifting industry trends. Investments will be oriented towards enhancing business and operational performance by leveraging real -time intelligence, scalable and modular networks, and partner ecosystems. Current spend in this sector is led by initiatives in cost optimization, vendor consolidation, and integrated operations.

- Technology and Services returned to sequential growth after 5 quarter

s. On a

Y-o-Y basis, it declined 3.9%. Customers in this vertical remain cautious about new spending until business growth momentum picks up. However, we  
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are very excited about a marquee deal we secured with a leading tech company, where we will showcase the depth and breadth of all our service offerings.

- o We expanded our two - decade long partnership with Xerox to develop a new agile, cloud -first operating model in an end -to-end transformation program designed to fast track the evolution of the company into a simplified, services -led, software -enabled organization. We will consolidate Xerox's technology services to improve business outcomes, migrate complex legacy data centers to a public cloud, deploy a cloud -based Digital ERP platform to transform business processes and incorporate GenAI into operations to help drive sustainable growth. We will be leveraging the deep capabilities of our service practices such as AI.Cloud, Enterprise Solutions (including Crystallus™) and Cognitive Business Operations (including Cognix™). We will also build an AI -first enterprise platform for Xerox.

Coming to our Service Practices , AI. Cloud, Cyber -Security and Enterprise Solutions led the growth this quarter. We launched new labs, Centers of Excellence and Delivery Centers focused on AI, IoT (Internet of Things) and Digital Engineering. We have also further expanded our partnership and alliances ecosystem by onboarding new partners in the areas of ER&D

(utilities, Process industry and Consumer Products industry segments), Cyber Security (cloud workload and endpoint security, threat intelligence, and cyberattack response services), Gen AI, e-commerce platforms, business consulting for Public Sector and Enterprise Integration Services. We continue to see global recognition across our service offerings.

- AI.Cloud: Organizations are seeing Cloud, Data and GenAI adoption as essential for delivering superior customer experience, remaining cost competitive as well as be able to roll out differentiated products and services rapidly. There is a renewed focus on data strategy, data governance and use of analytics driven by the desire to leverage AI and GenAI.

Gen AI continues to hold major mindshare, and this is increasing by the day with newer models and techniques coming to the market almost on a daily / weekly basis. Customers are looking at scaling out the POCs and pilots by implementing necessary guardrails. Mature customers with a solid cloud and data foundation that were able to experiment with multiple GenAI use cases are now looking to reimagine parts of their value chain to make them AI-native. This AI first business strategy is increasingly seen as the eventual long-term aspirational goal. While the interest is strong, organizations are

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taking a calibrated approach to measure the risk potential and organizational impact while chalking out their roadmap for GenAI adoption. TCS has been batting on the front foot with all the required investments made to participate in this space and opportunity.

In this quarter, over 270 AI/GenAI engagements have been deployed or are in various stages of progress. Engagements that have successfully gone live include those enabling dynamic pricing strategies, improved product quality, transformed customer experience and significant productivity uplift in business operations, software development & IT Operations. Our AI and Gen AI pipeline has also doubled in the quarter to US\$1.5 billion.

During the quarter, we launched TCS AI WisdomNext<sup>TM</sup>, a platform that aggregates multiple GenAI services into a single interface and enables organizations to rapidly adopt next-gen technologies at scale, efficiently and

within regulatory frameworks.

The platform offers a comprehensive suite of modular, reusable components and industry-specific, prefabricated solution blueprints that are easy to use and enable faster business value realization. It can evaluate the accuracy of the AI model used and offers fine-tuning as a service.

- IoT and DE: We continue to see demand for IoT Platforms and Digital Engineering capabilities across different application areas. Few examples include: (1) Life Science and healthcare customers continue to invest in remote patient monitoring, diagnosis through connected devices leading to more software platform solutions and services. (2) Hi-Tech/ TSS customers are looking at new age skillsets which include chip design and optimization of manufacturing operations through automation (3) In the manufacturing space, key areas are - Factory transformation (smart manufacturing / factory of future), PLM services and smart product engineering. (4) Energy management solutions like TCS Clever Energy<sup>TM</sup> are seeing good demand from customers across retail and manufacturing.

- Cyber Security services continued to grow this quarter. The focus areas of our customers have been Network security, Identity and Access Management modernization, Risk & Compliance and Cloud Security.

- Our Interactive services saw good growth this quarter across multiple offerings. The effective integration of technology and creativity is a key theme

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for all marketers. Our narrative around the need to improve CMO -CIO collaboration is being received well. CMOs understand that it is of paramount importance to connect the dots of complex technology systems, AI and data – and that this connecting of the dots, along with creativity as the multiplier is key to help brands in their responsible growth journey.

- Our Cognitive Business Operations services also saw good bookings and revenue growth in both IT IS and BPS. As businesses are looking to get a heads-up on the long-term view, investments are made in current operations to make it leaner and more efficient. Our approach led by modern tech-led transformation & assets such as ignio™, Cognix™ & MFD™ is gaining good traction.

- Lastly, in the Enterprise Solutions Unit (ESU), clients continue to invest in clean and sustainable digital core by modernizing their ERP. We will continue to invest and strengthen our joint go-to-market approach with our partners.

Moving on to geographies, Emerging markets continued showing superior and diversified growth. India led with +61.8% growth, Middle East & Africa grew +8.5%, Asia Pacific grew 7.6% while Latin America grew +6.3%.

- Among major markets, the United Kingdom led with +6.0% growth. IT services spend continues to be more resilient in the UK, and is expected to remain on the growth path.

- Europe grew 0.9%. IT services spend remained flat. In addition to other growth areas, sustainability initiatives and compliance of regulatory requirements is a key focus area amongst European clients.

- The biggest positive was North America returning to sequential growth after 5 quarters. On a Y-o-Y basis, it declined 1.1%. Overall IT services spending is stable in the geo; however, clients are neither going for large scale capex initiatives nor ramping down with deep spending cuts. There are tailwinds in the form of consumer demand, employment rates and technology innovation and headwinds coming from rising government and consumer debt, inflation and interest rates.

We remain focused on delivering to the best of our capabilities and improve market share across industries, services and geographies.

We can now open the line for questions.

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Moderator: Thank you very much. We will now begin the question-and-answer session. We have our first question from the line of Ankur Rudra from JPMorgan. Please go ahead.

Ankur Rudra: We've seen an element of pickup in overall growth momentum this quarter. However, if I peel out the growth from India, the growth in the international business is about 1.5% both sequentially and year-over-year on constant currency terms. So, in this context and the fact that deal wins are sort of weaker than the last four quarter average, the question is, what gives you the confidence that fiscal '25 will truly be better than fiscal '24?

K Krithivasan: Thanks, Ankur. We have said that FY'25 will be better than FY'24 overall. If you compare current quarter's performance with Q4 (last quarter), we see sequential growth. Even leaving India out, almost all our verticals and all our geographies have grown. So, while India growth has been substantial, compared to previous quarter, the other sectors have also really done well. Going by the fact that growth has been broad-based, is what is giving us the confidence that this year will be better than last year. As we explained before, on the TCV side, we find it's more a timing issue because the pipeline is quite strong. We are not too worried about the TCV being lower than last quarter.

Ankur Rudra: Okay. Appreciate it. The following question for me would be on Generative AI. You did highlight that your overall AI pipeline has strengthened. But if you just

stay with Generative AI, how's that impacting your business? If you can give us some color in terms of how it's impacting specific projects and customer perception. A related question is, do you feel that Generative AI in client conversations and client thinking is potentially creating a headwind for spending on IT services?

K Krithivasan : There is always a discussion in almost any new program we do , even if it's an AMS (Application Management Services) program or AD (Application Development) program we do. There is a discussion on can we leverage Generative AI, can we bring in more productivity that discussion always happens.

We also look for opportunities to bring in productivity or other value efficiencies through Generative AI. Clients do want us to look at Generative AI as one of the levers to better deliver in terms of cycle time or in terms of cost or quality. That discussion always happens, but we have not seen Gen AI as a headwind so far.

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Ankur Rudra: Any comments on pricing given the nature of the business. Thank you.

Samir Seksaria: Pricing overall has remained stable. While there could be aberrations at an individual customer level or the phase in which deals which we are facing, but at a portfolio level there is nothing material to call out. As you would have seen realizations also have been improving sequentially.

Ankur Rudra: Appreciate it. Thank you and best of luck.

Moderator: Thank you. We have our next question from the line of Sudheer Guntupalli from Kotak Mahindra AMC. Please go ahead.

Sudheer Guntupalli: Hi, Kriti. Congrats on a good set of numbers. In March, you indicated that the demand visibility has certainly improved over December quarter. Now you delivered growth better than expectations. In that backdrop, just trying to get a context of your comments in the press that you don't want to yet call out the sustainability of current growth number given the volatile environment.

Is it just a philosophical stance you are taking not to indulge in near-term guesswork or quarterly guidance given the uncertainty or is this by any chance led by a relative weakening of demand visibility versus March quarter for whatsoever reasons?

What I am trying to understand is that directionally are we seeing a steady improvement

or stability in demand over time or is demand moving more like a sinusoidal curve over quarters?

K Krithivasan : Sudheer when we announced last quarter, I do know that we said that there is an improving demand environment. What we said is we believe we are confident that FY25 will be better than FY24. And that is based on how FY24 panned out and how we started seeing the early quarter of FY25.

But it does not mean that the uncertainty has gone away. We still see situations where clients are ramping down programs or re-evaluating programs at very short notice. And that is the reason we believe that it is too early to call a sustained growth momentum or a demand stability.

It depends a lot on the economic outlook of our customers. It is certainly not philosophical, but it is quite practical Sudheer.

Sudheer Guntupalli: And the second question is on your other statement that clients are neither going for large-scale technology initiatives nor going for deep spending cuts.

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So if we were to quantify this qualitative statement, is it fair to say that since the deep spend cuts are already in the denominator, incrementally not having them should still be a mathematical tailwind for us in terms of growth?

K Krithivasan : See the way I would characterize this there are long-standing programs. As long as they are delivering incremental value to our customers, they are continuing. And if there is a limited budget available our customers are re-evaluating. Should they be starting a new program which gives a better ROI? It could be discretionary program or it could also be a cost optimization

program as against the next phase of a long -standing program. So whichever is giving them a better ROI is being adopted and lesser ROI programs are passed. So that is the way I characterize it. And it was a situation last quarter also and there has not been a material change in that situation.

Sudheer Guntupalli: Okay, sir. Thank you so much and all the best.

Moderator: Thank you. Next question is from the line of Kumar Rakesh from BNP Paribas. Please go ahead.

Kumar Rakesh: Hi, good evening. Thank you for taking my question. My first question is more of a request, Krithi. If you could consider starting to give guidance on a full year basis that would be helpful because I really don't understand why a large company and successful one like TCS should not have a guidance when almost every other peer of yours have.

And the challenge which at least I face is the operating metrics which you share are not enough to give us a full picture of how the trends are panning out. The deal TCV has a very poor correlation with the revenue trend and the other operating matrices also are relatively lesser than what the peers have been giving.

Now demand appears to have started stabilizing. You have settled in your office for a few quarters now. So now may be a good time to relook at this strategy whether you want to start giving a guidance. I understand TCS has not in the past, but may be a good start to give and if you take a feedback and if you still conclude that you should not give a guidance then at least maybe start giving some more operating metrics such as order backlog or ACV numbers, which can help us in modelling and come to a sense that what direction the growth potentially could be?

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K Krithivasan : Sure, Kumar. We will definitely consider that. You see, it's been a considered stand for a long time because we believe that there is a certain amount of prudence in not giving guidance because it helps us in driving growth and maximizing growth based on what we see in the market space. But we will consider your request and we'll have an internal discussion and

come back to you.

Kumar Rakesh: That would be great. Thanks. My second question specifically was on the GenAI side. So, you did talk about \$1.5 billion of deal pipeline on AI and GenAI side. Can you give some sense how the booking and revenue conversion could possibly be? You have spoken about 270 projects you are working on. So, is it fair to expect that about triple digit million dollars of total revenue TCV you may have been working on the GenAI side?

K Krithivasan : At this time, we don't want to give that number, because these projects also tend to be not very large. In the past also, you mentioned many of them tend to be smaller projects, small duration projects. But this quarter, we did win a large project as well, where we are establishing an AI office for one of our customers, which is fairly large.

But otherwise, these projects tend to be small. When we are relooking, maybe we will consider this request as well, when we are ready to provide a number in terms of the revenue or order book in AI, we'll do it.

Kumar Rakesh: Great.

K Krithivasan : Therefore, we have to stabilize and scale in the service, before we are able to give some metrics.

Kumar Rakesh: Sure. Makes sense. Thanks. One question on the BFSI side. So, it was encouraging to see that BFSI has now returned to growth. So, is that a reflection of absence of last two quarters of furlough? Or you are seeing some recovery on the ground in terms of client engagement as well?

K Krithivasan : I would say there is some positive movement because as I was telling somebody else, our BFSI North America has done relatively well, which is not really impacted by furlough. So, this is BFSI performance to a great extent is, I would say, North America performance as well.

Kumar Rakesh: Got it. Thanks a lot.

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Moderator: Thank you. We have our next question from the line of Abhishek Pathak from Motilal Oswal. Please go ahead.

Abhishek Pathak: Hi. Thank you for the opportunity. My first question was on the communications vertical. Sir, what near-term catalysts do you see in this vertical which could meaningfully alter client behavior and what could bring it back to growth?

We've seen almost five quarters of a decline now. So, when do you expect the historic capex that the operators have done to trickle down to services?

That's one. And secondly, on the FY '24, another strong quarter. So, do you think client behavior here is any different to, let's say, BFSI where cost takeout is the main theme? Do you see more adventurous projects here or is the theme pretty much similar? Thank you.

K Krithivasan : Abhishek, first on CMI, there are a couple of factors playing out here. Many of the telcos invested heavily for 5G rollout and they have not seen the expected return so far. For them to invest more, we believe, they're looking for a lower interest rate environment before they can embark on new transformative programs.

From that perspective, lowering interest rate would be a good trigger for us to see. It is our expectation for us to see project of more investment and hence more IT projects to be kicked off. Life Sciences like you said, has been bucking the trend.

That is also more to do with the non-cyclical nature of the industry. People tend to consume more of those services in good times and bad times. And which also because of that, creates more opportunity for drug discovery, research. To that extent, it's behaving in a very secular way.

Abhishek Pathak: Got it. Thanks.

Moderator: Thank you. We have our next question from the line of Ravi Menon from Macquarie. Please go ahead.

Ravi Menon: Hi, thank you. You spoke about how we've finally seen America and North America come back to sequential growth. I don't think even during the financial crisis we've had a situation where we

have five quarters of sequential decline.

So this was an unusual time, but do you think that we finally bottomed out here and should we see sequential growth from here in North America?

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K Krithivasan : Ravi, I don't want to say this now because it's the first quarter of broad-based growth we have seen after few quarters. And see while in 2008, what also happened, as soon as the crisis hit, we also got multiple M&A opportunities, so which actually increased our growth because some of the clients started investing towards consolidation of the systems.

Today we don't have that scenario. It is a scenario of more wait and watch, because of which we don't find new investments either towards cost optimization or particularly discretionary spend not happening. So that's the reason we are hesitant to say we have bottomed out. We are watching this space and working closely with our customers to maximize the opportunities in front of us.

Ravi Menon: Thank you, Krithi. And if you look at the trailing 12 months book to bill as well, when we started seeing that drop, that's when I think is a very new start. Should we think about that as a lead indicator? And now we've seen that trend up.

Last quarter of course, you had a really extraordinarily good looking quarter.

So, that moved that up as well.

But we are trending above 1.35, 1.37 for three quarters. So should we think about that as a good leading indicator, if not for a quarterly indicator, but at least for the full year?

K Krithivasan : Ravi, I did not get the question fully, but from a book to bill perspective, last quarter was very good. This quarter we had a lower TCV. As we are explaining, our overall pipeline has remained strong, both qualified pipeline and total pipelines remain strong.

The TCV has been lower this quarter it's more of a timing issue. Some of the large programs that we thought that we would close were pushed back by a few weeks or maybe a month or so. But we're confident those orders will be

booked in Q2.

You can never read too much into a TCV on a single quarter, you have to read it on a longer period of time. And it remains within our stated goal of \$7 billion to \$9 billion per quarter is the comfort zone we have set for our order booking. We are currently well within that range.

Ravi Menon: Thanks. And one last question if I may you were, I think moving to a pattern of on boarding all the fresh graduates you make offers to in the first half of the

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year, right? This year, are you planning to continue that or should we see this more spread out over the quarters?

Milind Lakkad: We have on boarded 11,000 trainees in this quarter and we also have concluded the National Qualifier Test and this will further add to that number. Obviously, some of the freshers ' induction will continue during the quarters. To what volume, that is something which will be recalibrated over the next few quarters.

Ravi Menon: Thank you and best of luck.

Moderator: Thank you. We have our next question from the line of Nitin Padmanabhan from Investec. Please go ahead.

Nitin Padmanabhan: Hi. Good evening. I had three questions. The first one is on the press conference you had mentioned that you look at three indicators broadly when you look to assess the recovery. So I think it was the evaluation of ongoing projects, how much people want to spend on cost optimization and how much people want to invest. Could you please expand on that, at least from a BFSI and retail C PG perspective? So that's the first one on how you're seeing trends across those three buckets.

The second is on margin levers. I think last year, after the first quarter, we saw almost 100 basis points margin expansion each

quarter. But since then, I think

we have sort of brought down subcontracting fairly well. We have also improved utilization fairly. So just wanted your thoughts on the puts and takes on margins, on how we should think about it on a going -forward basis ? And lastly, ISG basically spoke about some 30% cost savings in ADM and infra due to GenAI . I just wanted to understand your experience on that and how you're seeing that pan out. Thank you.

K Krithivasan : Nitin, while I did talk about re -evaluation of projects and then also focus on cost optimization and discretionary, the point I also keep mentioning is we don't see a material change between the customer sentiment between last quarter and this quarter. They continue to validate projects and cost optimization projects get a priority over new discretionary project if they are not able to see a short - term ROI.

And this will change only when there is a long -term certainty on the economic outlook. Till that happens, the pattern of whatever is happening, whatever happened in the previous quarters will continue. That's the reason also why we

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are not calling out that growth is back or this momentum will be sustained, because customers do take decisions at a very short notice.

Regarding your comment on cost saving of 30% on GenAI , this is depending on the type of engagement, type of project. We have done POC 's also, close to more than 100, 150 projects where we have tested this out on terms of software productivity. It varies anywhere between 5 % to 25%. And it also depends on which phase of the project that you are working on.

If you are talking only about a testing project, that could probably yield a better productivity gain. We have seen software engineering projects that give productivity anywhere , as I said , between 5 % to 20 %. And it also depends on the type of technology employed. But we do see about 5 % to 20% depending on the type of project is thumb rule that's quite possible.

Samir Seksaria: Regarding the margins, the good thing for us is the biggest headwind which we have in terms of wage inflation is taken upfront. And as you rightly called

out, we typically inch up from that in the following quarters. Last year, our execution rigor ensured a good trajectory sequentially each quarter. Subcontractor cost was one of the critical levers in that improvisation. This year, we believe subcontractor cost has bottomed out or will remain stable around this level, need not be an incremental lever. In the short term, productivity and utilization still would be the lever and utilization, though we have harped upon it considerably last year, still provides some opportunity. Nitin Padmanabhan: Sure. So Krithi, just had a follow-up. So, the revaluation of ongoing projects, I think last quarter was pretty bad (4QFY24), not only for you, but for everybody. There was a lot of reprioritization of projects. From a trend perspective, are you seeing that come off or it is still extremely uncertain? Well, it may not have been better this quarter, you see that it is still very uncertain on the reprioritization. K Krithivasan: This quarter, that is Q1, has been relatively better for us. But we don't know, overall situation remains volatile. So, that is the reason we are continuing to stay cautious on our outlook for the next few quarters. Nitin Padmanabhan: Sure, that is very helpful. Thank you so much and all the very best. Moderator: Thank you. We have our next question from the line of Sandeep Shah from Equirus Securities. Please go ahead. Tata Consultancy Services Earnings Conference Call July 11, 2024, 19:00 hrs IST

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Sandeep Shah: Yes. Thanks for the opportunity. Krithi, just wanted to understand, is it fair to believe that the first quarter performance

has been higher than the management expectation and what has led to this? Is it largely better than expected discretionary spend revival or better than expected ramp-up in the cost take-out deals?

K Krithivasan: Sandeep, probably we knew the beginning of the quarter, this is where we were heading towards is what I would say. So to that extent, I wouldn't call it better than expected.

Sandeep Shah: And second, in terms of ramp-down pace in the discretionary project, are you witnessing any kind of declining pace in the ramp-down of discretionary project on a Q-on-Q or a Y-o-Y basis? Or do you believe the pace of ramp-down continues to remain at the same elevated level and there is no change in the pace?

K Krithivasan: See, as I mentioned before, Q1 was slightly better, but we think it is too early to call that the trend has set in already, like we have to be watchful because the overall sentiment has not changed.

Sandeep Shah: And Krithi, last question in terms of Annuity projects, which are larger projects coming for renewal, what is your experience in terms of clients negotiating for a productivity gain because of GenAI? Is it the earlier response also been true for such kind of an experience on a large renewal where you expect 5% to 20% reduction in those renewals?

K Krithivasan: No. See, Sandeep, just to make it clear, I said the 5% to 20% productivity on certain phases of the programs are possible. I didn't say the entire project end-to-end life cycle, we can get 5% to 20%. It depends on the individual project and also on the technology, architecture, everything they use.

Coming back to renewal, it's a common experience that the customers do experience a productivity improvement but what they also do at that time is usually they add more scope at the time of renewal so that it is to a great extent top line neutral for us and we also bring productivity. So, those discussions continue.

Sometimes we see opportunities for using GenAI and wherever you are able to use GenAI and then offer some productivity, we offer those productivity to customers. But if you ask me that is it widespread, I won't say it's very widespread at this time. Like customers do expect productivity but asking for Tata Consultancy Services Earnings Conference Call

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extreme or a high level of productivity gain through GenAI is not a very common place.

Like the discussions happen, we do offer to a customer to explore GenAI for software engineering and building productivity, but it is not becoming a huge demand yet.

Sandeep Shah: Okay. Fair enough. Thank you and all the best.

Moderator: Thank you. Next question is from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.

Vibhor Singhal: Yes. Hi. Thanks for taking my question. So, two questions from my side. One, Krithi, just wanted to understand on the retail segment. I mean, this is a quarter in which we kind of believe we've turned the corner.

But for us to be able to report growth on a sustainable basis in this, what exactly are the clients' worries in the sector at this point of time? So, like in BFSI, we know that I think the US macro improves. I think that should lead to some, let's say, incremental spending or a revival of tech spending that they have put on hold.

Interest rate cuts could be possible, triggers and all. But what is that is keeping these retail clients their spend on hold? And what could possibly change in the coming quarters for us to start reporting growth in this segment on a sustainable basis?

K Krithivasan : Vibhor, like there could be a couple of points. One is the overall consumer confidence. The second is also inflation. Because what we see is a varying trend like even in the last few quarters. We have seen some quarters where the essential segment does well, some quarters the essential doesn't do well, spec

ality does well. So it's a fairly complex situation on which segment does well.

But I would say broadly, it should depend on the interest rates and the consumer confidence in the market. We have seen growth in the last two quarters. But we need, as I said if the confidence on consumer confidence or outlook is poor in the coming quarters it may take a hit again.

Vibhor Singhal: Got it. But then improving macro situation in which maybe inflation is coming down with the CPI data today or let's say there's some possibility of let's say,

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interest rate cuts you expect this segment those should act as tailwinds for the sector.

K Krithivasan : Yes, like if overall confidence goes up and the inflation comes under control, we should expect a pickup in the medium term in this segment.

Vibhor Singhal: Got it. That's really helpful. Just my last question on the manufacturing and healthcare verticals. Now, these two verticals have done really well for us especially over the past three quarters. They've been doing well for almost the entire industry with the kind of spends in that. Any possible headwinds that you are seeing in this segment or at least at this point of time the growth momentum should continue?

K Krithivasan : By and large, we are fine. But that could be in terms of like if you take automotive industry with the advent of EVs coming in , the whole industry is getting reshaped. So there would be some changes in the spending priority or investment priority in this industry. So that would be something to watch out for like adoption of EVs and how the OEMs themselves are going towards vertical integration. How much they do that vertical integration, how much they impact the tier 1s. Those are the areas that we have to watch out for.

Vibhor Singhal: Got it. Sure. Thank you so much for taking my questions and I wish you all the best.

Moderator: Thank you. We have our next question from the line of Gaurav Rateria from Morgan Stanley. Please go ahead.

Gaurav Rateria: Hi, thanks for taking my question. The first question is around the nature of deal pipeline. If you could just a little bit elaborate more on what kind of deals you're seeing in the pipeline and has there been any shift in the mix of the deals towards more smaller deals that get consumed into revenue faster or it continues to remain the way it was in the last few quarters?

K Krithivasan : Yes. Gaurav, the type of work the deals, are led by cost optimization and discretionary spending. Within that you can have programs like vendor consolidation, operating model transformation, application modernization.

I would say there is not a major shift, okay, but we do hear more about

application modernization compared to the past. And on the discretionary spend side, you also look at a supply chain modernization, customer experience transformation, those kinds of programs we keep seeing.

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From the nature of the opportunity, typically the cost optimization programs tend to be more tenured because customers give us a large chunk of their AMS for a longer tenure, but whereas the discretionary programs tend to be more short tenure.

But overall, if you look at that average tenure, I would say tenure is slowly inching less, like instead of a longer program, 3 years or 4 year programs, we tend to see programs of shorter nature at a global level.

Gaurav Rateria: Secondly, on the BFS, you did talk about some better trend in North America this quarter. Is there any reason to believe that the projects that you have embarked upon would not continue in the near term? I'm just trying to understand that from a visibility perspective, at least some of these projects should continue if they are longer

tenured, right? So, then from a visibility point of view in the BFS vertical, there should be a decent visibility at least for the near term?

K Krithivasan: As we told you before, Gaurav, as we see today, we don't see a bad or an increasing trend of project cancellation. But at the same time, we remain careful that customers do pause these programs at a shorter notice. So, as I see today, it is continuing the same pace as it was before.

Gaurav Rateria: Last question from me. The headcount, we have seen a positive addition after last several quarters. So is this a reflection of that utilization has kind of peaked out or reached an optimal level where we should be? Or is it also a reflection that our order book is to be executed in the coming quarters and hence we will be needing more heads on the roles? Thank you.

Milind Lakkad : I think our hiring, we should not look at it from a quarterly standpoint. We look at it means our training hiring, we look at it from an annual standpoint. And that is the annual thing, core part of our strategy and that is how we hire. And there is no direct linkage to the demand because it is also, this will go through a significant amount of talent development and training and eventually they get deployed to the projects.

So yes, some of it can be the factor because we have utilized on the investments we made last year and the year before that. And some of it is also because of the fact that we want to plan for this year properly .

Gaurav Rateria: Thank you.

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Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments. Over to you.

K Krithivasan : Thank you, operator.

- We are very pleased with our first quarter performance, growing at 4.4% Year - on-Year in Constant Currency , amidst the cautious outlook prevailing in the major markets.
- Deal momentum continued to be very strong in Q1, with our order book at \$8.3 billion for the quarter.
- Operating margins were at 24.7%, declining 130 bps sequentially following our annual wage hikes with effect from April 1.
- Our net margin is at 19.2%.
- We will be honouring all the job offers we have made but remain focused on utilizing the capacity we have already built up. Our LTM attrition in IT services fell further to 12.1%.
- We plan to build the largest AI -ready workforce in the world, by organically reskilling our employees.
- We continue to deliver industry leading metrics, winning market share and creating value for all our stakeholders. We have an experienced and stable



leadership team, and an extremely dedicated workforce. It has been the hard work of 600,000+ TCSers which is helping us achieve excellence every day and I would like to thank each one of them for their contribution to our shared success.

Moderator: Thank you, members of the management. On behalf of TCS, that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

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Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

## Call: Oct 2024

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Registered Office 9th Floor Nirmal Building Nariman Point Mumbai 400 021  
Corporate Identity No. (CIN): L22210MH1995PLC084781  
TCS/SE/ 163/2024-25  
October 14, 2024  
National Stock Exchange of India Limited BSE Limited  
Exchange Plaza, C -1, Block G, P. J. Towers,  
Bandra Kurla Complex, Bandra (East) Dalal Street,  
Mumbai - 400051 Mumbai - 400001  
Symbol - TCS Scrip Code No. 532540  
Dear Sirs,  
Sub: Transcript of the earnings conference call for the quarter and six-month period ended September 30, 2024  
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter and six-month period ended September 30, 2024, conducted after the meeting of Board of Directors held on October 10, 2024, for your information and records.  
The above information is also available on the website of the Company: www.tcs.com.  
Thanking you,  
Yours faithfully,  
For Tata Consultancy Services Limited  
Pradeep Manohar Gaitonde  
Company Secretary  
Encl: As above

Tata Consultancy Services Limited  
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Moderator: Ladies and gentlemen, good day, and welcome to the TCS Earnings Conference Call. As a reminder, all participant lines will be in the listen - only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Nehal Shah from the Investor Relations team at TCS. Thank you, and over to you.

Nehal Shah: Thank you, operator. Good evening, and welcome to TCS' Earnings Call for Q2 FY '25. This call is being webcast through our website and an archive, including the transcript, will be available on the site for the duration of this quarter. The financial statements, quarterly fact sheet and press releases are also available on our website. Our leadership team is present on this call to discuss our results. We have with us today Mr. K Krithivasan, Chief Executive Officer and Managing Director.

K Krithivasan: Hi. Good day, everyone.

Nehal Shah: Mr. Samir Seksaria, Chief Financial Officer.

Samir Seksaria: Hello, everyone.

Nehal Shah: And Mr. Milind Lakkad, Chief HR Officer.

Milind Lakkad: Hi, everyone.

Nehal Shah: Our management team will give a brief overview of the company's performance, followed by a Q&A session. As you are aware, we don't provide specific revenue or earnings guidance and anything said on this call, which reflects our outlook for the future, or which could be

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conjunction with the risks that the company faces.

We have outlined this risk in the second slide of the quarterly fact sheet available on our website and e-mailed out to those who have subscribed to our mailing list.

With that, I would like to turn the call over to Krithi.

K Krithivasan : Thank you, Nehal .

Good day, everyone. As most of you will know, today is a very sad day for all of us. Thank you to many of you who have sent warm words of condolence. It is a deep sorrow, we moan the passing of Mr. Ratan Tata, an extraordinary individual, whose life and legacy will always be a guiding light for Tata Consultancy Services. His wisdom, compassion and commitment to the lives of millions made him revered across the

world.

This morning, the TCS leadership team and our Board of Directors went to pay our tribute to him and offer our condolences to his family. It was touching to see so many people who turned out to pay their respects to him and he also received many messages from our clients, partners and industry leaders.

Mr. Tata was one of a kind. His remarkable leadership marked by a unique brand of humility and confidence, guided TCS through transformative global expansions with a deep sense of service to the communities we operate in and the values we cherish.

He had a rare gift for making those around him feel valued and heard giving the admiration and respect of all who had the privilege of knowing him. His approach to leadership with his genuine care for people has left an indelible mark on every one of us. Thank you for keeping him and his family in your thoughts today.

All my colleagues at TCS and I will remain forever inspired by him as we carry forward his vision. On that note, let me offer you some thoughts  
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related to where our business stands this quarter and what we are looking to do so in the future.

Our performance in this quarter demonstrates the resilience of our diversified portfolio amidst an uncertain geopolitical situation. Our biggest vertical BFSI showed signs of recovery. Growth markets also continued with a strong performance.

Revenue grew 5.5% year -on-year in constant currency. Our operating margin for Q2 was 24.1% and net margin was 18.5%.

I'll now invite Samir and Milind to go over different aspects of our performance during the quarter. I'll step in later to provide more colour on the demand trends we are seeing in our business.

Over to you, Samir.

Samir Seksaria: Thank you, Krithi. Let me go over the financial details. In the second quarter of FY '25, our revenue was ₹64,259 crores , which is a year -over -year growth of 7.6% . In dollar terms, the revenue translates to US\$ 7.67 billion , a Y-o-Y growth of 6.4% . In constant currency terms, our revenue grew 5.5% .

Our Q2 operating margin was 24.1% , a sequential decline of 60 basis points. Our long -term investments to ensure sustainable growth, continuing talent acquisition and development strengthening ecosystem partnerships and alliances, opening new delivery offices, near shore centers .

Net margin in Q2 was 18.5% . Our EPS grew 6.2% year -over -year. Our accounts receivable was at 72 DSO in dollar terms.

Net cash from operations at \$1.4 billion , which is a cash conversion of 100.2%, a percentage of net income. Free cash flows were at \$1.3 billion and invested funds at the end of the period stood at \$6.4 billion .

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The Board has recommended an interim dividend of **₹10** per share and our capital allocation policy remains consistent on returning surplus free cash flow back to our shareholders.

Let me walk you through our segmental performance. Please note that all growth numbers are on a year -on-year constant currency terms and unless otherwise mentioned.

- BFSI , Consumer Business Group and Life Sciences Health Care verticals all grew 0.1%.
- Manufacturing grew 5.3% .
- Technology & Services declined 1.9%.
- Communication and Media declined 10.3 %.
- Energy Resources and Utilities grew 7.0% and,
- Regional Markets grew 50.4%.

Moving on to geographies , all growth markets grew above the company average. India led with 95.2% growth , Middle East and Africa grew at 7.9% , Asia Pacific grew 7.5% and Latin America grew 6.8% . Among major markets, United Kingdom gre

w 4.6% and Europe grew

1.8% , North America declined 2.1% .

I'm now going to talk about our industry -leading portfolio of products and platform.

- ignio™, our cognitive automation software suite, saw 34 new deal wins and 4 go -lives.
  - GenAI conversations are fuelling an increase in conversation around traditional AI and automation. ignio is steadily creating real-life GenAI use cases and making them an integral part of the platform to help customers realize quantifiable value.
  - TCS BaNCS™, our flagship product for financial services , had 3 wins and 3 go -lives during the quarter.
  - The TCS BaNCS Global Banking Platform now caters to the entire spectrum of banking technology, from commercial to urban co -operative, to rural, private and small finance banks in India. With an installed base of close to 200 banking institutions in India, we
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continue to help our customers to transform and achieve their goals of digitalization and become active players in the thriving ecosystem of Indian market.

- TCS BaNCS insurance platform continues to grow with 1 win and 3 go-lives during the quarter.
- Quartz blockchain platform had 2 wins this quarter.
- TCS iON, our platform for digital assessment, exam administration, and learning, had 17 new wins and 80+ platform capabilities went live.
- Our assessment platform administered exams for more than 12 million candidates.
- TCS OmniStore™, our AI -powered universal commerce suite, had 2 go lives during the quarter .
- Clients have continued to prioritize enhancing their omnichannel capabilities and optimizing their checkout processes. The focus is on modernizing to create a seamless experience across online and in-store channels. Many retailers are investing in data insights and AI tools to gain deeper insights into customer behaviour and optimize their personalization and marketing strategies. Investments into cloud -based checkout solutions have surged, signalling a long -term commitment to staying agile and adaptable .
- TCS TwinX , our digital twin solution, had 2 wins and 2 go -lives.
- In life sciences, our TCS ADD™ platform had 4 new wins and 3 go -lives this quarter.

- A US based leading pharma company extended their collaboration with TCS ADD™ for usage and cloudification of metadata repository platform for automation of bio -statistical submissions to health authority. TCS ADD platform is able to automate more than 90% of submissions.
- TCS HOBS , our suite of products for communication service providers, had 2 new wins and 4 go -lives during the quarter.
- MasterCraft and Jile won 35 new deals in Q2.

Let me now go over our key client metrics .

- We now have more than 1,300 clients in the \$1 million+ band.
- In Q2, we added 5 new clients year -on-year in the \$100 million+ band, bringing the total to 66.

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- We added 6 clients in the \$20 million+ band, bringing the total to 298.
- We added 8 clients in the \$10 million+ band, bringing the total to 491.

Over to you, Milind.

Milind Lakkad: Thank you, Samir.

Our workforce at the end of second quarter was 612,724 . We added net 5,726 associates this quarter after adding a similar number last quarter also.

We remain on track for fresher on boarding as planned for the year and have also commenced the process for recruiting freshers through the National Qualifier Test for FY '26.

Our workforce continues to be well diverse , with 150 nationalities represented and woman making 35.5% of the base.

We continue our focus on acquiring quality talent. Our

current train ee

hiring is segmented with differential compensation for each segment.

This year, we have more than doubled our intake of higher cadre trainees.

Training intensity has increased across the organization . Employees logged 26.1 million learning hours year -to-date and acquired 2.6 million competencies. Education and skill development are also part of our core themes under the community initiatives that we work on.

All our efforts are reflected in our retention rates which are one of the best amongst industry peers. Our LTM Attrition in IT services fell further to 12.3% which is in our comfort range of 11% to 13%.

I will now request Krithi to speak on the various demand drivers during the quarter.

K Krithivasan : Thank you, Milind.

I am pleased to see some signs of improvement, most notably in financial services in North America, in an environment of global  
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uncertainties. Our diversified portfolio and early investments in growth markets are bearing fruit. All the growth markets continue to grow above company average. However, as a general trend in the major market, the demand outlook continues to remain cautious, as seen in the last few quarters.

Key business themes seen across industries were : cost optimization, vendor consolidation, customer experience transformation, supply chain modernization, risk and resiliency. Globally, clients continue to prioritize efficiency through cost transformation programs and demand for discretionary deals with low immediate ROI remained relatively subdued. Some recent trends that we are seeing in our major segments are:

- In BFSI, financial institutions in the US are looking at sustaining the growth momentum with the Fed's first trade cut in four years. Stability in the macro brings initial signs of confidence. With the easing of interest rate environment, consumer confidence and industry confidence will get better. This can potentially lead to improved investment. Customers are focused on operational efficiency and upgrade for the future with an eye on efficiency and automation. While pipeline continues to remain strong, we are yet to see large transformational deals in the BFSI.

TCS partnered with Tryg in the complex M&A integration journey following the Tryg -Hansa acquisition. TCS combined its M&A capabilities and deep contextual knowledge of Tryg business landscape to ensure a smooth IT integration within the stipulated time frame. The entire IT estate of Tryg -Hansa was demerged and unified with minimum disruption to business. Post this integration, Tryg -Hansa user experience has been elevated, and Tryg has been able to realize significant commercial synergies from the M&A. It has also enabled Tryg to focus on growth in the Swedish market, while further unlocking operational efficiencies through consolidation and transformation.

- In Consumer Business Group, growth was led by TTH which saw demand for customer engagement and hyper-personalization, business process transformation, SaaS platform implementation and

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Gen AI as key focus themes. In the Retail sector, customers are taking a cautious approach due to the macro-economic and geopolitical situation. Consumer spending during the coming holiday season will also play a crucial role in determining budgets towards transformation initiatives. Retailers are likely to wait and watch for these parameters and factor these into their planning for the next fiscal.

Supply chain transformation continues to be a key priority, attracting in

vestments from customers in addition to customer experience and M&A.

As an example, a leading US super centre chain partnered with TCS to modernize and transform their supply chain process. The client faced several challenges with the existing system, including system latency, inefficient product floating, work allocation, scheduling and insufficient decision support.

TCS conducted design thinking shops, and implemented a user-centred modular, fully automated data-driven cloud-based system, integrating approximately 40 diverse applications to cover the end-to-end process. This has improved efficiency by 97%, increased agility and scalability to handle surges in demand, enable 5x faster deployment at new facilities, increased flexibility to accommodate diverse and evolving business needs, thereby improving sales, time to market and overall customer experience.

- In Manufacturing, we are seeing some pressure in the near term. Labor and supply side constraints are impacting the industry. However, barring these areas of concern, manufacturing continues to see a strong demand environment and deal pipeline.

- Smart manufacturing and software-defined vehicles are the two mega long-term trends.

- TCS showcased its commitment to a sustainable and technologically advanced future for the aerospace industry at Farnborough International Airshow in 2024. Cutting edge solutions designed to solve critical industry challenges were on display, including Generative AI for supply chain and immersive MRO experience and exploration of quantum computing in aviation.

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These innovations underlying this dedication to pushing technological boundaries and shaping "Future-Ready Skies."

- In Life Sciences and Healthcare, we had client-specific headwinds in the US geography, resulting in significant impact. We expect the headwinds to stabilize in Q3 and return to growth in Q4.
- The tech software and services vertical saw sequential growth for the second consecutive quarter. Cost and efficiency remain the top priority for tech software and services customers, and they continue to be cautious on capex investments and transformation initiatives.
- In CMI, telecom and media firms are keeping a keen continued focus on bottom line impact, doing more with less. ROI expectations continue to remain heightened.

Moving on to service lines, growth this quarter was driven by Cybersecurity, AI.Cloud and TCS Interactive.

With increasing sophistication, ransomware, phishing and data breaches, the enterprises are required to invest in advanced cybersecurity measures, including threat intelligence, endpoint security and incident response plans. Artificial intelligence is aiding the sophistication of cybercrime making it imperative for financial institutions to stay ahead of the curve.

- TCS partnered with one of the largest ground handling companies based in Europe to help them improve their cybersecurity maturity and reduce risk exposure.

TCS enabled comprehensive visibility of the enterprise cyber risk landscape, which enabled the customer to measure the efficacy of their security operations, establish better control and governance on key security programs and track their returns on cybersecurity investments.

On Cloud front, we continue to see good growth in legacy modernization, data platform modernization and technology landscape simplification.

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Over the past two years, companies have significantly increased their investments in AI and Generative AI. They are f

ocusing on using these

technologies strategically to drive business value and are becoming more aware of ethical considerations. Talent development and navigating the regulatory landscape are also key areas of focus. While challenges remain, the potential benefits of AI and Generative AI are driving continued adoption and innovation. On AI/Generative AI, companies have moved past the point of experimentation through proofs of concepts and are increasingly viewing AI and Generative AI as strategic assets, integrating them into the entire value chain.

We are now helping our most mature customers set up interdisciplinary AI offices where business and technology come together to rapidly turn ideas to AI POCs and scale them to production in an agile manner. There is also a growing interest in using Generative AI throughout the software development life cycle, including legacy migration and modernization initiatives across all industries.

- TCS was selected by the UK entity of a leading global insurer to transform its IT organization to meet the strategic growth objectives. As part of the multiyear partnership, TCS will help set up a future-proof operating model built on enterprise-wide distributed Agile. From modernizing the core insurance systems to developing a cloud-native modular platform and embedding Generative AI across the software development life cycle and business value chain, TCS will drive multiple traditional and disruptive initiatives. The program will enable the insurer to enhance productivity and improved customer experience,

while growing its market share in the region.

- Openreach, UK's largest telecom infrastructure company has selected TCS as its strategic partner for the business operations transformation of the national rollout of next-gen fibre network. This managed services deal solidifies our role as a trusted partner in end-to-end network transformation journey, delivering superior services for their flagship broadband business, business customers, while optimizing cost of network build, minimizing and shortening of production cycles.

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TCS will harness its unparalleled contextual expertise and domain knowledge of Generative AI and cloud-led innovations to deliver efficient operations.

- A leading global FMCG company has engaged TCS to transform their global quality management. With contextual knowledge of the client's quality management, TCS implemented a Generative AI solution that extracts value from millions of consumer feedback in over 230 languages for accurate translation and content preservation, sentiment tagging, root cause identification, feedback classification and prioritization. This has increased operational efficiency by over 50% and is delivering actionable insights, enabling improved product quality management, brand perception and customer engagement.

- A global hospitality company partnered with TCS to improve its contract management processes. TCS utilized Generative AI model trained with diverse regional data to analyse contracts, identify differences in contract terms and streamline data extraction. This will improve audit efficiency and delivers approximately 17,000 person days, saving in manual effort, allowing experts to focus on higher-value activities.

We are seeing the rise of AI in fused service lines rather than stand-alone AI demand. The re-imagining of contact centres with AI, for example, is showing a very strong trend. Similarly, AI re-imagined business process services and AI powered cloud modernization are also seeing strong traction. So, it is safe to say that AI is now an integral part of everything we do and will continue to significantly benefit almost all services in the coming

quarters.

Coming to our long-term growth strategy,

- We are investing significantly to create a large footprint in emerging growth markets. Top bets include India, APAC, Latin America and Middle East and Africa. We believe these markets are likely to turn into a sustainable driver of long-term growth. A scalable presence in these markets is likely to provide the muscle for growth in TCS overall business over the next couple of decades.

- We are establishing robust partnership with our ISV and other ecosystem partners to drive unparalleled efficiency in our operations

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across applications, infrastructure, engineering and business operations for our customers.

- Our client relationships are more about building resilience together. As we face unprecedented global challenges, the strategic approach to collaboration will prove crucial for long-term success and improving market share.

- TCV in Q2 was at \$8.6 billion. The BFSI TCV was at \$2.9 billion, while TCV for our consumer business group was at \$1.2 billion. The TCV of deals signed in North America stood at \$4.4 billion.

The gradual easing of inflation in the major markets, improving



macroeconomic trends and expectations of a good holiday season spend among consumers give us hope and optimism around the prospect of improved discretionary spend and capital investments by our customers, which should bode well for our business.

Thank you. We can now open the line for questions.

Moderator: Thank you very much. We will now begin the Question & Answer session. We'll take our first question from the line of Ankur Rudra from JPMorgan. Please go ahead.

Ankur Rudra: Thank you very much for taking my question. Just maybe a few questions, maybe starting with demand. It seems like this was a challenging quarter for international business, slightly soft on our headline numbers and also signings. Could you maybe elaborate in terms of the nature of demand environment? Has it begun to perhaps deteriorate overall after a couple of promising quarters? And should one assume that recovery perhaps had pushed out a bit from here?

K Krithivasan : Thanks, Ankur. As we explained, demand continues to be around areas of cost optimization and discretionary spend demand stays where it was and in fact, what we saw is in some of the cases, the deal duration has slightly increased. But otherwise, we don't see a demand drop in a big way . We also mentioned that BFSI North America has done well this quarter. Tech and Services has done well for the second consecutive quarter.

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We had challenges in a couple of accounts in Life Sciences and Health Care, more client -specific where we were quite big , and large account in UK as well. So , barring those instances which are more client specific , I would say the environment has been quite similar to the previous quarter.

Ankur Rudra: Okay. Thank you, Krithi . And maybe just on Financial services, if you could dig in a bit deeper and add some more colour in terms of which are the segments of the broader Financial services portfolio where you're seeing strength? And I think you also mentioned Manufacturing a little bit concerned if you can elaborate on that one as well. Thank you.

K Krithivasan : Yes, what is your question, Ankur, on Manufacturing?

Ankur Rudra: I think there was some comment that Manufacturing has begun to see some signs of weakness, I was just curious if you could add to that?

K Krithivasan : Okay. First on BFSI , in North America, we see all around growth .  
Actu

ally, both North America and Europe, UK, we see good growth in banking. And capital markets have been weak. Insurance has grown and regulations and risk and compliance have also grown in banking. And then Europe, it's more or less very similar trend. UK, again, the capital markets has always been a problem. But also, as I said, the UK is probably more a customer -specific situation than an overall trend. Otherwise the good thing is banking is coming up. Insurance is coming up, which we hope will sustain in the coming quarters.

In manufacturing, what we mentioned is there is an overall supply chain issue, like because of that it's impacting the demand situation. But we believe it will be a short term issue. And once these issues are resolved , we expect our demand to pick up in the coming quarters -- because many of our customers have long order book. And their health is strong, and the order book is strong for our customers.

Ankur Rudra: Thank you so much. Just if I can squeeze in a last question on margins. Clearly, there's been a lot of moving parts this time. Maybe the first part of the question would be, if you could highlight the -- I mean there

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appears to be a bit of a margin trade -off here going through at least on the CMT side, perhaps because of one deal. Are they expected to be any sort of synergies? Is the worst of that deal margin impact behind us? Number one.

Number two, overall, if I look at segmental margins, both on manufacturing and CMT, both are opposite directions of significantly out of long -term trends. How long will that last? When will we see this coming back to long -term trends?

Samir Seksaria: So, let me give you the margin break -up, and that will cover most of your first part of the question. So, margins at 24.1% are a sequential decline of 60 basis points. And the headwinds were in form of the higher third -party expenses on account of a large transformational project .

And that project is running at its peak. And that impact is about 60 basis points. We had incremental investments in talent and infrastructure , that combined impact was about 70 basis points, and this was offset by mainly currency and some one-offs not recurring from Q1.

Your second part of the question in terms of segmental margins, the CMT one, as you called out, the large projects ' transformational impact does reflect out here. There's nothing else to call out . The trends on the overall margin versus on the segmental one except for in the CMT vertical are on similar sides, one or two segments had a slight positive.

Moderator: We'll take our next question from the line of Apurva Prasad from HDFC Securities.

Apurva Prasad: Thank you for taking my question. As a first off, deepest condolences from my side, too. Krithi, just to tie in with your comments of improvement in discretionary and optimism going forward, how should we think of growth visibility or acceleration beyond the current calendar, especially in absence of mega deals. If I look at bookings for the first half TCV, it's down 20% of course, with no mega deals that is compared to the comparable period earlier. So, any comments on how is the pipeline around some of those mega deals and/or the ACV and duration of what you've been booking?

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K Krithivasan : Apurva, on the TCV front, as you would see, it's better than Q1 and like we explained last quarter and the previous quarters also, TCV always has some lumpiness, like what we expect to close in the last quarter sometimes gets pushed to the

subsequent quarter and we have always been maintaining that \$7 billion to \$9 billion TCV is a comfort range and particularly in the absence of a mega deal . If you were comparing with last year Q2, we had mega deals amounting to almost \$2 billion. So, in the absence of those mega deals, I think it's a comfortable number, and from a pipeline perspective, our pipeline is nearly at an all-time high and both what we call a qualified pipeline and the overall pipeline . The pipeline is strong across all geographies and industries. TCV is within our comfort range, and it has shown signs of improvement. And as I said, it may not easily be comparable with last year because we had 2 mega deals also come in last year.

Apurva Prasad: Secondly, how much of the weakness this quarter relative to the previous quarter is sort of emblematic of macro versus the temporary client -specific factors that you mentioned. How long is this expected to last?

K Krithivasan : The overall trend on the demand environment has remained stable compared to last quarter. There are 2 to 3 accounts where we had some client -specific situation, but all happening at the same quarter is probably a little unfortunate for us.

But I think that is a one quarter phenomenon, so we should rebound from that situation. So that's the way I would put it. I won't be able to split between how much is the overall environment specific and how

much is client specific. But we are confident that in near term, probably Q3 is also a seasonally weak quarter, but Q4 onwards, these factors should ease out.

Apurva Prasad: And just finally, how is the GenAI pipeline converting to bookings and revenue, especially as one of your competitors is talked of numbers, which is not too different from our own pipeline. So, if you could comment on that in terms of how integral it is becoming part of deals? And just finally, on margins, Samir, how much of the long-term growth

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strategy in growth markets, how should we think about margins from that point of view?

K Krithivasan : See, we have not been disclosing the AI / GenAI TCV, but it has been improving very well, almost doubling every quarter and the pipeline also remains very strong. As of this quarter, the engagements in AI / GenAI, including the POCs, POVs, and production, we are doing more than 600 engagements, which increased from almost 270 last quarter. It's a very significant increase in the number of engagements. And we saw engagements that went into production also jump, which is a sign of maturity. Last quarter, we had 8 engagements that went into production. And this quarter, we have almost 86 engagements going into production. So, we are finding all-round improvement and becoming mainstream.

And also, the quality of engagements, like we have always been talking about engagements in terms of Assist, Augment, and Transform and we're seeing more and more engagements in the higher order of Generative AI, namely Augment and Transform. We unveiled our WisdomNext™ platform and that's also getting a lot of traction with the customers. So, we are quite comfortable and pleased.

Samir Seksaria: Apurva, Samir here. From a long-term perspective, we stay committed to our 26 to 28% guiding beacon, and that will factor in any big bets, whether it is growth markets or anything else, which we'll be taking into account. On an overall portfolio basis, we'd like to deliver the guiding beacon which we talk about.

Apurva Prasad: Thank you.

Moderator: Thank you. We'll take our next question from the line of Sandeep Shah from Equirus Securities. Please go ahead.

Sandeep Shah: Yes. Thanks for the opportunity and deepest condolence for TCS and Tata Group. Krithi, just

some bookkeeping questions. I wanted to understand and reconcile as you are saying, the BFSI has been showing signs of revival in the US and North America, but this quarter, North America as a region has not shown a growth, while Europe has shown

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a growth. So, can you reconcile, is it fair to say challenges in non-BFSI segment are bigger in North America?

K Krithivasan : Yes. So, what you said like if I split BFSI across geographies, North America has done well. And I did mention that there is a softness in the UK and Europe because of a client situation for us. But the overall BFSI still continued to grow.

And the other geography, I did talk about life sciences and health care, in North America having a softness because of one-off client issues. So that probably dragged the overall North America revenue growth. Similarly, like the BFSI growth in Europe has held in while few other verticals have been soft in Europe, the growth of BFSI has helped overall Europe growth as well.

Sandeep Shah: Okay. And just on the BSNL deal, one of the comments of CFO has been

it's at a peak rate. So is it fair to assume BSNL deal revenue in the second half would be materially lower versus first half? And this could be a growth headwind in the second half on a consolidated level?

Samir Seksaria: So, Sandeep, it's running at its peak and we would expect maybe a quarter more where it would remain at similar levels. And as you rightly know, the transformational program is going on, then revenue will start tapering down.

Sandeep Shah: Okay. So, this would also be a margin tailwind in the fourth quarter, maybe third quarter could be, again, a difficult quarter in terms of showing upward trend on the margins?

Samir Seksaria: So, while we don't call out deal specific margins, but as you rightly pointed out, third-party expenses are incrementally going up as part of the deal. So, once it starts tapering, that should reflect on both revenue and margins.

Sandeep Shah: Okay. And the last question with the tax ruling change on the buyback, how are we looking at capital allocation? Are we still looking in terms of incline towards buyback or we are more inclined towards dividend?

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Samir Seksaria: So overall, our capital allocation in terms of returning back substantial free cash flows back to our shareholders remains the same. The Board considers in terms of the mechanism of it, whether it should be buyback or special dividend, taking into account preferences of various varied group of stakeholders or shareholders, which we have, and they will take a decision based on that, when it is taken up for consideration.

Sandeep Shah: Okay. Thank you and all the best.

Moderator: Thank you. We'll take our next question from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.

Vibhor Singhal: Good evening. Thanks for taking my question. So, Krithi, just to dwell a bit more on North America. If I look strictly in terms of dollar revenue terms, we fell by almost \$60 million in our North America revenue, almost half of it assuming came from the health care segment, which was down almost \$28 million. So, which are the other verticals in which we saw some kind of weakness in US specifically? And was that also of a similar nature like health care or client-specific issue which you expect to may be recover in a couple of quarters? Or do you think there is a more structural issue to some of the shortfall in the revenue, maybe like the telecom sector?

K Krithivasan : From a client

specific perspective, we called out it's essentially what we saw in health care. It's a life sciences' client-specific issue. We saw growth coming up in BFSI. We had growth come up in Energy, Resources, Utilities also and even Technology and Software Services grew. And in the Consumer Business Group, we had issues in terms of demand being slightly soft because of the discretionary spend cut. And we also saw in manufacturing some labour and supply side challenges in near term.

Telecom has been a slightly long-term trend. We are hoping that it will recover once the interest rate environment becomes better, there will be motivation to invest on the capex. We are hoping for a good holiday season, having a good holiday season would be good trigger for investment to resume in Consumer industry.

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Vibhor Singhal: Got it. So, by that count should -- are we sticking to the commentary that we mentioned last quarter, the retail sector has also possibly bottomed out for us and next quarter onwards, we could see some green shoots in that sector as well?

K Krithivasan : For next year, we are hoping we can ...because these macro uncertainties ease and economic environment improves, we are hoping things should start improving. At this time, it's only half the year is over. It will be too early for me to call out if next year is better than this year, but we are hoping for the situation to improve with all the macros also improving.

Vibhor Singhal: Got it, Krithi. Thank you so much. Just one last question from my side on the headcount addition. I think another quarter of strong headcount addition. So how to read into this going forward? I mean are we looking at maybe it's not similar, but still a positive headcount addition in the coming quarters? Is that more related to the kind of growth demand environment that you are seeing? Or is it just a backfill of the negative number that we had for the past three to four quarters?

Milind Lakkad: I think we will from a trainee addition standpoint, which is our strategic addition, I think that we'll continue to hire freshers in the coming quarters, including Q3. Now for other lateral intake from the market we'll decide based on the market situation.

Vibhor Singhal: Got it. So, on the lateral side, is it like we are focusing on specific technologies that we are looking to hiring? I know we kind of gave a number that we've trained so many people on GenAI, is that the area that you're looking to hire lateral people or is it more a cross the board?

Milind Lakkad: See, we are working on various technologies and various transformational programs which are across technologies, right, from SAP S4/HANA to GenAI to very specific skill sets on certain projects. All of that is something we continue to hire in the quarter.

Vibhor Singhal: Got it. Thank you so much. Thanks for taking my questions and I wish you all the best.

Milind Lakkad: Thank you.

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Moderator: Thank you. We'll take our next question from the line of Kawaljeet Saluja from Kotak Securities. Please go ahead.

Kawaljeet Saluja: A couple of questions actually from my side. One, Krithi, how's the furlough situation going to be this year from the initial conversation with clients? Is it any different than what you have seen in earlier years?

K Krithivasan : Okay. On furlough, we at this time from whatever we know, it's similar to last year. We don't expect this to be any different compared to last year.

Kawaljeet Saluja: Got that. The second question is on the BSNL deal. N

ow there are various numbers -- I mean, various sizes, which are being discussed. I think your company announced a \$1 billion in terms of deal size. Whereas when I read your annual report, there was a specific mention of an additional 20,000 sites, which will be rolled out as part of deployment.

I'm just trying to understand the overall size of the scope of the deal. And if it's a \$1 billion, then I guess in the last four quarters itself, the bidding would have reached around \$750 million, so with that as a backdrop, how do you end up with, let's say, flattish deployment or another quarter of strong robust revenue from BSNL in the December quarter?

Samir Seksaria: Kawal, overall, 100,000 sites need to be deployed. We are around the halfway mark on that. And that is the incremental information we can share on it. There is still scope to go and like we have been sharing in the past, the entire scope of deal is from manufacturing , installation and beyond in terms of acceptance. So, there are various milestones also which are intermediately built into the deal . I will not be able to comment on how much of it is already recognized , but back calculations probably can be done. But on client -specific color , we'll abstain from giving specific revenue numbers .

Kawaljeet Saluja: Got it. Now Samir on this, specifically, when you look at the revenue

dynamics, right, these large transformation contracts, the revenue profitability dynamics may not be synchronized at least from the Tata Consultancy Services Earnings Conference Call  
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financials, when I look at the CMT vertical, the absolute EBIT has been flat, whereas the revenues have grown, leading to an impression that it's been no margin kind of a business. Does this dynamic change as the transformation program hit specific milestones here?

Samir Seksaria: During the transformation program, we don't expect the dynamics to change considerably.

Kawaljeet Saluja: Fair enough. The last question that I had is for Krithi, again. Krithi, you mentioned client -specific challenge. Actually, can you just elaborate what this client -specific challenge would be? And did it have any margin impact?

K Krithivasan : No. In this particular case, we had a scope reduction. We had a very significant presence, and the client had a more abrupt scope reduction , leading into our revenue decline.

Kawaljeet Saluja: But does that scope change, let's say, as you move early into the next year or is it just...

K Krithivasan : The client decided to reduce the quantum of our transformation work, they were doing. And because of that, the program was stopped. So will they pick up the program again, we will know only once the situation turns positive, Kawal.

Kawaljeet Saluja: Okay. That's clear. Final question, I don't know if it was asked earlier, but I did hear about a specific instance of focus on growth market. All of us know that growth market may not be the most profitable one. So how do you intend to balance the aspiration of expanding into India or some of the other regions in Asia Pacific and the profitability aspirations you have?

K Krithivasan : Like our experience is that, yes, the profit margin in growth markets may not be as high as the major markets. At the same time, we've been able to manage overall at the portfolio level. And also, it's a market where growth will come in and the kind of transformative engagements, we do are very interesting.

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And as the volume picks up, Kawal, my guess is we'll be also able to manage the margin. Currently,

the volumes are low , because of which the SG&A expenses in these markets are slightly higher. Our expectation and the way we would operate is that as the volume picks up, we should be able to manage our cost and improve the margins also.

Samir Seksaria: Just to add to it, we could drive growth in one portfolio and drive efficiency in another portfolio. Our intent would be to deliver a combined mix of growth and profitability in the aspirations which we have set.

Kawaljeet Saluja: Thank you so much for your responses, appreciate it.  
Moderator: Thank you. We'll take a next question from the line of Rishi Jhunjhunwala from IIFL Institutional Equities. Please go ahead.

Rishi Jhunjhunwala: Yes. Thanks for the opportunity. Just a couple of questions. Firstly, if you look at our SG&A expenses as a percentage of revenue, they are pretty much at an all -time low. And in the past four to five quarters, we have seen sequentially even the absolute amount coming down. Just wanted to understand, is it more a reflection of how things have slowed down in the past four, five quarters and hence, you are trying to rationalize that or more a reflection of how the next three, four quarters might look like and kind of managing investments there?

Samir Seksaria: So, if you look at it from an absolute perspective, SG&A expenses have been in the stable level. If you look at it from a year -on-year perspective, there has been investment in infrastructure as well as travel expenses going up. And I'm assuming you're talking about from an absolute one because as percentage of revenue, due to inclusion of some of the non-services revenue, will also have an impact. But overall, SG&A is one of the levers in terms of stable management of margins.

Rishi Jhunjhunwala: Okay, sir. And just secondly on deals, right? So last quarter we had indicated that there were delays in deal closures and so possibly that could have been reflected in better wins this quarter. There hasn't been any material uptick, but you mentioned 7 billion to 9 billion is a comfortable range in which you are operating. Just wanted to

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understand in order for our growth to accelerate to maybe high single digit or close to double digit over the next 12, 18 months. Do you still need this number to go up substantially or the overall budgets might just reflect that even if it is not getting reflected in the TCV?

K Krithivasan : No, let's say, for the current revenue trajectory we are in about 9 billion, I'm not saying 7 billion will be comfortable consistently. But close to the range, we have to get close to our book -to-bill ratio. If it gets somewhere around 1.1, 1.2 would service the growth that is required. So that's the reason we are coming up with a number of almost \$7 to \$9 bn. But also, Rishi, idea is that when you say seven to nine, there will be a couple of quarters where you will have a mega deal come in. So, it will also give additional bump to the overall number. For instance, last year, we had TCV of almost more than 40 billion. This year, we had somewhere between close to 16 billion and 17 billion in TCV in H1, with some large deals coming in and with all the better deal closure, we may be closer to the mark than we were last year or if it is lesser, will not be less by a big number and as I said, 1.1, 1.2 book -to-bill is a decent number for sustaining the growth.

Rishi Jhunjhunwala: But would you have mega deals in the pipeline, which could potentially...

K Krithivasan : There'll always be a few mega deals in the pipeline, Rishi.

Rishi Jhunjhunwala: Okay. All right. Thank you so much.

K Krithivasan : Thank you.

Moderator: Thank you. We'll take our next question from the

line of Ravi Menon

from Macquarie. Please go ahead.

Ravi Menon: Thank you for the opportunity. I wanted to touch upon one of the markets that you're already strong in that is the Airline Industry. We had heard about how they want to go direct -to-consumer, and I guess, those plans have been put on hold as they struggled on that front. Do you see some of those kinds of investments coming back?

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K Krithivasan : Yes, definitely from what we understand, those investments are coming back.

Ravi Menon: And in manufacturing, where you spoke of were you talking about aerospace specifically or any other segments?

K Krithivasan : Definitely, the labor issue is around aerospace. Supply chain issues are in auto as well as aerospace.

Ravi Menon: Thank you so much. And one last question on BSNL deal. I think if I understood correctly, by next year Q1 that's supposed to end? And is there a maintenance phase after that?

K Krithivasan : Yes, there will be a maintenance phase, see currently, the existing deal we are on track to in fact close by Q4, okay? And Q1 there could be

some residual work, and some maintenance work will be there.

Ravi Menon: Thank you so much, best of luck.

Moderator: Thank you. We have a next question from the line of Gaurav Rateria from Morgan Stanley. Please go ahead.

Gaurav Rateria: Thanks for taking my question. The first question is for Krithi. You did talk about optimism around discretionary spend returning back. So apart from macro data points, what are you seeing either in your portfolio or client conversation or the pipeline that gives you more confidence around return of discretionary spend over a period of time?

K Krithivasan: See, there are a couple of things. One is there is a lot of optimization work going on. Some of the investments around technology debt have not taken place. For instance, there's a workaround technology modernization, mainframe modernization, that spending, and 1 good thing is with the Generative AI becoming more and more mainstream, Generative AI is also being seen as an important lever through which modernization could be expedited and accelerated. So that's one and the second is our client conversations in terms of enhancing customer experience. That's also in some cases that which should have happened last year did not happen. So, the optimism comes from the Tata Consultancy Services Earnings Conference Call  
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backlog of work, which some of our customers have not been able to carry forward because of the current environment they are in.

Gaurav Rateria: Got it. The second question is on margins. I know that you gave us the details, and that had a component of capacity building an infrastructure-related investments that had some impact on the margins -- kind of coming back gradually, would you expect margins to return to the range that you talked about in the near term or will it be more like a medium-term phenomenon. Basically, you have levers around India business, sort of tapering down on that contract, which can lead to some margin expansion on top of it some capacity creation has happened. That also kind of can lead to a margin expansion. So, trying to understand 26% is it more of a near-term phenomenon or more like a longer-term margin aspiration that one should think about?

Samir Seksaria: Gaurav, we'd like to get to 26% to 28% or nearer to 26% as soon as possible. Given how the macros are stacked up we can't tell you whether it is in the immediate quarter or two quarters or three quarters or four, but we'd like to get to it. We exited at

26% in Q4 of

last year, I'd be really happy if we can exit this year Q4 also at 26%.

Gaurav Rateria: Thank you very much.

Moderator: Thank you. We move on to the next question from the line of Nitin Padmanabhan from Investec. Please go ahead.

Nitin Padmanabhan: Hi, good evening. You mentioned that the deal tenures have sort of expanded. So, is that in specific cases or is that a very broad-based kind of phenomenon?

Samir Seksaria: Nitin, I think probably what I meant was a deal cycle, like the time to close the deal, we saw an expansion. It's not the tenure of the deal. It's the time to close the deal has expanded between Q1 and Q2 in some other cases.

Nitin Padmanabhan: Got it. And you mentioned that the headwinds that we have seen this quarter in some cases, it could sort of stabilize in the next quarter and then possibly improve I think that was more Life Sciences. But broadly, do you get the sense that in all the areas where you have seen  
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headwinds in the current quarter that's more or less peaked out and things can incrementally improve for those specific areas?



K Krithivasan : See, we've never given a short -term commentary or near -term commentary, Nitin. But we believe that once the uncertainties are clear and once we enter a more stable situation , we believe the growth should also return. Current, we believe the short -term freeze or cut down in the discretionary spend comes out as a market uncertainty. One that eases the investment should return, but I don't want to say that it will immediately happen in Q3, but we believe in the medium term, it should happen.

Nitin Padmanabhan: Got it. And lastly, you mentioned that 86 sort of projects on GenAI have gone into production compared to 8 in the last quarter, what are the average sizes of these projects? Are they very large or... ?

K Krithivasan : No, at this time, Nitin, many of them tend to be small, but we do also get some large projects. For instance, for 1 of our clients, we established an AI office. It's a program that sets the overall architecture, sets the guardrail and ensures the risk and regulatory framework, legal framework and then looks at all potential POCs and then evaluates the POCs and then creates a backlog and works with each group to deliver . Such projects will be more long tenured and the value could be higher. So, if you are doing 1 single POC or 1 single program, the value may not be very high. But where they are long -standing and long -term projects, the value also could be high.

Nitin Padmanabhan: Got it. Are you seeing any large AI projects where enterprises are sort of looking to build some sort of a broad infrastructure framework where the entire org could sort of use irrespective of the partners, the broad individual building blocks, which is enterprise -wide?

K Krithivasan : That's what I mentioned . These AI offices, we are trying to create an overall infrastructure. It's more a technical infrastructure as well as the framework and guardrail that's required. When I said AI office, that's what these programs tend to do, Nitin.

Nitin Padmanabhan: In the case where an enterprise seeks to create an AI office broadly, typically, how large will these projects be?

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K Krithivasan : See, it can vary, like deal size can vary based on the core size of the organization, tenure of the deal, it could be \$10 million to \$20 million, \$30 million based on the tenure and size of the organization.

Nitin Padmanabhan: That's very helpful, Krithi. Thank you so much and all the very best.

K Krithivasan : Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments. Over to you.

K Krithivasan : Thank you, operator.

- We are very pleased with our second quarter performance , growing at 5.5% Year -on-Year in Constant Currency, amidst the challenging geopolitical situation.
- Deal momentum continued to be very strong in Q 2, with our order book at \$8.6 billion for the quarter .
- Operating margins were at 24.1 % , declining 60 bps sequentially .
- Our LTM attrition in IT services was 12.3 %.
- I would like to thank the 612,000+ TCSers whose valuable work is helping us achieve excellence every day.

With that, we wrap up our call today. Thank you all for joining us.

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Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

## Call: Jan 2025

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Tel 91 22 6778 9595 Fax 91 22 6630 3672 e-mail corporate.office@tcs.com website www.tcs.com  
Registered Office 9th Floor Nirmal Building Nariman Point Mumbai 400 021  
Corporate Identity No. (CIN): L22210MH1995PLC084781  
BSE Limited  
P. J. Towers,  
Dalal Street,  
Mumbai - 400001  
Scrip Code No. 532540 TCS/SE/250/2024-25  
January 13, 2025  
National Stock Exchange of India Limited  
Exchange Plaza, C-1, Block G,  
Bandra Kurla Complex, Bandra (East)  
Mumbai - 400051  
Symbol - TCS  
Dear Sirs,  
Sub: Transcript of the earnings conference call for the quarter and nine-month period ended December 31, 2024  
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter and nine-month period ended December 31, 2024, conducted after the meeting of Board of Directors held on January 9, 2025, for your information and records.  
The above information is also available on the website of the Company: www.tcs.com.  
Thanking you,  
Yours faithfully,  
For Tata Consultancy Services Limited  
Yashaswin Sheth  
Company Secretary  
Encl: As above

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Q3 FY '25 Earnings Conference Call  
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Moderator: Ladies and gentlemen, good day and welcome to the TCS Earnings Conference Call . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Nehal Shah from the Investor Relations team at TCS. Thank you and over to you.

Nehal Shah : Thank you, operator. Good evening, and welcome to TCS Earnings Call for Q3 FY'25 . This call is being webcast through our website, and an archive, including the transcript, will be available on the website for the duration of this quarter. The financial statements, quarterly fact sheet and press releases are also available on our website.

Our leadership team is present on this call to discuss our results. We have with us today Mr. K Krithivasan , Chief Executive Officer and Managing Director.

K Krithivasan : Hi, good evening. Happy New Year to all of you.

Nehal Shah : Mr. Samir Seksaria, Chief Financial Officer.

Samir Seksaria : Hello, everyone.

Nehal Shah : And Mr. Milind Lakkad, Chief HR Officer.

Milind Lakkad : Hi, everyone. Happy New Year .

Nehal Shah : Our management team will give a brief overview of the company's performance, followed by a Q&A session. As you are aware, we don't provide specific revenue or earnings guidance and anything said on this call, which reflects our outlook for the future, or which could be construed as a forward -

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looking statement must be reviewed in conjunction with the risks that the company faces.

We have outlined this risk in the second slide of the quarterly fact sheet available on our website and e-mailed out to those who have subscribed on our mailing list.

With that, I would like to turn the call over to Krit hi.

K Krithivasan : Thank you, Nehal. In Q3, our performance was consistent with the quarterly seasonality. Our revenues grew 4.5% year-on-year (YoY) in constant currency. Operating margin was at 24.5% and net margin was at 19.4%. The highlight of the quarter was our exceptionally strong and broad-based TCV at US\$10.2 billion. North America TCV was at US\$5.9 billion. BFSI TCV was at US\$3.2 billion and consumer business accounted for US\$1.3 billion. We achieved significant large deal wins across various markets and industries,

resulting in a double-digit growth in TCV year-on-year. This performance is particularly noteworthy given the absence of any mega deal wins. Our strong deal pipeline and TCV gives us confidence as we look ahead.

I will now invite Samir and Milind to go over different aspects of our performance during the quarter.

I'll step in later to provide more color on the demand trends we are seeing in our business. Over to you, Samir.

Samir Seksaria : Thank you, Krit hi. Good day, everyone, and wishing all of you a great start to the New Year.

In the third quarter of financial year '25, our revenue was ₹63,973 crores, which is a year-over-year growth of 5.6%. In dollar terms, the revenue was \$7,539 million and a year-on-year growth of 3.6%. That translates to a constant currency growth of our revenues to 4.5%.

Our Q3 operating margin was 24.5%, a sequential improvement of 40 basis points, despite headwinds on account of furloughs and Q3 seasonality, which was offset by operating efficiency through improvement in productivity, utilization and pyramid.

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Net income margin in Q3 was 19.4%, and our EPS grew 6.4% Y-o-Y.

Our accounts receivable was at 74 days DSO in dollar terms.

Net cash from operations was \$1.54 billion, which is 105.3% of net income

Free cash flows were at \$1.45 billion and invested funds at the end of the period stood at \$7.28 billion.

Consistent with our capital allocation policy of returning substantial free cash flow back to our shareholders, the Board has recommended a dividend of ₹76 per share, which includes an interim dividend of ₹10 and a special dividend of ₹66 per share.

Let me walk you through our segmental performance. Note, all growth numbers are in year-on-year constant currency terms unless otherwise mentioned.

BFSI grew 0.9%. Consumer business group grew 1.1%. Life Sciences

Healthcare declined 4.3%. Manufacturing grew 0.4%. Technology & Services declined 0.4%. Communication and Media declined 10.6%. Energy Resources and Utilities grew 3.4% and Regional Markets grew 40.9%.

Moving on to geographies: Amongst major markets, UK grew 4.1%, whereas we had a decline in North America of 2.3% and Europe of 1.5%. All the growth markets continued their strong performance. India led with a growth of 70.2%.

Middle East grew by 15%, Latin America by 7% and Asia Pacific grew 5.8%.

I am now going to talk about a few of our industry-leading portfolio of products and platforms:

- ignio™, our cognitive automation process suite saw 30 new deals wins and 9 go-lives.

- o The ongoing trend in AI and GenAI are significantly driving investments in AI-based systems and intelligent automation. These advancements are propelling ignio's deal wins as an increasing number of customers embark on their journey towards becoming autonomous enterprises.

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- TCS BaNCS™, our flagship product for financial services, continued its leadership with 4 wins and 7 go-lives during the quarter.
  - o This quarter, we successfully completed Zions Bancorporation's multiyear Future Core project with TCS BaNCS. This large-scale core banking modernization positions Zions, a leading financial services company in US at the forefront of the industry. It enables real-time transaction processing and delivers an exceptional customer experience. The project underscores the power of collaboration, positioning Zions as an innovator allowing for quick responses to market demand and customer needs and driving increased revenue.
- TCS BFSI Products and Platforms saw 3 wins and 2 go-lives during the quarter

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- o We signed a 15-year contract with Ireland's Department of Social Pension to implement and support the new Auto Enrolment Retirement Savings Scheme. This initiative will provide a comprehensive digital solution for automatic enrolment of nearly 800,000 workers in Ireland. This is a landmark deal for TCS in the geography and the first BPaaS implementation in Ireland. This further solidifies our leadership position in the UK and Ireland market for Life and Pensions.
- o We have migrated 800,000 UK Life and Pension's policies for Scottish Widows over 4 migrations in H2 of 2024. This now completes a highly complex migration of Life and Pensions for Scottish Widows comprising of over 500 products and resulting in 3 million UK L & P customers being serviced on TCS BaNCS.
- Quartz, our innovation-led platform leveraging blockchain and AI, had one win and one go-live this quarter, including a strategic pilot for hybrid market infrastructure in Europe.
- TCS iON, our platform for Digital Assessment and Exam Administration and Learning, had 38 new wins and 150-plus platform capabilities went live.
  - o Our assessment platform administered in-center exams for over 17 million candidates.

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- o The growing demand for AI-driven analysis and recommendations on assessed candidates' data is driving the platform's focus.
- o The Indian government's focus on industry participation in employability, internships and skilling should drive strong growth on the iON platform.
- o Additionally, there is an increasing emphasis on reducing logistics work and shortening the results generation timeline.
- TCS OmniStore™, our AI-powered Universal Commerce Suite, had one deal win and one go-live this quarter.
- TCS Optumera™, our AI-powered Retail Merchandising Suite, went live for one client.
- TCS TwinX™, our digital twin solution, has three wins and one go live.
- And in Life Sciences, TCS ADD™ platform had three go-lives this quarter.

Client Metrics

- Customer centricity is one of the key pillars for our sustainable growth strategy. Our deep, long-term relationship with clients enables us to anticipate their needs and help them pivot effectively.
- As on 31st of December, we have more than 1,300 clients which contribute to \$1 million plus annualized revenue.
  - In Q3, we added three new client's year-on-year basis in the 100 million-plus band, bringing the total to 64.

With that, let me hand it over to Milind.

Milind Lakkad: Thank you, Samir. Let me start by wishing you all a very Happy New Year. Our workforce at the end of the third quarter was 607,354. Our workforce continues to be very diverse with 152 nationalities represented and with women making 35.3% of the base. Our LTM Attrition in IT services was up

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13%. Employees logged over 40 million learning hours year-to-date and acquired 3.8 million competencies.

This quarter, we are proud to have recognized the exceptional contributions of our associates by awarding over 25,000 well-deserved promotions across levels, taking the total promotions for the fiscal year to more than 110,000.

These promotions reflect our unwavering commitment to fostering future growth and excellence.

Simultaneously, we continue to strengthen our talent pipeline through strategic investments and skill development.

Our campus hiring program is progressing as planned and we are gearing up to onboard an increased number of campus hires next year. These initiatives ensure that we are well prepared to meet the evolving needs of our clients and drive long-term organizational success.

I will now request Krithi to speak on the various demand levers within

the

quarter.

K Krithivasan : Thank you, Milind.

Starting with the demand levers for Q3, we observed that customer priorities continue to remain centered around cost optimization and business transformation. GenAI, AI and cloud services continue to see significant growth for us this quarter. Clients are investing in agentic AI adoption, building robust data foundation, and taking a value chain-based approach to AI and GenAI transformation.

Agentic AI represents the next step of maturity in the exponentially evolving space of AI. It allows us to orchestrate actual transactions inside business value chains using the rapidly improving planning and reasoning capabilities of large language models. We are now starting to go past the initial wave of chatbots and RAG deployments of GenAI, and more crucially, this will allow TCS to use our deep contextual knowledge of our customers' business to design, train, and deploy agents that solve high-value business problems.

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- As an example, a leading American electronics retailer partnered with TCS to enhance customer engagement and drive operational excellence. TCS utilizes contextual knowledge to design and implement a scalable, unified contact center platform that consolidates chat and IVR systems, enabling seamless workflows across channels. The platform employs advanced natural language understanding and conversational agents for intent identification and handling of open-ended inquiries. A real-time dashboard tracks critical metrics, including user containment rates, queue transfers, and system utilization, providing actionable insights for continuous optimization. Supporting over 30,000 daily chat conversations and 3x as many invoices, the system has achieved 90% intent identification, 3% user containment improvement rates, and enabled context-aware brand-aligned response, improved self-service, and reduced live agent transfers.

- One of the leading global life sciences majors partnered with TCS for accelerated cancer drug discovery. The challenge was to design small molecules against a novel target protein of interest where no target-specific small-molecule dataset is available. The only available input was a target protein structure. The novel molecules must satisfy all drug-like properties.

We designed a GenAI-based drug discovery solution for identifying small molecules on a cancer target that takes the structure of the target protein as input and designs target-specific property-optimized small molecules. We generated around 1,300 molecules, optimized for five properties, and further the reduced set had to pass several proprietary filters on the client side and assess synthesizability against the client's in-house compound library. Both these 12 molecules have been shortlisted and are in vitro assessment.

Technology modernization, SAP S/4HANA transformations, cloud engagements, building data foundations for AI and cybersecurity continue to

be priority areas that are seeing strong investments from our clients. We expect client IT budgets to remain similar in CY '25 with a positive bias. We are seeing early signs of revival in discretionary spend in BFSI and Retail. Manufacturing and Life Sciences and Healthcare should also start seeing growth in the medium term as near-term challenges have bottomed out in this quarter.

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o Let me now give some specific color on our performance during the quarter and outlook for our key verticals in Q3.

- For BFSI, the New Year promises cautious optimism with easing inflation, falling unemployment numbers, and stable government. Headwinds will continue because of unresolved geopolitical issues,

trade wars, and uneven

growth forecast. Customers are focused on operational efficiency and modernizing their IT with an eye on future growth.

The BFSI industry is a leading adopter of AI, GenAI and other cutting-edge technologies. We saw a significant increase in successful production deployment of AI, GenAI engagements leading to greater business certainty and confidence for our clients.

o As an example, one of the leading global banks partnered with us to build a first-of-its-kind AI-led real-time fraud detection solution, replacing its existing technology, thereby reducing fraud-related losses and improving the financial well-being of customers. Our innovative predictive AI solution performs real-time transaction monitoring, detects customer behavior anomalies, and generates risk scores. This solution delivered an 18% percentage point improvement in fraud detection, reduced false positives by 25%, and improved fraud analysis response times by 50%.

- The Consumer business group returned to growth on a sequential basis, and it was primarily driven by the improvement seen in retail in all major markets. We are helping our customers navigate changing customer expectations, embrace digital transformation, and prioritize technology modernization and sustainable solutions in an uncertain macroeconomic environment. TTH performed well in UK, EMEA, and APAC markets. However, it slowed considerably in the US due to market-specific issues and strained profitability of our customers.

o A leading American multinational luxury fashion retailer, looking to expand within the EU, chose TCS as a strategic partner to enable faster market entry.

We leveraged our contextual knowledge and deep understanding of the omnichannel ecosystem to adapt it for local languages, currencies, payment preferences, and compliance regulations, ensuring a unified user experience

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across all geographies and channels. We implemented a leading order management system and integrated various third-party services, including a warehouse management system and multiple payment gateways. This scalable solution streamlined brand onboarding, reducing cycle time by 30%, and enabled quick access to new markets. The localized experiences helped the brands to connect more effectively with European consumers, driving sales and fostering loyalty.

- Client IT budgets in the Technology, Software, and Services industries continue to remain flat. TCS saw continued growth momentum despite the seasonal weakness in Q3. We are very proud of our differentiated value proposition to leading technology players.

- As an example, a leading global semiconductor major has partnered with TCS to co-create foundational AI technology that includes multi-core server CPUs, GPUs, SoCs, and AI-based systems. We are also helping our clients build LLMs, benchmark their performance, and enhance their efforts in quantization.

- In Life Sciences Health Care, the client-specific challenges called out by us last quarter are largely stabilized. The MedTech industry is undergoing rapid

transformation driven by shift to intelligent devices and predictive AI, GenAI in genomics, cell therapy, and personalization. Customers are also investing significantly in scaling their digital manufacturing capabilities and building a resilient supply chain. TCS is well positioned to capitalize the opportunities in this segment with a unique proposition across the value chain.

- A global medical technology company has partnered with TCS to digitize device history records, transform plant operations using cutting-edge platforms and reimagine customer experience in next-gen e-commerce.
- In Q3, we continue to see softness in manufacturing due to a combination of macro and industry-specific issues in auto

and aerospace. However, we saw

a good number of large deal wins during the quarter, and we see a strong pipeline for the future. We continue to capture demand on the back of significant investments in the areas of factory of the future, smart manufacturing, software vehicles and AI, GenAI.

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• The CMI industry continues to encounter challenges with demand, primarily led by technology-driven cost optimization. However, there are encouraging signs of a rebound in IT spending as telcos advance their efforts to expand into adjacent businesses while enhancing efficiency in their core operations. Customers now have a heightened expectation of our ROI, leading to major transformation initiatives being divided into smaller, manageable compacts. We continue to see excellent traction in growth markets. Clients in growth markets are focused on digital transformation, including cloud migration, cloud-native applications, application modernization, advanced data analytics, ERP transformation, and infrastructure consolidation.

TCS has an outstanding track record of executing nation-building and transformative projects across these markets. This, combined with the strategic investments we have made in the talent, global delivery centers, Pace Ports™, and partnerships, gives us a unique opportunity for long-term sustainable growth.

To conclude, amidst an environment of uncertainty and seasonal softness, we delivered flat growth in Q3 with a margin expansion of 40 basis points. With the reduction in the interest rates, easing of inflation, and reduced uncertainty with the new US administration taking over, we expect the discretionary demand to strengthen. Thank you, and we can now open the line for questions. Over to you, Operator.

Moderator: Thank you very much. We will take our first question from the line of Yogesh Agarwal from HSBC Securities & Capital Markets (India) Pvt Ltd. Please go ahead.

Yogesh Agarwal: Hi. Thank you. First of all, Happy New Year to you all. Two questions. Pretty good to see deal wins improving but I was just curious, even in FY '24, deal wins were very strong, but FY'25 growth, has not lived up to expectations. So, do you think this time around the color of deal wins are different, and hence the conversion could be a lot more favorable?

K Krithivasan : So, Yogesh, we had strong deal wins in FY'24 also. But what happened during FY'25 was also the deferral of some projects going slow based on the ROI expectation which saw reprioritization. And seeing the revival in discretionary

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spend, as I said, when I say revival, early signs of revival, I don't want to say that it's recovered. Seeing the early sign of revival and the strong TCV win gives us more confidence in CY'25 and FY '26.

Yogesh Agarwal: Okay. Just on a separate kind of related note, Krithi, so the headcount declined again, and you sound positive for this year, and this is despite the BSNL headwinds. So, why is the headcount declining? Do you think the growth is more back-end-loaded, and then during the year you'll be able to hire people?

K Krithivasan : No, as Milind has been calling out, while on a long-term basis, there will be some correlation between the headcount and growth. On a quarter-on-quarter

basis, it will be difficult to have that correlation. Also, if you look at Q1 and Q2, we added significant headcount.

In Q3, we knew even beforehand there will be some seasonality. So, we had to optimize wherever we could. So, that's one reason why the headcount went down. But overall, this is not a reflection of the demand environment.

Yogesh Agarwal: Got it. Okay. Thank you so much.

Moderator: Thank

you. We will take our next question from the line of Ravi Menon from Macquarie. Please go ahead.

Ravi Menon : Happy New Year to the management. This the best quarter for deal wins in the third quarter , ever since you started disclosing this number. So, did we benefit a bit from any slippage of the deals, I mean, deals that were waiting to be on that we saw a bunch of them get decided maybe up to November or December?

K Krithivasan : Every quarter, we'll always have, some deal that could have been closed before the end of the quarter, slip in the next quarter. So, there is no specific bunching that happened in the beginning or end of the quarter. I would say this is more organic. There is no timing mismatch . There is no specific deal that should have closed in Q2 that closed in Q3 to give us this bump.

Ravi Menon : And you also said that there were no mega deals in this quarter. How is the mega deal pipeline looking now?

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K Krithivasan : There are always a few mega deals we are working on. But we are also happy with the quantum of large deal wins. The number of large deals we have won, also showed an improvement this quarter.

Ravi Menon : All right. And BFSI in North America, could you talk a bit about how that is Q -o-Q on a constant currency basis?

K Krithivasan : We do not disclose the sequential growth number , but to give you some color, BFSI North America has grown positively. And again, for us, what is equally comforting is the large accounts in BFSI North America, all of them are contributing to growth.

Moderator: We will take our next question from the line of Sandeep Shah from Equirus Securities.

Sandeep Shah : Krithi, just wanted to understand that the 3Q growth when you entered versus final results, was it as per our initial expectation because all the verticals outside emerging markets or growth markets and to some extent, except consumer, all other verticals have declined in a constant currency Q -on-Q?

K Krithivasan : See, when we started the quarter, also, we knew it's going to be a seasonally weak quarter. I would say see always like if I had 1% more growth, we have been happier than this past year. But within this band is what we are expecting when we started the quarter also.

Sandeep Shah : Okay. And Krithi, if I look at last 4 quarters growth in international markets, outside India has been really sluggish. With deal wins picking up, do you believe fourth quarter international market may help us to compensate the impact of BSNL gap, which may come in the fourth quarter?

K Krithivasan : That is our aspiration . We believe as BSNL ramps down, not only international business, but we are also quite bullish on what's happening in the regional markets, plus the growth returning in global markets and furloughs also to some extent, recovering collectively should help us in the growth for Q4 .

Sandeep Shah : Okay. And just coming to margins, just wanted to understand, last time we said we have an aspiration to reach to 26% by Q4. And now furloughs won't be

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there, rupee depreciation may help. In that scenario, do you believe this aspiration could be realistic or is it still an aspiration to reach by Q4?

Samir Seksaria : So, Sandeep, margin aspiration remains 26% to 28%. I had not committed that we will reach 26% by Q4, what I said is we will be happy if we can exit Q4 at 26%. We have seen a sequential margin improvement in Q3 . Going forward, we will strive to get as close to our guiding band as possible.



But given the seasonality, getting a 40-basis points improvement in Q3 on a flattish growth, was significant . We'll push further to get an improvement over and

above that in Q4 .

Sandeep Shah : Just last follow -up on this. Just wanted to understand with the likely decline in BSNL , that could be also a big margin lever for the fourth quarter?

Samir Seksaria : We have been calling out the increase in third -party costs having an impact on margins . On a like -to-like basis, there would be margin tailwind depending on how much is the decline. We have completed 70% of the BSNL contract, which we had committed , so that in itself is a lever. And going into FY '26, our product mix does become a lever.

Moderator: We will take our next question from the line of Ankur Rudra from JPMorgan.

Ankur Rudra : You mentioned there are early signs of revival in some of the verticals you highlighted. Could you maybe elaborate what is the nature of these signs, at least basically the nature of the deals you've signed this quarter or the nature of pipeline, client conversation intent. Just some more color would help.

K Krithivasan : From a vertical perspective, as I said, deal wins have been good in BFSI, CBG. And in fact, in almost all verticals, there is an increase in deal wins compared to previous quarter. From a geography perspective, Europe has one of the best deal wins. So, it has been all-round better deal win from a geography as well as industry perspective.

The type of deals, apart from seeing regular optimization deals, there is an increased proportion of deals on the application modernization, cloud. And our customers are gearing up to leverage AI, towards that there are more data projects being commissioned.

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So, it's a good mix of projects on optimization with the improvement on the discretionary spend, compared to the past. And another interesting data point we observed is, for the first time, there is a good decrease in the deal cycle, by few weeks.

We looked at deals that are more than \$20 million and above, there is a deal cycle reduction also, which also shows that the decision -making is also improving largely. That's broadly the color on deal wins, Ankur.

Ankur Rudra : I think last quarter, you had said, Krit hi, that the deal cycles were extending. And in the following 3 months, it is already recovered. Is that how we should take this?

K Krithivasan : Yes. Compared to the previous quarter, there has been an improvement in deal cycle this quarter.

Ankur Rudra : Okay. I appreciate it. I just want to probe a bit more on the AI work. You mentioned a lot of Agentic AI work coming your way. What is the impact of this on effort needed for projects of different types? So, for example, does this mean that there will be more work on software engineering, but some volume pressures on legacy modernization and ops?

In addition to that, if you can highlight if there has been any loss of volume due to Agentic AI or SLMs on any of your large projects or customers?

K Krithivasan : Currently , our customers are leveraging AI to do new projects . I talked about drug discovery. Without AI, they would not have approached this particular project at all. So many of them tend to be new projects that leverage this technology.

And there are also customers who are leveraging this technology towards technology modernization. One of the large modernizations out of mainframe, we are attempting to use Gen AI to ensure that the transfer technology modernization is more fail safe.

So, there are opportunities we find towards software engineering where there's a productivity improvement as well. But net -net, if you look at the overall

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demand environment, we think AI demand will be net positive rather than being negative. That is at least what we are seeing

ng as of today.

Ankur Rudra : Okay. Appreciate the color. Thank you so much and wish you best of luck.

Moderator: Thank you. We have our next question from the line of Nitin Padmanabhan from Investec. Please go ahead.

Nitin Padmanabhan : Good evening and wishing you a Happy New Year. Just a couple from my end.

So, one is you mentioned that BSNL purchase is complete by 70% . So how should we think about it? Do you think the net reduction in revenue there should happen in the following quarter, or it will happen in the next fiscal year? So that is the first one.

The second one is that considering we had very strong deal wins this quarter and there is no mega deal and decision cycles are also improving, does that mean that the revenue conversion will also be much quicker, considering these are relatively smaller and more discretionary in nature and that should aid near-term performance ?

And finally, I think you also mentioned that you were looking at projects that could refill the gap from BSNL? Just your thoughts on if there's anything specific out there that sort of fills that in, that will be helpful.

K Krithivasan : Like Samir mentioned , Nitin, for BSNL we have completed 70%, which naturally means slowly it will taper down . It should start tapering off either in Q4 or Q1, but I would expect some tapering off starting Q4 itself. And I will just answer the other question on BSNL.

So, as it tapers off, we are trying to look at multiple opportunities, both within India. BSNL itself is the new capability we have acquired. We want to see whether using that capability itself new projects could be won globally.

And, of course, the new deal wins that we spoke about, that also will help us in replacing this revenue. So, we are looking at all options. And we are quite confident that we will be able to manage the impact. On the deal wins, yes, there are no mega deals because the deal tenure with what you won could be marginally lower than what it was before.

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And there is a confidence that the revenue realization could improve compared to the past. And I would say, realization will improve, more because of the certainty as customers are embarking on more discretionary work. That gives us more confidence on the faster revenue realization than necessarily on the deal tenure itself.

Nitin Padmanabhan: Sure. That's helpful. Just one clarification. I think on the press conference, you made a comment that the BSNL could come off slowly or sharply, I was just wondering what you mean by that?

Samir Seksaria : No, it would start tapering down is what we said. The current contract could taper off across Q4, Q1 and maybe it might extend to max Q2 .

Nitin Padmanabhan: Got it. Fair enough. Thank you so much and all the very best.

Moderator: Thank you. We have a next question from the line of Sudheer Guntupalli from Kotak Mahindra AMC. Please go ahead.

Sudheer Guntupalli: Krithi thanks for the opportunity and Happy New Year. You seem to be sounding much more confident on the broader demand environment than what we had noticed in the last two quarters. And you are seeing CY'25 should be better than CY'24.

So given that BSNL deal will ramp down over CY'25, which is a big headwind , and despite that, we are expecting a better year in CY'25 over CY'24. So, if we reverse engineer the math, are you sort of alluding to a double-digit kind of revenue growth expectation in the core markets in CY'25?

K Krithivasan : No, we are not guiding to a double-digit growth , but we are expecting a stronger growth. And we are also hoping that we'll be able to compensate the BSNL revenue in multiple other ways both internationally as well as domestically. So, we are at this time confident, when I said that CY'25 will be a better year than CY

'24, it's more broadly on the international business.

Net business we have to see, BSNL revenue replacement could definitely be a headwind, but we know that we'll be able to replace most of it.

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Sudheer Guntupalli: Okay. So, what I was trying to understand is I think India business, we had seen close to \$1 billion incremental revenue in CY'24 over CY'23 and that should taper off or unwind in CY'25, which means the core market should at least do the heavy lifting of going up to double digit. And that is when you can be better than...

K Krithivasan : Sudheer I don't want to put a double -digit target, but the core markets should do heavy lifting and even, the regional markets other than BSNL also , they are growing quite nicely. So, it could be that some part of the load could be taken up by the regional markets as well.

Sudheer Guntupalli: Thank you so much sir. All the best.

Moderator: Thank you. We have a next question from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.

Vibhor Singhal: Thanks for taking my question. So, Krithi, again, just to dwell a bit on the discretionary part, the comment that you mentioned. Now one of the things that has been plaguing us and the industry over the past 2 years was the discretionary part of many of the existing deals have been put on hold from the client side.

So, are we basically seeing some recovery in that as well in terms of clients that were looking to put that back on the anvil along with, of course, the normal recovery that you mentioned in your comment and explanation thereafter?

K Krithivasan : That is what I said. There are some early signs of discretionary spend. So that is what is giving us that confidence also to say CY'25 could be better than 24.

Vibhor Singhal : Got it. And specifically, in the BFSI segment, if I could just dwell a bit, this is a segment which has historically been one of the biggest adopters of technology .

You mentioned that they are also the ones which are also looking at wide -scale GenAI adoption. So , any progress that you believe that we are also making in terms of the legacy code modernization, the opportunity that we showcased in our Analyst Day as well? Any POCs or projects which have gone towards an incremental advanced stage on that front about which we can talk ?

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K Krithivasan : See, on the BFSI thing, as I said, GenAI adoption is very strong ., From an overall technology modernization , code modernization, we are talking to some of our customers on large scale transformation as well. So, we do see a reasonable kind of either advanced discussions with our customers or early discussion, but technology modernization discussion is very strong.

Vibhor Singhal : Got it. Great. Just one last question on the BSNL part. In some of our earlier remarks, we had mentioned that there might be some extension to the BSNL deal from the magnitude that it is at this point of time. So does the TCV for this quarter include any amount of contribution on account of extension of the project or is this completely non -BSNL TCV?

Samir Seksaria : No. Current TCV does not include any BSNL contribution.

Vibhor Singhal : Are we expecting any extensions, in the next fiscal year or too early to call ? Or is it a chance?

Samir Seksaria : BSNL has floated an RFP for 5G upgrade. We qualify for that, given that we have successfully executed on the 4G opportunity. We will be participating on the new RFP .

Vibhor Singhal: Got it. Great, sir. Thank you so much for taking my questions and I wish you all the best.

Moderator: Thank you. We have a next question from the line of Rishi Jhunjhunwala from IIFL

Institutional Equities. Please go ahead.

Rishi Jhunjhunwala : Yes. Thank you for the opportunity. Just a couple of quick questions. Firstly, on this BSNL thing, right? So , over the course of the entire project, which I guess is going to go on for in total 6 to 8 quarters, -or-so. Just wanted to understand the overall project, what the end profitability would eventually be that you would have envisaged if at all there is, I understand that was strategic in nature and it was giving you an entry into network services management and all that. But just from a project profitability perspective, just wanted to get some color on that.

Samir Seksaria : Rishi, unfortunately, like we have said in the past, we will not be divulging client specific contributions of revenue or profitability.

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Rishi Jhunjunwala : Okay, no problem. The other question is on capital allocation method. So , you have announced a special dividend this quarter. So , given the change in the tax regime on buybacks , is it fair to assume that going forward, dividends would be the more efficient way for you to return capital?

Samir Seksaria : It's a Board decision to announce the special dividend this quarter or decide on the capital allocation policy . Both the alternatives are still available. The point you mentioned is also right , but the Board considers various preferences from various classes of shareholders and arrives at the decision. Regulation changes or tax changes will also be factored in when that decision is taken .

Rishi Jhunjunwala : So, assuming no regulation or tax change, we will continue to give dividend certainty?

Samir Seksaria : Both the options are still available –in terms of buyback and dividends.

Rishi Jhunjunwala: Okay. All right. Thank you so much, sir. All the best.

Moderator: We have our next question from the line of Manik Taneja from Axis Capital. Please go ahead.

Manik Taneja : Hi. Thank you for the opportunity. My question on BSNL has been answered. I just wanted to understand, in the past, you remarked about an elongation in terms of deal tenures. Are we seeing some normalcy return there? That was the data -keeping question.

And the second question was, we've been hearing from some of the industry folks about GenAI giving the managed services players the option to essentially move to a software pricing model. It would be great to understand your viewpoint on this.

K Krithivasan : I did mention there is a shortening of deal cycle. Deal tenure, I won't say there is a big difference. The deal tenures have more or less remained same. But deal cycles are shortening.

In terms of pricing because of GenAI, while there are discussions that happen on what could be alternate options , there has not been a significant change because of AI, GenAI in our pricing model at this time .

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Manik Taneja : But do you envisage such a scenario playing out over the next few years?

K Krithivasan : Too early to call out, Manik. At this time, most of the deals are all in the traditional models only, while people are discussing what options could exist. So, I would say it's a little early to call out on how it will evolve.

Manik Taneja: Sure. Thank you, Krithi . All the best for the future.

Moderator: Thank you. The next question is from the line of Abhishek Kumar from JM Financial. Please go ahead.

Abhishek Kumar : Hi. Good evening. Thanks for taking my question . Krithi , I just wanted to pick up one remark you made earlier that furloughs could recover to some extent in next quarter. I was just wondering if you believe there could be some spillover of furloughs into Q1 like what we saw last year.

K Krithi

vasan : Yes. Like the reason I said that is I see in some geographies, furloughs do spill over into until first couple of weeks of January, but it's a small proportion of overall furlough. So that's the reason I said some furlough recovery, not complete. There will be some spill over in some geographies.

Abhishek Kumar : Sure. But nothing unusual, a similar trend as what we have seen in previous years.

K Krithivasan : Yes, similar to last year.

Abhishek Kumar : Okay. And second question is, you said client budgets are likely to be flat with some positive bias. At the same time, we are hopeful of discretionary s pending picking up, j ust trying to reconcile the two. Do you think there is still reprioritization of budgets where these dis cretionary spends will be funded by efficiency gains somewhere else or you think budgets could be revised as we go through the year? Thank you.

K Krithivasan : Abhishek, reprioritization will keep happening all the time . But the expectation of ROI or how soon the ROI should be , what is the period by which they must

get the return , that bar could change, because clients are interested in doing more , and also, there is a greater interest and focus on discretionary projects.  
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All put together, we find that there will be a positive momentum, and there is a positive bias in the overall budget, but reprioritization will not stop completely. That would be an ongoing process to ensure that they get value out of the project they started .

Abhishek Kumar: Sure, thank you and good luck.

Moderator: Thank you. We have our next question from the line of Sumeet Jain from CLSA. Please go ahead.

Sumeet Jain: Happy New Year to entire management . Krithi , I think you mentioned that you are seeing early signs of revival and discretionary spend across various verticals due to political uncertainty being behind in US. But if you look, there is still a lot of uncertainty around potential increase in inflation due to trade tariffs or uncertain government policies or increase in the US interest rates, which we are seeing in the current US bond yields. So how stable is this revival in the discretionary spend you're expecting probably over the next 1 quarter to 2 quarters and the entire CY '25?

K Krithivasan : Sumeet, what we commented on is based on what our discussions with our customers tell us and what we are seeing in terms of the opportunity and the pipeline. Yes, if the macro change s for the negative in a big way, that will impact .

So, I don't think –the discretionary spend will be visibly resistant to macro change. The comment I made is based on what we are seeing today, based on the discussions we are having and the pipeline that we are seeing in front of us.

Sumeet Jain: Got it. That's helpful. And maybe can you also comment around health care, Life Sciences and manufacturing verticals. I was not very clear , are you saying that they have already bottomed out and they will start seeing growth from next quarter onwards or are you still waiting for some clarity there?

K Krithivasan : From a manufacturing perspective, I feel we'll bottom out in Q4, and growth should revive subsequently. In Life Sciences and Healthcare, that's one industry waiting for more policy clarity in the US . So once clarity emerges, discretionary spend could return there.

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Sumeet Jain: Got it. That's very helpful. Thanks for the opportunity again, and all the best.

Moderator: Thank you. We have a next question from the line of Gaurav Rateria from Morgan Stanley.

Gaurav Rateria: Wishing everyone a very Happy New Year . I have 2 questions. First, where are we in our journey of infusing A

I into various statement of work that we do with the clients? I'm sure we run thousands of different projects with the clients, and there will be an initiative to infuse AI. So where are we in that journey?

And my second question is that, Krithi , you made a comment that discretionary work comes then automatically, the revenue realization is faster would that also mean better revenue productivity, and could that also be a lever for margins?

K Krithivasan : On infusing AI, it's a continuous process. We are looking to infuse AI in every program, be it AMS program or application development. We are looking to infuse AI; one is from a productivity perspective; two is also the way of bringing technology resilience for our customers and keeping th eir technology infrastructure future ready.

So, it's an ongoing process, almost every large RFP we work with, there is a component of AI infusion and AI gets discussed in almost all of them. In terms of revenue productivity because of discretionary projects , it's a fair assumption to make that discretionary projects should yield a better productivity. But sometimes factors like competition can play out and the overall environment could play out. Generally, better discretionary spend environment should give us a better revenue productivity.

Gaurav Rateria: Thank you very much.

Moderator: Thank you. We have a next question from the line of Abhishek Pathak from Motilal Oswal. Please go ahead.

Abhishek Pathak: Krithi, just a question on your point earlier around retail is about seeing some recovery. I just wanted to know the drivers behind that and the outlook for that, let's say, for CY'25? And the other thing, likewise on technology and hi-tech, what's your view on the hi-tech vertical?

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Do you think a lot of the capex spend around GenAI and GPUs is all behind then, can we expect the US big tech companies to maybe shift their focus on services spends for the next year?

K Krithivasan: On the retail, definitely we are seeing a better outlook and particularly the growth that we are seeing in the essential, fashion apparel kind of sub-segments, we are seeing some sort of early signs of revival of discretionary spending.

Again, hi-tech, we are positive overall on the industry. We work with semiconductor players. We work with hyperscalers. Most of them are planning to increase the ir spend in the coming year.

And so, our participation with them will also be improving. So, excepting the professional services side of that industry, the overall hi-tech industry, we are quite positive.

Abhishek Pathak: Great, thank you so much, all the best.

Moderator: Thank you. We'll take our next question from the line of Sandeep Shah from Equirus Securities. Please go ahead.

Sandeep Shah: Just to get clarity on BSNL and sorry to harp on the same. The first phase, which largely involved 4G, the belief is the TCV is close to \$1 billion. And now you see that tapering extend till 1Q or 2Q of FY '26. So, is it fair to assume the deal TCV is higher than \$1 billion in the First Phase?

Samir Seksaria: We had said that the overall deal TCV was over \$1 billion deal. We didn't disclose exactly what the amount was and in line with tradition, we don't disclose client specific deal TCV. Given so much of overall inquisitiveness around BSNL, we have been sharing progress in terms of % completion, and that is the basis of what has been in the public domain. But further client specific details, either in terms of TCV, revenue or margins, it is unlikely that we'll be able to provide further color on it.

Sandeep Shah: Okay. Fair enough. And just last thing, Krithi, is it fair to assume you are expecting recovery in CY'25 in most of the verticals, but auto and aero may lag

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of the recovery or how do you like to see, which verticals there would be a lag in terms of recovery in discretionary spend?

K Krithivasan: I won't be able to call back which vertical will lag because, as I said, we don't have full clarity on Life Sciences & Healthcare. Auto and aerospace industry should grow, because of kind of order book they have. See, the challenges they have been having are more transient in terms of labor market or supply chain unrest.

And as they stabilize, I think that demand for the environment should improve in the aerospace industry. And we are seeing some revival slowly happening in North America. And as I said, Life Sciences and Health Care, I would like to wait and watch. And most other industries look positive at this time.

Sandeep Shah: Thanks, and all the best.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments. Over to you.

K Krithivasan: Thank you, operator.

To summarize:

- Revenue grew by 4.5% year-on-year in constant currency with an operating margin of 24.5% and a net margin of 19.4%.

- We are very pleased with the strong TCV of \$10.2 billion, with a sharp uptick seen across markets and industries.
  - Our campus hiring for the year is going according to plan and preparations are underway to onboard a higher number of campus hires next year.
  - I would like to thank all TCS ers' for the ir efforts and unwavering dedication to realizing their own and the company's potential.
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We look forward with cautious optimism to the promising opportunities that 2025 will bring for us. With that, we wrap up our call today. Thank you all for joining us.

Moderator: Thank you, members of the management. On behalf of TCS, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

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Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

## Call: Apr 2025

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April 12, 2025  
National Stock Exchange of India Limited  
Exchange Plaza, C-1, Block G,  
Bandra Kurla Complex, Bandra (East)  
Mumbai - 400051  
Symbol - TCS  
Dear Sirs,  
Sub: Transcript of the earnings conference call for the quarter and year period ended  
March 31, 2025  
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)  
Regulations, 2015, please find enclosed the transcript of the earnings conference call for the  
quarter and year ended March 31, 2025, conducted after the meeting of Board of Directors held  
on April 10, 2025, for your information and records.  
The above information is also available on the website of the Company: www.tcs.com .  
Thanking you,  
Yours faithfully,  
For Tata Consultancy Services Limited  
Yashaswin Sheth  
Company Secretary  
Encl: As above  
Tata Consultancy Services Earnings Conference Call  
April 10, 2025, 19:00hrs IST ( 08:30hrs US ET )

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Moderator: Ladies and gentlemen, good day, and welcome to the TCS Earnings  
Conference Call. As a reminder, all participant lines will be in the listen-only  
mode and there will be an opportunity for you to ask questions after the  
presentation concludes. Should you need assistance during the conference  
call, please signal an operator by pressing star then zero on your touchtone  
phone. Please note that this conference is being recorded.  
I now hand the conference over to Ms. Nehal Shah from the Investor  
Relations team at TCS. Thank you, and over to you.  
Nehal Shah: Thank you, operator. Good evening, and welcome, everyone. Thank you for  
joining us today to discuss TCS' financial results for the fourth quarter and full  
year FY 2025 that ended March 31, 2025. This call is being webcast through  
our website and an archive, including the transcript, will be available on the site  
for the duration of this quarter. The financial statements, quarterly fact sheet  
and press releases are also available on our website. Our leadership team is  
present on this call to discuss our results.  
We have with us today Mr. K Krithivasan, Chief Executive Officer and  
Managing Director.  
K Krithivasan: Hi, good evening.  
Nehal Shah: Mr. Samir Seksaria, Chief Financial Officer.  
Samir Seksaria: Hello, everyone.  
Nehal Shah: And Mr. Milind Lakkad, Chief HR Officer.  
Milind Lakkad: Hi, everyone.  
Nehal Shah: Our management team will give a brief overview of the company's  
performance, followed by a Q&A session. As you are aware, we don't provide  
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specific revenue or earnings guidance. And anything said on this call, which reflects our outlook for the future, or which could be construed as a forward-looking statement, must be reviewed in conjunction with the risks that the company faces. We have outlined this risk in the second slide of the quarterly fact sheet available on our website and email out to those who have subscribed to our mailing list.

With that, I would like to turn the call over to Krithi.

K Krithivasan : Thank you, Nehal. Good day, everyone. I'm pleased to announce that we are concluding FY '25 by surpassing the \$30 billion revenue milestone. We have achieved this while maintaining industry-leading margins, exceptional return ratios and a strong balance sheet. It is very gratifying t

o see that most of our leadership team has been part of TCS' extraordinary journey, growing 14 times in the last two decades. We extend our heartfelt gratitude to all our current and former employees, partners, customers and other stakeholders who have supported us over the past 57 years.

Our financial year 2025 revenue grew by 4.2% in constant currency. Our operating margin for the year came in at 24.3%. Our net margin was at 19%. Coming to our more recent performance, our Q4 revenues grew 2.5% on a constant currency basis. All major markets grew sequentially. Our record Q4 TCV of \$12.2 billion demonstrates our ability to gain market share. North America TCV reached an all-time high of \$6.8 billion. BFSI TCV was \$4 billion, and Consumer Business Group contributed \$1.7 billion. This impressive performance stands out in the absence of mega deals.

I'll now invite Samir and Milind to go over different aspects of our performance during the quarter. I'll step in later to provide more color on the demand trends we are seeing in our business. Over to you, Samir.

Samir Seksaria: Thank you, Krithi. Good day, everyone.

I will start with the full year's numbers and then proceed to the quarterly commentary. For the full year, our revenue was \$30.2 billion, a year-on-year Tata Consultancy Services Earnings Conference Call April 10, 2025, 19:00hrs IST (08:30hrs US ET)

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growth of 4.2% in constant currency. The revenue growth is 3.8% in dollar terms and 6% in rupee terms.

Our FY '25 operating margin was at 24.3%, a decline of 30 basis points over the prior year. During the year, we had a 200-basis point headwind resulting from annual wage increases and other tactical interventions for our associates such as promotions. These merit-based interventions were part of our ongoing efforts to invest in our people and ensure their growth and satisfaction within the company. We had a further 130 basis points headwind from continuing investments in infrastructure and capability building. To mitigate the headwinds, we focused on improving utilization, productivity and realization. Additionally, we received an 80-basis point support from the currency.

Net margins for FY '25 were 19% and our EPS grew 5.1% year-on-year.

Our effective tax rate for the year was 25.3%.

The Board has recommended a final dividend of ₹30 per share, bringing our total dividend for the year to ₹126 per share.

Coming to Q4, for the quarter ending 31st March '25, our revenue increased by 2.5% year-on-year in constant currency terms, reaching ₹64,479, that translates to a growth of 5.3% in rupee terms and our dollar revenues were at 7.47 billion, Y-o-Y growth of 1.4%. Our Q4 operating margin stood at 24.2%, reflecting a sequential decline of 30 basis points.

During the quarter, we incurred 100 basis points headwind due to tactical interventions. Additionally, we incurred a further 60 basis points headwind from strategy marketing and purpose-driven initiatives. We managed to mitigate some of these headwinds by improving our operating leverage and optimizing our revenue mix. Furthermore, currency movements provided 40-basis point support.

Net margins in Q4 were 19%. Our accounts receivable stood at 71 days DSO in dollar terms for Q4 and were down three days sequentially. Our cash conversion this quarter continues to be strong. Net cash from operations was

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\$1.78 billion , which is 125% of net income. Free cash flows were \$1.48 billion , and funds invested at the end of the period stood at \$5.53 billion .

Let me walk you through our segmental performance. Note that all growth numbers are on a year -on-year basis in constant currency, unless mentioned. In Q4, BFSI grew 2.5% while the consumer business group declined 0.

2%. Life

Sciences & Healthcare declined 5.6%; Manufacturing declined 2.9%; whereas Technology & Services grew 1.1%; Communication & Media declined 9.8%; ERU, which is Energy Resources & Utilities grew 4.6%; and Regional Markets grew 22.5%.

Moving on to geography . Amongst major markets, Europe grew 1.4%, U.K. grew 1.2%, whereas North America declined 1.9%. All growth markets continued their strong performance this quarter also . Middle East and Africa grew 13.2%, LatAm grew 4.3% and Asia Pacific grew 6.4%, while India had a growth of 33%.

I'm now going to talk about a few of our industry -leading portfolio of production platforms. Our expanding suite is doing well in the marketplace.

- ignioTM, our cognitive automation software suite saw 30 new deal wins and 11 go-lives.

- o ignioTM has introduced Code Accelerator and advanced GenAI powered tool designed to automate code generation and transformation, significantly reducing time to value for customers. This feature has already been deployed across more than 80% of our SaaS customers, boosting productivity by 150% . Code Accelerator has played a key role in driving faster product adoption by delivering first -time right use cases. Additionally, ignioTM is leveraging GenAI capabilities to expedite the migration of its on-premises customers to SaaS, by seamlessly transforming their code to be compatible with the latest platform, making them future ready.

- TCS BaNCSTM, our flagship product for financial services, continued its leadership with 4 wins and 4 go-lives during the quarter.

- o The primary drivers for core transformation in the banking sector, driving strong demand for our products , include data harmonization, real -time analytics, compliance and monitoring and unified customer experience.

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- o Banks and credit unions worldwide are increasingly adopting public cloud technologies, which offer cost efficiencies, AI tools, zero trust architecture and robust security. The shift to cloud native technologies and micro services architecture is facilitating easier migration and enhancing legacy systems.

- TCS BFS I production platform saw 3 wins and 3 go-lives during the quarter.

- TCS QuartzTM, our innovation -led platform, leveraging blockchain and AI had 2 wins and 1 go-live this quarter.

- TCS iONTM, our platform for digital assessment, digital marking, exam administration and learning hub, had 35 new wins and took 75-plus platform capabilities live .

- o Our assessment platform administered in -center exams for over 21 million candidates and remote assessments for more than 82,000 candidates .

- o State governments in India are investing in building digital platforms for skill development to ensure inclusivity of the youth in the last mile and allocating annual budgets for youth skilling linked with employability.

- o Moreover, universities in India are looking for end -to-end automation platforms to make their online degree programs, user -friendly and scalable. These key

trends should drive growth for the iON platform .

- TCS OmniStore™, our AI -powered Universal commerce suite , had 2 deal wins and 3 go-lives during the quarter.

- o A leading American healthcare company selected TCS AI -powered unified commerce platform, OmniStore™ to modernize customer journeys. TCS has deployed the end -to-end next -gen omnichannel point -of-sale solutions in 25 stores across four states as part of a planned nationwide rollout across more than 9,000 locations . Composable architecture with distributed cloud and edge ensures full resiliency while maintaining centralized control and monitoring. The intuitive user interface leverages Vision AI and interactive display, enabling personalized and gamified checkout experiences and training free transactions. The

self -filling solution, which integrates seamlessly with legacy hardware ensures seamless uninterrupted service, greater agility and speed to market. This will significantly improve operational efficiency and compliance, reduce checkout times by over 20%, revenue in line the colleague and customer engagement and enable innovation at checkout.

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- TCS Optumera™, our AI -powered retail merchandising suite, had 1 win and went live for 1 client.

- TCS TwinXTM, our digital twin solution had 3 wins and 1 go live . In Life Sciences

- TCS ADDTM platform continues to win an increased focus on leveraging AI in the life sciences industry.

- o Pharma companies are especially investing in AI to use cases to improve trial productivity to enhance diagnosis of diseases and informed decision -making, reduced time for research -- and for drug research and development and to design personalized treatments.

- o TCS ADDTM is actively working with in GenAI PoC across literature search and insights, patient insights, safety case processing and medical monitoring .

Our offerings continue to enable digital ecosystem for patient -centric clinical trials, leveraging AI for data flow across the clinical value chain.

- TCS HOBSTM are suited for products for communication service providers at 3 wins and 1 go live this quarter.

- MasterCraft™ and Jile™ had 27 deal wins in Q4 .

Coming to Client metrics , our transformational work for customers is expanding our share of our wallets and leading to broader and deeper engagements. In FY '25 , we had 64 clients in the 100 million -plus revenue band, an increase of two over the previous year .

With that , I'll hand it over now to Milind.

Milind Lakkad: Thank you, Samir . Good day, everyone. Our workforce at the end of FY '25 was 607,979 . We continue to enjoy pride of place as the employer of choice by prioritizing a culture of professional and personal growth, well -being and purpose -driven engagement. Over LTM attrition was stable at 13.3%. During the year, we strengthened our current pipeline through strategic investment in scale development. Our campus hiring program is progressing as planned, and we are gearing up to onboard an increased number of campus hires in FY '26.

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Our investments in organic talent development are yielding phenomenal learning outcomes. As a leader in both 'Skilling for AI' and 'Skilling with AI, ' TCS offers a robust ecosystem of learning , including role -specific courses, cloud -based lab environment s, learning zones with hyperscalers and gamified hackathons . We have established a scale training ecosystem, including the AI experience zone , Fresco playgrounds and AI Symposium. TCS is ranked number 1 in AI and data certifications across three

Hyperscalers and GitHub . The use of TCS' own AI GenAI tool by employees ramping up with GenAI coaches, tutors, simulations, algorithms, etcetera. The associates have locked 56 million learning hours and acquired 5.2 million competencies in FY '25.

We achieved a significant milestone this quarter by adding our first ever enterprise -wide top employer certification from the Top Employer Institute . This milestone builds on TCS' achievement as a global top employer for 2025 , making an unbroken record of receiving this distinction over a decade.

We have recently been ranked by LinkedIn as a Top company to work for in India , assuming this recognition for the fifth year in a row.

I will now request Krithi to speak on the various demand driver during the quarter.

K Krithivasan : Thank you, Milind. I'm pleased with the performance this quarter in a challenging global macroeconomic environment . All major market

s grew

sequentially, and we are proud to successfully deliver a nation -building transformation engagement in our growth market. We also saw a second consecutive quarter of very strong TCV, which consisted of a good mix of large, medium and small deals, which augurs well for future revenue visibility.

We are seeing TCV improvement across markets as clients prioritize initiatives around technology modernization, cost optimization, vendor consolidation, operational model transformation risk and compliance. We have all been witnessing an increased level of uncertainty in the global economic and geopolitical landscape in the last few weeks, making a shift from our commentary in January.

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We have seen instances of delays in decision -making and discretionary spending has come under heightened scrutiny and pressure recently. We remain close to our customers to understand how these changes are impacting them directly or indirectly.

To be successful in this environment, businesses must find a way to quickly adapt , anticipate change and transform not only to mitigate potential disruption but possibly even turn it into a strategic advantage. This transformation is not a one-time event. It's an ongoing evolution that drives perpetual adoption across every facet of business from responsive supply chain and rapid product development to future ready workforces. In short, perpetual change must be met with perpetual adaptability. A technology -led approach can turn these transformation goals into achievable realities. We are well positioned with our clients to help them transform their businesses for perpetual adapt ability and to reinvest for future -proofing their business models for the long term.

Let me now give some specific color on our performance during the quarter and outlook for few verticals :

- BFSI clients continue to focus on initiatives led to modernization , cost optimization, vendor consolidation, regulatory spe nd. Banking and financial institutions are proactively addressing tech obsolescence via legacy modernization efforts. Examples being core platform upgrades and payment operations and improved lending experience.

- o Data and AI initiatives are seeing significant adoption for driving operational efficiencies and improving customer experience.

- o Resilience and availability are being prioritized through cloud adoption and cybersecurity practice.

- o In the insurance sector in the US, we saw instances of delayed decision making .

- The Consumer Business Group saw heightened caution and delays in discretionary projects, especially in the US. T his was driven by the significant drop in consumer sentiment in February, which preceded changes in global trade and tariffs creating a domino effect on retail CPG and TTH industries . However, prioritizing cost saving and defensive technology tech reduction and moderate introduction modernization initiatives especially on the interface digital core. There is fair interest in the adoption of next -gen technology such as AI, GenAI and IoT via relatively small projects.

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- I'll now share an example of how we help the greenfield transformation to S/4HANA , consolidating multiple ERP systems and harmonizing process across the group . A leading European rail company partnered with TCS to drive enterprise transformation. TCS leverages its deep domain and ERP expertise to simplify harms and integrate over 200 disjointed systems and business processes across five major divisions. TCS implemented a unified and scalable digital foundation in a hybrid architecture, comprising of a greenfield implementation of a leading ERP digital core, a business technology platform and a su

ite of cloud -based SaaS solutions. The transformation focuse d on improving process consistency, data quality, operational stability, efficiency through automation, decision support and financial reporting. The platform is implemented in four languages, supporting operations across multiple geographies and diverse user growth. This has improved vehicle maintenance quality, enabled cross -division life cycle to enable cross divisional life cycle view of asset and real estate portfolio, delivered cost savings in fleet control room operations, construction projects, real estate management and procurement business driving increased punctuality safety and comfort for customers. This strategic initiative has strengthened the client's digital backbone and laid the foundation for future ready operations.

- In the technology, software and services industry , we saw modest growth through the quarter. Client IT budgets have remained flat, reflecting cautious optimism, amid geopolitical uncertainties and fluctuating in flation. Enterprises are now funding incremental technology upgrades through savings generated from optimization and rationalization efforts. Technology companies are leveraging GenAI to boost efficiency and experience across the value chain and also to optimize the software development life cycle. For a leading services company , TCS has re defined the software development life cycle by embedding GenAI -driven quality engineering across the organization. TCS established a centralized test center of excellence, integrating automation and GenAI across 150 plus critical applications developed with multiple tech stacks, powering o ver 500 release cycles annually. This COE elevated quality engineering from a traditional function to a catalyst for business growth, continuously improving time -to-market product quality and ensuring an exceptional end -customer experience. This transformation also led to a 50% reduction in overall manual effort, the elimination of manual testing expanded test coverage and improved consistency, significantly enhancing overall product quality.

- In Life Sciences & Healthcare , the client -specific challenges called out by us earlier are largely behind us. In Life Sciences, clients are significantly reducing operational costs and creating delivery models that align with our business goals, creating opportun ities for vendor consolidation.

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- In Healthcare , spending is seen in initiatives, including tech-led business transformation, cost optimization, strengthening of cybersecurity vendor consolidation and scaling GenAI . However, in healthcare , deals are taking longer to close. Customers are moving cautiously and prioritizing critical business initiatives. Growth programs are being either postponed or timelines are being reassessed.

- In Q4, we continued to see softness in Manufacturing . Auto industry is facing uncertainties due to EV downturn and turbulence in the IC E market with the burgeoning inventories. Auto OEMs are experiencing pressure, and we are seeing weak demand and cuts on discretionary spending. The aerospace industry is seeing a surge in demand for new planes and engines are struggling in the near term due to supply chain disruptions. In North America , momentum is building for cost optimization initiatives as part of renewals , vendor consolidation and automation, including GenAI. Cybersecurity and technical debt reduction initiatives are also gaining focus and momentum. For a leading luxury automobile OEM , TCS helped improve user experience by enhancing the ecosystem and vehicle architecture and making it future proof to cater to changing customer demands. TCS designed a high -performance system with high density, high -speed data communication with efficient power dissipat

ing thermal management.

- The communications media and information vertical continues to encounter industry -specific

challenges and discretionary spend continues to remain under pressure. However, we saw growth improve this quarter led by demand from vendor consolidation, technology productivity and improvements programs. As businesses look to scale and secure their digital infrastructure in response to growing customer demands for individualized content and services. There is a noticeable movement towards cloud services and cybersecurity.

- The Energy Resources and Utilities vertical continues to grow well. We have a strong pipeline of opportunities from both existing and potential clients. Key factors contributing to this strength include investments in advanced technologies such as AI, Gen AI, data analytics, and energy storage to enhance operational efficiency and reliability. There is a shift towards energy sources that will generate new markets and opportunities for energy companies.

- We continue to see traction in Growth Markets. Currently, we have a very strong deal pipeline, broad-based and robust TCV growth, led by a largely positive macroeconomic outlook, we expect to continue the momentum into the next fiscal. Key themes driving demand is public set in these

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markets, on improving citizen experiences and implementing technologies, ensure social responsibility and cyber resilience with an emphasis on hyper personalization and environmental commitments. We are working on nation-building transformation projects in these markets. Moving on to service practices. In Q4, AI, GenAI, data and cloud IoT, DE and enterprise solutions drove strong client engagements and growth. Our pipeline of AI, GenAI engagement is higher than in the last few quarters, and we saw a significant increase in deal wins across AI for IT and AI for business.

In FY '25, there was a noticeable shift in the cloud market with significant growth in sovereign cloud requirements, AI infrastructure investments and accelerated legacy modernization. These trends are driven by privacy real-time interest inference needs under demand for technological currency. Data modernization has paved the way for more AI and GenAI in business activities. There is an increasing demand for across industry GenAI use cases in the areas of contracts management, sales campaign content creation, customer servicing tech support smart data insights and talk to data, targeting higher productivity and better experiences.

The propensity to roll out more GenAI use cases to production is increasing, and the organizational barriers witnessed earlier were diminishing. There is evident maturity in the request for GenAI pilots with a sharper focus on business outcomes rather than mere experimentation. The demand for app and data migration-modernization to the cloud is also increasing, driven by the need for simplification and responsiveness to dynamic business demands across various sectors.

We also see an uptake of cloud FinOps and Center of Excellence services to enhance cost efficiency and service maturity. To give an example, TCS has been selected by South African state benefit scheme, Road Accident Fund to drive the cloud migration journey for improved operational resilience and better customer experience, driven by the vision to provide equitable and sustainable compensation system for motor vehicle accident victims. RAF partnered with TCS to realize its cloud-first strategy. As part of the engagement, TCS migrated RAF's core infrastructure, business applications workloads to the public cloud, ensuring increased capacity utilization and effective oversight of business-critical activities. The shift to cloud has not only helped RAF gain competitive advantage but also

enabled a robust claim process and increased delivery. TCS has also ensured skill transfer to our RAF employees, empowering them to make the maximum use of a scalable, automated and seamless cloud environment.

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Our strategy on AI and data is focused on three clear levers. Relevance, scale and trust. First, we are investing deeply in industry-specific and data solutions because clients don't want generic tools. They want outcomes tailored to their business. Second, we are building scale through a strategic partnership and a unified platform approach. And third, we are emphasizing responsible AI and data governance. We are confident of improving our market share from being the partner of choice for our customers. Let me share a few examples of recent deal wins in AI and GenAI.

- A large utility company in North America needs to manually inspect vegetation around its infrastructure. The scale is 5,000 plus per circuit, 50,000 circuit miles and more than 1.6 million

individual trees . TCS has been chosen to build AI/ML model based on data across LiDAR , satellite imagery, weather patterns, vegetation characteristics, wildfire incidents , etcetera. These models aim to improve tree trim inspection , trim prescriptions, budgeting, forecasting and yearly risk prediction example of welfare hazard, helping utilities and communities manage vegetation and reduce hazards .

- The European Energy and Digital Services Company has chosen TCS as a partner to launch the first AI factory for digital acceleration. It aims to build resilience to scalable AI solutions for energy, industrial and digital transition by leveraging TCS' innovation framework base. A few of the AI solutions include

- AI assistant for faster audits of plant energy consumption data, enabling high -quality decarbonization scenarios.

- The AI assistant for fire and safety field engineers to access multilingual fire safety protection standards from thousands of documents .

- AI assistant to review contracts and provide risk -related recommendations

- Voice Assistant for service risk transformation.

- TCS has designed a unified supply chain insight solution powered by Agentic AI for U.S. biopharma. It enhances the ability of the control tower function within this supply chain with self -service access to holistic insights from multiple sources. These sources span across structured and unstructured datasets and new articles.

- Our success is evident in our strong performance in analyst surveys in FY '25 , securing 43 leadership positions across AI data and cloud , of which 3 were in data, 31 in cloud and 9 were in AI.

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To conclude, our expertise in AI and digital innovation, coupled with the unmatched knowledge of customer context and global scale makes us a pillar of support for our customers in this environment of macroeconomic uncertainty. We remain committed to staying close to our customers and helping them achieve their core priorities, with TCS comprehensive portfolio of offerings, best -in-class capabilities, innovation and thought leadership.

Thank you. We can now open the line for questions.

Moderator: We'll take our first question from the line of Yogesh Aggarwal from HSBC Securities. Please go ahead.

Yogesh Aggarwal: Thank you. Hi, everyone. So just a couple of questions. Firstly, Samir at the media conference, you mentioned some tactical investments, which is why the margins were a bit weak this quarter. Can you elaborate a little bit?

Samir Seksaria: I meant tactical interventions , which had a sequential margin impact of 100 basis points . And those are primarily promotions, which were effective 1st of January.

Yogesh

Aggarwal: Okay. So just wondering, Samir, what drove it because the quarter growth was still slow, and you guys are not even certain about the wage hikes for next year when will they come into effect. So, what was the trigger behind these promotions which weren't planned earlier?

Samir Seksaria: It is not that promotions were not planned earlier. It is in its normal course. We were probably one of the only companies who gave a full cycle of increment also, starting at the beginning of the year. And these are not something which were unplanned .

Yogesh Aggarwal: Okay. Krithi, it's hard to be optimistic in the current environment. But usually in the past, after every crisis, there has been a tailwind for the IT industry as clients invest in various newer areas. So, in your conversations , once dust settles down on the tariff tantrums, do you think there are any new areas which could open up for the industry at least for the next one to two years?

K Krithivasan : Medium to long term, Yogesh, I definitely believe there will be in two ways . One is AI/ GenAI is gaining a lot of traction and momentum. And currently, while the

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immediate focus in many places has been on how we apply it on AI for IT, AI for Business is picking up a lot of traction. Like people are trying to see what are the use cases in the entire value chain, where they can deploy AI to improve customer experience, speed or whatever.

So I definitely believe that will gain even more traction. The second is, as we've been calling out, many organizations, the technology debt continues to be very high. So, tech transformation in many forms, like moving into cloud, moving out of legacy infrastructure, all of them will also gain steam, once people have more visibility and certainty on the medium to long-term. So, I would call out for these specific areas of growth potential.

Yogesh Aggarwal: Thank you.

Moderator: Thank you. We'll take our next question from the line of Sudheer Guntupalli from Kotak Mahindra AMC. Please go ahead.

Sudheer Guntupalli: Hi, Krithi. Thanks for the opportunity. Just a couple of questions. Firstly, you are still talking about the expectation of FY '26 being better than FY '25. This is despite the 8% decline in the full year bookings and some macro deterioration which we called out over the last four to five weeks. So, what is giving you this confidence? And are you betting on a major improvement in macro side going forward for this equation of FY '26 to be better than FY '25?

K Krithivasan: So, Sudheer, we have had two quarters of good TCV. And that's what one most important factor giving us confidence. And two is our belief. We can go wrong or believe that this uncertainty will be short-lived. And some clarity will emerge, and our clients will start investing towards more technology transformation programs or adopting technology. So, this is essentially based on client conversations we are having. And we believe some of the pauses we saw are more temporary.

Sudheer Guntupalli: Fair enough, sir. And the second question is the order booking this quarter has been very strong on a sequential basis. And you're saying there is no mega deal within this. Any color on how the mix between renewals and new deals would have played out vis-à-vis December quarter? If there are any major shift towards new or towards renewals?

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K Krithivasan: No, Sudheer, we've not been giving exact split. But in terms of percentage, there is no major change between renewal and new. And similarly, I can give another data point like between cost optimization programs as well as discretionary programs also, there has not been a major change

compared to last quarter.

Sudheer Guntupalli: Fair enough, sir. Thank you so much. All the very best.

Moderator: Thank you. We'll take our next question from the line of Ravi Menon from Macquarie. Please go ahead.

Ravi Menon: Thank you for the opportunity. You talked about how last quarter, I think that the deal durations are a little lower, and that means that the TCV will convert to revenue faster. So, should we think about the FY '25 deal wins in that context that although it's nearly 8% lower year-on-year because the durations are lower, still the ACV number is higher?

K Krithivasan: Ravi, if I remember right, we talked about the deal cycles being shorter. They're shortening in Q3. We did not say the deal durations are shrinking. And the deal cycles continue to remain where it was at Q3 level. We did not say in Q3, the deal duration has shrunk.

Ravi Menon: Thank you. So, the promotion cycle seems to be something that's unusual and I think that along with the wage hike deferrals seems to be conflicting signals. Could you explain a bit about that thinking? I mean, were these promotions that should have ideally been done last April and didn't happen, so it's almost a delay? How should we think about it?

Milind Lakkad: Yes. So, these promotions were planned and that's why they were carried out. The wage hikes are for FY '26. And that is why, basically, that is the reason why we are basically looking at the way there is uncertainty in the environment. Once clarity emerges and then we will decide, when do we carry out these wage hikes.



Ravi Menon: Thank you. And one last follow-up from me, if I may. Did you do a lot of higher- and lateral hires this quarter? Would that also be part of the reason why employee costs are up?

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Milind Lakkad: Our campus hires are going as per plan. Our lateral hires come in every quarter, depending on the business situation. That is how we have been operating all along.

Ravi Menon: Okay. Thank you.

Moderator: Thank you. Next question is from the line of Ankur Rudra from JPMorgan. Please go ahead.

Ankur Rudra: Hi. Thank you. Just to start with, can you clarify your comment about fiscal '26 better than fiscal '25? Is that for the whole business or is that only for the international business?

K Krithivasan: Ankur, it is for the international business. Definitely, we believe, FY'26 will be stronger than FY'25. But there is also an expectation that once the uncertainty settles on, there is an opportunity for us to deliver as a whole business also because we are constantly looking to replace the headwind. I think you guys are all worried about how the BSNL revenue is going to be replaced. We are also constantly looking at opportunities to replace this revenue domestically and internationally also.

Ankur Rudra: Okay. Thank you for the clarification. I just wanted to ask a bit about the wage increase. I think you've answered it in multiple ways, but just a clarification. In the last cycle, when were such promotions given? Is it along with the wage hike? Is it somewhere else? Is it sort of -- are you announcing such promotions?

Milind Lakkad: See, we have been giving promotions every year as per the cycle every quarter. And that is what we have been following. And we have done two cycles of promotions. And as per the plan, and that has happened this year. So there's -- this is done as per the plan for FY '25. There are absolutely no delays in this.

Ankur Rudra: Okay. Understood. So historically, this may be the same type of taken exist, maybe it's more visible this time versus the other periods?

K Krithivasan: Ankur, promotions depending on the grade happen throughout the year, almost every quarter. In July and January, we give more promotions because at that  
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time the senior grades are addressed. For junior grades, the promotions happen almost every quarter.

Ankur Rudra: Okay, understood. Thank you. Just a question on the AI side. You mentioned AI for IT and AI for Business. On the AI for IT side, is there any kind of deflation you see in your existing order book if you start to infuse AI proactively in existing projects? That's part one.

And part two on AI for business, is this a net new opportunity in case innovation is really being funded by savings on the legacy side like you were mentioning in your prepared remarks?

K Krithivasan: So, Ankur, on the first one, AI for IT, I won't try to call it deflation. We try to deploy AI in every project we do. And particularly, if there is AI for IT, because of AI if there is a productivity gain, we will try to share those gains with our customers. So, in that sense, that will be what we did with \$100 if we are able to do with \$95 or \$90.

And if I'm going to share a realized benefit, we will share the same with the customer. And on AI for business, most of it would be net new because these are programs not done before at all.

Ankur Rudra: But I understood from your comment that this was being -- I mean, at a budget level, it has been funded by saving on the legacy side.

Ankur Rudra: I think on the budget side you mentioned that customers are funding AI innovation by saving cost saving initiatives. So, is that what you meant?

K Krithivasan : That also happens . When there is a cost optimization , when customers have to do a new program, not all the funding will come from a new increase in spending . Some funding will come from savings on the existing program, which can come from AI for IT, if it saves something that can go towards funding a new AI for business programs.

So, when I said AI for business is net new, those programs are net new. Some funding can happen from cost savings that come from AI for IT.

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Ankur Rudra: Okay. Understood. Thank you so much and best of luck.

Moderator: Thank you. We'll take our next question from the line of Apurva Prasad from Franklin Templeton. Please go ahead.

Apurva Prasad: Thanks , Krithi, I'm trying to understand the current uncertainty that you mentioned in the business environment. So, the variability of, let's say, 2 percentage points from the beginning of the quarter expectation to where you finally ended. Is that largely a function of how March played out because the decline in the large program would have been fairly anticipated?

K Krithivasan : A good portion of that came from delays that happened in March. But I think from the middle of February, some sectors like this because this chatter started, particularly as I called out, when consumer confidence fell , it started falling towards the end of February itself.

So, like we said that some sectors, we had some delays and deferrals started happening in late February or third week of February, but a significant part of it is in March.

Apurva Prasad: Okay. And you touched upon this earlier, but how do you see the net impact of AI for business versus AI for IT playing out currently in the business and then your reckoning over the next few years because it's very clearly deflationary in the current service portfolio and because there seems to be more cost optimization and budgets are flat. So, the net impact between the two over the medium term in your reckoning?

K Krithivasan : Apurva , I can answer for this year. See, for instance, in one of our large deals we won , we demonstrated to our customer how AI for IT can save them significant cost . That resulted in the customer actually giving us a much large

return portfolio and resulted in market share gain. For TCS, it proved to be a net incremental in revenue, not deflationary.

So just because AI for IT can bring in productivity doesn't mean it has to be – reducing our overall revenue. It can help us with market share gain. And we do see instances. Currently , even otherwise also, we are not seeing instances

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where AI for IT is creating deflationary situation , and after including AI for business, we see net -net positive at this time.

K Krithivasan : But Apurva, just keep in mind like all these projects, we are not talking about huge material number at this time on these AI , we are doing a lot of projects , but many of them tend to be medium to small.

Apurva Prasad: Yes, you did indicate the pipeline is higher, but not quantify that, but I'll take that. And this is just finally, for Samir, on margins, if you're indicating that international markets are going to be better, '26 versus '25 and, let's say, lower impact of software license and equipment cost. What are the headwinds that you're seeing for '26 margins?

Samir Seksaria: Right. So I think if the current uncertainty prevails, like in the present circumstances that can lead to lower operating leverage as utilization will be impacted and sudden contraction in demand delays or deferrals can have an impact on margins , so that is one headwind. Secondly, we might not enjoy the margin benefit coming from currency movement as we have seen in FY '25.

Apurva Prasad: All right. Thank you.

Moderator: Thank you. We'll take our next question from the line of Vibhor Singhal from

Nuvama Equities. Please go ahead.

Vibhor Singhal: Yes, hi. Thanks for taking my question. K rithi, just a little bit of more color on the overall environment that we are seeing at this point of time. So, at this point of time, is it fair to say that the uncertainty that we are seeing or the delayed decision making that you talked about is actual ly present across the segments or is it more prevalent in, let's say, verticals which are directly impacted by the tariff implementations like manufacturing on retail? Any color on the vertical - wise conversations that would be really helpful?

K Krithivasan : There is some impact across the board, but there are some sectors more impacted than others. For instance, our consumer business, you're seeing more impact like retail, CPG, airlines, travel hospitality, we see more impact. Similarly, there is an impact in the auto sub segment within manufacturing.  
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But if you take BFSI , by and large the segment is doing okay. There is some softness in insurance. This is a general color I can give you, Vibhor, in terms of the industry level detail.

Vibhor Singhal: And any color on hi -tech also. I mean we have seen a lot of the hyperscalers and companies talking about softness. Anything on that side?

K Krithivasan : Our hi -tech segment per se is not significantly impacted. But we classify professional services under the overall tech services umbrella . Professional services have some softness.

Vibhor Singhal: Got it. Fair enough . That's really helpful. Samir, you've talked about the headwinds and tailwinds that you're looking at for the margins next year. But as Krithi has mentioned that we are looking for the developed markets at least to grow higher than FY '25. If that situation prevails, should we expect margins in FY '26 to be also better than what FY '25 margins were?

Samir Seksaria: Yes. So overall, our aspiration for revenue growth with profitability and operating margins getting closer to 26% still remains. And I think -- so to your direct question, yes, we should be able to improve m

argins. And that -- I mean, one broad -based revenue growth should bring in efficiencies and better operating leverage. And the levers which we have been banking o n still continue to provide some potential like the ones of pyramid , productivity and realization.

Vibhor Singhal: Got it. That's really helpful. Just one last question, if I may squeeze in. I mean, I know we've talked about our business de -risking our selves from the dependence on H 1B visa and all. But there are any changes to that you see at this point of time that with the strong anti -immigration stand that the government seems to be approaching?

Do we need to make any changes or any kind of different hiring that you envisage over the coming quarters? Or do you think it's going to be business as usual for us on that front?

Milind Lakkad: I think it has been the same, whatever we got the H1B visa s last year, our actual ratios are even better this year. And moreover, basically, our model is  
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global. We will continue to hire people globally and historically proven that these H1B visa do not affect our business model.

Vibhor Singhal: Got it. Thank you so much for taking my question. I wish you all the best.

Moderator: Thank you. We'll take our next question from the line of Gaurav Rateria from Morgan Stanley . Please go ahead.

Gaurav Rateria: Thanks for taking my question. The first question is with respect to a comment that you made in your press release that over a third of your client engagements use AI, Gen AI for accelerated project outcomes and high quality. Just trying to understand, is it referring to the overall projects that you work with your clients in the entire business, one third of your all projects have some or other element of AI from a software engineering perspective ? Any color on

that will be helpful .

K Krithivasan : See what's happening is , any program that we sign today, there is a request and expectation from the customer that there would be a leverage of AI. It need not necessarily mean that the whole program will be done in AI.

There'll be an expectation that for some aspects of Software Engineering, we'll leverage AI , and through AI, it will be expected to deliver a certain amount of productivity. So, this is a normal course because as more and more ADM projects come up for renewal? Or even without coming up for renewal, there will be expectations from customers. We will keep them future -ready by infusing AI. We don't see any -- and the productivity benefits if we realize, we pass it on, our share with the customer.

Gaurav Rateria: Got it. My second question is on your strategy for talent for building AI for Business. Have you seen any change in your mix of hiring, either from campus or laterals which kind of changes the quality versus quantity from a futuristic perspective? And would that also mean that there have been some up -front investments in the P&L, which will accrue to you in terms of greater demand in future?

Milind Lakkad: So, I think if you look at our train ee intake , yes, the percentage of hires we have in digital is 40% compared to 17% last year. So that definitely changes

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from a standpoint of a mix -- and 50% of our lateral hires are coming in with high-end skills, including AI/GenAI and others as well.

Gaurav Rateria: Okay. And lastly, Krithi, getting into the 1Q, how would you see your visibility for a quarter at least? And how do you compare that to last year when you were getting into 1Q? Is it similar, better, worse? Thank you.

K Krithivasan : I'd say, when we got into Q1 of last year, probably we had more visibility than what we have today. But at the same time, we

are entering the quarter with

two good quarters of TCV also. As I said, I believe this current uncertainty will be more short lived and more clarity will emerge.

And once that emerges, we'll be very confident of the quarter. So compared to last Q1, I would say we are -- maybe there is more uncertainty. But at the same time, we are entering with a strong TCV and pipeline for the future .

Gaurav Rateria: Thank you and all the best.

Moderator: Thank you. We'll take our next question from the line of Kumar Rakesh from BNP Paribas. Please go ahead.

Kumar Rakesh: Thank you for taking my question. My first question was around margins. So you spoke about that there is a 60 basis point impact on marketing exercises.

Is that one-time in nature or will that be recurring going forward? And also, the promotion spending, which you said that is the usual part of your planned program. So, if you can give some understanding what it was like last year during this quarter?

Samir Seksaria: Okay. I'll handle the first one in terms of the 60 basis points. So these were mainly marketing interventions, higher travel, some purpose -driven initiatives or CSR expense. Nothing unusual, you'll have pluses and minuses each quarter. So, it's not very significant to call out as an exceptional or a onetime item. I'll let Milind answer on what the number of promotions were last time.

Milind Lakkad: Our promotion cycle in FY '25 was exactly the same as what we had in FY '24. There is no material difference between the two cycles or between the two years.

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Kumar Rakesh: Understood , thanks for that . My second question was on the deal TCV, which has picked up over the last two quarters and that would be one of the areas which could be giving you confidence going into FY '26? But can you give some color on what has changed between from first half to second half. Maybe some color on if what has been the mix, how the deals have changed between these

two periods?

K Krithivasan : Yes.To some extent, in 2H, TCV tends to be lumpy. I don't want to read too much into something change, okay? But what happened is we were able to close more deals compared to before .

Similarly, in terms of mix also, I don't see a significant mix change between 1H and 2H, in terms of discretionary versus non -discretionary or renewal vs new. The mix has been, by and large, the same. So there is no major difference. But as I said, there have been more closures in Q3 and Q4, resulting in higher TCV.

Kumar Rakesh: So better execution and possibly better decision -making?

K Krithivasan : I would say, faster and more decision -making, execution continues to be more focus ed from our teams.

Kumar Rakesh: Understood. Going forward, at least in the first quarter, do you have reasonable confidence that this momentum should continue into next year?

K Krithivasan : So, that's what we see like , TCV is very difficult to predict because it changes based on even the customer delays a decision by a week or two, it can cross over a quarter. So, what we can talk about is our pipeline. Our pipeline continues to be strong at a very high level and so it gives us the confiden ce. As decisions are being made , we will have a strong win rate, and we'll be able to report a good TCV. But it can change . From quarter -to-quarter comparison on TCV, it will be very difficult to make some sense or draw meaningful trends unless the re is a huge difference .

Kumar Rakesh: So, on the pi peline side, quarter -on-quarter it has been steady or positive.

That's fair to sa y?

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K Krithivasan : It has been steady and slowly increasing.

Kumar Rakesh: Perfect. Thanks a lot.

Moderator: T

hank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to management for closing comments. Over to you.

K Krithivasan : Thank you, moderator.

In FY '25 , our revenue grew by 4.2% year-on-year in constant currency, with an operating margin of 24.3% and a net margin of 19%.

We are pleased with the strong TCV of 12.2 billion in Q4 , with sharp uptick seen across markets and industries.

We are monitoring the global situation very closely. We continue to stay close to our clients and strive to be the partner of relevance at all times . I would like to thank all TCS ers for their effort and unwavering dedication to realizing their own and company's potenti al.

We are looking forward to the promising opportunities that 2025 will bring to us with cautious optimism. With that, we wrap up our call today. Thank you all for joining us.

Moderator: Thank you, members of the management team. On behalf of TCS, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

Note: This transcript has been edited for rea dability and does not purport to be a verbatim record of the proceedings.

## Call: Jul 2025

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Tel 91 22 6778 9595 Fax 91 22 6630 3672 e-mail corporate.office@tcs.com website www.tcs.com  
Registered Office 9th Floor Nirmal Building Nariman Point Mumbai 400 021  
Corporate Identity No. (CIN): L22210MH1995PLC084781

TCS/SE/ 71/2025-26

July 14, 2025

National Stock Exchange of India Limited BSE Limited  
Exchange Plaza, C -1, Block G, P. J. Towers,  
Bandra Kurla Complex, Bandra (East) Dalal Street,  
Mumbai - 400051 Mumbai - 400001  
Symbol - TCS Scrip Code No. 532540

Dear Sirs,

Sub: Transcript of the earnings conference call for the quarter ended June 30, 202 5

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter ended June 30, 202 5, conducted after the meeting of Board of Directors held on July 10, 202 5, for your information and records.

The above information is also available on the website of the Company: [www.tcs.com](http://www.tcs.com)

Thanking you,

Yours faithfully,

For Tata Consultancy Services Limited

Yashaswin Sheth  
Company Secretary  
ACS 15388

Encl: As above

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Tata Consultancy Services Limited  
Q1 FY '26 Earnings Conference Call  
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Moderator: Ladies and gentlemen, good day, and welcome to the TCS Earnings Conference Call. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to M s. Nehal Shah from the Investor Relations team at TCS. Thank you, and over to you.

Nehal Shah: Thank you, operator . Good evening, and welcome, everyone. Thank you for joining us today to discuss TCS' financial results for the first quarter of fiscal year FY 2026 that ended on June 30, 2025. This call is being webcast through our website and an archive, including the transcript, will be available on the site for the duration of this quarter. The financial statements, quarterly fact sheet and press releases are

also available on our website.

Our leadership team is present on this call to discuss our results. We have with us today Mr. K Krithivasan , Chief Executive Officer and Managing Director.

K Krithivasan : Hello, everyone.

Nehal Shah: Ms. Aarthi Subramanian, Executive Director, President and Chief Operating Officer.

Aarthi Subramanian: Good evening, everyone.

Nehal Shah: Mr. Samir Seksaria, Chief Financial Officer.

Samir Seksaria: Hello, everyone.

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Nehal Shah: And Mr. Milind Lakkad, Chief Human Resources Officer.

Milind Lakkad: Hi, everyone.

Nehal Shah: Our management team will give a brief overview of the company's performance followed by a Q&A session. As you are aware, we don't provide specific revenue or earnings guidance, and anything said on this call, which reflects our outlook for the future, or which could be construed as a forward -looking statement must be reviewed in conjunction with the risks that the company faces.

We have outlined these risks in the second slide of the quarterly fact sheet available on our website and email out to those who have subscribed to our mailing list. With that, I would like to turn the call over to Krithi.

K Krithivasan : Thank you, Nehal. Again, good day, everyone. During our April 2025 earnings call, we had called out delays in de

cision -making and projects

start with respect to discretionary investments. This trend has continued and intensified to some extent in this quarter. Global businesses were disrupted due to conflicts, economic uncertainties and supply chain issues. We saw cost pressures in our customers causing previously unseen project pauses , deferrals and decision delays that resulted in less than expected revenue conversion.

In this backdrop, our quarterly revenue declined by 3.1% year-on-year in constant currency terms.

Our operating margin was 24.5% and the net margin was 20.1%.

Our total value of contracts signed in Q1 FY 26 was \$9.4 billion , up 13.2% year-on-year.

These headline numbers must also be read in the context of successful completion of a very large strategic program of national importance last quarter.

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Looking ahead, enterprises realize the need to invest in being perpetually adaptive and require a dependable partner that can provide them with not only the right capabilities, but also the scale and maturity to manage a dynamic environment. TCS aims to be that partner that helps our clients withstand short -term disruptions, even while executing their transformation strategy , for long -term value creation. In this context, we are very confident in the robustness of the demand as well as the strength of our business model from a medium to long -term perspective.

I would also like to inform you that this will be Milind's last earnings call. He has had a stellar and distinguished record of service for 38 years in this industry. Joining TCS as a trainee in 1987, he rose to lead the manufacturing business group and subsequently the CHRO. On behalf of TCS, I would like to thank him for all his contributions .

I'll now invite Samir and Milind to go over different aspects of our performance during the quarter. I'll step in later to provide more color on the demand trends we are seeing. Aarthi will further share an update on our services. Over to you, Samir.

Samir Seksaria: Thank you, Krithi. Good day, everyone.

In the first quarter of FY '26, our revenue was ₹63,437 crores, which is a year-on-year growth of 1.3%. In dollar terms, the revenue was \$7,421 million, a year-on-year decline of 1.1%. And in constant currency terms, our revenue declined 3.1%, on a Y-o-Y basis.

Our Q1 operating margin stood at 24.5%, reflecting a sequential improvement of 30 basis points. We built up capacity and continued our investments during the quarter with a long-term focus. The demand contraction during the quarter had an impact on our utilization and was offset by lower third-party costs and currency.

Higher other income and lower effective tax rate for the quarter helped boost our net income margin to 20.1%. Our EPS grew 6% Y-o-Y.

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Our accounts receivable was at 75 days DSO in dollar terms, up five days Y-o-Y.

Net cash from operations was \$1.5 billion, which is a cash conversion of 100.3% of net income. Free cash flows were at \$1.3 billion and invested funds at the end of the period stood at \$5.7 billion.

The Board has recommended an interim dividend of ₹11 per share.

With that, I'll hand over now to Milind.

Milind Lakkad: Thank you, Samir. Our workforce at the end of the first quarter was 613,069. Net attrition during the quarter was over 5,000 employees. We have honored all the job offers, and we'll do so for the rest of the year. Lateral hiring will be recalibrated based on the demand outlook.

We continue to invest significantly in our business to stay relevant to our customers with changing technology needs. In this quarter, our associates invested 15 million hours in building expertise in emerging technologies,

enabling them to lead the transformation journey for our customers. It is gratifying to note that TCS now has 114,000 people with higher order AI skills.

Our LTM attrition in IT services was at 13.8% at the end of Q1, up 50 bps sequentially.

I will now request Krithi to speak on the various demand drivers during the quarter.

K Krithivasan: Thank you, Milind. During the quarter, enterprises remained focused on cost optimization, vendor consolidation and efficiency-led technology transformation. Discretionary spend continues to remain under heightened scrutiny and pressure. However, enterprises focused on scaling AI adoption across applications, workflows and data performance remain strong.

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Our approach at TCS integrates expertise in deploying technology blended with contextual knowledge of enterprise, data, business processing, industry strength and change management.

You will see our capabilities in action through real-world examples spanning industries and service areas, which we'll go through with the help of a few customer case studies.

BFSI:

In America, BFSI clients are cautious with tech investments as they assess the current economic uncertainty. Growth is being driven by rapid advancements in GenAI adoption, platform modernization, and automation. Clients are focusing on regulatory readiness, data governance and cost efficiency through technology rationalization. There is growing demand for integrated digital solutions that enhance customer experience, ensure compliance and enable scalable operations across banking, capital markets into insurance, wealth and payment segments. Banks are actively pursuing legacy and mainframe modernization to streamline operations and improve system resilience. Discretionary spend is under pressure.

The softness that we had called out earlier in U.S. insurance continued



throughout the quarter. However, we are seeing insurance doing well in Europe. BFS continues to remain cautious in Europe and U.K. We believe the current caution in BFS is temporary as there's a lot of unmet demand.

CBG :

Moving on to the Consumer business group. This was one of the most affected sectors in this quarter. Widespread industry challenges resulted in funding delays, project postponements and delayed milestone completion. However, we continue to work on transformative programs across all industry segments.

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- A leading U.S. specialty retailer partnered with TCS to overhaul its product information ecosystem that is critical for driving sales, forecasting, and data-driven merchandising. This is an initiative of strategic importance that had previously faced significant implementation challenges, including fragmented data ownership and complex system landscape. Leveraging big domain and contextual knowledge, TCS designed and implemented an interim solution with a robust SaaS-based product information management platform that's integrated with multiple legacy systems. TCS established scalable data flows, that ensured end-to-end data quality and governance, enabled advanced analytics, and empowered vendor-led asset management. The transformation delivered a 3x increase in SKU creation and maintenance speed, unlocked significant annual savings by eliminating manual attribution and enrichment efforts, improving time-to-market, operational efficiency and enhanced customer management.

Manufacturing :

Although the automotive sector faced significant challenges and reduced spending, the manufacturing vertical as a whole, showed minor growth. Amidst the uncertain environment, clients are aiming to lower their overall technology debt and are investing in initiatives intended to

ded to

prepare their technology infrastructure for future demands.

- TCS and Jaguar Land Rover have a long-standing strategic partnership, encompassing various aspects of technology, innovation and sustainability. This collaboration is evident in areas like software-defined vehicles, customer experience and the Jaguar TCS Racing Formula E team.

At the Formula E World Championship, top performance depends on time-critical data analytics. Whether at the racetrack or at the team base, Jaguar TCS Racing engineers need timely access to this data to make informed decisions about car set-up and race strategy.

Undoubtedly, this is where championships are won or lost !

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While Formula E races often take place on temporary street circuits and with tight regulations, Jaguar TCS Racing can't often practice on physical circuits or run in-person tests. Regardless, teams must still find ways to develop top performing cars. We set out to help solve this challenge by enhancing the team's digital twin technology so that it can run more simulations, generate more data, and validate software code.

TCS's automotive data science team developed the Virtual Vehicle Validation Model (V3M), which instructs the digital twin of the Jaguar I-TYPE 7 on how to navigate a track based on various inputs. This model runs continuous simulations, saving engineers critical time during race preparation and enabling them to make last-minute changes to the vehicle software in pursuit of performance gains. Having confidence

that the simulator results are accurate, enables the team to unlock creativity and innovation elsewhere.

#### Life Sciences and Healthcare :

Life Sciences customers are exercising caution. They are focusing on essential business activities with some growth initiatives postponed or their schedules put under review. The pharmaceutical sector is grappling with pricing, supply chain issues and export risk. Companies are prioritizing R&D, profit margin and operational efficiency. Leading firms in the U.S., U.K., Europe and Japan, are consolidating vendors and business services while leveraging AI.

The recent passage of the "Big Beautiful Bill" in the U.S. includes nearly \$1 trillion in Medicaid funding reduction over 10 years, rollbacks to Affordable Care Act and \$500 billion in Medicare spending reductions amongst most of other changes. These changes are expected to severely impact the earnings of Medicaid focused insurers, hospital operators, diversified Medicare insurers amongst us.

In Healthcare, payers are trying to optimize costs due to rising medical expenses. Preauthorization delays and claim denials are causing  
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friction with providers. Key priorities are affordability, transparency, simplification, and improved patient experiences. Clients are modernizing core systems, exploring data marketplaces, cyber resilience, and AI in the SDLC, though budget constraints hinder approvals.

The MedTech industry is witnessing regulatory scrutiny, demand changes, cost pressures, regional consolidation, new business models, and higher customer expectations. This has put pressure on supply chains to cut costs.

#### Energy, Resources and Utilities :

The ERU vertical faced reduced spending and capital investments due to policy changes and geopolitical tensions. However, we are working on many transformative engagements, like rebalancing of supply chain, grid optimization etc.

- For a Fortune 500 Utility in the US , we are consolidating and transforming their Advanced Metering Infrastructure solution across their operating companies. This major business transformation includes advanced features such as load profiling, forecasting, settl

ement, and real time energy consumption management. The system also helps in proactive outage management and provides capabilities for remote operations. The solution will not only transform the customer experience across multiple states in their service territory but will also set up a strong foundation for network analytics and renewables integration.

#### Tech SS :

The Technology & Services industry sustained growth across all markets this quarter. In this quarter, AI has established itself as a fundamental driver of product innovation across all sub-segments under Tech SS. Enterprises continue to defer business transformation initiatives and prioritize targeted technology transformations that deliver significant operational efficiencies and cost savings.

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#### CMI:

In the Communications, Media, and Information vertical, enterprises are re-evaluating their priorities with a strong emphasis on AI and automation, diversification, cost optimization and vendor consolidation. With subscriber

growth plateauing and competition intensifying, AI -driven innovation helps CMI companies rethink business models and diversify revenue streams. With AI, the CMI industry is aiming to transform every stage of the workflow, including enabling strategic decision making, content generation, and audience personalization.

- Foxtel Group , Australia's leading streaming subscription television company, partnered with TCS to transform their customer service operations by increasing the consistency and speed of responses to customer queries and addressing the challenge of increasing cost of services. TCS deployed advanced GenAI capabilities powered by a leading AI platform model to drive measurable business impact.

The transformation began with a comprehensive verification of the knowledge base architecture, ensuring information was easily accessible and up to date . Implementing the AI -powered solution was a game - changer, enabling the automation of conversation summaries and enhancing data security measures. This holistic approach ensured that customer interactions were not only efficient but also secure.

TCS played a pivotal role in this transformation, bringing in domain and technical expertise, contextual knowledge and proprietary assets. By integrating advanced AI capability, Foxtel achieved faster response times and higher first -call resolution rates, significantly improving the customer experience. Agent productivity saw a notable increase , and customer engagement improved, while the total cost of ownership for Foxtel came down. During the quarter, TCS and Foxtel Group also won the AI Pacesetter Category at the 2025 ISG Paragon Awards ANZ in recognition of this impact.

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Moving on to our portfolio of products and platforms , they continue to help us in developing bespoke solutions for our clients.

- ignio™, our cognitive automation software suite, saw multiple new deal wins. Evolving technological trends in AI, Agentic AI and GenAI are leading to increased investments in AI -based systems and intelligent automation. These developments are accelerating ignio's prominence as more customers implement autonomous enterprise solutions.

- We continue to build on our leadership position in the UK Life and Pensions market, with key programs going live on our BFSI Platform.

- o Now Pensions Limited , one of the major workplace pension providers in the UK, offering Auto Enrolment for its employers and members, went live on TCS BaNCS™. They are also leveraging our intelligent experience solutions for all digital and mobile. The program consolidates multiple legacy systems on TCS BaNCS, leveraging secure real -time seamless integration w

ith Pension Lab (a leading pension aggregator in the UK market ) to drive business growth. We have migrated over 100,000 employers , and more than 3.3 million policies to our platform.

- o Lloyd Banking Group has gone live with TCS BaNCS for wealth administration solutions. This is a refreshed offering we have created and is a major milestone for the Transfer Agents industry, with innovation being introduced, where legacy systems are the norm today. With strict UK CASS regulations, the solution has been designed to have high S TP of all banking, reconciliation , and controls, reducing the risk of any breach to the regulator.

The design allows the Operations staff to handle customer requests with one click, improving satisfaction for both customers and staff. Customers receive one consolidated communication and can make a single payment for multiple deals or funds, streamlining the investment process.

We expect the se go lives to further expand our position in the UK.

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- TCS iON , our platform for digital assessment, exam administration and learning, has continued its impressive performance. We have partnered with prestigious institutes of national importance, such as IIT and IIM.

- This quarter, we released the latest version of TCS MasterCraft™ augmented with GenAI and Agentic AI. This solution automates the process of modernizing legacy applications, thereby significantly reducing the cost and time required for manual conversions. The GenAI and Agentic AI enhancements will allow organizations to mine business logic faster and more accurately. The automation driven by the latest version of TCS MasterCraft can save up to 70% in costs and achieve results up to twice as fast as traditional interventions.

All the customer case studies we spoke of illustrate the impactful projects we undertake in collaboration with our clients and technology partners. Our solutions are driven by continuous upskilling of our talent, investment in R&I, contextual knowledge of enterprises and investments in creating products and platforms such as ignio™, TCS BaNCS™, TCS ADD™, and TCS Cognix™, all supported by strong partnerships within our technology ecosystem.

Let me conclude by saying that we have had robust deal closures this quarter, and our total value of contracts signed in Q1 of FY 26 is \$9.4 billion . North America TCV was \$4.4 billion . BFSI TCV was \$2.5 billion , and Consumer Business Group contributed \$1.6 billion .

Our deal pipeline continues to be very healthy and well distributed across verticals and geographies, and that gives us confidence on our customer centric strategy.

With Aarthi now leading all the service lines, we are broadening our leadership in emerging technologies and aim to bring even more seamless integration across our service offerings.

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With that, let me hand over to Aarthi, for giving more color on our service offerings.

Aarthi Subramanian : Thank you, Krithi. This is my first quarterly earnings call after I took on the role and it is a pleasure to be here with all of you. I would like to provide some update on our Service Line offerings and the impact they created for our customers during the quarter .

Let me begin with AI and Data :

- We are seeing enterprises move beyond small -scale, use -case centric pilots to disciplined, production -grade rollouts that tie GenAI directly to business outcomes. Customers' spend is clustering around three themes: AI -led business transformation, AI -enabled SDLC/IT -Ops and data-platform modernization that sets the foundation for Agentic AI at scale. Vendor -consolidation plays, and Sovereign AI Cloud deployments are starting to point to a

maturing AI & Data market that now demands security guardrails and observability by default. TCS is leaning into this inflection with new offerings in Agentic AI, and AI infusion in our services . Our investment in WisdomNext, our leading AI platform, is expanding with the addition of agentic AI capabilities. We continue to scale our workforce on AI and deepen AI & Data partnerships across both Hyperscalers and native AI & Data companies.

I would like to share a couple of examples:

- AmTrust, the New York based multinational property and casualty

insurance company , chose TCS to develop a solution using large language models to extract risk information, generate a quote against the competition and create a personalized summary. This new solution replaced the previous method for doing the same , which had brokers re-keying in a lot of data manually and reduced the time for quote extraction and generation from 30 minutes to 5 minutes for the brokers.

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Brokers also benefit from comparison, recommendation and personalized summaries, as it reduces the need for manual analysis and comparison to understand customer quotation. This innovative solution received the Celent Model Insurer 2025 award in the "Customer Experience Transformation" category.

- TCS is collaborating with Owens Corning to co-develop GenAI - powered solutions that enhance knowledge search and enable intelligent automation. These efforts are aimed at empowering employees with faster access to relevant information, streamlining routine tasks, and improving decision-making. By reducing manual effort and supporting greater efficiency, the partnership is helping build a foundation for more agile, responsive operations, without disrupting existing business processes.

Moving on, I would like to share a couple of highlights of marquee engagements on the leading Hyperscaler Public Cloud platforms:

- TCS helped a leading Electronics Retailer in the US to re-launch the midnight store opening model and successfully completed a gaming product launch within a very short window. TCS leveraged its Peak Season framework to plan, forecast the demand, implement cloud-based real-time monitoring of the traction traffic, and ensured stability of the Store operations. The TCS solution helped open more than 1000+ stores across the Americas at midnight to drive additional sales of more than 100,000 units within 2 hours, resulting in substantial incremental revenue for the Retailer.

Enterprise Solutions continues to be an area of investment for our customers. Clients are increasingly investing in streamlining their business workflows and modernizing their digital core by adopting AI powered SaaS platforms.

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- An American multinational energy conglomerate chose TCS to help embark on a commercial transformation journey to establish new business models. This included modernizing their existing commercial platforms to introduce subscription-based models as well as deliver enhanced customer experience and reduced technical debt.

TCS designed and modernized their current commercial platforms with the implementation of a robust subscription management system, leveraging leading SaaS based CRM and CPQ platforms. Expected business outcomes include a 70% reduction in cycle time in the lead-to-cash cycle, and a 20% increase in customer satisfaction.

- A large European pharmaceutical and agrochemical company partnered with TCS to redesign and harmonize their end-to-end processes and create a resilient backbone productivity, improved leveraging a leading ERP platform as part of a transformation across all of the client's businesses with

a view to create a "Single Source of Truth" for their downstream analytics in order to achieve increased

productivity, improved time-to-market and reduced inventory. This is a multi-country, multi-year program of which the first pilot country went live successfully this quarter.

#### Cyber Security :

All of us know organizations are prioritizing cybersecurity to protect sensitive consumer data, ensure trust, and safeguard brand reputation. This quarter the focus of our customers has been on Identity and Access Management, Managed Detection & Response, and Governance, Risk & Compliance Services. We are also seeing increased traction for Enterprise Attack Surface Management, Cloud Security, Data Security and Network Security.

- For a leading Transport organization in Europe, we recommended Information Security and IT Governance practices for AI Assets against various industry standards, including the EU AI Act regulatory
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requirement, thereby enabling the customer's organization to establish revised security governance and controls .

- We also provided strategic recommendations for a leading global biopharmaceutical company, aimed at maturing Identity and Access Management (IAM) practices towards industry-leading standards, enhancing the robustness and efficiency of IAM controls .
- By adopting AI-powered threat detection, secure transaction frameworks, and robust compliance solutions, businesses are strengthening their defenses against evolving threats while maintaining operational integrity and customer confidence.

The last service line, I would like to talk about is TCS Interactive.

- During Q1, businesses focused on operational excellence and innovation, harnessing data and AI for better performance. TCS Interactive enhanced customer experience and marketing through "Creative Engineering powered by AI."

- In Q1, we successfully executed a precision-marketing campaign for the after-sales division of a global automotive OEM . Leveraging our AI-powered TwinX™ digital-twin platform, we simulated over 100,000 campaign variants, systematically filtering out low-performing strategies and replacing conventional 'spray-and-pray' emails with data-driven, personalized targeting. To rigorously validate the platform's recommendations, we conducted a randomized control trial (RCT), comparing outcomes between TwinX-driven customer groups and traditional approaches. Within just one month, the pilot delivered a statistically verified 5x increase in dealer visits, a 2x increase in parts-and-service revenue, and nearly 40% reduction in weekly P&L volatility . Building upon these robust outcomes, we are now collaborating with the client to embed TwinX into subsequent service campaign cycles, further strengthening customer retention and revenue predictability.

With that, I would like to open the line for questions.

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Moderator: Thank you very much. We'll take our first question from the line of Sudheer Guntupalli from Kotak Mahindra AMC. Please go ahead.

Sudheer Guntupalli: Hi, team. Thanks for the opportunity. Krithi, just a couple of questions. So apart from the BSNL deal, are there any other client-specific situations you might be going through in any vertical or geography?

K Krithivasan : No, there is no specific client situation now.

Sudheer Guntupalli: Okay, sir. And just some clarification on your comment in the Press Meet, are you still reiterating that FY '26 will be better than FY '25 at the overall company level or more so you're talking about the core markets?

K Krithivasan: Sudheer, at this time we are confident the international market will do

better in FY '26 than FY '25. However,

it is our aspiration to continue to drive growth in company overall growth itself. But it is like a high bar to cross but we will work towards that.

Sudheer Guntupalli: Understood, sir. And last question from my end. So, you mentioned that by July end, probably we'll see some clarity in pent-up demand. From the time that U.S. started announcing the trade deals with major trading partners like China, U.K., etcetera. Are you seeing that the peak of the uncertainty is already behind and there is some amount of improvement in the client decision making process?

K Krithivasan : We have not started seeing that so far, Sudheer. Because as we know, like even with China , unless they have framework deal like the actual deal and tariffs are not being announced. And my guess is that till almost all the trade deals are announced, there will be this lack of clarity.

Sudheer Guntupalli: Got it. Thank you so much.

Moderator: Thank you. We'll take our next question from the line of Kumar Rakesh from BNP Paribas. Please go ahead.

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Kumar Rakesh: Hi, good evening and thank you for taking my questions and welcome Aarthi to the TCS team. My best wishes. My first question was it appears like decision -making, which you spoke about , deteriorated towards the end of the quarter. What are the risks to the September quarter?

What I'm trying to understand is all the project delays and the pauses which happened during the quarter, is it fully reflected in the number which we have reported or there's more to come into the September quarter as well?

K Krithivasan : Whatever delays that we had have been to a great extent factored into our Q1 numbers. Of course, there will be some small residual effect in Q2 as well. And if there are no further delays, Q2 should be at least better than Q1, but we need to wait and watch based on what happens in the market.

Kumar Rakesh: Thanks for that. My second question was on margins. So, before we entered with the BSNL deal, our margin was trending about 25% -26% at EBIT level. And understandably after that the margin came down. And now we have exited from the BSNL deal, but our margin is below the levels where it was prior to BSNL deal.

Now between this period, you have lowered your SG&A expenses. I imagine that your employee pyramid also would have improved. You have spoken about how productivity has improved over the last 1 year and pricing also seems to be stable. So, what is pulling down your margin compared to where it was before the BSNL deal?

Samir Seksaria: A good comparison would be the year -on-year margin. And yes, it's 20 basis points down on a year -on-year basis. Through the year, like we have called out on in our earlier quarterly earnings commentary also, we have continued to make investments in people . like we had called out in Q4.

And overall, the investments which are required for long -term growth continue. I n this quarter as well, we have invested in capacity. We

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continued our investments and that is what is reflecting into our margins . Having said that, if you look at it, the capacity versus the demand contraction mismatch , leads to us carrying excess capacity or additional capacity, which should help us in our future demand.

Going forward, we should be able to further tighten our operating leverage. And Kumar, if you remember last quarter, we said that if uncertainty continues, we might have impact or lower operating leverage.

Kumar Rakesh: Thanks , Samir for that. Just one clarification on the international revenue to be similar to last year, which you have spoken about. Is that

in USD terms you're talking about or constant currency, because on a full year basis,

we'll have a sizable cross -currency impact?

Samir Seksaria: Constant currency terms. Like -to-like the international revenue to international revenue, constant currency term.

Kumar Rakesh: Got it. Great. Thanks a lot and that's all from my side.

Moderator: Thank you. We'll take our next question from the line of Ankur Rudra from JP. Morgan. Please go ahead.

Ankur Rudra: Hi. Thank you. My first question is in terms of the weakness you've seen across a range of industries, and you did highlight it's a little bit the trade affected sectors and geopolitics in general. Could you also mention if there's any kind of -- I wouldn't say pricing pressure, any kind of out -of-turn demand for productivity pass -through that you may be seeing in across industries, perhaps more because of the current demand environment?

K Krithivasan : Ankur, pricing has been reasonably stable at an overall level. But if you ask like is there any demand on productivity, there are instances where large deals are coming up for re -negotiation , there is a demand for productivity, either -- we don't see much coming as a pure discount, but  
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coming as AI -infused productivity or generic otherwise also a normal productivity.

But it is not industry specific. I would say it's more based on the size of the deal or the tenure of the deal.

Ankur Rudra: Will this impact the revenue conversion from the signings because we've had our book to bill at about 1.3 for a while, but our revenues haven't picked up. I understand some of it is more near term because of the recent trade uncertainties. But do you think AI-infused profit pass -through might impact the revenue conversion we might have in the medium term?

K Krithivasan : Revenue conversion from signing is not impacted because of productivity . Because usually the productivity is given up at the time of signing. So, once we sign, we don't see demands on productivity during the term of the deal, normally, if at all it happens to be very, very rare. We are giving as I said AI -increased productivity, but it's when we signed the deal itself.

Ankur Rudra: Okay. Thank you for the clarification. Could you talk a bit about how the pipeline replenishment is going on? I understand in the near term, there's been some deferrals and delays, but in terms of overall pipeline formation, how is that progressing?

K Krithivasan : Ankur the overall pipeline has remained quite strong. We measured it in terms of pipeline from multiple industry verticals as well as geographies. On both dimensions, the pipeline has remained strong. We have been able to replenish all the deal closures that happened in Q1.

Ankur Rudra: Okay. Just the last question on margins. You did highlight that you're investing in talent, which is why margins haven't picked up despite the BSNL ramp down. Now, you have a new BSNL contract that will be ramping up perhaps from the next quarter onwards. Isn't there going to  
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be a significant headwind on margins? How should the margin trajectory be for the rest of the year? Are there any levers you might pull to hold your margins here?

Samir Seksaria: Ankur, like I said, we invested into capacity, anticipating growth this quarter . While we saw a demand contraction in the later half of the quarter, we continued carrying a larger capacity. In terms of levers, we will focus on improving our operating leverage in Q2.

And the key levers would be on improving our utilization, which took a hit this quarter, improving our productivity and focus on pyramid. These would be the levers. As you rightly called out, from a headwind



perspective as we start delivering the second phase of the BSNL order, the revenue

mix might get slightly impacted. But overall, at a portfolio level, we'll look towards improving margins from here.

Ankur Rudra: And just as a quick follow-up, how much of the utilization improvement is dependent on revenue growth on the international business in the subsequent quarters?

Samir Seksaria: We would want to drive revenue growth, but we will look at optimization because there is capacity, which is built up into the system. We will not leave demand on the table, but we'll also look towards optimization.

Ankur Rudra: Okay, appreciate it. Thank you and best of luck.

Moderator: Thank you. We'll take our next question from the line of Ravi Menon from Macquarie. Please go ahead.

Ravi Menon: Thank you for the opportunity. Samir, looks like there has been significant hiring, probably at the mid and senior levels, because I see that despite the BSNL contract pass-through costs going down, direct costs have not gone down as much. Would that interpretation be right?

Samir Seksaria: So Ravi, so you would see a 70 basis points decline on positive impact because of lower third-party expenses and a similar like-to-like increase

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in employee costs. And this includes, as you rightly called out, not just the hiring, we have given additional QVA.

Ravi Menon: Okay. Right, thanks. BFSI has seen a slight decline Q-o-Q. This is I'd say, kind of resets the momentum that we had seen beginning of last year. But BaNCS have actually been reporting good results. Any positive signs that you're seeing from BaNCS customers now? Or this is expected to continue?

K Krithivasan : No. Actually Ravi, positive side of it is that BFSI North America and BFSI U K have a marginal growth. The decline came from BFSI Europe, driven by the completion of a large engagement that we had taken. But otherwise, structurally, yes, there is some amount of delay, however North America and U K, particularly in BFSI, are continuing their growth path.

Ravi Menon: One last question. On the high-tech side, that's where we had seen the spending cut start. Now that seems to be trending up. And this is where we've also seen some of your peers have to pass on significant productivity improvements. Looks like you're not seeing any such demands, right?

K Krithivasan : By and large, we are seeing a growth, with the exception of one or two clients, we're seeing strong growth in the high-tech segment.

Ravi Menon: Thanks so much. And best of luck.

Moderator: Thank you. We'll take our next question from the line of Abhishek Pathak from Motilal Oswal. Please go ahead.

Abhishek Pathak: Yes. Hi, thanks for the opportunity. The first question was around the new BSNL order we received in May. When do we expect this to ramp up? I mean, is this going to be a one-shot ramp up in 2Q and then ramp down in the next quarter? That's the first question.

And the second question is around margins, again. I understand that you are carrying excess capacity. But considering we have attrition

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trending upwards of 13%, why would we carry this capacity? I mean, do we expect a materially better H2 with regards to growth in anticipation of which we are holding this capacity?

Because our cost of revenues, the employee cost at 47.6% is probably at an all-time high. And considering we will have BSNL headwinds coming in 2Q as well as the potential wage hikes, just trying to understand how much of this will be offset by the operating leverage that we are expecting? So those were the two questions. Thank you.

Samir Seksaria: Abhishek, first, on the BSNL deal, we just received an advance Purchase Order. So this is not in the TCV yet. We are awaiting circ

le -

wise POs. Once we get it, then the execution starts. Once the circle-wise POs are available, you can expect execution on a similar trajectory to the one we delivered on the 100,000 sites.

Coming to margins. Your question was in terms of , is it in anticipation of our demand. We added people in Q1 in anticipation of what we want to service in Q1 and what happened through Q1 was a reduction , or contraction in demand. That's where we carried that excess capacity.

So, we pre-planned it, but Q1 did not align with our initial expectations .

Abhishek Pathak: Understood. So just to sort of follow up. Our employee costs are, as I mentioned , almost at an all-time high. So, as growth picks up , we expect that to materially trend downwards towards the 45% range, let's say, over the next two, three quarters. That's where we should be expecting those gains to come from.

Samir Seksaria: So, two clarifications , Abhishek. One is , if you're comparing sequentially Q4 versus Q1, the employee cost as a percentage of revenue might not be directly comparable , because the revenue mix is different. There was a significant third-party component sitting in the revenue till last quarter . Having said that, your question in terms of current revenues or employee costs at 47%, should we be trying to optimize it? Yes, we'll  
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look towards optimizing that and bringing that as a percentage of revenue downwards.

Abhishek Pathak: Understood. Thank you.

Samir Seksaria: Thank you.

Moderator: Thank you. We'll take our next question from the line of Nitin Padmanabhan from Investec. Please go ahead.

Nitin Padmanabhan: Yes. Hi, good evening. Thank you for the opportunity. You sounded pretty cautious on BFSI overall in the commentary. But if I look at the deal wins, on a trailing 12 months, BFSI deal wins seem to be up 12%. So, if you could just help contextualize, are you seeing any re-scoping downwards or any such thing? Or was it just a broader comment?

K Krithivasan : Like every other industry, Nitin, there are some places where there is a project pause or scope reduction. But otherwise, as we said, we are continuing to be quite positive in the medium-to-long-term on the BFSI based on, as you rightly pointed out, the order book closures in the last year. But there are instances of delays or scope reductions that have come up.

Nitin Padmanabhan: Right. Just to understand, on a sequential basis, last quarter versus this quarter, would you characterize that the demand is actually, at least from an environment perspective, has got worse or it's the same for BFSI specifically and across the board as well?

K Krithivasan : If you look at a revenue basis, you can see that the revenue has an overall drop, but there is a very minor growth in North America and UK

So, it is, to some extent, geography specific . North America and UK demand in BFSI has remained stable and Europe has seen a contraction.

But if you take it from a TCV perspective, we don't want to get a quarter-on-quarter comparison on TCV because it tends to be lumpy, like some quarters you sign very big deal and some deal closures also happen

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towards the end of the quarter. So, we don't want to go by a quarter-on-quarter TCV comparison.

Nitin Padmanabhan: Got it. But just from a pure -- because there is a dichotomy, our deal wins over the last three quarters, including this one, have been pretty decent, actually. On the one hand, the deal wins are decent. You seem to have a good pipeline.

But on the other hand, we seem to be seeing maybe the re-scoping and the negative surprises on demand, like we saw this quarter. So, from that perspective, now what exactly, how would

you sort of explain this?

Because people seem to be signing, but they don't seem to be executing.

K Krithivasan : What's happening in some of the deals, where the clients decide that they can reprioritize, or de-scope, I was explaining in the earlier question, there was one particular large client, where they decided that maybe the particular work can be done, they can delay the work or extend the period over which the work can be done, and they ramped down the number of people that were engaged.

So, here the deal was neither cancelled nor paused, but the duration of the deal was increased to give them more time to manage their spend.

There are some places where we find the projects are started but started at a slower pace. And there are some places where the projects are paused for a duration.

So, you see a combination of all these things, which together bring this scenario of overall deal signings are okay, pipeline is okay, but the immediate quarter revenue numbers are not in sync with what we should be expecting.

Nitin Padmanabhan: Got it. Just one last clarification from my end. You are currently assuming that international business should be better in the following quarter, and BSNL, it will take time until the POs come through for the actual execution to take place. Are those two fair understanding?

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K Krithivasan : Nitin, as you know, we don't give any specific guidance, but on the international revenue part, we are more optimistic in the coming quarter.

Samir Seksaria: Yes, we are awaiting the BSNL PO.

Nitin Padmanabhan: Got it. Thank you so much and all the very best.

Moderator: Thank you. Next question is from the line of Abhishek Gupta from Axis Asset Management. Please go ahead.

Abhishek Gupta: Hello. Thank you so much, sir, for taking my question. Sir, mostly the question is like on the North America side, if I take the last 12 quarter CQGR , it seems to be kind of flat to slightly negative. So North America being one of the biggest markets, like where are we losing in this market? And why -- is it not growing on an absolute basis for us?

K Krithivasan : Abhishek, I will not characterize it as losing any market share in North America. For starters, we are participating in almost all major engagements. And we are also winning our fair share and that is consistent or improving.

But overall , as we explained, like, while we are winning, there are instances where you have project delays or ramp down, which is causing the growth to be offset. So that is what the end result you see.

So, I do not think that we are actually losing anything in North America ,  
Abhishek.

Abhishek Gupta: Got it. And sir, lastly, from my side, if I look at your client's metrics, there seems to be two clients -- in size have gone down from US\$100 million buckets. Is it a concerning point for as an investor or how do you look at the metrics?

K Krithivasan : So, Abhishek, whenever there is a revenue reduction, it's concerning. So, we are worried. Our client metrics are based on last 12 months' revenue in dollar terms .

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So, if a particular client is on the borderline or let us say \$101 million and because of this overall reduction in revenue, the client moves from 101 to even 99.5, we will no longer count that particular customer as a \$100 million client. So, it is a concern.

Is it something that we should worry about? I will not because once the growth returns, these customers will be back onto the 100 million plus range.

And there are some cases, even because of the cross -currency movement also , where customers move back and forth. And if they are in the borderline case, they may move back and forth between 100

million above or below.

Abhishek Gupta: Got it. Thank you so much.

Moderator: Thank you. Next question is from the line of Gaurav Rateria from Morgan Stanley. Please go ahead.

Gaurav Rateria: Hi, thanks for taking my question. My first question, I am trying to understand the investments that we talked about in creating capacity as well as on building talent pool. Is there some specific hiring going on that is upfronted in the cost?

And that is why the employee cost in absolute terms is up by \$150 million, while the number of employees has not increased significantly.

Just trying to understand why there is a big jump in employee costs in the last 2 quarters, whereas our international revenues have largely remained flat?

Samir Seksaria: As I clarified, it is not just adding people. We have given a higher Q VA as well this quarter. Last quarter, we had called out about tactical interventions, which were by way of promotions.

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Gaurav Rateria: Got it. My second question is on the conversation that we are having at the time of renewals. Have you seen more conversations around infusing Generative AI technology on the renewals?

And where would we be in our journey of taking this technology to our top 100 clients? Let's say, have we already reached out to our top 100 clients and are trying to proactively use this technology and infuse that in all our existing work packages? Just trying to understand where are we in the journey?

K Krithivasan : Gaurav, you are right. Whenever there is a renewal, we go back to our clients with an AI infused solution. But to be honest, we don't wait to infuse AI for the renewal in most of our clients.

Whenever we see an opportunity, where an AI -infused solution can give better productivity and a better outcome for our customers, we proactively do that. And we do it in almost all kinds of projects, whether it's a cost optimization program or it is a transformation program.

Whenever we look for the opportunity, we look for it in every phase of the project and every type of project.

Gaurav Rateria: Got it. Last question, Krithi, on Agentic AI solution. How are the contracts structured with the clients? Is it largely in the form of fixed-price projects or is it also being sold as some license fee? Just trying to understand, how are we trying to monetize our solutions around Agentic AI? Thank you.

K Krithivasan : Gaurav, this is an evolving space. You will see multiple opportunities.

There are some where we do based on the outcome. There are some customers that expect that this is better to do it on T&M. Because as it is evolving, they also want to see how they are able to benefit from the results. So, they want to do it on T&M. And then after a period of time, move towards the fixed-price model. So, we are seeing both options here.

Gaurav Rateria: Thank you.

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Moderator: Thank you. Ladies and gentlemen, we'll take that as the last question for today. I now hand the conference over to the management for closing comments. Over to you.

K Krithivasan : Thank you, operator. In Q1 FY '26, our revenue declined by 3.1% year-on-year in constant currency with an operating margin of 24.5% and a net margin of 20.1%. Our TCV was robust at US\$9.44 billion in Q1.

We are closely monitoring developments worldwide and remain committed to maintaining strong client relationships, positioning ourselves as a strategic partner.

I would like to express my gratitude to all TCSers for their hard work and unwavering dedication in realizing both their own potential and that of the company.

With that, we wrap up our call today. Thank you all for joining us. Thank you.

Moderator: Th

ank you, members of the management. On behalf of TCS, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

## Call: Oct 2025

9th Floor Nirmal Building Nariman Point Mumbai 400 021  
Tel 91 22 6778 9595 Fax 91 22 6630 3672 e-mail corporate.office@tcs.com website www.tcs.com  
Registered Office 9th Floor Nirmal Building Nariman Point Mumbai 400 021  
Corporate Identity No. (CIN): L22210MH1995PLC084781

BSE Limited

P. J. Towers,

Dalal Street,

Mumbai - 400001 TCS/SE/125/2025-26

October 15, 2025

National Stock Exchange of India Limited

Exchange Plaza, C-1, Block G,

Bandra Kurla Complex, Bandra (East)

Mumbai - 400051

Symbol - TCS Scrip Code No. 532540

Dear Sirs,

Sub: Transcript of the earnings conference call for the quarter and six-month period ended September 30, 2025

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter and six-month period ended September 30, 2025, conducted after the meeting of Board of Directors held on October 9, 2025, for your information and records.

The above information is also available on the website of the Company: [www.tcs.com](http://www.tcs.com).

Thanking you,

Yours faithfully,

For Tata Consultancy Services Limited

Yashaswin Sheth

Company Secretary

ACS 15388

Encl: As above

Tata Consultancy Services Limited

Earnings Conference Call

October 09, 2025, 19:00 hrs IST ( 09:30 hrs US ET )

Moderator: Ladies and gentlemen, good day, and welcome to the TCS Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Nehal Shah from the Investor Relations team at TCS. Thank you, and over to you.

Nehal Shah: Thank you, operator. Good evening, and welcome, everyone. Thank you for joining us today to discuss TCS's Financial Results for the Second Quarter of Fiscal Year FY 2026 that ended on September 30, 2025.

This call is being webcast through our website and an archive, including the transcript, will be available on the site for the duration of this quarter. The financial statements, quarterly fact sheet and press releases are also available on our website.

Our leadership team is present on this call to discuss our results.

We have with us today Mr. K Krithivasan, Chief Executive Officer and Managing Director.

K Krithivasan: Hi everyone.

Nehal Shah: Ms. Aarthi Subramanian, Executive Director, President and Chief Operating Officer.

Aarthi Subramanian: Hi, everyone.

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Samir Seksaria: Hello, everyone.

Nehal Shah: And Mr. Sudeep Kunnumal , Chief Human Resources Officer.

Sudeep Kunnumal : Hello, everyone.

Nehal Shah: Our management team will give a brief overview of the company's performance followed by a Q&A session. As you are aware, we don't provide any specific revenue or earnings guidance and anything said on this call, which reflects our outlook for the future or which could be construed as a forward -looking statement, must be reviewed in conjunction with the risks that the company faces. We have outlined these risks in the second slide of the quarterly fact sheet available on our website and e -mail out those who have subscribed to our mailing list.

With that, I would like to turn the call over to Krithi.

K Krithivasan : Firstly, I would like to warmly welcome Sudeep Kunnumal who has taken charge as our CHRO w.e.f. 01st October, 2025. Sudeep brings over three decades of experience, encompassing a wide spectrum of areas within Human Resources, with leadership

roles across

multiple geographies, business groups and HR sub -functions.

Please join me in wishing Sudeep all the very best in his new role.

Sudeep Kunnumal : Thank you.

K Krithivasan : Moving on to Q2 performance, we have delivered a good performance in the backdrop of continued macro challenges.

All verticals (except Consumer Business) and all geographies (except United Kingdom) returned to positive sequential growth this Tata Consultancy Services Earnings Conference Call  
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quarter. India and Emerging markets continued to show strong growth momentum in Q2.

In reported currency, our revenue grew 3.7% sequentially and 2.4% year-on-year. Our quarterly revenue grew 0.8% sequentially in constant currency. International revenue growth was 0.6% quarter - on-quarter in constant currency.

We also delivered strong operating margins and free cash flow.

We continue to see robust sales momentum this quarter across industries and markets. We are pleased to report a TCV of \$10 billion. BFSI TCV was \$3.2 billion, and Consumer Business Group contributed \$1.8 billion. North America TCV was \$4.3 billion.

Our TCV had a sequential increase of 6.5% and a year -on-year growth of 16%. More importantly , this quarter, we announced a significant mega deal win with Tryg Insurance , underscoring our continued success in securing large -scale complex engagements and reinforcing our position as a trusted strategic partner for our clients.

Our deal pipeline continues to show strong momentum with a healthy mix of cost optimization and transformation deals as well as services and platform deals across new and existing businesses. Based on client conversations, Q2 revenue growth and TCV, and a strong demand pipeline, we see FY26 International revenue growth to be better than last fiscal year .

IT services spend is steady with no significant change expected in the near term . Lingerin g uncertainties in the broader economic  
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environment continue to remain a key challenge. Companies are keeping tight control over their discretionary budgets.

In response to economic and demand volatility, clients are consolidating vendors to achieve transformation objectives effectively and efficiently. We are finding good success in many such large deals using our differentiated , AI-infused solutions.

The mega deal with Tryg Insurance is a good example of how we scale long standing partnerships with our contextual knowledge, unmatched delivery track record and leadership in AI.

Now I want to move on to another important message .

In the last few quarters , we have undertaken many internal and external transformation initiatives to accelerate the adoption of AI within TCS and our clients. We have been engaging with our clients in understanding the challenges they are facing in scaling AI and collaborating with technology partners and academia to unlock the true potential of this technology. This experience gives us the confidence to say:

TCS will become the world's largest AI -led technology services Company, enabling Business, Government and Society.

This transformation is currently underway.

Early this year, we expanded our leadership team with Aarthi Subramanian joining us as COO and Mangesh Sathe as CSO. We also created the new roles of Chief Digital and Information Officer (Jana) and Head of AI and Service Integration (Amit Kapur).

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We are committed to making significant investments towards transforming ourselves to realize our vision. Currently , our investments are focused on these five pillars:

1. tcsAI - Internal transformation to Drive an AI -first Culture

, Build AI

solutions, and Scale AI for connected intelligence

2. Redefining all Services in a Human + AI services model; We have established an AI and Services Transformation unit for this purpose .

3. Building A 'Future ready ' talent model – We are investing in Future ready skills, embracing new ways of working, and recruiting top talent locally in the markets we operate .

4. Making AI real for clients – We are redesigning business value chains for every industry; we are also investing in development of innovative cross industry solutions leveraging AI.

5. AI Ecosystem play – We are deepening our partnerships in the AI ecosystem, stepping up our efforts in M&A, and foray into new business ventures. You would have seen the Press Release earlier for ListEngage and new entity for AI Infrastructure in India.

I'll now invite Samir to share the update on our financial performance .

Samir Seksaria: Thank you, Krithi. Good day everyone.

In the second quarter of FY26, our revenue was ₹65,799 crore. In reported currency, our revenue grew 3.7% QoQ and 2.4% YoY.

In constant currency, our revenue grew 0.8% QoQ.

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Our Q2 operating margin stood at 25.2% , reflecting a sequential improvement of 70 basis points. This is excluding one -time severance provided this quarter.

We achieved good growth momentum across all verticals this quarter. Our disciplined execution helped us expand our margins while making strategic investments. We have prioritized wage hikes, building future -ready capabilities and establishing new ecosystem partnerships.

Currency helped support margins by 80 basis points . Giving wage hike to our employees was our priority and so we have rolled out increments for 80% of our workforce . This increment combined with additional Quarterly Variable Allowance (QVA) impacted our margins by 70bps , offset by the benefit of 40bps from rebalancing



of pyramid and 20bps from operating efficiency.

We continued to make capex investments in infrastructure. A couple of examples are:

- We inaugurated a innovation centre in Singapore , expanding our AI research and innovation footprint to 13 hubs globally. This helps clients accelerate innovation by providing quicker access to advanced capabilities and TCS' expertise.
- A new AI -driven operations centre in Mexico City
- In Europe , we expanded our software -defined vehicle innovation capabilities with three new hubs.
- Recently, we opened our flagship TCS Interactive Design Studio in New York City, to help clients create iconic products, services, and experiences that are seamless and unified across digital ecosystems.

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It is also important to note that we are on a drive to expand our already vast pan -India footprint further in both Tier -1 and Tier -2 cities to the tune of about 50,000 seats in the next 2 to 3 years . Our net income margin was 19.6%. Our EPS grew 8.4% Y-o-Y. Our accounts receivable was at 75 days outstanding in dollar terms . Net cash from operations was \$1.5 billion, which is 110.1% of net income. Free cash flows were at \$1.4 billion and invested funds at the end of the period stood at \$6.3 billion.

Our industry leading margins are a vindication of our belief that we have the strongest ability to absorb market fluctuations and competitive pressures. Secondly growth, when achieved through value creation and innovation, will have a positive impact on margins over time. We continue to work towards getting back to our aspirational band of 26-28% .

Our financial discipline is also evident in our strong balance sheet, robust cash flows, and consistent shareholder payouts. We are committed to maintaining a healthy financia

I position that enables

us to invest in our bold vision and return value to shareholders.

This financial strength positions us well in our journey to become the world's largest AI -led technology services Company , to build AI centric capabilities , invest in talent development and acquisition, strengthen our ecosystem partnerships , while investing in infrastructure like data centres and scaling AI platforms.

Our capital allocation policy remains unchanged. We continue to prioritize the return of substantial free cash flow back to

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shareholders. The Board has recommended a second interim dividend of **₹11** per share.

I would now like to invite Aarthi .

Aarthi Subramanian : Thank you, Samir . Good evening to all of you. As called out by our CEO , we want to become the world's largest AI-led technology services company . Towards this goal we have taken a number of steps.

I will share some perspectives on each of them starting with internal AI transformation , that is well underway .

TCS' Internal AI transformation:

We have been focused on our internal transformation journey which is now under the broader umbrella of what we call as tcsAI, . We are pursuing across three tracks:

First one is AI-first Culture: To make everyone in TCS to be AI-first, we have democratized access to AI Learning by enabling various AI tools & environments for our employees to explore , experiment,

learn and embed AI in their work. The benefit of this is visible in our AI-Ready Talent – we now have close to 160,000 associates at higher order AI skills. Our leaders are walking the talk - over 10,000 of our Sales and Delivery leaders have gone through an immersive and hands-on AI Dojo program that we have rolled out.

I am also happy to share that in our effort to make everyone an AI practitioner, we just established a global benchmark in our recently concluded Global annual format of tcsAI Hackathon. We saw over 281,000+ TCSers participating in this hackathon submitting over

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half a million entries which includes both ideas as well as solution base. As we share this with our customers we are hearing encouraging response in replicating similar culture change within their organization and are keen to work with us to innovate with AI. The second initiative as part of the internal transformation is 'Building AI first solution'. As part of this we are looking at our internal functions like finance, HR, legal and all other internal functions and our own IT operation including how we support our system as well as build system. One such case in point is HR - we have been reimagining how we look at our employee engagements with an AI first approach and we are also looking at rolling out a learning Co-pilot for every associate.

Scaling AI: Third aspect of our internal transformation is how do we continue to scale these initiatives. We have set up a tcsAI office that addresses the three critical foundations of our initiative (a) Scaled Agentic AI architecture, (b) Responsible AI use and (c) Platform & Partner innovation & IP creation. These foundations are in place and continuously evolving with in the dynamic ecosystem around us. Now let me talk about how we are scaling AI for our customers.

Making AI Real for our customers:

The journey of making AI real and experiential for our customer cuts across industry value chain, enterprise platforms and solutions. We see this journey starting with Ideating and Innovating leading to Building and Scaling with AI.

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- We are taking AI close to customers with

AI Innovation Days at customer locations, TCS Paceports and India Delivery Centers

- We are leveraging Rapid Builds as an approach delivering business outcomes with AI in matter of weeks
- We are also helping customers scale AI across their enterprise through AI Labs, AI Office and AI Platforms.

We are also building Agentic AI solutions for business value chains in each industry and enterprise functions across all our industry verticals.

Moving on to the third pillar of our strategy, we are transforming every service line that we operate in and offer to our customers. We are reimagining with a 'Human + AI' collaboration solutions blueprint.

This blueprint uses our 5 scale AI Autonomy model to define the interplay between our employees and AI agent /systems, as we progress towards our North Star ambition for each service line, we are defining the art of service possible for what the future can look for each of this service line

Sudeep and Krithi will cover the remaining 2 pillars of our strategy later in the call.

Now, I would like to provide a brief update on Cyber Security. As all of us know, global businesses are increasingly experiencing cyber-threats. These threats are getting more and more sophisticated. We are working closely with our customers to safeguard their interests. Recent incidents saw some of TCS's

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clients becoming victims to these cyber-attacks resulting in severe disruptions to their businesses.

I would like to clarify that there has been no compromise of TCS systems, nor any impact to other customers in all these incidents. Investigations for these incidents are being managed directly by the customers respectively, and TCS is playing a significant role in supporting the customers in their recovery efforts. These efforts have been positively acknowledged by our customers. I would now like to invite Sudeep.

Sudeep Kunnumal : Thank you, Aarthi. Good evening, all of you.

In Quarter 2, we announced a wage hike for over 80% of our workforce with effect from September 1st. Our Quarterly Variable Allowance (QVA) was higher than the last quarter, reflecting our commitment to rewarding employees for their contributions. TCS has always been first in announcing wage hikes across cycles. The IT services industry is rapidly changing with new technologies like GenAI, shifts in operating models, and changing client expectations. This is a great opportunity for TCS to reposition itself and become future-ready. As Krithi outlined, we have embarked on our journey to become the world's largest AI-led technology services Company. Building a future-ready talent model is a critical and core element of our approach.

Towards this, we are making efforts across four fronts:

- Creating personalized learning pathways using Artificial Intelligence for our employees. We are also working with
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academia to introduce skills required for next-generation technologies, and human-AI collaboration.

- Acquiring top talent from industry for cutting edge skills and capabilities.
- Hiring diverse skills locally across geographies. We have perfected this model in Latin America and have large local workforces in all key geographies including the US, UK and Europe, which we will continue to expand.
- We have released 1% of our workforce, mainly mid and senior level with skill and capability mismatch. We are providing the impacted employees with benefits, counselling, and outplacement support for their transition, as well as severance at terms higher than industry standards.
- Additionally, there has been involuntary attrition as part of regular ongoing efforts pertaining to performance and bench

ch policies. With the new hires, the releases, and attrition (voluntary and involuntary), TCS' global workforce at the close of Q2FY26 stands at 593,314.

Finally, on H1B, we have significantly localized our workforce in the US. Just about ~ 500 associates have travelled to the US in this financial year on H-1B. We believe our business model will be able to adapt quickly to any changes in immigration policy.

In Q2, we provided ₹1,135 crore towards severance. The severance package is much better than industry standards. We have approached this whole exercise with empathy and care.

We are on a journey to build a stronger future for our associates, clients, and all other stakeholders. We will continue to nurture our  
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employees and recruit future relevant skills required for our growth across all markets. We will continue to be a net job creator. Lastly, we continue to be benchmarked with the best employers globally for our workplace practices and policies. In Q2, we won more than 23 awards globally across various aspects of HR value chain, including our work towards gender equity. I will now like to invite Krithi.

K Krithivasan : Thank you, Sudeep.  
Earlier in the call, I had articulated the 5 -pillar strategy to become the world's largest AI -led technology services company. Aarthi spoke about our internal transformation - tcsAI and also how we are reimagining all service lines and making AI real for our customers . Sudeep spoke about the future ready talent model. Moving on to the fifth pillar of our strategy, we will be significant player in the AI Ecosystem , towards this,

- We have built strong partnerships with deep tech companies, hyperscalers, niche startups, amongst others.
- We are deepening our participation in the AI ecosystem by expanding into adjacencies. We are creating a world class AI Infrastructure for all stakeholders including enterprises, hyperscalers and sovereign requirements.
- Earlier this year we announced the launch of TCS SovereignSecure <sup>TM</sup> Cloud. We are seeing very good traction for the same in our client base in India.

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- In partnership with IBM and Government of Andhra Pradesh, we are deploying India's largest Quantum computer in the country's first Quantum Valley Tech Park.
- We have formed strong 360 -degree partnerships with all major technology players including all the hyperscalers, GenAI players, cybersecurity product companies, enterprise product companies, and specialist AI -solution providers.
- Today our Board approved creation of a TCS Subsidiary that will focus on building a Sovereign AI datacenter with a capacity of up to 1 Giga Watt.

We have stepped up our efforts in pursuing acquisitions to enhance our capabilities including high end services, intellectual property , and market presence.  
We have just announced acquisition of ListEngage , a leader in marketing tech and Salesforce.  
Our journey to becoming an AI -led organisation is anchored in bold transformation —from talent and infrastructure to customer value and ecosystem partnerships. With th is objective , TCS is poised not only to lead the AI revolution but to shape a future where technology and human ingenuity together create lasting impact for all. We are confident that staying true to our values will lead us to sustainable long-term growth with superior profitability .  
I'll now open the line for questions .

I'll now open the line for questions.  
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Moderator: Thank you very much. We'll take our first question from the line of Yogesh Aggarwal from HSBC Securities. Ple

ase go ahead.

Yogesh Aggarwal: Hi. Thank you so much. So, Krithi, couple of questions. Firstly, the heightened investments in AI are a very welcome change. My question was, can you provide a little more clarity on the capex required? Because 1 gigawatt seems to be a very, very big investment.

I mean global references are almost \$20 billion of investment. So, what is the time period? what is the kind of capex? And you said it is sovereign. So, what does it mean in terms of clientele? Would you be selling into your traditional clients or mostly in India? So, a little more clarity would be very helpful.

K Krithivasan : Yogesh, from a capex perspective, while we have set a target of 1 gigawatt, we will be doing it in phases. We expect to achieve 1 gigawatt over a period of five to seven years. And our calculation roughly is about every 150 -megawatt will require a capex of about \$1 billion. It's not that we are going to put all the money in year one. And we also clarified that this would be a combination of equity and debt, and we'll also bring in finance partners for the equity. So maybe if you require more color, Samir can provide on that.

The reason that we are saying sovereign cloud is it's going to be established in all centers in India. We are expecting all data and compute to be hosted in India and not leave the shores of India. That's the reason we are saying sovereign data center.

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Just to provide more information. Our current objective is to provide all passive components. The client whosoever is occupying, they will bring in their compute and storage.

Yogesh Aggarwal: Great. Thank you.

K Krithivasan : And secondly hoping to sell this to the pure -play AI providers , the deep tech companies and the hyperscalers and to a great extent the government needs in India and the Indian enterprises or the expected participants here.

Yogesh Aggarwal: Thank you. Secondly , on the growth, you said the demand environment hasn't changed and the macro uncertainties are the key reason. While the quarter has been a little bit of a beat, the current growth rates have not been impacted by deflation on S DLC by AI, you think that's not a factor. Is it all macro?

K Krithivasan : Yogesh, we had better growth compared to Q1. And as I said, macros have not changed much. But our deep engagements with our clients and the AI solutions, the rapid builds that we take to our clients. All of us give us confidence that we will be able to sustain the growth momentum or improve the growth momentum compared to H1. Otherwise, there's no major change in the demand environment.

Yogesh Aggarwal : Very well, thank you.

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Moderator: Thank you. We'll take our next question from the line of Sudheer Guntupalli from Kotak Mahindra AMC. Please go ahead.

Sudheer Guntupalli : Hi Krithi. Thanks for the opportunity. And a follow -up to what Yogesh has asked. So, on this AI data center move , currently, do we have any tie ups with any of the, let's say, large consortium players like a Stargate or any of the deep tech players, either for bringing in more equity investments or for being our tenants once this is set up in the steady state? And any broad indications on the revenue per megawatt you're looking at and the EBITDA margins and the IRR 's you are expecting on this data center investment?

Samir Seksaria: Sudheer, in terms of both, one, Krithi talked about finance partners, we are speaking to multiple partners, and we'll finalize in terms of combination, it could be one or more coming in . Also in terms of customers, as we called out, it would be hyperscalers, India enterprises, government, and we look at in term

s of overall partnership.

In terms of metrics, too early to call out, we have just set up the subsidiary. It would be about 18 to 24 months, when the first revenue starts kicking in at the appropriate time, we'll start calling out the metrics as well.

Sudheer Guntupalli : Fair enough, sir. And just to get to understand the operating model right. Did you say that we will provide it on a cloud service provider basis or a co -location basis or just on a managed services basis ?

Samir Seksaria: On a co-location basis.  
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Sudheer Guntupalli : Okay. It will be on a co -location basis. Okay sir, thank you and all the very best.

Moderator: Thank you. Next question is from the line of Ankur Rudra from JPMorgan. Please go ahead.

Ankur Rudra: Thank you. I just wanted to understand this AI transformation you're doing. What does it entail in terms of existing client engagements? Do you have a sense of potential productivity gains or any kind of change in scope from a deflation or inflation perspective on your existing services as you transform?

K Krithivasan : Ankur, this whole our belief and confidence in becoming the largest AI-led services company is based on the strength of the existing client relationships. And the partnerships that we are building with all the players in this ecosystem. And we expect every project that we do will be AI led.

So, which means that we'll be offering speed , we'll be offering flexibility and there could be productivity gains also in these projects, but we'll also be doing projects that could not have been done without AI in the past.

So, our expectation is overall scope of engagement or size of engagements would definitely increase. But there would be productivity benefits that the clients would get in the individual projects. And we also will get some productivity benefits from doing these projects because we'll be leveraging AI.

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Ankur Rudra: I just want to clarify a couple of things. One, was there any headwind on the client this quarter, which had a cybersecurity incident in terms of your revenues and margins? And, the second clarification was if the redundancy charge, we took this time, given 1% was impacted. Should we expect something similar in future quarters also?

K Krithivasan : No. First on the headwind, Ankur, the only headwind was because of the nature of the outages they had, we could not start some of the projects that we were planning to start, that was the headwind. Otherwise, there was no other significant headwind because we are working very closely with the customer in helping them recover the overall operations.

The second question on the charges we had taken as severance. As we explained before, we would be continuing this exercise throughout the year. We are not chasing a particular number here, but we will continue to do this throughout the year. Whenever we are paying any severance, we'll take that charge appropriately in the next two quarters. I cannot quantify what the number would be at this time.

Ankur Rudra: Appreciate it. Thank you and best of luck.

Moderator: Thank you. Next question is from the line of Ravi Menon from Macquarie. Please go ahead.

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Ravi Menon: Thank you. Congrats on a very broad-based growth. If I look at the data centre investment, again, what really prompted this? Is this very unlike, I'd say, approach so far of being asset light.

K Krithivasan : Yes. Ravi, we've been looking at opportunities to expand our play in the overall AI ecosystem. We've been working with many of

them as solution providers, solution integrators, or leveraging the cloud. Now in the past, if you look at, we also wanted to expand the footprint in India, leveraging the participation we have with all these partners.

As you know, some time ago we've also been in private cloud to a limited extent in the past. And then we announced recently the Secure Sovereign Cloud for India requirement. We also announced participation in the Quantum program with the Andhra Pradesh Government.

We looked at this as an important adjacency that we should enter. And with that in mind, and to also strengthen our partnership and relationship with the hyperscalers and the deep tech by doing this. All this put together, we thought, and of course, the most important thing is our calculation of unmet demand; that's going to be in the data center space.

Our calculation shows that we have only 1.2 gigawatt of capacity in the country. And in the next five to six years, the demand can go up by almost 10 times, whereas the committed capacity is only about 5 to 6 gigawatts.

So that is going to leave so much unmet demand. So, with all these things put together, we thought it's a good opportunity for us. And another point is it also guarantees stable annuity revenue as well.

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Ravi Menon: Thanks for a detailed explanation. Second question on the productivity improvements that you're seeing in AI. I got it. So, if I understand correctly, the primary benefit of GenAI is the application development from scratch, right? And that's a relatively actually a small part of the overall market that we play in because what we do is primarily IT outsourcing, which is application maintenance and infrastructure maintenance, things like that, right?

So would that be right that those activities we already have Level 1 support more or less automated. So on the existing book of business, how should we think about the impact of AI?

Aarthi Subramanian : Ravi, when you look at the existing book of business, when you look at our application support services or our infra services, they are increasingly becoming AI led. When you look at how we deliver these services, we see significant opportunities to drive productivity benefits and drive the quality of the service delivery with AI.

So that's where the imagination is happening. And the initial productivity savings are starting to be seen, and as we increase the level of autonomy as we understand these technologies better, we should be looking at further productivity benefits.

Then the second portfolio, which is significantly, again, aided by AI, is our software engineering life cycle. Again, starting to see good benefits coming in, but then there is an evolution, right? You start with single digits, 10% to 15% productivity, then there's an evolution  
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to reach 20% -25%, but that's a journey to achieve a higher level of autonomy, and that's what we are driving.

The third area where we are seeing significant, I would say, opportunity is around AI -powered modernization. As you would appreciate, many of our customers globally have a lot of technology debt that they have carried over the years.

GenAI and Agentic AI are powerful tools to really address the tech debt. You can use these AI, GenAI to understand the legacy code and forward engineer and deliver the new code. So, modernization with AI is a huge opportunity, and we are seeing significant uptick across customers, but I would say right now significantly in BFSI. And we expect to replicate this across other verticals.

Ravi Menon: And if I recall right, you already announced a North American bank that's doing a complete mainframe organization using AI right now?

Aarthi Subramanian : Yes.

Moderator: Thank you. We'll take our next question from the line of Gaurav Rateria from Morgan Stanley. Please go ahead.

Gaurav Rateria: My first question is about the investment in the new subsidiary on data center. Should we look at this investment as a stand alone new business you need for providing co-location services or should we think about having a very thick synergy with your existing portfolio of services using this asset intensive business to build some services on top of it?

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Samir Seksaria: The business itself, we'll be keeping it separate. It will have separate management bandwidth. We are in the process of putting in an entirely separate team outside of TCS for this, but it will have adjacencies with TCS.

It's a natural extension in terms of what partnerships we are looking at creating with hyperscalers, what services we want to provide to our customers, and this nicely fits in as an adjacency.

Aarthi Subramanian : And if I may just add to what Samir said, Gaurav, if you look at the entire AI stack, starting from infrastructure as the starting layer, all the way up to the apps and the agentic apps at the most layer, this gives us the coverage across the AI technology stack.

Gaurav Rateria: My second question is the interplay between humans and AI that you talked about. How is it going to change the delivery model and the billing models? Do you think that will incrementally move away from effort -based business models to outcome -based business models? Is that how the business should evolve, and there should be more nonlinearity in the business going forward?

Aarthi Subramanian : I think that is the direction in which the model is going to evolve. These are initial days, but we are starting to make commitments on outcome -based projects with the select customers. And there are learnings, and this is a model that we see increasingly evolving and becoming more mainstream with customers.

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Gaurav Rateria: My last question is whether we should evaluate, or should we consider this new adjacency as a completely different business with respect to the return ratio profile given that right now, we are very asset -light business and having a very different return ratio profile. Just trying to understand how we should think from a medium-term perspective of the company?

Samir Seksaria: As we said, this is an investment which will have partners coming in. From a profitability perspective, I don't think at an overall TCS level, it will not be margin dilutive. Return ratios, also given the overall size expected over the years, should not have a significant impact. Our ROEs are currently over 50%. So, we still expect it to be benchmarked.

Gaurav Rateria: Okay. Thank you so much.

Moderator: Thank you. The next question from the line of Surendra Goyal from Citi. Please go ahead.

Surendra Goyal: In your prepared remarks, you said that FY '26 growth in international business will be better than FY '25. So just wanted to clarify if this is in constant currency terms, USD terms? And could you also tell us what the comparable growth in FY '25 was?

Samir Seksaria: It was about 70 basis points, and it is in constant currency terms.

Surendra Goyal: So constant currency basis, 70 basis points and this year will be better than 70 basis points. Understood. The second question is with the release of 1% of the workforce; the headcount declined by  
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20,000 people, or 3%. And then what you had announced

ed earlier  
was 2%. So, should we expect a similar kind of head count reduction in the next quarter as well?

Sudeep Kunnumal : The 20,000 net head count decline is a factor of voluntary and involuntary attrition. So, you should consider all of that. But as we announced again the 2 percent, we are midway, so we have done approximately 1 percent of it.

And like what Krithi just mentioned, we don't have a target. We are not chasing a target. We'll continue to evaluate everyone after all the investment in learning and development that we've done, where we find certain mid and senior level people are not able to find the right role based on their seniority. Those are the ones that we will release with a lot of care.

Surendra Goyal: So just to clarify, there will be no involuntary attrition beyond the 1% number. Is that understanding, correct?

Sudeep Kunnumal : No, I didn't say that. We estimate it to be approximately 2%. We are currently at 1%, and we will continue to evaluate people whom we can redeploy . The ones we are not able to re-deploy; those are the people that we will release.

Surendra Goyal: One last question, Krithi, Aarthi, I think , in terms of the data center business, I think there are a lot of businesses which are synergistic to AI if we take such a broad view of things. So, is there clarity in terms of that, okay, what other areas could we possibly invest in?  
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K Krithivasan : We've been evaluating multiple opportunities. As I said, this one looked more attractive to us based on the discussion that we've been having with the potential buyers, the demand commitment we could get , the kind of revenue profile, the committed annuity revenue profile it has and the potential unmet demand we'll have in India, all combined look most attractive for us to start with. But we'll continue to explore if there are other adjacencies that come up, we'll explore.

Surendra Goyal: And Samir, just one clarification on ROE of this new business. What is the expected ROE versus your current ROE of 50% plus, as you highlighted earlier?

Samir Seksaria: The ROE of this new business, as you all rightly identified, that's capital-intensive and will be low. What I'm saying is, overall TCS ROE will remain market benchmark ed.

Surendra Goyal: Understood. Thank you.

Moderator: Thank you. We'll take our next question from the line of Kumar Rakesh from BNP Paribas. Please go ahead.

Kumar Rakesh: Hi, thank you for taking my question. My first question was for clarification . So, the statement which you made is that TCS intends to become the world's largest AI -led technology services company. How are you defining that as the largest AI -led technology company, which metrics you are targeting at?

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K Krithivasan : Kumar, based on the discussions that we've been having with customers, and Aarthi talked about the internal training we did, Hackathon we did, and the number of participations .

So, we believe that in multiple metrics , in terms of the number of people participating, the number of projects we'll be doing. All combined definitely, we aspire to become the largest. If you ask me for one single metric today, I don't have it , to be honest. We will be evolving. How do we measure ourselves on a year-on-year growth and improve on this, so that's the honest answer. But we are confident that we'll be able to have the biggest impact that we'll deliver in the industry because of leveraging AI.

Kumar Rakesh: Got it. Thank you for that. My second question was on margins. So, we have seen sequential improvement now the wage hike is behind you, and pyramid rationalization also will start kicking in and going

by your comment, your second half growth should be better than first half. So, for the rest of the year, is it fair to expect the margin should continue to see an expansion?

Samir Seksaria: Kumar, as you know, in H1, we have improved 100 basis points. We will continue our journey towards our aspirational band of getting closer to 26%. But the puts and takes on it have been in terms of the implications which you called out.

The wage hike was in Q2 for 1 month; it will be for the full quarter next quarter. Also, in terms of the investments which we have called out would have an impact we have been investing, and this would  
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have increased investment requirements . Irrespective of it, we would want to inch closer to 26%.

Kumar Rakesh: Great. Thanks a lot for that.

Moderator: Thank you. Next question is from the line of Nitin Padmanabhan from Investec. Please go ahead.

Nitin Padmanabhan : Good evening. Thank you for the opportunity. Just a couple of questions. So, one is in the last quarter on the deal, well we have had very good deals on a consistent basis. You had alluded to three points that were not leading to better revenue conversion. One of them being projects starting at a lower pace and the other one being some projects being paused. How is that sort of evolving at the moment?

K Krithivasan : Nitin, at that point like we probably as I was alluding to, I would say, much improved situation. The number of deferrals or projects getting paused has been reduced compared to last quarter.

Nitin Padmanabhan : Sure. So incrementally, we should see better accretion. At least growth should be in the positive territory here on and you have alluded to that?

K Krithivasan : That is our hope .

Nitin Padmanabhan : Correct. Any incremental update on, let's say, BFSI or consumer business and Europe, I think last quarter you were a little tepid from  
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a commentary on those three . So just wanted to have thoughts there?

K Krithivasan : See, if you look at the growth momentum, all of them have improved . BFSI continues to grow globally, particularly BFSI North America has done well. And similarly, if you look at Europe, it has done well compared to last quarter.

And then even if you take Consumer Business , the degrowth has been largely arrested. And so overall we expect most of the industry segments to bend the curve subject to seasonality of Q3, but they'll be getting into growth momentum. Of course, the Q3 seasonality would be in play.

Nitin Padmanabhan : On the data center capex, maybe roughly based on what you said, it's maybe around \$6.5 billion over a 7 -year period. From a cadence perspective, how should we think about it with the early part of the 7 years versus the later part? So would the capex be partially by partners and partially by us. Just clarification on both?

K Krithivasan : Yes, definitely, it will be partially by partners, partly by us. And at this time we told you it's about 5 to 7 years for the complete build -out of 1 gigawatt. Currently, we expect it will be more uniform, but if there is an increased demand, if we have to accelerate, we will definitely calibrate it at that time, but current planning is that it will be phased out uniformly over the 6 years.

Nitin Padmanabhan : And just one last one if I may. Any color on the kind of deals in terms of sizing? Are you seeing a return of smaller deals or discretionary,  
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any improvements there that you have seen during the quarter or directionally?

K Krithivasan : No

significant improvement, but at the same time, when Aarthi spoke, she was mentioning about the number of rapid build projects that we are doing. They are smaller in nature, smaller tenure which we tend to complete them within a quarter.

Such projects are increasing in number and we also find more modernization projects. Some of them tend to be shorter. While a large mainframe modernization will take a long time, some of the other modernizations can also be completed in a short time .

So, such projects are increasing. But overall, if you ask me, is the number of short -term projects increasing compared to larger projects. There is no significant change.

Nitin Padmanabhan : Perfect. Thank you so much, Krithi and all the very best.

K Krithivasan : Thank you.

Moderator: Thank you. Next question is from the line of Abhishek Kumar from JM Financial. Please go ahead.

Abhishek Kumar: Hi, good evening. Two quick questions about the cybersecurity instance, just wanted to check if the issue has now been resolved and the projects you said which couldn't start, have they now started resuming?

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Aarthi Subramanian : Yes, I think the recovery process has been completed. And all the sales and manufacturing systems are all up , and this happened early this week. So, I think we expect the projects to pick -up in the coming weeks.

Abhishek Kumar: Great. That's good to hear. Second, near term especially 3Q, any early indication of how furloughs are looking this year compared to previous years. Generally, we have seen that in a weak demand environment furloughs tend to be longer. Any such signs at this stage?

K Krithivasan : At this time, we are planning based on the inputs we have, it's likely to be similar to last year.

Abhishek Kumar: Okay. Sure. Thank you and all the best.

Moderator: Thank you. Next question is from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.

Vibhor Singhal: Thanks for taking my question. So Krithi, just once again, on the AI data center investment. Given that you mentioned that it's going to be more like a sovereign data center and given the GDPR regulations across the world, is it fair to say that this will have limited synergies with our existing clients and most of the clients that we would be deploying in this data center will be more of India based and that is where we would be looking for any synergies if at all from our current sector?

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K Krithivasan : It's a passive data center. The likely users could be the hyperscalers , deep tech who want to do the training , inferencing in India or Indian enterprises , they want to leverage it as a private cloud. We are not expecting our overseas customers to be hosted, specifically in India. It's more like what we are offering for these hyperscalers and India-based businesses or deep tech.

Vibhor Singhal: And you mentioned that we've basically gone ahead with this, as for the demand commitments and the annuity commitments. I would assume we would already have conversations with .

K Krithivasan : I did not say demand commitment. I'm saying that there is a lot of unmet demand in the market that led us to getting into this business.

Vibhor Singhal: So, are there any MoUs that we have signed or any early connections that we have got into potential clients?

K Krithivasan : We are having quite a few conversations with our customers, to explore the demand, and we are quite positive about the prospects.

Vibhor Singhal: One last question from my side. In terms of the revenue this quarter, we saw a sharp jump in the sale of equipment and software licenses revenue. Almost more than ha

If of the incremental revenue in this quarter came from that . Is it just a quarterly specific thing? Or do you think there could be a trend going forward as well?

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Samir Seksaria: The increase of the equipment and software expenses this quarter has been about ₹250 crores. BSNL this quarter has remained flat.

Vibhor Singhal: I mean it's expected to remain in the same range as it has been?

Samir Seksaria: We have Q3 seasonality, which you'd typically see. Other than that, we don't expect to see any material change, unless we get the BSNL PO later.

Vibhor Singhal: Thank you so much for taking my question. I wish you all the best.

Moderator: Thank you. We'll take our next question from the line of Rishi Jhunjhunwala from IIFL. Please go ahead.

Rishi Jhunjhunwala : Yes, thanks for the opportunity. So, just harping a little bit more on that AI investment, a couple of reasons that you provide was that the demand in this space is very high and provides a new stream of annuity revenues. But outside of that, does it put us in any kind of disadvantage versus our peers, if we are not doing this investment or does it put us at an advantage versus other peers on the global revenues that we earn here?

If that is not the case, then I mean if you look at the overall technology spending landscape, then there would be a lot of pockets around software and solutions, where those kinds of investments probably would have been more synergistic to us.

K Krithivasan : Rishi, there are definitely a number of places where we can invest. We took this place because it creates a synergy with our existing Tata Consultancy Services Earnings Conference Call  
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relation with hyperscalers, who also happen to be our large clients as well, large GTM partners as well. And we also have deep relationships with all the AI native companies, who could potentially be using it for their India requirement.

So, we believe that there will be a natural synergy that will be created. As I said, we want to play in this ecosystem strongly.

K Krithivasan : And, it gives another group synergy as well. If you look at the Tata Group companies are in the power, real estate, project management business.

Aarthi Subramanian : Tata Communication

K Krithivasan : Tata Communication. So there is a different kind of synergy we can build in here. But from a client perspective, we believe the strong collaboration can be derived of this one.

Aarthi Subramanian : And the Tata Group synergy, we see this as a very unique Tata advantage.

Rishi Jhunjhunwala : Understood. And the second question is, I think in the opening remarks, you hinted that while we have done this one acquisition, there seems to be some focus around trying to do more acquisitions as well. I guess this is something we've done after almost 10 years, so should we assume that our acquisition intensity may also potentially go up in the coming years? And how does that change our capital payout policy, if at all?

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K Krithivasan : Yes. We are very actively looking at more opportunities for acquisitions. And capital payout policy, currently; the stated policy continues to be to return 80% to 100%.

Samir Seksaria: Of substantial free cash flows and that is after all investments.

K Krithivasan : But so, but if we end up making a huge acquisition that impact our ability to do a cash flow, we will be upfront about it.

Rishi Jhunjhunwala : Understood. All right, thank you sir.

Moderator: Ladies and gentlemen, we'll take that as a last question for today. I now hand the conference over to management for closing

comments. Over to you.

K Krithivasan : Thank you, operator.

- In Q2 FY26, our Revenue grew 0.8% sequentially in constant currency, with an operating margin of 25.2% and a net margin of 19.6%. We saw good growth momentum across most verticals, service lines and geographies this quarter.
- International business fuelled growth, along with India and emerging markets performing well .
- Our TCV was robust, at \$10 billion in Q2, which grew 16% YoY, including a mega deal win, using AI -enabled differentiated solutions.
- We reiterate our outlook for FY26 International Revenue growth being better than last year.
- TCS will continue to be a key jobs provider in the industry.

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- We want to become the the world's largest AI -led technology services Company, enabling Business, Government and Society.

With that, we wrap up our call today. Thank you all for joining us and wish you and your families a very happy festive season ahead.

Thank you.

Moderator: Thank you, members of the management. On behalf of TCS, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings .

## Call: Nov 2025

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Registered Office 9th Floor Nirmal Building Nariman Point Mumbai 400 021  
Corporate Identity No. (CIN): L22210MH1995PLC084781  
TCS/SE/137/2025-26  
November 4, 2025  
National Stock Exchange of India Limited BSE Limited  
Exchange Plaza, C-1, Block G, P. J. Towers,  
Bandra Kurla Complex, Bandra (East) Dalal Street,  
Mumbai - 400051 Mumbai - 400001  
Symbol - TCS Scrip Code No. 532540  
Dear Sirs,  
Sub: Transcript of the Investor Call held on October 31, 2025  
In furtherance to our letters dated October 27, 2025, October 30, 2025, and November 1, 2025,  
and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)  
Regulations, 2015, please find enclosed the transcript of the Investor Call held on  
October 31, 2025 at 04:00 PM (IST), for your information and records.  
The above information is also available on the website of the Company: www.tcs.com.  
Thanking you,  
Yours faithfully,  
For Tata Consultancy Services Limited  
Yashaswin Sheth  
Company Secretary  
ACS 15388  
Encl: As above

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Fireside Chat  
TCS' AI Data Center Investment and Opportunity  
October 31, 2025, 16:00 Hrs IST

Corporate Participants:  
Samir Seksaria , Tata Consultancy Services Ltd - Chief Financial Officer  
Mangesh Sathe , Tata Consultancy Services Ltd - Chief Strategy Officer  
Deepesh Kiran Nanda , Subject Matter Expert

Moderator or:  
Kawaljeet Saluja , Kotak Securities Ltd – Head of Research and Lead Analyst – IT  
Services

Kawaljeet Saluja: Good afternoon, everyone. I'm Kawaljeet Saluja, Head of Research  
and Lead IT Analyst at Kotak Institutional Equities. I'll be your host  
and moderator for this session.

Today, we have with us the Ace team of TCS for a fireside chat on the  
topic of TCS's AI Data Center Investment and Opportunity. Let me  
start by introducing the team.

The Gentleman in the center is Samir Seksaria, needs no  
introduction . He is CFO of TCS . Our next panellist is Mangesh Sathe,  
who serves as the Chief Strategy Officer at TCS, he also serve s as the  
head of Global Consulting Practice and oversees the M&A function  
of the company. More recently , he was the CEO of Tata Strategic  
Management group at Tata Sons, where he supported group  
Chairman's office and CEO of Group companies in strategy and  
transformation initiatives .

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Our third panellist for today is Deepesh Kiran Nanda, who brings with  
him over three decades of leadership across technology, energy, and  
infrastructure. He has led large scale power and digital initiatives  
from India through Japan and Australia, including senior roles at Tata  
Power and GE. Deepesh is widely regarded as a thought leader on



sustainability, clean energy and the intersection of power and digital transformation.

We'll start the fireside chat, post which we will open the floor for audience Q&A. Do note that this call is only to discuss TCS's Data Center initiatives, so I will request the participants to restrict the questions on those lines.

Okay, let's kick this off. The first question for you, Samir. Why data center? What prompted TCS to get into building co-location data centers, and what are the adjacencies that you have with the core services business?

Samir Seksaria: Absolutely. Great question to start with, Kaval and, if you recall, during our Q2 earnings call, we announced our aspiration to become the world's largest AI-led technology services company. AI and sovereign data centers are a key component to the overall AI value chain. And it provides TCS a unique opportunity to offer an end-to-end solution in this value chain. So, it's not a standalone decision or an isolated decision, but part of the overall five-pillar strategy which we called out during our earnings call. Now, the key dri

ver to the investment is the demand and supply mismatch, and addressing this demand creates a nice niche and an adjacency for TCS, which we believe will give us long-term, committed annuity revenues.

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Now, if you look at it from a synergy perspective, we benefit from both front-end synergies as well as back-end synergies, so that is another driver.

Data Center provides a unique opportunity to TCS to deepen its partnership with the various hyperscalers and AI companies. And while driving this efficiency, we also can leverage the One Tata synergies. So, all in all, if we look at TCS's dominant position in the India IT services market, the strong partnerships with global technology companies which we possess, the access to capabilities, and most importantly capital, and the support from Tata companies, which we can look at towards connectivity, green power, infrastructure development, will be the key differentiators. And, then data center forms the core foundation for our overall aspiration to become the world's largest AI-led services company.

Kavaljeet Saluja : Fantastic. That's a great way to start off.

Mangesh Sathe: Just one point I'll add. See, if you look at globally, data center market itself is also expected to see a lot of capital investments over the next decade. And this, I'm not talking only about India, I'm talking across the world, especially US, Europe, etc. One of the other benefits, will also be that our expertise in working in this sector, we will be able to also then provide services related to this sector in other markets as well, because that's also an important element. So, because a lot of build-out is happening. Which I feel, technology services companies like ours, should participate and accelerate that whole capital investment as well. So that's an added benefit to all the other reasons that, Samir outlined.

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Kavaljeet Saluja : So, when you refer to the capabilities that you can take outside India, is it largely the services capability, or would you also be open to asset-heavy business outside India?

Mangesh Sathe: No, I was referring to the services.

Kawaljeet Saluja : Got that and would the investment initially, be largely on co -location side, or are you looking at integration with active infrastructure as well?

Samir Seksaria: Our overall current business plan is to look at only passive data centers. We are not averse to active data centers, but it has capex sensitization, technology refresh considerations. So, any incremental considerations on the active side will be more bespoke commercial arrangements with our anchor customers . So, as it stands, it is more passive.

Kawaljeet Saluja : Mangesh, Samir made an important point that there's a demand - supply mismatch in the Indian markets today. But , when you look at the co-location data center space, the space is heating up with multiple conglomerates announcing a Gigawatt(GW) capacity plans. So how would TCS's approach differentiate itself from the competition, which also seemed to be in a rush to announce the Gigawatt capacity as such?

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Mangesh Sathe: I think there are two -three factors here. One , the overall demand itself. So, if you see the current footprint, which is around 1.5 GW, which is installed in the country. What we see from a potential perspective over the next 5 to 7 years, we see this to grow anywhere between 10 to 12 GW, so that's a significant headroom that is kind of available. If I were to add all the plans that have been announced so far, I think there is still a significant headroom available . Given, today the players that are currently in the market, plus, additional players who are planning to come into the market. So, if I add all of that, also still there is a headroom. I don't see any challenge from a demand perspective. The second part would be where

is this

demand going to come from? If you see the Indian market specifically, I think we are going to probably look at hyperscalers driving a large part of the demand, and we see the same globally. I think the percentages in India would be similar to global or slightly higher, but I think hyperscalers would certainly be one key component.

The second interesting segment that has emerged is the AI companies and AI companies, of course, there are a few which everyone is aware of, but then there are also new companies, new model companies, new application companies in AI who are also scaling up and are also thinking of raising a lot of money globally, and they also need to invest into data centers. And then, of course, there is the private sector and the public sector as well,

Now, why can TCS really garner this demand? If you look at across all these four segments, hyperscalers, AI companies, public sector, and private sector, we are working with all four, either on the global side, or on the India market side and today we have a front-row seat visibility on what those requirements are, right .

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And as a company, or anyone wanting a data center, they don't really want to just do a very transactional piece where they're just talking to a data center operator, saying, give me a data center, then speak to somebody else for some other services. They would ideally like somebody to come in and provide, as Samir said, the end -to-end capabilities and offer it to them . We see that as a unique proposition that we can provide compared to some of the competitors that exist in the market.

Kawaljeet Saluja : Okay, that's fascinating and clear as well. Moving to Deepesh , what are the specifications of the planned data center that you have in mind? Would this be, let's say, Tier 3 or Tier 4 data centers? What kind of rack density are you looking at? What kind of cooling infrastructure? And who do you think are the competitors in the market today in India, which are operating those Tier 4 data centers?

Deepesh Nanda: Thank you, Kawaljeet. Taking a cue from what Mangesh mentioned earlier, we are focused on the AI side of the data center. So, if I were to look at the market and I broadly split the market into non -AI and AI, our emphasis is largely going to be on the AI side of the data centers. That being said, it comes with a much higher rack density. So, we're looking at anything greater than 50 kilowatt ( kW) per rack, all the way up to 180 kW per rack, and on the upper band, around 370 kW per rack. We should average out at 240 kW per rack. With this comes the impact on cooling. So , these would be heavily skewed towards more liquid cooling. We are looking at upwards of 70% liquid cooling. And that will then reduce our PoE 's to anywhere between 1.25 to 1.3, as compared to the current PoE, what you see

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in the country, driven by air cooling of 1.45 to as high as 1.6. So, more focused on the AI side, more focused on High rack densities, more focused on more liquid cooling, and hence, our PUEs will be capped between 1.25 and 1.3.

Kawaljeet Saluja : Do you think that you require that kind of high-power density, superheated 240 kW racks? Because for that, essentially, what you would require is Large Language Model training or some use cases around that. Otherwise, those 10 to 12 k W racks can do fine. So, are you basically sensing demand on AI Large Language Model training, for you to support this kind of a capacity build -out?

Deepesh Nanda: That's a great question, and that's the space that we want to occupy. And to answer your question specifically, that's the kind of demand that we are seeing in the early days of the announcement that we've made. The demand is more on the AI side, and with that comes quantum load, concentrated load, which is in, say, 100 MW multiples. So , the answer to the question is yes, there

is demand, of that nature from international AI companies. In the Indian market currently, the AI load is in the range of 2 -4%. Globally, it's the range of 10-15%. It's the right opportunity for India to get into that AI load servicing, and that's exactly what we'll be catering to in the first phase of the rollout.

Mangesh Sathe: I think as far as, training versus inferencing, I think each company and depending on how their data center footprint is distributed, they are designing basis their own considerations, and latency, and where their markets, demand pools, etc are. We cannot comment

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on whether, if training will be more or inferencing will be more . At the end of the day, whether it is inferencing or training, the GPUs will require a certain amount of infrastructure that will need to be supported . And what we are talking about is, creating an infrastructure which should be ready to support those loads, irrespective whether it's training or inferencing.

Kawaljeet Saluja : I'm curious to know Mangesh, is inferencing workloads better supported by edge data centers, or would your large data centers

also be effective for inferencing?

Mangesh Sathe: It depends on the use cases that will be there, also who is putting up that capacity. If it is a hyperscaler kind of a capacity, they would ideally want to put it up in a larger data center. Of course, if it is a private enterprise, optimizing its own loads in, for their specific footprint, could be a manufacturing footprint or any other footprint, they will probably design it differently. So, each one will have a different view.

From our perspective, I think our capacities, are not really edge data centers. We are creating the core data centers and that's where our focus will be right now.

Kawaljeet Saluja : Do you hit the ball all out of the park by straight away starting off with 1 GW, or Samir, will that tone everyone down with a smaller capacity initially?

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Samir Seksaria: Building it at 1GW would require a lot of, many things, not just capital, in terms of availability of infrastructure and everything also. Our plan is to phase it out. It would be in the range of 100 to 200 Megawatt ( MW), each pod or phase. And it would be across multiple phases. So, it would be over a period of probably 5 to 7 years, when we'll hit peak capacity.

Kawaljeet Saluja : Let's say for the first 18 to 24 months, 100 to 200 MW, right? How much would it cost to build this data center? And how do you fund it?

Samir Seksaria: Practically, as we had said, in our earnings call, this capacity will be approximately a billion dollars, and it won't be completely funded through TCS's cash war chest . It would be a combination of debt and equity. And the equity could be one or more partners, and we are, currently in advance discussion with a few partners, and in advance discussion with multiple bankers on the debt structuring side.

Kawaljeet Saluja : And just to be clear on the earnings call, Samir, what you essentially said is that 1 GW would cost around say 6 to 7 billion dollars, so when you're talking about 100 to 200 megawatts , it would be in proportion, maybe \$600 million to a billion dollars.

Samir Seksaria: Right.

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Kawaljeet Saluja: What do you think should be the optimal, debt -equity structure in these kinds of businesses ?

Samir Seksaria: We'd not like to call that out, Kawal, but we have a structure in mind. It would be typical of what data centers operate at , but right now, we will be unable to share further details. However, you could assume a similar structure.

Kawaljeet Saluja When you're looking at, equity partnership, would you prefer that now, or would you prefer after maybe 2 -3 years, once the capacity is up and running, and the possibility of better valuation , or are you basically looking for equity sourcing, right up

front?

Samir Seksaria: It would be a combination . The partners could be just the equity

partner, or a technology -cum-equity partnership.  
Options are open , we could have a different combination in each phase as well.

Kawaljeet Saluja : Samir, the question which everyone has, on the top of their mind is that such kind of businesses alter the ROE and ROC E profile of TCS, makes the business capital -intensive, etc. What are your thoughts and how would you respond to other those questions and criticisms as well?

Samir Seksaria: Given the size of the strong balance sheet and the surplus funds which we have , this particular investment per se, is not going to be

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a significant drag on the TCS balance sheet. It allows us to smoothly navigate the investments which we would require. Anyways, they are going to be phased out, and not the entire investment which you talked about, you mentioned about \$600 million to a billion dollars , is not going to be entirely a cash outflow for TCS. So, given that, I don't see it as a major drag, in any of the return ratios. TCS has maintained industry benchmarks in terms of margins, as well as ROE. Yes, it won't get the same ROEs as you would expect from the TCS business, but we are confident we'll be able to maintain industry -leading return ratios.

Kawaljeet Saluja : A question for Deepesh . Let's say you start off today, by what time would the basic shell be ready? How much time does it take to build a power -optimized design, build those racks, and start getting in the revenue streams? And let's say, how much time would it take to sell that capacity? If you can just give a broad indication of the timelines of both the build part and the sale of that capacity, as in when it's ready.

Deepesh Nanda: Thank you. I'll answer your second question first , we are not building any speculative capacity, its build on a firm demand . And to answer your first question, from the time we have land available, we are targeting completion of an 18 -month full construction cycle. So, from start date, when we press the button, land being available , the delivery will happen in 18 months.

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Kawaljeet Saluja : It's fascinating Deepesh , that you say that you have a firm demand in place, because when you look at hyperscalers, the way they have been working in India is a little bit different from the developed market experience. In developed markets, you end up contracting even before the groundbreaking day, because the clearances are rather easy. Whereas in India hyperscalers want to identify a spot, a location, but only give a firm contract once all the approvals are in place. What you seem to indicate is that you already have that demand in place, and a firm contract in place. Is that correct?

Deepesh Nanda: I'd say that there is an active interest, there is inbound inquiry, but the way the business planning has been designed is that there is no speculative build -out. The build -out is based against firm demand.

Kawaljeet Saluja : So, effectively, the first revenue stream that you would have, this would be more towards end of FY28 -FY29, is that right, Samir?

Samir Seksaria: Technically, you should get that around the FY27-28 mark.

Kawaljeet Saluja : What are your thoughts on the ROE and ROC E profile of this kind of

a business? Does it, let's say, can it generate returns which are comfortably above the cost of capital?

Samir Seksaria: Definitely, it would be comfortably above the cost of capital. The IRR we expect, on each of the phases at the project level, is in mid to high teens.

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Kawaljeet Saluja : That's interesting and, fascinating as well. Deepesh, have you identified the land parcels and the location of the initial capacity? Are you privy to disclose that? And typically, let's say a Data Center would involve a lot of land clearances, land pr

ocurement clearances, civil infrastructure , cabling, electrical substations, there are so many elements involved. Do you intend to build these capabilities in -house, or leverage partners from outside, or leverage the group capabilities? And if you can just give some broad thoughts on execution of th e same.

Deepesh Nanda: We're looking at land parcels across all the key areas where data center buildouts are happening, which includes Navi Mumbai, it includes Hyderabad, Bangalore, New Delhi, Pune , as an illustrative case. In terms of how we go about construction and the contracting , all the key items will be contracted. It's a level playing field for everyone. We, of course, have in -house strengths, which will be leveraged, but it'll be available for competitive bidding across the board and that's how we plan to go about, making sure that the business gets the best that the business needs, and that'll be the plan to build out these data centers.

Kawaljeet Saluja : Initially, the contracting phase would focus largely on hyperscalers, or will it be a mix of build -out for both hyperscalers and enterprise workloads ? And you just briefly mentioned about PUE, which I guess you're using air and liquid cooling, which will differ from traditional workloads . In that case, how would the Capex differ from your

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traditional data centers, which are normally based on traditional cooling mechanisms?

Deepesh Nanda: To answer your first question, we are looking at large AI load, and that could come from pure play AI players, it could also come from hyperscalers. Not to say that we won't have a play in enterprise and so on, really a combination of offering. In terms of the design of the data center, again, it's built to suit, so if an AI data center has a specific build to suit, there will be a specific corresponding PUE . While the costing will be appropriate to the PUE but so will be the returns equation in terms of the revenue that that type of a data center would attract.

Samir Seksaria: Just to add to it, the capacity would be led by an anchor customer, which could be an AI -led company or a hyperscaler . And, majority of the capacity, if not all, would be led by that, and the incremental capacity which would be available would be available for enterprise or sovereign.

Kawaljeet Saluja : Question for Mangesh , if you look at some of the hyperscalers, they seem to be building out capacities on their own as well. I think AWS does have their capacity of their own. Microsoft has some land parcels. I think somewhere in Pune, I mean, we don't know Google's

plan, but Google's also have some similar plans. How do you look at a scenario wherein, let's say these hyperscalers are setting up their own data centers versus working with partners, and how would this dynamic play out in your way?

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Mangesh Sathe: Today, if you see other markets also, the same dynamic is already present, where you will have hyperscalers having their own data centers, plus they're working with data center companies, as well. So, I don't think it'll be any different here. From a capacity perspective, I think, especially the larger companies which require multi-megawatt, kind of a footprint, they will always have a scenario where they will have some in-house plus some, contracted data center spaces. And the reasons could be many for doing that kind of a split, so I don't think, that would change here as well.

There are two other factors in India specifically, given, as I told you, the demand outlook that we are seeing, which is, now, where is this demand going to come from? Deepesh and Samir talked about the AI part. Also, if you look at, the total amount of data that gets generated in the country, and amount of that getting processed in the country.

There is a certain ratio that one tracks. So today, India as a country will, be probabl

y somewhere closer to a lower single-digit number, on that. If I take some of my Asian peers, or some of the more leading emerging country players, they will probably be, higher single digits. And then, of course, somebody like U.S, etc, will be in double digits. So, from that perspective, I think data consumption in the country going higher is absolutely a given trend, and I don't think, we need to really validate that.

I think you talked about edge cases, etc., so the amount of stuff that will now need to be processed and the quality of that process also, like the latency that will be involved, cost, I think we have not

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covered that part, but, cost of, I would say, data center per unit, will be absolutely a big factor for anyone to consider, right? For hyperscalers, it's a capital allocation plus capacity allocation. For us, it is going to be a factor of what can we create uniquely in the country. So, I think from both supply and demand, there is sufficient room, for us to add value.

Kawaljeet Saluja : Okay, that's a very, very helpful perspective, Mangesh. Maybe a question for Mangesh and Deepesh, both of you. I know interconnect plays a major role in enhancing the stickiness of a data center and, boosting revenues, right? How does the company plan to address this opportunity, and would that be addressed by TCS, or would it be group companies or, someone else would capture that opportunity as such?

Deepesh Nanda: In terms of the topic of interconnect, yes, ours will be a highly interconnected design, both within our own DC network and also cross DC network.

On how we do it, I've answered this earlier, there's a level playing field, and we'll do all that it takes to be absolutely competitive in the market, such that the benefit is retained in the company, and we win market share.

Kawaljeet Saluja : Just a final question from my side, and after that, we will open this up for participants to ask questions. Samir, you're getting into a

capital-intensive phase. There also seems to be a greater appetite,

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for large M&A. Would it mean that there'll be any changes to capital allocation policy that you have in place?

Samir Seksaria: As I said earlier, we have a strong balance sheet and substantial surplus funds, which we have been sitting on for quite a period of time, and we get beaten on both sides for spending the money or not spending the money.

But coming to the capital allocation perspective, our capital allocation policy has been to return substantial free cash flows back to our shareholders. And if you look at the last 5-6 years, we have been typically returning 80%-100% of our free cash flows. We have, at various points of time, clarified that free cash flows would be after all investments we typically make. Our target will be to maintain the 80%-100% range.

Kawaljeet Saluja: Okay, that's clear. Now we'll open the floor up for participants to ask questions. The first question, which is there in my chat window, let's go with that.

What's the Capex difference between air versus liquid cooling? I guess that's a question for you, Deepesh.

Deepesh Nanda: The capex difference between air and liquid cooling, I'd say it's in the range of a ₹35 to 45 crore mark. We are more towards the 45 crore per MW mark. With the AI data center focused, high on liquid cooling, there'll always be a mix of liquid and air. We'll be in that bracket of 70-30.

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And again, the other cost aspect is on Tier 3 versus Tier 4. We'll be in that range of Tier 3 plus, which is the demand that we're seeing currently in the market.

Kawaljeet Saluja: Deepesh, would these 45 crores also include the interest component during the build phase of the data center, or this is excluding interest costs, etc?

Deepesh Nanda: Excluding. This is a capital cost; this is a CapEx investment.

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Saluja: Capital cost. Okay, got that. The other question is that we are seeing Indian telcos target the data center opportunity. They seem to have partnerships with hyperscalers, domestic enterprise, and AI companies, and willing to spend more CapEx. So why compete with them?

Mangesh Sathe: I'll go back to the same piece, right? I would have agreed with this if, let's say, the market growth was, I would say in single digits, or probably early double digits. We are talking about multiple factor growth here, right? So, from that perspective, there is a lot of headroom, and given the substantial capital investments that are required in doing this, I don't think this is a market where one entity can, in a way, dominate the capacity. I feel there is sufficient room for more players to come in. And then, I think all the elements that we outlined in terms of our right to win, or our ability to win in this, makes us, a more attractive company to participate.

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Kawaljeet Saluja : Got that. Now, the next question I have in the chat window is that what kind of challenges or pushbacks did you face from the board and within the top management team when the idea of entering this segment was first explored?

Samir Seksaria: I think, as a team, we evaluated it, put it up to the board. The board was receptive enough. Given, as I said, we have been sitting on surplus free cash flows, we have been considered conservative over a period of time. It's a bet which we are taking, and the board was receptive to the same.

Mangesh Sathe: Just to add, I think if you see, it goes in line with what Samir started off saying, which is the whole five-pillar piece for AI, right? So, this is not a standalone investment decision, it was one amongst another proposal that we had taken to the board. I think it comes as a very core part of our overall aspiration, and I think if we don't invest in this, we'll not be able to meet our aspirations. So, I think this is a very important ingredient. From that perspective, of course, it also ticks off all the other boxes, it becomes, certainly an attractive proposition.

Kawaljeet Saluja : The next question from the chat window is that, can you elaborate on the tenure of the contracts with the hyperscalers? Is it 9 years plus 6 years of renewal, or is it 6 plus 6 plus 6? Any insight on the tenure of the contract, and if there's any price escalator embedded in these contracts as such?

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Samir Seksaria: As we said, we are in the early stages of negotiation, so there is no contracting which has been finalized yet, but as our discussion states, these will be long-term contracts. That's where I said we expect long-term committed annuity revenues.

Kawaljeet Saluja : What is your GTM and cross-selling strategy in the business ?

Mangesh Sathe : The go-to market for us, as I had talked about various segments, I think the first two being on the technology partner side, which is the hyperscalers and AI companies, and then there is the enterprise side, which is on the public sector and private sector.

On the hyperscaler and AI companies, these are more core partnership conversations. Where, our focus is to really discuss with each of these companies to see what we can shape together, and how can we support their aspiration in this market, or other parts of the world as well. In terms of enterprise, we anyways are the leading system integration technology services company servicing the India geography.

I think we are already in all those right Boardroom, CEO room, CXO rooms, where these conversations are happening today. So now our ability to shape those will become better, because we'll be able to provide that entire end-to-end piece. So, I think on both those parts, we are well covered.

And as we progress, we'll see what additional capabilities will be needed to support this further.

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Kawaljeet Saluja : And on that part, Mangesh, are the buyers of the decision makers involved in data centers completely different, let's say, from the hyperscalers with whom we have a partnership on the cloud side?

How do you build those cross -connects and synergize so as to derive the maximum value from this venture?

Mangesh Sathe: So, sorry, I didn't follow.

Kawaljeet Saluja : Let's say on the hyperscaler side, people who take the decision on data center, colo, would be completely different from the relationships that you would have on the partnership, and go to market on the services side. There are two different worlds, so how do you make the two meet?

Mangesh Sathe: I think all the companies that we are talking to and all the partners we are talking to, I think our partnerships are pretty deep and long - term. So, this element is absolutely being facilitated by the organization right from the leadership level, where they are facilitating these connects, so it's not just about transactional conversation where I'm going to somebody who I normally deal with for a service or a deal. It's being done in a very strategic way at the leadership level, our leadership, as well as their leadership level. We are not seeing any challenges on that aspect as well. In fact, they are very forthcoming on that.

Kawaljeet Saluja : The next question in the chat window is that, are there plans to enter the cloud segment, or convert your co -location capacity into cloud in the future?

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Would you assume that cloud -center, will be a more -sticky business versus colo, and will it help, differentiate a business model versus other players that are also simply building co -location capacity? If so, do you have any expertise in the cloud segments and the approach going forward.

Mangesh Sathe: We have already launched our sovereign cloud business for India and a few other parts of the world . The short answer is yes. I think as we scale up our sovereign cloud business, we will be leveraging the infrastructure that we are building, even for that business as well.

And the cloud services that we are offering, both in terms of AI as well as the non-AI part, are things that we will be scaling up to, both public sector as well as private sector. So, yes.

Kawaljeet Saluja : Got that. And the next question is how big, in your view, is the AI training and inferencing data center market in India? And will the services business of yours also get a boost as you provide infrastructure related to the same? That's one of the questions in the chat window. So, the question is that how big is the AI inferencing and training data center market in India? How much would that grow by? And would that provide you with any edge in your AI services business as such?

Mangesh Sathe: If I look at it in two parts , One, if I see, as of today, as well as how do we see it going further. Of course, as of today, the market is small, given the nature of the services that we are talking about. But what

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we are talking about are services that we expect to come in the future, based both on the requirements , directly consumed by the enterprises, or, by the AI companies and the hyperscaler companies.

I think we talked about a few percentages earlier, so I think globally, if you see around 10 -15% of the DC capacity overall goes with the AI, and that part is only going to keep increasing, as more GPUs replace CPUs.

In our case, I think we expect a similar number as we go ahead, in terms of how much capacity is from a direct AI load that will get consumed. See, there are two other factors. See, one also is a factor where a lot of GPUs will also be replacing CPUs on a longer-term basis, that's another piece that we might see. That's one part that we need to factor in. And then the third part from a sovereign perspective as well, we will see AI ca

pacities that we will need to deploy to serve the sovereign needs as well. So, I think given all these three, we feel the percentages will go up.

Kawaljeet Saluja : Okay, that's reasonably clear. The next question is, does Tata Communication have any role to play in the interconnect, which you offer in the data center? And do you see them as a part of your GTM, as and when the capacity comes up?

Deepesh Nanda: One of the vendors, in addition to the other vendors that we will, release RFPs to . So, the answer is that, yes, they'll be in the mix of the vendors that will give us networking solutions.

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Kawaljeet Saluja : Deepesh and Mangesh, can you just help us, with the unit economics of the data center business? What would a revenue per MW look like, how much EBITDA can be generated per MW, the payback period, etc. And second is that let's say when you think about revenue streams, what are the potential revenue streams that are possible in the initial phase?

I guess there'll be capacity revenue, power revenue, interconnect revenues, but if you can just, provide your perspective on it, along with unit economics, if you are ready for it, I think it's too early, but nonetheless, I think that's the question that has come up in the chat window.

Deepesh Nanda : Okay, too early, but yes, that'll be the model. We're looking at a relatively high EBITDA margin business. And in terms of, what will be the contracting structure, typically there is a rental yield. And then there is margin on the power supply that will be made. Networking is typically pass-through.

Kawaljeet Saluja : Typically, Deepesh, what would be the useful life, in your view, of various assets that go into your data center? So, at one end of the spectrum, you would have a building or a shell which would have a life of 30 -odd years. On the other hand, you'd have, powers and cables which may have a different life. A battery or UPS may have a very short life. So, when I basically look at the useful life of a data center, what is the duration , and various components ' useful life ?

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Deepesh Nanda: We can get into design specifics, but I'll give a broad answer that we're looking at a 15 -year point before any major over haul happens. So, it's not that life comes to an end at the 15th year. Because if you look at the power gear, the power gear runs for at least 25 years. These are normally governed by the number of operating hours. So , the year terminology is a bit misleading. It's on the operating hours. The amount of redundancy that's built into these plants also makes sure that equipment 's are run to that ratio of the redundancy, and hence the life in terms of calendar years tends to be much higher than the operating number of hours. So , if you're looking at an answer in terms of years, it's upwards of 15 years.

Kawaljeet Saluja : And Deepesh, if you look at Equinix, let's say their big point of differentiation is the points of interconnect and the software fabric they have, and the mo at they have built around, that aspect as such. So, let's say within TCS, you have mentioned in various ways your differentiation, in multiple questions. If you have to summarize differentiation for TCS overall versus, let's say, some of the global players, like an Equin ix, or maybe a Digital Realty, what would those be?

Deepesh Nanda: I think, we have a right to win in this space. We have the relationships that was very well explained by Mangesh. We are in the ecosystem. We understand power, we understand water cooling solutions, we understand networking. In India, as such, all these industries are quite mature.

We are in the infra business as a group. There is enough infrastructure experience that's available. And then, the approach

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in terms of how execution would happen, we would look at safety, that's our number one priority. Absolute

ly safe operations, everybody goes home.

Number two is in terms of quality. The benchmarks that we're looking, in terms of all the process quality, we're having good discussions with most long lead vendors in terms of how you benchmark , their process quality and so on.

Third is execution, in terms of delivery. Once we get the first two right, which is safety and quality, 70% of our focus is on execution. And last is cost. This order is very important for us, that we are going safety first, quality second, execution third, and fourth is cost.

Mangesh Sathe: If I just add one or two points here, I think, from anyone setting up data center capacities, I'm not talking about the physical infrastructure, I'm saying, once the physical is done, then I need to put in all the chips, etc. See, it requires a lot of integration services and most of these, large companies that we are talking, hyperscalers or AI companies, may not have requisite capacities here, the resources here to do that. From TCS's perspective, we can absolutely help them get the data center up and running. What you said earlier around other players, we will be able to do that very, very effectively. You know, that's one very important part.

Second part, from a differentiation perspective, would be that if you look at the market , while of course, we are talking about a certain growth rate, we still have to create that market. Market making is very important in this case, right? So, we will be partnering from a TCS side, we will be partnering with these companies to also support th em create that market.

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Now, creation of that market would mean, what kind of applications will be needed in a certain enterprise, or, in a public sector, what's the kind of offering will you need? And there, it will always be a combination of a cloud, or services, or some other elements of applications that we'll need to take. So, I think our ability to really shape that becomes a big differentiator when a partner is talking to us, because then we will be working with them to make the market as well. So , market making and then the services to accelerate the deployment also become very important capabilities to differentiate.

Kawaljeet Saluja : The next question from the chat window that I have is that I think somewhere in the answers, it was mentioned that you would make

some margin on power ? But I guess most of the contracts, the way it's structured in India, more or less, power is a pass-through for hyperscalers. So, Deepesh when you said that you'll be able to make some money or some margin on power business, where does that belief come from?

Deepesh Nanda: This is to do with the mix of the power that we would offer. It would be high on green energy, and hence the cost of power that you see today and the mix of power versus the cost of power, and the mix that we will offer in the cost of power, there is enough margin for us to make, and yet, be competitive. Because the green power is at a much lower delta, even on a round-the-clock basis, as compared to the current prices on the grid.

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Kawaljeet Saluja : Right. But wouldn't that be baked into the hyperscaler agreement on the power mix between green versus the normal coal-fired power plants?

Deepesh Nanda: Early days, I've just given you a kind of directional answer, that we'll be extremely competitive on the cost of electricity, and that gives us a right to earn a higher margin.

Kawaljeet Saluja : Right. Let's say, even on the renewables side, in many cases, what ends up happening is that there's a wheeling charge that you have to pay to the power distributor. Does that leave you enough savings, if you go for renewables in the process?

Deepesh Nanda: As landed costs to the data center, at my GIS point, all things being equal, the mix that we are looking at in terms of RE versus Grid power will

I be more competitive, in terms of the Levelized Cost of Electricity, (LCOE) will be lower, all things considered, as compared to what we are seeing currently.

Kawaljeet Saluja : That's very helpful. The second last question is that globally, power is a major bottleneck in terms of data center build-out. Is that a bottleneck in India as, with any potential bottlenecks that could delay your capacity rollouts?

Deepesh Nanda: That's a great question, and I say that with a lot of pride being here in India, because over the years, our grids have become much more reliable and hence, when you compare with the example that was

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compared to. There's a lot of back-of-the-meter happening in the Western world, because the grid connectivity is not available, as it is available in India. While in India, though, there is much higher demand, but then the situation in India, on a comparative basis, is much better than what's available overseas right now. And hence that runaway market that you see in the Western markets, on the back of the meter, that's not the situation in India.

Number two, we are seeing the designing of the data centers. We're looking at dual connections coming in from, say, two different substations. In addition to that, we have captive power being made available. And also, newer technologies with the advent of large-scale battery energy storage systems, it gives us a much, higher quality power solution at a much lower cost on an LCOE basis as compared to the Western market, which makes India as an attractive market when compared to the Western markets on a power availability, quality, and LCOE basis.

Kawaljeet Saluja : That's a very fascinating point of view, Deepesh . Okay, I was not keen to ask the last question, but there have been 8 versions of the same question . Do you intend to get into GPU as a service?

Deepesh Nanda: I think this was answered earlier by Samir, that there's a passive layer, and I think the takeaway from this call is that we are all in, all hands-on deck, and we're very deep in terms of understanding the MEP build -out, the timeline of that, the safety, quality, delivery cost. And then, we are open to looking at the active layer. We are open to looking at the active layer. But once we get the first part right, in terms of making sure that execution is flawless, then the day will

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come, when we will start graduating towards the active layer, we are open to all conversations at this point.

Samir Seksaria: Reiterating what I had said earlier, incremental active data center considerations will be dependent on bespoke commercial negotiations with our anchor customers. It won't be an incremental add-on to what we are planning on the passive data center side.

Kawaljeet Saluja : Fantastic. Samir, Mangesh, Deepesh, you have been quite patient. It's very early days, but you have answered a raft of questions. I really appreciate your honest answers. Thanks a lot for that insightful session. Thanks a lot, to all the participants for your interest. Until the next webinar, stay connected, stay well, everyone. Have a good day.

Samir Seksaria  
Mangesh Sathe

Deepesh Nanda: Thank you everyone.

Kawaljeet Saluja : Thank you, everyone. Take care, bye.

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Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

## Call: Dec 2025

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December 23, 2025  
National Stock Exchange of India Limited BSE Limited  
Exchange Plaza, C -1, Block G, P. J. Towers,  
Bandra Kurla Complex, Bandra (East) Dalal Street,  
Mumbai - 400051 Mumbai - 400001  
Symbol - TCS Scrip Code No. 532540

Dear Sirs,

Sub: Transcript of the TCS Analyst Day 2025 held on December 17, 2025  
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)  
Regulations, 2015, and in furtherance to our letter dated December 11, 2025, please find enclosed  
the transcript of the TCS Analyst Day 2025 held on December 17, 2025, at 04:00 PM (IST), for  
your information and records. The above information is also available on the website of the Company: [www.tcs.com](http://www.tcs.com).  
Thanking you, Yours faithfully,  
For Tata Consultancy Services Limited  
Yashaswin Sheth  
Company Secretary  
ACS 15388 Encl: As above

TCS Analyst Day 2025  
Date: 17th December 2025

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Opening Remarks and Forward-Looking Statement

Nehal Shah - Head Investor Relations, TCS:

Good afternoon, everyone. Welcome to TCS's Analyst Day 2025 on behalf of the entire TCS management. I also welcome everyone who has been listening to our webcast live from our website. As you are aware, we don't provide any specific revenue or earnings guidance, and anything said in today's session which can be construed as a forward-looking statement, must be viewed in conjunction with the risks that the company faces. You can view some of those risks here. Please note that we will not be taking any Q&A during the speaker sessions. Kindly hold on to your questions for some time. We will have an executive Q&A session at the end of all speaker sessions.

We are also recording these sessions, and post-event, a recording of all the sessions and a transcript will be available on the website. Without taking too much time, I would now like to invite our CEO and MD, Mr. K. Krithivasan. Over to you, Krithi.

CEO Session - Leadership in the AI Era

K Krithivasan - MD & CEO, TCS:

■ Thank you, Nehal. Once again, a very warm welcome to all of you for joining us here. So, over the next hour or so, what we want to do is showcase to you what we are doing, why we are doing what we are doing, and why we believe this is the right strategy. And if you look back, all of us have seen multiple technology cycles that we have passed through. An important aspect of each of these technology cycles in the past has been that every time a new technology cycle comes in, it actually puts technology right in the centre of the business. And every business ends up spending more on technology because the value that they are getting from technology keeps going higher and higher. And the value that TCS has been able to derive is, we've been able to master this navigation from each technology. Whether it's from mainframe to personal computers or from personal computers to internet and web or from web to digital, every one of these transitions, TCS has been able to use as a growth accelerator and grow further on these technology changes.

■ And of course, what we are seeing today is a new technology in terms of Generative AI. Of course, it's a misnomer to call it just a technology. This is a fundamental shift. It's very different from the previous changes, the technology disruptions we had, because of the scale with which it is going to impact and the speed with which it's going to impact and the benefits that we c

an deliver from it. In fact, because of this

reason, our Chairman called it out as a civilizational shift. It's a very, very important change and transition. And we want to talk to you about how we are going to navigate and what we define by this shift.

■ First thing, what does the AI enterprise look like? If you look on the left-hand side what you see on the data we are reporting, these are some of the characteristics we declared for a digital enterprise some time ago. Now, how do you characterize the AI enterprise? I think it's important for us to first characterize what an AI enterprise is, then talk about why we have a strategy or how we justify the strategy we have.

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■ The most important or the number one important aspect of this is a digital enterprise was data-aware. It had access to all the data. But an AI enterprise is what we call context-aware. It has complete knowledge about the context in which the data is being available, and the decisions are made in the context; it's not without the context. That's what differentiates the AI enterprise. Similarly, a digital enterprise made reporting, on-time reporting possible every day. But an AI enterprise, we are looking at advanced analytics and reasoning. Why the report says what it says and what smart choices and actions somebody has to take based on the reporting and the reasoning available? Third, within the digital enterprise, we talked so much about automation. In fact, if you looked at our layer, you would see a data layer, enterprise layer, experience layer. The focus was on straight-through processing. How do you automate stuff end-to-end? But in an AI enterprise, the focus is going to be on autonomy. How the systems take decisions on their own, based on the reasoning, based on the judgment, and supported and supervised by humans. So that's the nature of AI enterprise.

■ And the software that you would see here are not going to be rule-based software. These are all software that's going to be... that can learn and adapt and take decisions. And essentially, that's what we call in a digital enterprise, it's about data informing humans. But here, it's AI becoming a decision coach.

■ In fact, we did a joint research with MIT. They came up with this overall architecture, what they call an 'Intelligent Choice Architecture'. What a future AI enterprise would have is a choice architecture that throws all the choices in front of you, not the data points, throws the choices and helps you in taking the decision and creates a feedback loop, so that next time you have to take a decision, the feedback loop, the past experience is taken into consideration. So, this is broadly our view of how AI enterprise would be. And we've been doing many... we want you to keep this context on what we define by AI enterprise and so that will probably later on, when we describe what we are doing, it will come quite handy.

■ We've been doing many projects, since 2023, when the ChatGPT moment happened, we've been working with our customers, helping them do POCs, exploring, experimentation, so many things have been happening. By now, we have done more than 5,000 projects. And if you look ask us, like all of you are in one of those immersion sessions, some of the basic engagements we get into would be how do I help the customers accelerate AI adoption? They ask us to come and see how we can help them change their culture, adopt AI at scale. But the interesting nature of the projects are also on how do we help them anchor AI to their strategy and business value, because



AI is a lever that has to be embedded into a strategy and otherwise it will not deliver value to you.

■ Second, we are helping our customers make those technology choices in the context of their business strategy. And more importantly, we are actually helping them design for change. This is a very important aspect, because we all see that these technology cycles keep happening

at more frequency than before. Which means, what you buy today, build today, may not be fit for purpose, maybe five years, two years down the line; that's shrinking. And even within AI, the technology is evolving so fast. So, we

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need to be building and choosing technologies that can adapt and that can change very fast. So, the design for change is very important. That's what we are helping our customers with.

■ And helping them get the right operating model, more importantly, the organizational culture. That's a very important aspect as you adopt AI, because the roles of people are going to change. The roles of humans in organization are going to change. What we are going to... For instance, even if you take an IT services company, we keep talking about how many programmers we'll have, how many coaches we'll have, how many trainers we'll have; we'll keep changing and new roles will keep evolving. And organization should be dynamic, should be adaptable. That's what we are helping.

■ Next one is assurance, like how do you establish the right guardrails? Because without the guardrails, many of these programs will fail on the first day itself. Because if the AI doesn't give the right results that you are expecting, or say something it's not supposed to be saying, it's a huge setback. That assurance, being ethical and being responsible is very important.

■ And last is ROI certainty. Because we can do a few projects as an experimentation. We can do a few POCs, but eventually enterprises have to get ROI benefit. And the kind of projects that we are doing with our customers broadly fall into this category. And if you look at the important aspect of it is, the kind of projects we are doing, based on many years of our deep customer experiences, we are also moving up the value chain. If you looked at, in the past, the kind of projects that we would have helped our customers, it would be in building the system. Somebody designs what they need to do, we go and help them in implementing. But this technology shift and the deep customer connect and context we have is helping us move up the value chain now.

■ And these number of projects that we have done gives us the experience and the confidence that we have to aspire to be in a league of our own. And we are on a journey towards this, to build a future-ready TCS. And the future-ready TCS is built on a vision that we have put forward. This vision is a vision to be the world's largest AI-led tech services company. And we believe with the customer context we have, deep customer relationships we have, the experience that we have built, and the investments, the strategy, investments we are going to put in and the strategy we have, we are really poised and in fact, we feel that we are destined to be there, and we are making every step to achieve that.

■ And what is driving this AI-led technology services company ambition are these five pillars. Essentially, we have defined five broad pillars on which we will be working. While Aarthi will come later and double-click on each of these five pillars, I just want to take a minute to explain.

■ First is achieving the internal transformation. Essentially, we want to be our own customer zero. Whatever we want to tell our customers, if you want to tell our customers, you need to have an AI culture, an AI-first culture, you need to have a culture that you can change yourself readily, we want to do it for ourselves first. In fact, there's a massive internal transformation exercise going on, and we are encouraging all our associates to adopt an AI-first culture. What does an AI-first

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culture mean for us? Every time we do a project, every time we engage with our customers, first question we ask is what can AI do here? Can AI do something better than what we are doing, even if it is going to cannibalize our revenue? See, that's what we define as AI-first culture: giving AI the first

right of refusal before we do any other

option. And of course, we are building our own AI solutions, we are scaling with AI.

■ And I would let Aarthi come and talk about each of these, like we are redefining each of the services. We have a new leader that takes care of AI and service integration.

■ We are redefining every one of our services in a structured way and we are re-looking

at our talent model. How do we train our people? What are we training our people in? What should be the structure of the team? How does project get delivered? We are re-looking at every piece of this talent puzzle.

■ And fourth is, while all of us know AI can deliver productivity in software engineering, but we believe the best value through AI will come when there is a business change, we are able to deliver business change or we are able to introduce new products, new services, give better customer experience. So, we are re-imagining the customer's value chain. For example, for one of the customers, we re-imagined their claim's process by which we did not throw away the human being working there. For instance, the call centre agent was continuing to work, but the call centre agent was able to focus on being empathetic to the customer, while having a discussion at the same time collecting the data and able to close the claim in a very short period of time. So, number of such examples where we re-imagine the customer's business value chain. We believe this is where the maximum value release will happen and our customers are very keen on working with us because of the deep contextual and domain knowledge that TCS has.

■ And the last one, if we have to broaden our play, we need to have more partnerships, we have to be more acquisitive in nature, we have to get into new ventures. We have spoken about some of them, I will talk about what we are doing. But most important reason that we are doing this is as I said, this technology change, one important aspect is the speed at which it is happening. If we need to address the speed aspect of it, we cannot be only building everything on our own, we need to partner with others, we need to acquire capability wherever it is required. That is the reason we have chosen the ecosystem play as the most important pillar in this journey.

■ So, if you look at where is the money being spent in this overall AI transition. We looked at the stack of this... there are five different layers in this stack. Money is being spent in building new infrastructure, developing new hardware. And customers are building, leveraging models, building models or fine-tuning models, creating SLMs. Then, once you have them, you need to have the frameworks, you need to have the platforms in which these models could be leveraged. On top of that, you need to have the agents that can be built on these platforms, that can deliver value. And last is, how do you show this intelligence in action? The intelligence in action is shown as physical AI. I know you will probably be seeing a quadrupled today, where we have been able to integrate physical and digital AI coming together. And of course, where you are able to give integration services, conversational AI using digital AI. And what we are doing is playing in all the stacks. It's important for us to play in each one of these layers so

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that we provide end-to-end value to all the customers. And only by playing in the entire ecosystem, you give the best value to your customers.

■ Like, your customers can engage with you. We see many of our customers engaging with us in creating a model foundation and then using a platform on top of it, then engaging with us in building agents, and then conversational AI. So when a customer engages with us in the entire value chain, there is more and more increasing value for our customers. And that's the reason that you see right from the infrastructure... we announced the creation of HyperVault. And we work wi

th many other chip makers

today, and we are helping them in chip design. And we are working in the devices platform area. And we are actually working in integrating models for our customers. We are building SLMs. We are fine-tuning LLMs for our customers for their domain needs. We created platforms like Ignio, a number of platforms. CodePlus is a very interesting platform that helps you in migrating from one tech to any; multiple technology transformations it can do, reducing tech debt reduction. And we have, of course, built agents on top of that for many domain use cases. And of course, I talked about Quadruped and other intelligent services.

■ And as I said, we will be doing all these things... while we build most of it internally, we will also be partnering. We are developing deeper partnerships with our partners, like all the hyperscalers, AI-related companies. And also acquiring. We talked about ListEngage, of course, Coastal acquisitions, and we are being more acquisitive.

■ There's another angle on why we do this. By participating end-to-end, the partnership with all the ecosystem partners is also becoming 360 degrees. It creates a very, very virtuous cycle for us. Hyperscaler is our go-to-market partner. We consume hyperscaler services. We provide service to hyperscalers. While it is true for hyperscalers, it could also be an industrial company from whom we are buying a switchgear, or it could be an AI company. It provides multiple opportunities for us to integrate ourselves into the AI ecosystem by playing end-to-end. So, our end-to-end

strategy is very, very deeply thought out, and creates a stickiness, creates the ability to give a lot of value to every stakeholder, and makes our play very strong in this ecosystem.

■ And why do we believe that we will succeed in whatever we have put as our strategy and investment? See, we look at more... we are currently about 60 clients with whom we make \$100 million a year annual revenue. Of these 60 clients, for 54 of them, we are engaged in AI work. And as I said, we have done more than 5,000 engagements, and these engagements have resulted in a satisfaction of close to 95%. These are all only AI engagements. So very strong customer endorsement and satisfaction.

■ Second, we went ahead and trained 100% of the customer-facing team in AI technology so that they can articulate what is the value the customer will get by deploying AI in a particular way. And we also went ahead and trained more than 180,000 associates in higher-order AI skills. We conducted the largest AI hackathon in the world to prove the point that TCS can scale, help our customers scale. 280,000 associates, the largest hackathon, where they all created... first ideated. Close to 175,000 builds were done within a short period of about three to four weeks. And of

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course, all this has been recognized in the market. 14 of our engagements in the last one year have been recognized as best-in-class.

■ And we have been found in the leaders' quadrant in 8 of the 8 Analyst reports that have been published. And I talked about platforms in terms of ignio™, WisdomNext™, CAP.AI. Collectively, more than 200 platform implementations have happened. So, what we have seen in the customer gives us the confidence, first proof point, that we are on the right track.

■ The second, from a revenue perspective: Our AI-related services have garnered a total revenue of US\$1.5 billion annualized. And I said, about 54 of the top 60 clients use TCS for AI. 85% of all the clients, greater than US\$20 million, leverage TCS for their AI work. And based on the success we've been able to get in the market from our customers, our quarter-on-quarter growth on AI alone has gone up by 16.3%. And if you see, it's reflecting in every service line. Every service line, the AI revenue is growing and growing significantly. Like, whether it's Banking and Financial Services (BFSI) or Life Sciences, you

see strong growth across the board.

■ And I talked about reimagining every service that we deliver. The reimagination of services actually is creating the growth acceleration for every service line. Today, what we can call non-traditional services, if you take ADM and testing and BPS out, the non-traditional or the new-age services, if you can call, constitute almost US\$11 billion of our revenue, and all of them are growing at a rate higher than TCS' average rate.

■ So, all this put together, again, is another proof point that gives us the confidence that we are on the right path. We are reimagining the services right, and our customers are acknowledging what we are doing.

■ And TCS continues to be very well recognized and accepted by their customers directly. The Whitelane survey, which is an independent research agency in Europe, has ranked TCS came as No.1 in customer satisfaction, for the 12th year in a row. And of course, our internal customer satisfaction scores are above 94%, and it keeps increasing.

■ And this is another very interesting statistic. Recently, Newsweek in US published a list of the 'Most Reliable Companies'. TCS was globally the No. 1 Tech Services Company in the list, ahead of many other peers and competitors. And of course, we continue to be the Top Employer and one of the best in retention rates in the industry. And Fortune ranked us as the most admired company. So, as I said, we have our customers trusting us. We are seeing that validated in the revenues and the service line and the industry line growth. And of course, our employees are continuing to like and be delighted by the investment that we continue to make in them.

■ And the last aspect on why we are uniquely positioned to go through this transition: Because as I said, this transition is going to require a lot of discipline, and it's based on certain investment that we are committing. For a long period, as all of you know, that we've been a benchmark on our margins. Our cash conversion has been consistently over 100%, and we have industry best return on equity. And Samir has \$6.3 billion to spend as well.

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■ With that, I just want to conclude and let Aarthi, Samir and Mangesh talk about the different aspects of our strategy. But I just want to give a high-level summary:

■ The first is, the shift from digital to AI is a huge opportunity for all enterprises,

particularly for TCS, based on the deep partnership we have with our customers and deep investments that we are making.

■ And we have a very well differentiated strategy. We are committing our investment. And our strategy, which is based on these five pillars, is, we believe, well validated by many of our customers.

■ And the enduring partnerships with our customers, is very important. The contextual knowledge you have gained with these partners over the years, helps you in building the solution and making AI real for our customers, because this enduring partnership is very important in converting an idea or converting a technology into a business value proposition.

■ And of course, with the strong, robust financials and execution discipline, we all very strongly believe TCS is best positioned to gain leadership in AI.

■ I'll be happy to take questions after Aarthi, Samir and Mangesh's presentations. But once again, I want to thank you all for being here. Thank you.

Nehal Shah - Head Investor Relations, TCS:

Thank you, Krithi, for that very insightful keynote. Next on the agenda, I would like to invite our COO and Executive Director, Aarthi Subramanian. Over to you, Aarthi.

COO Session – Building a Future-ready AI-led Tech Services Organization

Aarthi Subramanian - Executive Director & Chief Operating Officer, TCS:

■ Thank you, Nehal. Thank you, Krithi, for setting out our aspiration and the five pillars that are driving our transformation in the company. So, as part of my session today, I'll cover the five pillars

that are driving our transformation.

■ And I'll start with the first pillar. As Krithi said, the first pillar is about TCS's own internal transformation. And we have codenamed this transformation tcsAI. So, as part of this transformation, what we are looking at is, how do we make every TCser, senior, junior, in every role, an AI practitioner? How do we create AI-first mindset, as Krithi alluded to earlier, in every employee in the company? So, that's the focus of this internal transformation initiative.

■ And to achieve this, what we have done is, we have made some big investments. We have been working on this, as Krithi said, since the ChatGPT moment. We have been making AI available to select employees. But in the last 6 to 8 months, today, we have what I believe is one of the largest AI infrastructure available for employees. 600,000 TCsers have access to AI at their fingertips. What this includes is access to all the models, access to all the coding assistants and other tools, and also access to all the hyperscaler AI tooling which is available, with which we actually build solutions for our

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customers. So, these tools are available in a safe, secure, and on-demand fashion to all the 600,000 employees.

■ Now that we have made this infrastructure available to all the employees, the next question was, how do we get all these employees engaged and use this infrastructure, put it to use to the maximum extent? So, we ran what we call the world's largest tcsAI Hackathon. It is the largest because we had more than 280,000 associates engage during the hackathon. We ran it in two phases - Ideate with AI for four weeks, and build with AI for another four weeks from August to September. What this generated was: these 280,000 employees created more than 500,000 submissions, about 330,000 ideas, and about 170,000-plus builds. So, in the four weeks, people actually took the idea, brought it to life, built a solution, and all this is available on a platform which is powering the tcsAI Hackathon.

■ It was also the most inclusive, because like I said, we want to make every TCser an AI practitioner. So, all of us, including the senior leaders in the room, HR, Finance, every function participated. And obviously, all the engineers and the development community were very much part of it, but we wanted to make sure that senior, junior, people in Finance functions who wouldn't have ever coded in their lives, really got hands-on with AI, and it became the most inclusive hackathon from that point of view.

■ Another thing we are very proud of is it was also the most innovative hackathon. 500,000 submissions, if we had to evaluate with humans, would have taken us 90 people, 12 months. We put AI to the task. We built a model which evaluated these entries, and we completed 500,000 submissions evaluated in three weeks. And we had a big recognition event where our best employees who really did outstanding contributions and generated great ideas for our customers and for internal consumption. They were recognized and felicitated by our CEO.

■ Now, the hackathon is something we did, a large one in August, September, but it's something which is continuing on a regular basis. Different teams, different functions keep running these hackathons, and this is an ongoing activity. But what we also did

is, we said we want to really bring people together. Because a lot of times you could be sitting at your desk and ideating and building, but we also wanted to bring teamwork into the hackathon. So, we launched something called tcsAI Fridays. This is where our AI infrastructure... and we have created AI Friday Labs. This is a physical infrastructure in every delivery centre, and we have brought the best AI mentors in that location all together to run what we call AI Fridays, which is basically, what it does is, it helps our teams solve problems, come up with ideas, but most importantly, discover the power

of this technology, and also discover their own capabilities by building solutions.

■ So, what we do is this is on every Friday, there is a 4 to 6-hour AI Friday, gamified hackathon which is run, and it's competitive, and people start ideating from Monday through Thursday, then come together as teams, self-organized teams, and they build, and they present to a jury, and on the spot they're awarded for their creativity and innovation. And what this is doing is, the teams actually include not just the AI-native talent, we actually bring together senior people - 20 years, 30 years, 15 years experience, some of them who are still hands-on, some of them who are not hands-

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on, but also with the AI-native engineers, some of whom you met when you went through the immersion session today. We bring them together. And what this is doing is really blurring and bridging the gap between seniors and juniors, and expert and novice. And that's what we are trying to do internally. This is something that started. It's a movement which will continue because the technology is changing every day.

■ The second part of tcsAI is building AI-first solutions, which is making TCS the best showcase of AI internally for the industry, and also in front of our customers. We are driving this across two areas: one in IT -TCS's own internal IT, how do we develop software? How do we disrupt? How we run our Service desk? How we run our IT operations, whether it's infrastructure operations or application operations? So, we have put together a very ambitious goal to disrupt how we use AI in our IT. 97% of our developers and engineers have access to coding assistants, and we are well on our way to drive productivity improvements. There are portfolios where we are already seeing 20–30% improvements, and also, we are looking beyond coding and looking at how we can disrupt the entire software engineering. Testing, again, high levels of productivity, generating Figma designs, UX with AI. These are areas where higher levels of productivity are already being seen, and we are creating our own showcase. We are also learning from the work that we do for our customers.

■ The second aspect is how do we put AI to use for our own business, for our own business functions, our business users, whether it's HR - how do we disrupt learning, how do we disrupt hiring, whether it's for Finance, Procurement, every function in TCS, we are looking at how do we disrupt with AI. Jana took over as our Chief Information Officer from July, and he's driving the entire internal transformation within TCS.

■ Let me show you an example of how we are creating disruption within from a learning point of view. So, as all of you know, TCS, for not just now, over the decades, if you look at the last 20–30 years, we have always invested in learning for our employees, and over the last many years, we have put together a very strong learning infrastructure. So, it provides on-demand learning, anytime, anywhere, any device; top-notch content is available to our employees; clear pathways are available for taking your capability to the next level, but we didn't want to stop at that. We said that now, with this new form of AI, Generative and Agentic AI, with reasoning being available, we have disrupted learning within TCS. What we have built is an N=1 Personalized Coach. It's a learning coach which is available to every TCSer. What does it do? You can see a video which is playing out there. You see a TCS employee there interacting with the AI avatar, which is the learning coach, to understand how containerization works in the context of microservices. That's the video. So, what it does is we have brought all the learning content that we have and made this available to the AI model which the AI avatar is consuming. So, in some ways, the AI avatar is an all-in-one SME. It understands all domains, it understands all technologies and can also coach an a

ssociate on soft skills.

■ So, the key differentiation here is that it has complete understanding of where the skill level of the employee is, what the aspiration and learning goals of the employee is, and then how do you now bridge the gap, and that's where the N=1 coaching comes

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into play. And here, traditional AI, Generative AI, and Agentic AI all have been put to use, and this is under deployment, and we are seeing great results.

■ Let me now move on to the next pillar, which is a very important pillar. If you look at AI today, it is a hugely promising and powerful technology. It's disrupting every industry. But what is important is it has a huge opportunity, and it's creating a disruption in our own industry. So, we are looking within and saying how do we use AI to disrupt every service that we deliver to our customer?

■ So, this is where we have now appointed Amit Kapur, who's here, as the AI and Service Transformation Officer. We are looking at all service lines and saying how do we disrupt every service line for the new world of autonomy? All services, if you really look at not just in the last few years but over decades, automation has always been central to how we deliver services. But with this AI, we are shifting from autonomous to autonomy, and that's where we are looking at how we need to look at the human-plus-AI autonomy model.

■ So, just to give you a very quick view, when you look at our services, so, just you look at it, whether it's infrastructure services, application services, all the services around business, across all these service lines, there is a huge opportunity for us to disrupt how we deliver each of these services to our customers. And to do this at scale, at TCS scale, and also do it consistently, we said, okay, how do we do it at scale? How do we deploy the autonomy at scale?

■ So, the first thing that came to mind when you think about autonomy is ADAS. All of us are familiar with autonomous cars. So, we drew inspiration from the autonomous cars, where all of us are familiar with the five levels of autonomy. So, we have Level 3 and Level 4 cars internationally. We have Level 2 cars here in India. So, we said that why don't we create our own TCS Services Autonomy Model, which is inspired by the autonomy that we see in vehicles? And this is the model that we have created. It's a five-level services autonomy framework which we are consistently deploying across every service line. What you see here is the framework. This has been instantiated for every service, whether it's development, whether it's testing, whether it's production support, whether it's SAP implementation, Salesforce implementation, or a ServiceNow implementation, or autonomous GBS. For each service line, we have instantiated this framework.

■ What this does is, it gives us a blueprint to think, consistently deploy, more importantly, it becomes an assessment framework when we engage with our customers. How do we go and find what is the current maturity of the customer on this model on any service line? This is becoming a cookbook for us to go and tell our customers: use this framework to say that you are at Level 3 or you are at Level 1. This is how we can take you to Level 2. On development, coding assistance usage, you are at Level 2. We can take you to Level 3, and this is what it takes.

■ So, let me give you an example of how we have put it to use in the application development software engineering context. So, as you can see, just like cars, a Level 5 car is not on the street. So, even here, the Level 5 and Level 4 capability, the technology capability, may not be available. But we have created a blueprint of what

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the art of the possible is. And for Level 1, 2 and 3, where the technology is available and those levels of autonomy can be put to execution in our own internal context and customer context, that's exactly what we are working on.

■ The

first one, as you can see in a development context, is coding using a general-purpose LLM: lower accuracy, lower context. You move to Level 2: it generates better productivity because you're using purpose-built coding assistance, whether it's Windsurf, whether it's GHCP, or any of those tools. And Level 3 is where the customer context starts flowing in, where the entire enterprise knowledge of the customer... you start building agents who understand the customer code base, the customer knowledge, and that's when you get the next level of autonomy, and obviously, the higher level of productivity, where AI can now start autonomously executing some of the software engineering tasks.

■ So, just to bring this to life with a few examples: for a large customer in Asia-Pacific, the customer had already very good maturity and was at Level 2 and had made significant investments. We worked with the customer and used this framework to take the customer from Level 2 to Level 3 and helped generate higher-order benefits: 30% productivity.

■ For a global consulting firm, we helped them, again, take them from Level 2 to Level 3 with 25% benefits in terms of productivity.

■ Again, the third one is a very interesting example, where we already were executing this project, and this is a large application development portfolio that we deliver for this large aerospace OEM. We proactively went and disrupted. And Krithi talked about doing the right thing, AI-first culture, cannibalizing our own revenue. We went ahead and proactively deployed coding assistants and moved them from Level 1 to Level 2, delivering 20% benefit, and we are now on our way to take the customer to higher levels of autonomy. And what you see here is the quote from this customer, which shows how proactively we went in and delivered savings to the customer.

■ Let me move to the third pillar of our transformation agenda, which is building a talent model which is future-ready. Here, we are looking at three pillars. First is building future-ready skills: AI fluency at scale - How do we train every employee to learn how to work alongside and with AI? So, when over the last 2-3 years we had made significant investments once GenAI came into the scene. As of date today, pretty much all employees, 580,000 people, are AI-aware, but AI awareness is not enough, it is necessary, not sufficient. So, then over the last two years, we are driving higher-order AI skill development. And today, 180,000 TCSers possess higher-order AI skills. This number was 80,000 at the end of last year. So, we have almost doubled capability building when it comes to building higher-order skills.

■ The other element is the AI-native fresh graduates. I think this is a very exciting time because all these fresh graduates are very AI-native. They really know how to use AI very organically. And what we have done is, our intake of trainees, fresh trainees from universities, we have actually doubled on that. And what we are finding, and you met with some of these trainees today, these people really know how to treat AI as a teammate. And that's the big learning that we have, and that's where the seniors and

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the juniors coming together, the fusion that I talked about, is really helping create that AI-first culture.

■ The second element of our transformation on the talent model is role transformation. Here, I was talking to some of you before we started today: every role in the company is changing because of AI. So, every customer conversation is an AI conversation today. So, how do we drive AI-centric customer conversations, whether it's from sales to advisory or solutioning to delivery, every role in the company has to become AI-first, AI-centric. So, we have a program called AI Dojo which we have launched to all our sales, solutioning, advisory, and delivery teams. And this has been done at scale. This is the starting point and this is something that we need

to continuously engage and

keep further honing the skills. And another important thing here is that AI is also introducing new roles. We have rapid-build engineers, rapid-build leads. So, we are also looking at new roles that are becoming very relevant for the future.

■ The third pillar is future-ready hiring. Here, we are looking at securing top talent. So, over the last year, we have doubled down on advisory and consulting talent across the big bets, and I'll talk about big bets in a little bit. These are areas like cybersecurity, enterprise solutions, cloud, all these areas. We are hiring a lot more advisory and consulting talent and positioning them closer to customers. And our experienced hires, if you look at today, more than 50% of our experienced hires are coming with next-gen skill sets. So, that's the talent transformation that we are driving, and we are well on our way to make TCS ready for the talent transformation which is required for our AI future.

■ The fourth pillar, extremely important one, is making AI real for our customers. So, I talked about how we are driving our own transformation with AI as part of the first pillar. I think it's a very similar transformation that we need to drive for our customers, most importantly, helping them deliver value with AI deployment across their industry-specific needs, across cross-industry needs that they have - common needs, whether it's HR, Procurement, Finance, Customer Service - and most importantly, helping them scale with AI.

■ And when you look at AI adoption in our customer base, if I look back the last three years, 2023 was a year of experimentation. GenAI was just available. People wanted to know what the promise and the power of the technology is. But in '24, we started to see a lot more scaled, I would say, still, experimentation and some projects going live. But 2025 has been different. And I think that Generative AI, along with Agentic AI, with the reasoning models coming into play in early 2025, is really creating the tailwind for us to deliver solutions which have reasoning, and that's what leads to creating solutions that have more intelligence baked in and building solutions which can take better decisions.

■ So, let me talk through how we are working with enterprises to make AI real and taking

AI close to customers. So, if you really look at... when I reflect on our conversations with customers, there are dual priorities, and these are not sequential; they are parallel. First one is customers want to get ready for AI, and the second one is customers want to lead with AI. If you really look back, the digital transformation started sometime early 2010s with cloud, mobile, and enterprise systems

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transformation and cyber and everything else. But if you look at the technology debt that still exists in infrastructure, enterprise core systems, and data foundation, it is still there across enterprises. So, there is a good amount of work that we continue to do. If you look at cloud adoption, it's still 35% across the globe. So, significant work across cloud, data, S/4HANA transformation, Salesforce, ServiceNow. Each of these enterprise solution implementations, there are many transformational opportunities that we are engaged with our customers on. Cybersecurity, again, top area of focus across. So, I think a lot of our service lines, what Krithi referred to as our next-gen services, are focused and really driving that customer transformation to get them AI-ready.

■ On top of this, what we are working on is really helping our customers lead with AI: how do we work with our customers to help them realize value and help them shift from use cases, pilots, experiments to real projects which deliver ROI at scale? And that's what we are working on. And how are we doing this? We are doing this across three areas. First, we engage with our customers to help them - Innovate with AI, Build with AI, and Scale

with AI. And here, it's all about how do you create value-chain impact. Value-chain impact could be vertical-specific or horizontal, like I said earlier, but the whole focus is drive adoption across value chain and create value-chain impact. Let me talk about each one of these.

■ Today morning, in the immersion session, you experienced what 'Innovate with AI' really means. So, many of our customers, what we are doing is, when they are visiting us here at our offshore delivery centres, when we meet customers at their premises, or we host customers at our AI experience zones, Pace Ports, or even when we are responding to an RFP, we are really bringing rapid builds and integrating in every customer interaction. So, what we do is, we engage customers and help them identify what are the challenges that are worth solving and how you can solve it differently with AI, and completely shifting the narrative from presentations to really build an experience. This is something that we are doing across the board, and this is really resonating extremely well, because what it does is, it is helping customers understand how they can use AI in their context.

■ The second one is where you shift from ideas to execution, and we have created this rapid-build methodology which is all about taking a problem and solving the problem, saying that, okay, this is the metric you want to move the needle on, come out, come-backward, solve the problem with AI. In a short period, anywhere from 8 to 16 weeks, this is what we call the rapid-build approach. And what it typically entails is bringing together a rapid-build squad which has AI-native trainees and people with contextual knowledge from our customer accounts, and that's a great combination. And the contextual knowledge and the AI skills together is what is the secret sauce for really doing that build. And one thing important to understand is, while you can do the rapid build in a day or two, what takes time is really integrating the solutions with the data and the systems within our customer.

■ And once we deliver the rapid builds, and we have proof points and these are in production and the customer sees value, the next obvious question is how do I scale AI within the enterprise? And this is where you will hear from one of our customers

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later today: how do we really work with our customers to put the AI architecture, the technology selection, putting the AI platforms, so that you can really build at scale and go live at scale. And here, what we have done is our own investment. Some of the platforms that Krithi talked about are the AI platforms that we have built and taking to our customers. But on top of those platforms, we are creating TCS's own industry-specific agent marketplaces. So, we are taking different vertical domains. For example, in Manufacturing and BFSI as two cases in point, we have 100-plus agents identified that we are creating, and more than 30-40 of them are already live, and some of these are already getting deployed in our customer engagements.

■ The other important aspect is safe and secure AI, and also AI which delivers value. So, AI Office is about setting up program management to put responsible AI and also looking at ROI from the AI projects that we deliver.



■ The last one is again a very important part of scale. This is about how do you create AI Labs which are nothing but rapid-build factories. So, many customers are looking at... after a successful build with AI, we go ahead and set up a factory where multiple problems that we want to solve, multiple projects that have been jointly identified, become the pipeline for the factory, and multiple rapid-build squads come together to deliver value. But not only the AI Labs, what we are also doing in our customer engagements, we are deploying our rapid-build teams in our existing projects also. So, embedding rapid-build teams as well as setting up AI Labs, it's a dual a

pproach that

we are taking to help customers scale AI.

■ Now, very quickly, many of these examples you are going to see when you are visiting our Executive Briefing Centre later today. The left one, the first one on 'Innovate with AI', I think Ashok already covered this, but this is a very unique one because we engaged with the CEO and direct reports, and we ran an AI Innovation Day, generated high-impact ideas which had the endorsement of the senior management. This resulted in a subsequent AI Innovation Day which ran for two days with 200 people from the customer service organization, and eight high-impact ideas have been put into motion.

■ The second example I would like to share is with 'Build with AI.' Again, we are seeing a lot of opportunities to create value in the industry for the specific industry value chain. But I think another big area where we are seeing AI come in, is in modernization. GenAI has this unique capability to really understand the old and generate the new. So, tech-modernization projects which were earlier put aside because they were capital-intensive and they would take a very long time, are now becoming big opportunities for us to engage. You can see here, how we delivered an integration modernization from TIBCO to Java: rapid build, three weeks delivered, proof point shown, then led to scaled projects in modernization.

■ The other example is an electronics OEM example, where we have built a site inspection to expedite the construction, and there's a great example of physical AI which our teams will talk about. The first MVP that we were able to put in production was done in eight weeks.

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■ The last one on 'Scale with AI', the UK high-street bank. There's a customer who's going to be talking to all of you today, so I'll not cover that, but there's a great example of how we have partnered with this customer to scale AI across their enterprise.

■ And the last one is again an interesting example of scaling AI in AI for modernization, where we are working with a payments tech provider for mainframe modernization. This is a huge amount of work, 50 million lines of code in mainframe being modernized to a completely new microservices stack, and this is a great example of human and AI coming together, and TCS's contextual knowledge of mainframes, contextual knowledge of the modern tech stack, and bringing it all together.

■ The last pillar is the AI Ecosystem play. I will cover the partnerships, and then Mangesh will come in later and talk about M&A and how we are setting up new ventures.

■ Partnerships, as Krithi said, are an integral part of the business that we operate in. And we are doubling down on partnerships. And let me explain what I mean by that. So, we're looking at partnerships across four areas. Enterprise partnerships and domain partnerships - these are longstanding partnerships we have had for decades. But what is new here is all these partners are infusing AI in their products. So, now when we are solutioning or upgrading, we need to leverage the AI features, functionality, which are now coming out of the box. So, we are working with these partners to expand the centres of excellence to really build AI competencies in these products. So, that's what we are focused on in the first two areas.

■ We are also expanding our partnership ecosystem to cover deep-tech partnerships. So, you can see whether it's Anthropic, OpenAI, NVIDIA, Mistral, all these are new partnerships that we have set up and working closely with them to really build competencies.

■ The fourth area is also an important element, which is AI-native partnerships. There are many AI-first solutions which are available, which can be plugged into the overall solutioning that we do for customers. So, this is again an area where we are investing in building partnerships.

■ In summary, I think when you look at these partnerships, partnerships are pivotal to us wor

king with our customers. So, we are doubling down, building the required competencies for the future with our partners, in terms of capabilities, certifications,

and everything else. And we are also looking at how we can really innovate with these partners, and I would like to leave you with two examples.

■ So, if you look at NVIDIA, and I'll give you an example of how our manufacturing teams have worked with NVIDIA, and we have built 12 industry solutions. And these are all innovative solutions which we are already taking to market with our customers. And in our meetings with NVIDIA, what we have heard is TCS is a gold standard in manufacturing NVIDIA solution development. We have built platforms. So, I think really pioneering work done by our manufacturing teams.

■ The other example is if you take Google - even before their new launch this year on Google Gemini Enterprise, we started work with them ahead of time on their agent-

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to-agent protocol, and TCS teams have done really pioneering work with Google, which we started quite early. And we continue to partner with these companies, and this is a very essential part of the solution and the integration work that we do for our customers.

■ So, with this, I'll wrap it up.

Client Testimonial from Ranil Boteju, Chief AI Officer for Lloyds Banking Group

Mr. Balaji - CEO's Office, TCS:

We have a very special session today. You heard our CEO talk about building multi-decadal partnerships with our customers and the deep trust that they have with TCS. You also heard about how we make AI real for our clients from Aarthi in detail. We have a special guest today joining us from London, Mr. Ranil Boteju. He is the Chief AI Officer for Lloyds Banking Group. Lloyds Banking Group, all of you would know, is a premier bank globally, especially in the UK, and has been a pioneer in terms of embracing technologies well ahead of its time. TCS has a very strong partnership with them, right from the early digital days, through to the cloud transformation, and then subsequently now with AI.

Ranil has over 25 years of global experience. He spearheads the bank's data and AI strategy, overseeing cloud, data platforms, machine learning products, ethical AI frameworks, and data literacy initiatives. Prior to joining Lloyds, Ranil held significant senior positions at major institutions, such as HSBC, Standard Chartered, Vodafone, and the Commonwealth Bank of Australia. Additionally, Ranil contributes to the UK's Information Commissioner's Office as a non-executive director, where he plays a crucial role in data privacy and transparency governance. Ranil's leadership is pivotal to Lloyds' transformation into a data-driven organization with a strong emphasis on operational efficiency, customer experience, and responsible innovation.

Without much ado, Ranil, the floor is yours.

Mr. Ranil Boteju - Chief AI Officer, Lloyds Banking Group:

■ Thank you very much. So, look, I would really like to share my experience with TCS in terms of the data and AI transformation they have been delivering at Lloyds Banking Group. So, I've been at Lloyds Banking Group for about four years now. And, when I started, we embarked on a very comprehensive transformation of data and AI. And I really want to share with you how TCS has been a partner along that entire journey.

■ So, obviously prior to me starting, TCS has had a very long relationship with Lloyds Banking Group. But in the context of my role, I'll share with you the data and AI story. So, really the first step coming into Lloyds Banking Group was a real focus for me on building much more modern, up-to-date foundational data capabilities. And in the work that was predominantly about migration of a significant amount of on-premise data sources, from Hadoop, Cloudera Hadoop, to Teradata, to, you know, significant amounts of data, we basically partnered with TCS to migrate that to public cloud.

■ And really o

ur relationship was very much around leveraging two things. So, firstly, proven experience from TCS. So, in terms of the skills and experience they had with

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similar migrations to public cloud, we were able to tap into experts. And then similarly, really build out the team. We had to scale very quickly. There was no way that we could have actually built up our own team to do this work internally ourselves. So, the partnership was very much on bringing us the skills, the IP, the thinking, the know-how to supplement my own team. And then as well as the really skilled engineers to do the work as well. So, that was a very difficult program of work, but we managed to get through that over '22 and '23.

■ And then once we had a solid foundation of data on the cloud, my next focus was very much on really scaling the new thing at the time, which was Generative AI. And so, one of the things that I did was set up an AI Centre of Excellence, a whole bunch of AI platforms. And again, we wanted to really leverage specific skills from TCS. And so, we

had a very senior-level engagement, almost CEO to CEO, where we said, look, we want to get access to your best people. And we were able to get access to skilled engineers, skilled AI developers from TCS who helped me form my AI team whilst I built my own. But more importantly, really built out basically our initial Generative AI workbench, we call that Cortex. That's now up and running. You know, we set some really strong goals for ourselves. We said that by the end of 2025, we want to deliver at least 50 Generative AI use cases in production. We've actually overachieved on that. This year we'll end with 57 use cases in production.

■ TCS has been very much part of that journey, right. So, essentially, it's the access to the skilled resources. It's your knowledge of the products that we work with. You know, we work with both Google and Microsoft, but per the previous presenter, you have strong proven links with both of these hyperscalers. We're able to tap into that knowledge. And then secondly, just really helping us build the team. So, that's been tremendously successful.

■ Where we are now is, though, a very significant pivot to Agentic AI. So, we are now really scaling up our Agentic AI capabilities. And again, we've had to lean very heavily on TCS to access... Agentic AI is new for everyone. We've had to access TCS skills on the engineering side, AI developers, but also in areas like responsible AI. I have a Responsible AI team. It's stacked full of PhDs, but I still need access to what do others do outside in thinking. And again, we've been able to secure some very skilled colleagues from TCS to help us do that work.

■ So, look, in summary, over the last four years at Lloyds, in our data and AI transformation, TCS has been pretty critical to building the foundational capabilities on public cloud. Secondly, when we pivoted to Generative AI, really standing up our AI Centre of Excellence and the AI platforms, we really partnered, I would call it a partnership, with TCS; that was very successful. We've ended the year with more than 50 use cases live in production. And our latest pivot towards Agentic AI, again, we're going to lean very heavily on TCS. So, very exciting.

■ What I would say, though, is I'm really excited about our partnership with TCS. So myself, but all of my colleagues at Lloyds, all of the CIOs, even our CEO, I feel that the one thing is... I've talked a lot about the skilled resources that you have, the ability to spin up teams very quickly. That is definitely something that we value. But more importantly, for us, we see the culture of TCS as being the thing that we like the most.

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I mean, whenever I'm in India, I will spend as much time with the TCS team as with my own Lloyds Banking Group team. They are very much part of the team. We treat them like the team. It's there's no real boundaries as far as I'm

concerned. But just that

culture of coming to us with new ideas, suggesting things, it's been incredible for me personally, but also for our AI progress at Lloyds Banking Group.

■ So, that's kind of the summary. Really excited about the continued innovation with TCS. So we've seen... Some of my colleagues were in India recently. We've seen a lot of the new off-the-shelf Agentic AI solutions. So, again, very keen to explore those as we continue to build out our own capabilities. So, look, I'm really pleased about the direction of travel with TCS. We've achieved a lot together and very excited about continuing to work together as we transform Lloyds Banking Group with Agentic AI. So, that's kind of the main things I really wanted to cover.

Balaji Raghavan - CEO's Office, TCS:

Thank you, Ranil. You've been very kind and generous with your time today. With that, I would like to thank you for your time and hand it over back to Nehal. Thank you very much, Ranil.

Nehal Shah - Head Investor Relations, TCS:

Thank you, Balaji. I would now like to invite our Chief Strategy Officer, Mangesh Sathe, on the floor. Over to you, Mangesh.

TCS AI Ecosystem

Mangesh Sathe - Chief Strategy Officer, TCS:

■ Yeah, good afternoon, everyone. So, before I start, just an interesting observation. I tried to chat with an LLM and ask whether I should wear a tie for this event. And I said, it's an analyst day. And it said that absolutely I need to wear a tie. But if I look at the room, I think that the LLM really requires more training, right? So, context.

■ So, yeah, so I think if you see what we have covered till now, we have covered our aspiration, right? And Krithi has laid out what we are all set to achieve. We have talked about the five pillars. And today, I'm going to spend a few minutes on the fifth pillar, the AI ecosystem, and the approach we are taking to build that ecosystem.

■ So, if you see the Infrastructure-to-Intelligence stack, the AI stack that we have outlined, there are multiple layers. And Krithi covered that there are a lot of

investments happening across all these layers. So, a lot of changes that are coming in these layers. So, today, the customers look up to TCS or a partner like TCS and say, hey, look, I really need someone who can make sense of all the layers of the stack, right? So, I don't need a partner who comes and only talks about a particular layer. I want somebody who can really understand that entire stack and also provide services and navigate the stack so that we are able to really create some impact. I think we talked about Lloyds Banking Group and how we have kind of created impact.

■ Aarthi talked about autonomous cars. So, if, let's say a car company comes to us and says that, look, we want to really build an autonomous product. So as TCS, if I have to

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really help the company end-to-end, I'll have to start with the chip as to what does the chip need to look like, what should be the specification of the chip. Then I need to really help cover the AI infrastructure, because every car is going to emanate a lot of data, right? So, how do you really manage that data? How do you really deal with the latencies that are required for a fully autonomous product? And then we get into the models, the applications, and then the whole digital layer of interaction, right? So, as a company, if I have to really add value to this particular case, my ability to really understand this fully is very, very critical.

■ So, one of the core elements of our strategy is to really have a meaningful presence across all these layers. So, that's one of the core parts of our strategy. And now to do that, of course, we are doing a number of things organically on our own. We are building products, AI platforms. We are building services, transforming services. But in addition to that, to really augment all of this, we feel that we need to also do what we are calling as Build, Partner

r, and Acquire, because that is going to really help us accelerate this journey. Because this whole aspiration has to be achieved soon. So, in that case, we really need to use these levers as well. So, I'm just going to spend a minute on each of these.

■ So, the first one is the 'Build' part. Now, this is one example of the Build. This is not the only build we'll do. So, building can also be around capabilities, services. We have taken an example of a venture that we are building. So, this is the whole AI data centre venture that we announced a few weeks back. The rationale for us to really do that is, of course, there's a huge requirement that you see on the left. We currently in India only have around 1.7 gigawatts. Expected demand is 10 to 12 gigawatts (by 2030).

■ More importantly, if you see the middle column, the type of customers we are targeting for this AI data centre are hyperscalers and AI companies. These are the primary targets for us. And then, of course, we will also work with public sector and private sector customers. Now, the reason we felt the need that we need to really address this requirement is that the requirements are very unique. If I look at hyperscalers, they are really talking about, if I have to get an AI data centre, it also needs to work with all the other non-AI data centres that they may have in the region. So, the latency becomes very important. The kind of performance they are expecting from this data centre is very different from what today exists in the country.

■ Similarly, in AI companies, while of course the default expectation is to really look at India as a destination for inferencing, we are also working with them to really ask the question, can I also look at India as a base for training? What can it kind of do? In addition to whatever they are doing in the US and other geographies, can we look at India as a geography for training?

■ Public sector, of course, sovereign. I think a lot of things are said about that. So, sovereign is a big requirement. AI governance - how do you really govern the infrastructure? And then private sector, if you see what they are expecting, like the example I gave, they want somebody who can come in and do the full stack. But more importantly, apart from just providing services across the stack, you also need to provide it at a low TCO (Total cost of ownership). That is finally... Like today, in initial stages, maybe people are not asking so much about the spend, but this is going to

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become very critical soon. And once billions and trillions of tokens are going to get generated, of course the cost becomes a very important factor.

■ And lastly, the whole AI-led transformation. How do you deal with all these stacks, layers of stack, and then really deliver a very meaningful transformation? So, for us, the rationale was simple, that we feel that there is a unique opportunity for us to position ourselves as a one-stop shop for all AI services. We also feel it is a great opportunity to use this to deepen our partnership with hyperscalers, AI companies, and the ecosystem per se. We also want to leverage all the deep domain expertise. I

think the examples that were given earlier, showcase a lot of depth in terms of industry-specific, function-specific domain expertise that we have. So, how can we translate that?

■ And lastly, of course, this is a high-growth segment. So, whatever expertise we are building, building our own data centres, we can start offering it to the other data centre companies across the globe. So, that's one example of what we are building. Finally, the plan is to build a gigawatt scale. We have announced a partnership with TPG, and we are going to do the funding through equity and debt.

■ Second part, Build, and then Partner. Partner, Aarthi has already covered a lot of it. I'll probably highlight the middle portion first, which is when we say partnership and 360-degree, what d

o we really mean? To look at these three parameters: the whole aspect of mutual services. I offer some services to the partner, we take some services from the partner. So, that's one element that really creates a very tight relationship between the two entities. But more importantly, then also, how do we work together in driving growth? And this is... okay, you can start with regular go-to-market kind of initiatives, but here we are also... with some of the logos that we have put here, we are also working with them to define unique initiatives where we can penetrate a certain industry segment, or a certain use case, or a certain function. How do we really take that to the market in a very unique fashion? And lastly, the innovation and the co-development that we can do with these partners.

■ So, a lot of examples. So, NVIDIA, Aarthi spoke about. Similarly, with Google, now we are defining how can we build industry-specific workflows. So, a number of things that we are doing with each of these partners, which can help us become more tightly coupled with the partner, as well as take something unique to the market.

■ Lastly, on the acquisition part, the core focus of M&A is centered around capabilities. We really want to ask the question strategically as to what capabilities can I Build? What capabilities do I need to Acquire? And in some cases, build and acquire to kind of do it together. So, some of the examples we have put is, like for example, in the big-bet areas, there are certain areas we want to acquire capabilities. But across the service lines, advisory is a big area that we want to build and, in a way, acquire capabilities for.

■ Similarly, if I look at deep domain or service-line capabilities, all the big-bet areas that were talked about, I think those become focus areas for us. Those are the growth areas for us in the future.

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■ And then market access, whichever markets, because as you start seeing the overall technology market, you will have to now start going geography by geography, within a geography, maybe sector by sector to really ask the question, where is the penetration opportunity and how do I really now go after that aggressively? So, one case in point here are the recent two acquisitions we have announced in the Salesforce space, which is ListEngage and Coastal Cloud. So, the reason we did these back-to-back and kind of did it together: one, it helps us really bolster capabilities across advisory, implementation, and managed services. So, it helps me complete the entire capability set. So, advisory services, it gives me multi-cloud. All the modules within Salesforce get covered. It helps me deepen my partnership with Salesforce because the companies that we have acquired have partner advisory board positions, are summit partners, so they have a very deep connect with the Salesforce ecosystem. So, it helps me deepen my partnership with Salesforce. It helps me cover market segments. And lastly, of course, gets me 500-plus talented individuals in this particular space.

■ So, if you look at the map, so the top line is essentially the combined entity where I put all these three entities together. And then below that, you see that individually, TCS, ListEngage, and Coastal, how do they fare in terms of capability map across the various modules within Salesforce. So, from services all the way to industry clouds, you will see now that we have a full set covered. And it helps us, in a way, strengthen the entire platform to take larger aspirations in this particular space.

■ Also, market coverage, we have covered both the large enterprise as well as the mid-market, and the sectors as well. So, coverage aspect is also covered very well.

■ And so, this is the approach that we will be using for M&A. I think even for partnering, the unique approach we are looking at. And building, I think we have just started; we'll look at other areas as well. Yeah, t

hank you.

Nehal Shah - Head Investor Relations, TCS:

Thank you very much, Mangesh. I would now like to invite our Chief Financial Officer, Samir Seksaria. Samir, the floor is all yours.

#### Balancing Speed & Scale with Discipline

Samir Seksaria - Chief Financial Officer, TCS:

■ Thank you, Nehal, and good evening, everyone. So, I think through the day, through the immersion sessions which we had, when we heard Krithi, Aarthi, and Mangesh speak, and probably from the demos also which we are going to see at EBC, you could relate to it that we are doubling down on our aspiration to become the world's largest AI-led tech services company. And towards that, we are focusing on two key things: One is execution rigor, that is delivering real customer outcomes, and talent transformation, which will ensure we stay ahead of the curve. And we have called out our five-pillar strategy, the five-pillar framework, which will help us tap this opportunity. And as you can see, in the past couple of months, we are shifting gears quite rapidly in this fast-paced era.

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■ So, if you look at the tech cycles, they have been compressing. Krithi also alluded to it in his opening keynote. And in that context, gaining an early-mover advantage is something which is important, and a competitive advantage. And unlike in the past, when competitive advantage was only through acquiring capabilities, in the current day and age, it is also dependent on how fast you are able to take those capabilities to the customers, and how rapidly and efficiently you are able to scale them.

■ Our investment approach, keeping that in mind, is towards balancing innovation speed with scalable, profitable growth. And that is what should position TCS as a market leader in the AI-driven services. I'm not going to cover the investments because Aarthi and Mangesh covered a lot across on the investments part. But putting it in the framework, our overall strategy is built towards three growth engines in terms of 'Build, Acquire, and Partner'. Traditionally, TCS has looked at investing primarily on the organic side, but as we heard through the conversations, it is important that we invest across our strategy, our investment approach, across all three of them: Build, Partner, and Acquire.

■ If you look at 'Build', which is basically driving innovation from within, we have been investing on talent, on the intellectual property, on infrastructure, and in terms of democratizing AI across TCS. If we look at our annual spend just on the 'Build' part of it, we spend about US\$1 billion annually on learning and development, on targeted research and innovation, and on specialized infrastructure towards the new services which we have been talking about. This doesn't include the use case which Mangesh talked about on the HyperVault (AI DC). This is the existing investments which we currently do.

■ From an acquisition strategy, our focus is on building capabilities, acquiring synergies, and driving high-quality revenue, which will help us build multi-year cross-sell opportunities.

■ And from a 'Partnership' perspective, this was covered in detail, mainly the benefits which we get is faster integration in client environments. We are able to lower our upfront build cost. We have an opportunity to have a shared investment model. And most importantly, like Mangesh also said, we get early access to innovation, and we are able to build cross-sell pipelines.

■ To reiterate, we want to invest at scale across the stack from 'Infrastructure to Intelligence', and this is where we believe we will be able to deliver exponential value to our clients.

■ Looking at all the investments which are coming, I'm sure the question which comes to mind is how are we going to manage the return metrics and the margins? And, as I talked about, we already invest about US\$1 billion as investments, and our focus would be, the incremental investments would be

funded partly through repurposing

some of the existing spend, specifically around the learning and development part of it, into newer age spend which are required. Second, is leveraging our balance sheet. And lastly, there would be areas which will require an offset, through operational efficiencies. And towards that, we will be continuing our focus on operational levers, the ones which we have called out traditionally - utilization, pyramid, SG&A, etc. We

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will also look at prioritizing tools, platforms, and reusable components. We'll also look at shifting the revenue mix towards higher value, higher margin services, and focus on delivery productivity. Our intent would still be to make all the investments, and over a period of time, shift towards our aspirational band, the guided beacon of 26% to

28%. Currently, as of last quarter, we were at 25.2%.

■ Next, we will discuss how some of our investments affect our ROE. If you look at the last five years, our ROE has improved from 38% to 51%. And if you look at our peer set of six competitors who are in our closest band range, their average ROE is at less than 25%, approximately 23.6%, and the next best is at 30%. So, we are 2x the average of our peer set. And if you look at the AI Data Centre business case also, the way we have been able to structure it, not just the debt part of it, but the variable return with the private equity partner, which we have announced, ensures that we are able to participate and lock in higher returns for us, and that should give us better IRRs, as well. Most of the data points are available publicly for you to calculate and evaluate, that the impact of the investments which we'll be making, is not more than US\$ 1 billion over a period of seven years, annual investments being even less, on the TCS balance sheet, will be very marginal, and we are confident we'll be able to maintain industry leading return metrics.

■ Lastly, we come to our capital allocation policy. If you look at the data point, last five years we have been returning 80% to 100% of free cash flow to our shareholders, and, our stated policy has been that we'll be returning substantial free cash flows back to our shareholders. Going forward, we'd look towards returning 80% to 100% of FCF post all investments. Since our share listing 21 years, if I take the IPO price at ₹ 850, and if we take the dividends which have been given, just the dividends in the last 21 years, it totals up to about ₹5,600, for one equity share which was invested, plus an opportunity to participate in the five buybacks which we have done, and the capital appreciation itself which has happened on the baseline is about 30x. So TCS has been and will remain a long-term value compounder.

■ Re-emphasizing the messages which Krithi alluded to, we are entering this decade, or this positioning, with a strategy which is clear, a team which is prepared, and a balance sheet that gives us optionality without volatility. And what plays to our advantage is what we call as the TCS advantage, which is in terms of our client trust, our delivery, our execution prowess, our talent, and our financial architecture. And with that, we should be able to deliver growth with profitability and ensure shareholder returns.

■ That's it from me.

Question & Answer Session

Nehal Shah - Head Investor Relations, TCS:

Thank you very much, Samir. With this, we come to an end for all the speaker presentations. We would now like to start the Q&A session. Anyone wishing to ask a question, kindly please raise your hand, so that the volunteers can come and share a mic. Please share your name and organization name for the benefit of everyone who's listening to the webcast.

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I would now like to call upon the TCS management: Krithi, Aarthi, Samir, Mangesh, and Sudeep, to start the Q&A session.

Ankur Rudra – JP Morgan:

■ Thanks. This is Ankur from JP Morgan. First

question is, you know, thank you first of

all for the great presentation and all day long has been excellent and a lot more data, so really learned a lot. Your vision statement of becoming the leading AI-led tech services firm, how should investors evaluate that over time? If you can just highlight which metrics, what drivers, what should we see to see the success over the next three to five years?

K Krithivasan - MD & CEO, TCS:

■ So, we define those five pillars. Each of these five pillars also have sub parameters. Internally, the way we are looking at it, how do we drive these five pillars? For instance, we talked about what is the business value? How do we reimagine the business value chain as the fourth pillar? We talked about how we redefine our services through leveraging AI. So, each of these have sub pillars. The way internally we are going to be measuring is on how we are progressing on each of these individual metrics.

■ See, obviously, overall metric could be on how would be the AI driven revenue that comes to the organization.

Ankur Rudra – JP Morgan:

■ Thank you. Just a follow-up question is on margins. You did say that you want to maintain the 26% to 28% band. However, if you look at the last 7-8 years, it's been tough to sort of stay there. Given a lot of the investments, you will be doing going forward, doesn't it make sense to maybe change the band to around where we are right now, giving you a lot more operational flexibility and be more competitive in the market?

Samir Seksaria - Chief Financial Officer, TCS:

■ See, overall, what we believe is, with our cost structures, we should be able to operate in the 26% to 28% band. We believe that the early investments which we have been making has been the source of how we are able to maintain sustained industry-leading margin band. And we are taking the challenge that considering all the investments, we will incrementally make, we would want to shift towards 26% - 28%.

■ To the point in terms of the last couple of years, you would also see that there would be various points of times where we would have come closer to 26%, and then we would have made some investments. So, it won't be that we will be stuck on not making the required investments at the cost of profitability. Growth with profitability will remain our mantra, and we will not be shy of investments, at the same time we will be driving margins towards the 26% - 28%.

Kawaljeet Saluja – Kotak Institutional Equities:

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■ Hi, this is Kawaljeet Saluja from Kotak Institutional Equities. Thanks a lot for the presentation. First question is, advisory/consulting focus. That's an area where, let's say, TCS may have not prioritized this, at least explicitly, in the past. Now, as you drive down the advisory path, both through organically as well as through acquisitions, what are the challenges in execution that you see? And more importantly, what has changed for you to prioritize the advisory/consulting part so much?

Mangesh Sathe - Chief Strategy Officer, TCS:

■ So, if you see the overall tech and advisory space, I think most of the incumbent firms are also going, or rather experiencing a lot of change, both in terms of what customers expect them to deliver, as well as the way they need to deliver it. I feel this is the right window for us to look at a more updated model of advisory or consulting, which will essentially be more driven by AI and analytics, and coming from our place of strength, which is technology. Given some of the stack conversations we have had, I don't think success can be just about providing advisory, it is also about going through all the other layers of the stack to actually help the customer deliver it.

■ But we'll have to build that initial muscle of advisory as well, because that's where the impact, or the conversations get pegged at the right level for us to drive that impact across the layers. So, we see that as an o

ppportunity, right opportunity for us to consider building that capability.

Kawaljeet Saluja – Kotak Institutional Equities:

■ The second question that I had is for Samir. How do you define that US\$ 1 billion of investment? Is it annual? Is it to the P&L? Is it OpEx, CapEx? If we can just get some more color on it.

Samir Seksaria - Chief Financial Officer, TCS:

■ This is one billion dollars in annual spend, completely on OpEx, completely on the P&L. The key components are on the learning and development part, learning and talent-related, industry-specific or new services-specific R&I, and specialized infrastructure.

Kumar Rakesh - BNP Paribas:

■ Hi, thanks. This is Kumar Rakesh from BNP Paribas. My first question is around the new-age services revenue, which you called out at about US\$11 billion. That means there is still a large legacy revenue base, almost two-thirds of it. How do you see managing that in the coming years? More importantly, this new-age services revenue of \$11 billion is growing at about mid-single digits, so the growth is not phenomenally great in that piece as well. The new-age services growth is not significantly strong, and the legacy revenue will most likely continue to get cannibalized as we expand AI implementation across our service lines. How are you going to manage your growth in this overall context?

K Krithivasan - MD & CEO, TCS:

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■ Kumar, as pointed out, our overall new-age services revenue is growing faster. First of all, you'll understand that, there is moderation and subdued performance due to overall market sentiment; that's the overhang we have. But within that, new-age services are growing faster than traditional services. With increased investments under a stronger strategy around new partnerships, new investments, and initiatives like data centres, and our new strategy, we believe new-age services will grow faster to offset any deceleration or drag in traditional services.

Kumar Rakesh - BNP Paribas:

■ Got it. My second question goes back to something we discussed earlier: how do you define being the world's largest AI-led services company? Are there any specific



metrics?

K Krithivasan - MD & CEO, TCS:

■ Kumar, we will try to publish. See, at this time, we took it as a vision and identified five pillars we are working on. Like I was telling Ankur, we look at the sub-pillars where we are putting our energy and effort.

■ The obvious metric is AI-driven revenue; we have published where we stand and we will continue to publish it as we go forward, and that's the external metric.

■ But internally, we are going to be driving all the parameters. To us, those parameters are equally or more important because there could be a lag in the external revenue we report, but it will keep us honest. We will focus on internal parameters and individual line items Aarthi described.

Ruchi Mukhija – ICICI Securities:

■ Two questions. First, in any technology transformation cycle, we have seen first-mover advantage along with scale. As TCS looks at data centres, and TCS has always enjoyed the scale advantage, do you think scale will be essential, along with being a first mover?

Samir Seksaria - Chief Financial Officer, TCS:

■ Scale definitely plays a role. One of TCS's advantages, apart from delivery execution and client trust - multi-decadal trust; our scale and breadth and depth will play a positive advantage.

Ruchi Mukhija – ICICI Securities:

■ So, we will put capital to use to achieve that scale advantage as well?

Samir Seksaria - Chief Financial Officer, TCS:

■ When we saw the full stack and what we talked about, the investments, we will be leveraging and making investments where we see focused returns coming in. Yes, absolutely, we will be using our capital.

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■ But we will also be partnering. As we saw, if you take the data centre case, the investments would be prudent and it would be structured. So

, the balance sheet does

play a role.

Ruchi Mukhija – ICICI Securities:

■ Secondly, the US\$1 billion spent that we highlighted, can you tell us how historically it has trended? Is the intensity of investment on rise as we are going through these technology changes, or have we been consistent at whatever level you want to define in making those investments?

Samir Seksaria - Chief Financial Officer, TCS:

■ We have been making early investments across, and if we take it as a percentage, as I said, our focus would be to make the right investments. Some part of the investments will also be repurposed into things where we want to focus on. And we would, if required, to the other question previously, we will elevate our investment need also. 'Growth with profitability' would be the mantra. It need not be that we will shrink our investments in the near term to let go long-term growth.

Arup Roy - Gartner:

■ Arup from Gartner. My second question first is to Aarthi, and I'll let you think about it, which is, how do you foresee your organization structure to look like by 2030, because you will have your agents as co-workers with your engineers.

■ My first question is perhaps to Samir or Mangesh, which is about your India AI DC venture, which is going to be completely opposite to the asset-light DNA that TCS has maintained over the past 20–25 years. Are you not thinking about coming up with a special purpose vehicle to do it, or is it going to be done under the TCS fold? But the key question over here is where is the synergy? That's what I'm getting at. Where is the synergy with TCS's overall services business in the global scheme of things?

Samir Seksaria - Chief Financial Officer, TCS:

■ So, to answer your first question, there is a special purpose vehicle. We'll be making the investments with locking in an anchor customer. And as I talked about the structured investment, we will be leveraging the balance sheet. We have also announced an equity partner i.e TPG. We have announced creation of a subsidiary HyperVault which is formed as a special purpose vehicle to invest in AI DC.

■ In terms of synergy, we benefit from both front-end synergies. As I said, the anchor customer typically would be a hyperscaler or an AI-led company, and it is not just about the business. It's a 360-degree relationship which we will get from them. Also, the back-end synergies, where we can leverage, because the data centre is all about cooling, power, and connectivity. With the #OneTata advantage, we can also look at getting optimized value from them or any other players which would be available.

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■ Arup, your question on how the organization structures would look like. You know, in a world where humans and agents work alongside, I think this is an area which is evolving. The more we move to Level 4, Level 5 autonomy is where you'll have agents which can do a task that a human does. Today, if you really see Level 2 and Level 3, that is where the human is primary and AI is in a supportive role, in an assistant role, if you will. So, this is something which is evolving, but where we are seeing this play out currently is more in the autonomous GBS. In business process, we're seeing that there are certain tasks in the business process value chain which are being completely done by agents. In BPS, we have got this model where human plus AI is working together, and there are tasks which are autonomous. How do you orchestrate work? That's where we are building orchestration layer, where the orchestration layer really knows what task is being done by the human plus what tasks are being done by the AI, so that oversight is coming in that layer. But early days.

Nitin Padmanabhan - Investec:

■ So, two questions actually. First one is, last year I think for the first time you actually showcased COBOL to Java application modernizati

on and things like that. It's been a

year now. There should have been a lot of learnings on nuances. Just trying to understand, that's a very large market, obviously, and how much adoption are you seeing on this, and how rapid is it? Do you think you'll see a lot of those next year? And, just to get a feel of these things, you highlighted a project with 50 million lines of code being converted. Typically, as an example, how large are these projects, and how long does it take? That was the first question.

■ The second one is, earlier today you showed us how we could rapidly create a use case, and how it's very interesting for organizations. I understand that very well, because CEOs would love that because it creates momentum in the organization in terms of GenAI creation. But what I'd like to understand is, there's a lot of talk around creation of an AI fabric or a foundation layer. What does that look like? My understanding is something, and I'd like you to ratify whether right or wrong, and what it means. My understanding is that you have all the APIs, all the knowledge, all the context in a layer. Does it mean that if I'm able to create that use case rapid prototype with just the front end, you can agentically stitch together something if there is maturity on that fabric layer? If that is the case, then from a TCS perspective, where we have always been master systems integrators, what happens to business in general, and how long does this transition take?

K Krithivasan - MD & CEO, TCS:

■ Yeah, I'll take the first question. On the modernization front, there is immense demand. In the past, there has not been a proper business case for technology modernization. Particularly when you want to move from a technology like mainframe into any new modern technology, there was no financial business case. Even from a risk perspective, not many people knew what was the business logic that was used in those old systems, and to reliably translate them into a modern technology has always been a challenge. But what Generative AI does is, gives you the ability to understand, and a human can validate the understanding, so you can encapsulate the knowledge

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that's residing. It also provides a framework through which you can modernize to a new technology.

■ The example that you talked about is progressing quite well. Again, these are also very complex programs. It's not that you turn on a switch and 50 million lines of code convert themselves into Java. It requires an amount of human intervention and validation. But of course, that's one large example. What you see more and more common are what Aarthi calls rapid builds, we showed it as CodePlus as a platform here, where we have the ability to move from X to Y, like from Tableau to Microsoft platform, or from a TIBCO code to Java. There are multiple opportunities that exist, and these are all much simpler because the codes are more recently written within the last 10 to 12 years, and not very large or complex like the 50 million lines of code. Such programs are very time-bound. Outcome could be measured, and results and value can be achieved in a short time. Mostly, we try to do it in a three-month period. Those programs are quite often. I don't know the number, probably Aarthi has a number of programs we have done. We've done a very significant number of programs, and there's a real opportunity for that.

Aarthi Subramanian - Executive Director & Chief Operating Officer, TCS:

■ If I may just add, if you look at the technology debt across the organization, it's in core systems, it's in integration, it's in data, it's in reporting; so across layers. The CodePlus platform that Krithi talked about, and some of it you'll see when you go to our Executive Briefing Center. So, what it does is, it actually accelerates X to Y migration, as I like to call it, across these layers, like Krithi gave some examples. So, I think what we're a

iso seeing is, the same modernization programs that we did last year, this year we are able to do with much more productivity. One, technology capability has advanced. Plus, our own understanding of work with AI and what the human in the loop needs to do, has also advanced.

■ In terms of projects, we are seeing the mainframe, the 50 million lines of code, those are all big projects. But there are also a number of short-cycle projects that we are seeing. Today, we are seeing a lot of that in BFSI, and other industry verticals are now starting to catch up. But I would say that we're seeing a lot more in the BFSI space.

■ Now, coming to your second question, I would like to answer it more simply from an SI (systems integrator) perspective; the role that we play. I think I sort of briefly covered it. If you really look at it in any enterprise, while we can do the rapid builds, build the AI apps, agents, right, fairly quickly, where the work goes is in the plumbing; connecting it back to the data, connecting it back to the systems. And more importantly, if you look at the Infrastructure-to-Intelligence (I2I) layer, across each layer there is a significant amount of work to be done to integrate. And today when we move... the way we're building apps today, we're connecting it to the model and to the data. But going forward, to Krithi's point on building learning systems, the more we start creating these learning systems, creating the decision infrastructure, that is where a lot of work across all layers of the I2I framework we showed you.

■ When it comes to agents, not just individual agent building, but agent-to-agent interaction, agent interaction which is the fabric layer that you alluded to, while you

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can build many things quickly, but stitching things together and bringing the contextual knowledge of the customer is where we come in.

Nehal Shah - Head Investor Relations, TCS:

Thank you, participants, and the TCS management. We conclude the session now. We hope these sessions have been informative and useful for all of you.

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Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

## Call: Jan 2026

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Scrip Code No. 532540 TCS/SE/188/2025-26  
January 16, 2026  
National Stock Exchange of India Limited  
Exchange Plaza, C-1, Block G,  
Bandra Kurla Complex, Bandra (East)  
Mumbai - 400051  
Symbol - TCS  
Dear S irs,

Sub: Transcript of the earnings conference call for the quarter and nine -month period ended December 31, 2025

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ursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter and nine- month period ended December 31, 2025, conducted after the meeting of Board of Directors held on January 12, 2026, for your information and records.

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he above information is also available on the website of the Company: www.tcs.com .

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Company Secretary

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Tata Consultancy Services Limited  
Earnings Conference Call  
January 12, 2026,19:00 hrs IST (08:30 hrs US ET)

Moderator: Ladies and gentlemen, good day, and welcome to the TCS Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Nehal Shah, Head of Investor Relations at TCS. Thank you, and over to you.

Nehal Shah: Thank you, operator. Good evening, and welcome, everyone. Thank you for joining us today to discuss TCS' financial results for the third quarter of fiscal year FY2026 that ended on December 31st, 2025. This call is being webcast through our website and an archive including the transcript will be available on the site for the duration of this quarter.

The financial statements, quarterly factsheet and press releases are also available on our website. Our leadership team is present on this call to discuss our results. We have with us Mr. K

Krithivasan, Chief Executive Officer and Managing Director.

K Krithivasan: Hello, everyone.

Nehal Shah: Ms. Aarthi Subramanian, Executive Director, President and Chief Operating Officer.

Aarthi Subramanian: Good evening, everyone.

Nehal Shah: Mr. Samir Seksaria, Chief Financial Officer.

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Samir Seksaria: Hello, everyone.

Nehal Shah: And Mr. Sudeep Kunnumal, Chief Human Resources Officer.

Sudeep Kunnumal: Hello, everyone.

Nehal Shah: Our management team will give a brief overview of the company's performance followed by a Q&A session. As you are aware, we don't provide any specific revenue or earnings guidance and anything said on this call, which reflects our outlook for the future, or which could be construed as a forward-looking statement, must be reviewed in conjunction with the risks that the company faces. We have outlined these risks in the second slide of the quarterly factsheet, available on our website and e-mailed out to those who have subscribed on our mailing list.

With that, I would like to turn the call over to Krithi.

K Krithivasan: Thank you, Nehal. Good evening, everyone. Wish you all a very very Happy New Year.

The growth momentum we witnessed in Q2FY26 continued in this quarter.

In Q3, we delivered ₹67,087 crore in revenue. In reported currency, our revenue grew by 2.0% sequentially and 4.9% YoY.

In constant currency, our revenue grew 0.8% sequentially

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Our International services revenues grew by 0.4% sequentially in constant currency.

Growth was led by Consumer Business Group, Energy, Resources & Utilities, Life Sciences & Healthcare, and Communications, Media & Information vertical.

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BFSI and Technology Software and Services did well adjusted for seasonality.

Amongst major markets, Europe continued to do well, while North America was flat.

Regional Markets continued to deliver strong growth.

All next-gen service lines continued to grow well sequentially.

Most client segments showed improvement. On an LTM basis, this quarter, we gained 2 additional clients generating more than US\$100 million in revenue, 8 clients exceeding US \$20M, and 23 clients bringing in over US\$1M each.

Our Q3 operating margins stood at 25.2%, remaining stable sequentially. This excludes one-off items.

We remain steadfast in our ambition to become the world's largest AI-led technology services company, guided by a comprehensive five-pillar strategy. We are delivering accelerated value to our clients through strategic investments across the full AI stack, from infrastructure to intelligence.

Our AI services now generate US \$1.8 billion in annualized revenue and is growing at 17.3% QoQ in constant currency.

In Q3, we continued to win several large deals across markets and industries, including one mega deal win in North America. We achieved an overall TCV of US\$9.3 billion. BFSI TCV was at US \$3.8 billion, Consumer Business TCV was at US \$1.4 billion, and North America TCV stood at US \$4.9 billion.

Based on client conversation, strong deal momentum and the leadership we are gaining in AI, we are confident of a good CY2026.

I'll now invite Samir to share further details on our financial performance.

Samir Seksaria: Thank you, Krithi. Good day everyone.

Highlighting the revenue numbers again. In Q3, we delivered ₹67,087 crore in revenue. In reported currency, our revenue grew 2.0% sequentially and 4.9% YoY.

In constant currency, our revenue grew 0.8% sequentially.

Coming to margins, in Q3, improvements in productivity, pyramid and other operational efficiencies delivered an 80-basis-point benefit. Favorable currency movements contributed an additional 20 basis points. Full quarter impact of the wage increases announced last quarter had a negative impact of 50 basis points. Investments in brand building and partnerships had an impact of 50 basis points. All of the above resulted in a stable operating margin of 25.2%.

The operating margin excludes a few one-off items recognised during this quarter. These exceptional items relate to severance-related expenses, legal provisions, and the impact of changes in India wage code.

Our net income margin was at 20%, and our EPS grew 8.5% Y-o-Y.

Our accounts receivable was at 76 days outstanding in dollar terms.

Net cash from operations was US\$1.6 billion, which is 130.4% of net income. Free cash flows were at US\$1.4 billion and invested funds at the end of the period stood at US\$7.1 billion.

Our sustained margin performance and strong cash conversion this quarter, reflects our disciplined execution and strong financial resilience. Backed by a robust balance sheet, we continue to invest confidently in strategic growth areas. Executing our five-pillar AI strategy at speed and scale is central to our transformation into an AI-first enterprise and delivering long-term value for our stakeholders.

Our capital allocation policy remains unchanged, i.e. to give substantial free cash flow back to shareholders. The Board has recommended an interim dividend of ₹11 per share and a special dividend of ₹46 per share.

I would now like to invite Aarthi.

Aarthi Subramanian: Thank you, Samir. Good evening. I would like to wish all of you a great year ahead.

As you know, this quarter

we hosted our Analyst Day on 17th

December 2025. We provided a comprehensive view of our strategy and approach to realize our stated ambition. We covered:

- Our full stack AI play across Infrastructure to Intelligence

- Provided details on the 5 strategic pillars powering our AI transformation

- We also provided a complete view encompassing employees, customers, partners and the larger AI ecosystem stakeholders.

From a Q3 perspective, multiple service lines delivered growth. AI & Data, Enterprise Solutions, IoT and Digital Engineering, and Cybersecurity led the growth this quarter. Our annualized AI

revenue crossed US \$1.8 billion with 17.3% quarter-on-quarter growth in constant currency .

The rate of production deployments for AI projects in 2025 showed a marked improvement over the prior year, with performance in Q3 further reinforcing this positive trend. Last quarter, I talked about how our AI Innovation Days and Rapid Build approach are making AI real for our customers. With many of the enterprises looking to jump start and scale their AI transformation, AI Innovation Days and Rapid Builds are fast becoming our core levers to drive differentiated customer engagement.

I would now like to share updates on key pillars of our AI transformation.

#### tcsAI: Internal Transformation

In Q3, we continue to democratize access to all AI tools and build on the success of the world's largest AI Hackathon in Q2. "AI Friday Hackathons", the in-person immersive format has created significant engagement and buzz amongst our employees. It has enabled them to explore and develop their talents, while also allowing them to learn about the fast-changing capabilities of AI. This initiative has been particularly effective in bridging boundaries between seniors and juniors as well as experts and beginners. 26

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teams reached the finals, which were conducted in Q3, generating more than 15 patentable solutions .

We also continued to scale our own adoption of AI across our enterprise.

This quarter we launched AI-First solutions in hiring and employee onboarding. We also scaled our AI-powered personalized learning platform, the "Learning Coach".

#### Redefining All Services

Redefining Service Lines with AI is a strategic priority.

During the Analyst Day, we shared details of our unified Human+AI Services Autonomy Model. This includes five levels of autonomy from using AI as a tool at Level 1 to building an Agentic enterprise at Level 5. This has been instantiated for every service line.

This structured approach has been well received by our customers as it aligns to their AI-driven transformation initiatives with clearly defined goals and outcomes. For example:

- For a global insurer, we improved software engineering practices from Level 2 autonomy to Level 3 autonomy, thereby delivering 2x improvement in deployment frequency and 30% reduction in time to market.

- For a leading UK airline, we have compressed major-incident cycles by half, resulting in 40% higher operational efficiency using our 'March to Zero' IT Operations framework.

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#### Making AI Real for Clients

In Q3, we sustained our focus to innovate, build, and scale AI solutions for clients across industries. We see the innovate-to-build cycle accelerating sharply, with over three times more rapid builds, that we delivered for our customers this quarter.

We set up two AI Labs in India—one for a leading US insurer to scale agentic transformation across insurance value chain and software engineering; and another for a regional US bank for Agentic AI-led Operations in KYC and AML investigations. These

labs are helping our customers incubate and create a strong pipeline for AI rapid builds.

We also delivered several high-impact AI implementations, showcasing measurable business value by combining traditional AI, GenA

I and Agentic AI capabilities. I would like to share few examples of our customer success stories this quarter.

■ Our team played a key role in reimagining store operations, with multiple agents automating routine interventions, boosting sales by 25% and saving store managers 90 minutes on their weekly efforts.

■ TCS won the IoT Breakthrough Award 2026 and was recognized as the 'AI Powered IoT Solution Provider of the Year'. TCS is the only GSI to win in this category. We developed this solution for a leading integrated container logistics company. TCS brought together traditional AI, Vision AI and IoT solutions to deliver significant improvements in safety posture at the terminals.

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In summary, Q3 saw good traction across services in a traditionally soft quarter. Going forward, we will continue to engage with our customers with a two-pronged focus:

■ First, 'Get AI ready': Partner with them to build a strong enterprise technology foundation required for their AI transformation.

■ Secondly, 'Lead with AI': Engage with business and technology teams to help them establish early competitive advantage in AI.

Thank you. I would now like to hand over to Sudeep.

Sudeep Kunnumal: Thank you, Aarthi. Hello everyone again. Wish you all a very Happy New Year.

Our associates are at the heart of our transformation into an AI-

■ first enterprise. The passion and commitment our associates show in mastering future-ready skills gives us the confidence to innovate responsibly and deliver sustainable value as AI reshapes the services landscape.

At the end of Q3FY26, our global headcount stands at 582,163, with associates from 149 nationalities and 35.1% women. Last twelve months (LTM) voluntary attrition in IT Services stands at 13.5%, up by 20 basis points sequentially.

We continue to make significant investments in building a high-performance workforce with future-ready skills.

■ 51.2 million learning hours have been completed year-to-date (YTD).

■ 3.8 million competencies have been acquired YTD.

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■ We now have 217,000+ employees with higher order skills in AI, which is a 3X increase over last year.

The second aspect of our talent transformation is role evolution.

AI is creating new roles, such as rapid-build engineers and leads, which are increasingly vital for the future. We are currently working on aligning our role framework with AI as the centerpiece. All components of this framework are being systematically reviewed to ensure future readiness.

The third aspect is future-ready hiring. We continue to focus our efforts in attracting top talent globally. Over the last year, we have doubled down on advisory and consulting talent across the big bets in areas like cybersecurity, enterprise solutions, cloud, AI and Data and positioning them closer to customers. Over 50% of our



experienced hires are coming with next-gen skill sets. We hired significant number of AI-native fresh graduates. Our Initial Learning Program (ILP) has been enhanced to include Gen AI as an integral part of the curriculum. All trainees now have access to a comprehensive AI ecosystem of learning, hands-on assessment platforms.

As part of our pioneering industry-academia collaboration, we are actively involved in designing of industry relevant curriculum. TCS APEX Mega-FDP is focused on faculty development from academia with knowledge of new-age technologies.

Our future ready talent model and our talent development programmes are gaining market recognition.

Recently, we :

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- Ranked #1 in Everest Group PEAK Matrix® for Talent Readiness for Next Generation Data, Analytics, and AI Services

- Featured on Forbes America's Best Employers for Engineers 2026

- Ranked #1 Technology Services Firm globally in Newsweek Magazine's 2026 ranking of America's Most Reliable Companies.

I would now like to invite you back, K

rithi.

K Krithivasan: Thank you, Sudeep.

Let me now share more details on our performance across the industry verticals:

- BFSI continues to show good growth momentum despite the current quarter seasonality and being impacted by furloughs. BFSI achieved an overall TCV of US\$3.8 billion , up by US\$ 600 million QoQ and YoY . This includes one mega deal in BFSI North America. This comes on the back of a mega deal that we had announced in the previous quarter as well. Even on exclusion of the mega deals, BFSI TCV and pipeline continues to be robust.

- o BFSI organizations continue to exercise cost discipline while prioritizing targeted investments in resilience, compliance, and operational efficiency. Technology expenditures remain centered on validated solutions and simplified architectures. AI adoption is increasing, underpinned by robust governance and regulatory alignment, although agentic AI implementation is proceeding cautiously.

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- o Retail banks are focused on enhancing customer experience, adopting AI applications, leveraging ecosystem partnerships, and strengthening fraud prevention efforts. Corporate banks are modernizing their operations through cloud migration and digital enhancements. The payments sector is experiencing rapid transformation driven by regionalization, whereas capital markets and asset management sectors maintain strong performance.

- o Modernization initiatives are being prioritized by BFSI clients. The insurance industry is adapting to new sources of disruption, including emerging risk products and AI integration. Brokerage and agency channels are consolidating in response to shifting market dynamics. This quarter, several significant project deployments were realized:

- For a major global insurer, TCS implemented an AI-powered

underwriting solution that shortened quote turnaround from weeks to hours with improved accuracy.

■ For a Finnish insurance company, an AI-driven quality assurance framework was delivered, reducing manual testing efforts by 70%.

■ TCS successfully launched three large-scale, cloud-based modernization programs for leading BFSI clients in Q3, resulting in quicker product launches, strengthened security postures, and enhanced operational efficiencies.

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■ Our Consumer Business Group saw sequential growth led by Retail, Travel and hospitality segments, reflecting pockets of resilience and cautious optimism. Americas, Europe, and APAC grew, while the UK faced ongoing challenges.

- o Retailers focused on value-driven strategies, digital engagement, and AI-powered personalization to offset cost pressures and margin challenges.
- o CPG companies prioritized health, premiumization, and operational efficiency through AI and automation.
- o Travel, transport and hospitality (TTH) benefited from strong international travel and digital transformation, though domestic markets remained subdued.

■ The Life Sciences & Healthcare sector saw good growth momentum this quarter. The sector is undergoing multiple shifts across industry segments, led by regulatory interventions, impact of AI, risk and security challenges and changing consumer behaviour.

- o Biopharma manufacturers are heavily investing in automation, continuous manufacturing, robotics, and AI-driven labs to enhance efficiency and sustainability.
- o Majority of life sciences companies have adopted or piloted generative AI, especially for drug discovery and automating literature reviews.
- o Investments in digital health tools, telemedicine, wearables, and remote patient monitoring are surging. AI-enhanced diagnostic tools, such as

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radiology AI, and rapid pathogen detection systems, are high priorities.

- o Providers and payers are spearheading AI deployment in revenue cycle management, clinical workflows, utilization, and network management, moving beyond pilot projects.

- o Spend on cloud infrastructure, cybersecurity, data governance, and edge computing is on the rise.

■ Manufacturing posted marginal growth in Q3. While the automotive sector remained subdued, other industries demonstrated growth momentum even in the face of seasonal challenges. Investments in smart manufacturing persist, as both agentic and physical AI enhance competitiveness, agility, and resilience during ongoing market uncertainty. In this quarter, TCS delivered several AI-powered agents, specialized fine-tuned models, and vision-based solutions that automate complex tasks, enhance

customer and dealer experiences, and drive operational efficiency. These initiatives have resulted in measurable business outcomes for our clients such as reduced manual effort, accelerated time -to-market, improved decision-making, and significant cost savings.

o We expanded our 18-year partnership with ABB, a global leader in electrification and automation. The partnership aims to modernise ABB's global hosting operations, simplifying its IT landscape, and strengthen its digital foundation to drive resilience

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and innovation. As part of this multi-year engagement, TCS will operationalise ABB's Future Hosting Model, a next-generation modular IT infrastructure designed to streamline systems. This model will enable predictive operations, faster service restoration, and continuous security assurance through its AI-powered Zero Ops framework.

■ Our Technology Software and Services de-grew in Q3FY26 primarily due to typical Q3 seasonality. While the big tech companies are investing significantly in AI infrastructure and building frontier AI capabilities, the broader industry is facing ongoing geopolitical uncertainty, trade restrictions, and evolving data and AI regulations. This quarter, workforce restructuring continued, with major layoffs among top clients. Customers are focusing on AI development, operational efficiency, and manufacturing diversification to manage risks and drive growth.

o Semiconductor and Electronics segments are seeing moderate growth, especially in AI hardware, while Industrial and Automotive Electronics remain weak. Investments in semiconductor manufacturing and R&D are rising, particularly in the US, India, and Europe. Network growth is flat overall, with Enterprise Networking benefiting from increased AI infrastructure demand. Software companies are steadily integrating Agentic AI and moving products

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to the cloud. Professional Services continue to experience slower growth.

o Cost optimization is a key client priority. We are supporting digital transformation and efficiency through AI-powered operations, modernization of engineering environments, SaaS optimization, adoption of open-source network technologies, and the shift from x86 to ARM-based devices.

o A prominent North American software company has engaged TCS to provide down-sell prevention and churn mitigation services for end-users on one of its flagship enterprise platforms. TCS will implement a robust execution model across multiple regions, aiming to enhance platform adoption, deepen customer engagement, and minimize churn. These objectives will be achieved through the integration of AI-driven solutions and streamlined service delivery, ultimately improving the overall customer experience.

■ CMI showed positive growth momentum this quarter, driven by clients seeking measurable ROI on automation, AI efficiency, ad monetization, and resilient IT. We are addressing these needs with outcome-based transformation, modernizing operations and embedding AI across processes. We are also actively leveraging strategic partnerships with hyperscalers like Microsoft, Google, and NVIDIA to accelerate AI capabilities, co-innovate with

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clients, and deliver rapid solution builds that demonstrate business value.

ue.

■ ERU posted strong growth this quarter. The ERU sector is rapidly moving toward a low-carbon future, making significant investments in renewable energy, electrification, and advanced storage solutions. Companies are leveraging AI-driven platforms and providing workforce training to boost efficiency and adaptability. While the Americas, APAC and MEA regions showed notable growth, UK & Europe, despite a short period of slower progress, continue to prioritise clean energy initiatives and digital enhancements, supporting ongoing global development. The demand is robust for our AI-led services.

■ Growth Markets : Growth Markets remain resilient despite geopolitical challenges, with steady enterprise IT spending and increasing public sector investment in digital infrastructure. Revenue growth is led by the enterprise segment in India and strong public services momentum across India, APAC, and MEA, with broad-based service revenue gains. Public Services continues to deliver standout wins.

I will now talk about the fifth pillar of our strategy, AI ecosystem play.

In Q3, we continued to establish ourselves deeply into the AI ecosystem:

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■ During the quarter, we announced a US\$1 billion equity partnership with TPG, a leading global alternative asset management firm to support the growth of our GW-scale AI data center infrastructure build out. We are making good progress in our discussions with prospective clients.

■ On M&A, we announced the acquisition of Coastal Cloud, in the U.S. to strengthen our Salesforce and AI consulting services. Together with ListEngage, we are now among the top 5 global Salesforce consultants, gaining over 500 experts and 3,400 certifications, and boosting our CRM capabilities. These acquisitions also strengthen our capabilities in advisory, implementation, and managed services, providing a complete multi-cloud offering across all Salesforce modules. The acquisitions also deepen our partnership with Salesforce through established partner board roles and summit partnerships and extend our reach into new market segments. The acquisition of Coastal Cloud is pending regulatory approval.

With this, I will now open the line for questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. We take our first question from the line of Sudheer Guntupalli from Kotak Mahindra AMC. Please go ahead.

Sudheer Guntupalli: I am just doubling down on your initial remark of the confidence of the good CY '26. Maybe if you can contextualize the statement, it a bit more there, it will be helpful. Are you seeing any green shoots of improvement in discretionary or short-cycle projects that is giving you this confidence? Or also, if we have to see a demand recovery

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in international markets in CY '26, which specific segments do you think should drive this?

K Krithivasan: Thanks, Sudheer. In Q2, we had called out that the overall demand environment is improving compared to Q1. In Q3, that trend continues. And Aarthi also mentioned about a number of Rapid Builds projects in AI we are doing.

Essentially the short-cycle project side, the decision-making is faster based on the ROI. We see a steady increase, and you can see that reflected in our AI revenue that we are reporting, and this is across all industry segments. AI and data are continuing to drive growth for us.

Sudheer Guntupalli: Sure, sir. Some of the key segments like North America and UK across geographies have either declined or were soft in this quarter, so seasonality and furloughs alone explain this? Or is there any other issue along with the normal seasonality that might be playing out here?

K Krithivasan: It is primarily seasonality here, Sudheer.

Sudheer Guntupalli: All right, sir. Thank you and all the very best.

K Krithivasan: Thank you.

Moderator: Thank you. We'll take our next question from t

he line of Ravi Menon

from Macquarie. Please go ahead.

Ravi Menon: The first is the increase in other expenses within the SG&A. There's a very sharp increase — about 77% year-on-year and 41% quarter-

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on-quarter. Could you talk a bit about that? The other expenses are about \$7.3 billion this quarter.

First question is on the AI run rate. It's a strong number, \$1.8 billion. Could you talk a bit about whether this is preparing the customers' overall landscape for adopting AI, or are these really specific AI use cases? Which are you seeing more of?

Samir Seksaria: First on the other expenses part, the increase both sequentially and Y-o-Y is primarily on account of legal expenses, also from leading from M&A-related ones, the legal fees, etc. Marketing initiatives has increased. A lot of our events, etc. converged into Q3 and also includes CSR initiatives.

Ravi Menon: Thank you. So some of this will recur, some of it won't recur, right?

Samir Seksaria: Yes.

Aarthi Subramanian: To answer your question on AI. These AI revenues, like in the Analyst Day, we had reported US\$1.5 billion annualized, and this quarter, the number is US\$1.8 billion annualized. This includes primarily AI programs across industry value chain. And the data efforts that are required to deliver those AI projects.

Let's say, we are doing software engineering, we are using AI for testing. Those are not included. So primarily 2 types of AI programs, AI for business transformation across industry value chains, across verticals. The second is when you use AI for modernization. Those are the 2 buckets I'll call.

Ravi Menon: Thanks. Perfect.

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Moderator: Thank you. Next question is from the line of Vibhor Singhal from

Nuvama. Please go ahead.

Vibhor Singhal: Krithi, you mentioned that the weakness in the BFSI segment was quite seasonal in nature and we had a good amount of business in this quarter and the last quarter as well. Going forward, let's say, next few quarters, do we expect this growth momentum to reflect in the revenue growth itself for BFSI?

Similarly, in the retail business, we've seen good pickup. Was the retail business kind of driven by the seasonality in this quarter? Or do you see the growth momentum in the retail business also to sustain in the coming quarters? If you could just answer that. After that, I have a follow-up question.

K Krithivasan: In BFSI, it's primarily seasonality that impacted us in this quarter. But the overall deal momentum that we are seeing excluding the seasonality, the growth we saw in the accounts, gives us the confidence that BFSI will return to growth. If you notice that before this quarter also for the past few quarters, we had grown in BFSI, so we should return to growth and that should continue.

Retail, the seasonality is not the main reason. Again, in retail, we have started seeing growth across all sectors. While there are still some pockets of weakness, like I called out domestic airline is still weak, but international TTH is doing well. Essential in retail is doing well, but there is some softness in fashion and specialty. So excepting those pockets of weakness, we are generally seeing all-round pickup in CBG segment as well.

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Vibhor Singhal: Just one follow-up on that, you had mentioned that we are looking to report a higher growth in the developed markets this year. I mean do you think we can still achieve that in this year? And do you think this would also be the case going forward in FY '27 over a cycle, just on the developed markets?

K Krithivasan: Yes, Vibhor like we did tell in the past that our international market, we will continue delivering a higher growth. Now that we only have one quarter left, but it continues to be our aspiration that we would make every effort. We saw demand slowly picking up in Q2 that continued in Q3. We are taking every

step to ensure that we grow better than FY '25 in FY '26 in the international market.

Vibhor Singhal: Thanks a lot, Krithi. Just a couple of questions, for Samir. Sir, just two things. One is we had a very strong margin performance in this quarter despite the 2-month wage hike; in fact we were able to report flat margins. Now given that we have two, three quarters in which there will be no wage hike and no structural headwind present. Do you believe we are getting closer to that aspiration band of 26% to 28% margins in the coming quarters?

Samir Seksaria: If you look at it from a headwind perspective, Vibhor, apart from the macro uncertainty, I think if you go back to last year, we had an annual intervention cycle coming in Q4 that could be a headwind. Other than that, I think nothing major, except the investments which we have been making and calling out. But irrespective of that, while we will not shy away from making investments, we want to inch closer to our 26% to 28% band and we'll make all efforts to climb towards 26%.

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Vibhor Singhal: That is great to hear. Just last one from my side. Sir, on the labor law provision that we have taken, I know this is going to be an industry-wide practice. In fact, not just industry, I think all of us will be impacted in terms of profits. Could you just speak a bit about the nature of this expense and is this, I mean this is an exceptional item. From next quarter onwards, how does the labor laws impact will be taken care of in the entire P&L?

Samir Seksaria: Basis the guidance received overall on the new labor code, the way they have been implemented, the guidance we have received and factoring in some bit of restructuring. We have made an assessment and made a provision of ₹ 2,128 crores. The nature of it, we have called out in our financial statements, gratuity amounts to about ₹ 1,800 crores and leave liability is balance ₹ 300 crores. This is all past service costs, and hence called as one-off. We expect the ongoing impact to be minimal, around 10 to 15 basis points.

Vibhor Singhal: Going forward, next quarter onwards we will just take the impact of this of around 10 basis points to 15 basis points above the EBITDA in our normal operating margin, there will be no other exceptional items from Q4?

Samir Seksaria: On the labor code we don't expect any incremental one-off's. Unless the rules give more clarity and there is something else which needs to be addressed, because the rules came into effect, and the guidance came towards the end of December. We have made an assessment and done the provision basis that. And we'll call it out if there is a change in the understanding of our rules.

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Vibhor Singhal: Thank you so much for taking the questions and wish you all the best.

Moderator: Thank you, Next question is from the line of Nitin Padmanabhan from Investec. Please go ahead.

Nitin Padmanabhan: Good evening and Happy New Year. I had few questions. North American market has been relatively soft over the last 12 quarters or so. You think with international coming back, North America will really start contributing and we should start seeing this edging up from a growth perspective?

The second is, do you think the restructuring costs are largely over? And then the third one is, do you think we should see any revenue from BSNL this fiscal or it just moves over? Lastly your thoughts on the recent development on credit card rates in the U.S., do you think that in some form, impacts your payment customers and what could be the exposure there?

K Krithivasan: Nitin, I will take the question on North America, BSNL, Credit card and then invite Sudeep to talk about the restructuring. In North America, like we discussed the market in general, we find that the customers are willing to look at ROI-based decision making in terms of new projects and we also see the

decision-making cycle has reduced compared to the past and the momentum we saw in Q2 continued.

We are optimistic that North America will return to better growth than before. In terms of revenue from BSNL, the revenue that we recognized this quarter is very similar to the revenue that we got from BSNL last quarter and unless formal final PO is received, we

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don't expect the revenue pickup in BSNL (for the 2nd phase), but we will keep you posted whenever it happens.

On the credit card, there are both positives and negatives, like while there could be some losses the banks may suffer in terms of interest income, but it also ensures that there is more spend happening because the interest rates are capped.

I feel that it will have a two way impact, certain industries will benefit. Even in banking, the new spend can increase while the old spend interest could come down. So it will have a very nuanced or probably multilayered impact, we have to wait and watch. But on net-net basis, we don't see a major impact because of this particular rule that's come in. I'll now invite Sudeep to update you

on the restructuring.

Sudeep Kunnumal: Thank you, Krithi. Hi, Nitin. So, as I mentioned, we continue to hire and seek for top talent, both from the lateral market and from the campuses as well. While we are in that journey, what we had announced as part of the restructuring, we continue to look for support people with deployment into future role.

Wherever we are not finding success in re-deployment - is where we are releasing the workforce. So, we said we will continue this exercise till the end of this year. And in this quarter, we released approximately 1,800 people with all the due care and compliance to all the laws of the land. And as communicated earlier, we expect it to continue into the next quarter as well.

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But we are not really going after a number. It's purely a process, we review it. Only if there is a genuine reason if we need to release is when we'll exercise that option.

Nitin Padmanabhan: Perfect. That's helpful. Thank you so much and all the very best.

Moderator: Thank you. Next question is from the line of Kumar Rakesh from BNP Paribas. Please go ahead.

Kumar Rakesh: Hi, good evening. My first question was that you spoke about that you are targeting to improve your international revenue this financial year. Now looking at your book-to-bill ratio over the last 2 years, it has been in the range of 1.3x to 1.5x.

This year, it has been largely below 1.3x, are you comfortable that this level of order book can help you continue to see revenue growth improvement beyond fiscal '26 as well? Or you would need to see an improvement in the deal wins?

K Krithivasan: Kumar, if you look at this year, so far in the first three quarters, our order book is in the range of about US\$28 billion to US\$29 billion. If this trend continues, we will be somewhere closer to about US\$38-39 billion for the year, which will be one of the highest.

We believe this order book will help us in growing in FY '27 as well.

We are now quite comfortable, Kumar, with the order book itself. I think as far as international revenue in Q4 is concerned, we are optimistic, and we'll take every step that's required to see we reach the aspiration of having a revenue better than FY '25.

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Kumar Rakesh: Thanks, Krithi. My second question was on the AI services revenue, which you spoke about is growing pretty strongly on a quarter-on-quarter basis. Can you give some more color on what is driving that growth? You also spoke about that Agentic AI implementation is proceeding cautiously. Why is it so?

Aarthi Subramanian: I think, Kumar, if you look at the AI revenues, the growth is coming from across verticals and these are business impacting programs that we are delivering for our customers. If you really look at it, I think wh

en GenAI is something we all started talking about sometime late towards 2022 and early 2023.

For about 1-1.5 years until about mid-2024, there was a lot of experimentation, PoCs and people were understanding the power of the technology. But if you really look at 2025, I think the adoption in our customer landscape has significantly increased, where we have now shifted from experiment PoCs and pilots to really, ROI-led scaled implementations, and that's what is driving this growth. And Agentic AI getting introduced early in 2025 also created good momentum because traditional AI, Generative AI and Agentic AI, the combination is what is helping us deliver solutions that create value for our customers.

Kumar Rakesh: Thanks. Samir, just one clarification on SG&A expense increase, which you called out. What all would be one-time in nature in that?



I would assume that legal expenses wouldn't recur from the next quarter onwards, so if you will be able to quantify within that?

Samir Seksaria: The legal expenses has a combination of some ongoing elements also and the legal fees related for the concluded legal case would

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have been one-time. It would be hair splitting, calling out each line item separately and its impact, but you would expect some other one-offs like the CSR provisions, etc, might continue into the next period.

Kumar Rakesh: So essentially, the SG&A expense in this quarter largely would be an ongoing expense. Is that a fair way to say that?

Samir Seksaria: Partly, it's a mix of both, but I'm not going to hair split into how much it is recurring or non-recurring. You could say about 10 to 20 basis points is one-time.

Kumar Rakesh: Got it. Thanks a lot.

Moderator: Thank you. Next question is from the line of Keith Bachman from BMO. Please go ahead.

Keith Bachman: Yes. Thank you very much. I was hoping you could talk about what's the changes in economics on renewals today or currently versus, say, 2 years ago? And what I wanted to understand is, at the time of renewal, what's the price difference on the like-for-like work at the time of renewal?

How much more are you incrementally focused on selling incremental services to offset the price declines that I think are largely driven by the benefits of AI? But if you could just speak to broadly what renewals look like today versus, say 2 or 3 years ago? Thank you.

K Krithivasan: Bachman, if you look at the renewal, most of the renewals would bake in some productivity. But that is business as usual, that is I

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don't think related to AI. Even without AI coming to picture, most of the renewals have some productivity baked in. It could weigh in the range of 10%-15% over a term of the contract.

We have seen every time a renewal happens, it increases the scope of operation that we do. So, net-net, you'll find very often when the renewal happens, the top line or the total quantum of revenue doesn't decrease, but the quantum of work that we commit to deliver to our customer, that increases, offsetting the top line, because the productivity is achieved by TCS, you don't see a hit in realization, but the quantum or the amount of work we deliver increases.

Now with AI coming in, our approach has always been that we proactively go to customers even before the start of the renewal cycle. We go to customer with opportunities to deploy AI and how we can achieve a certain amount of productivity through AI. Once we renew it, at the time of renewal, it embeds AI productivity and very often, as I said, increases the scope of our work as well.

Keith Bachman: So is your contention that 10% to 15%, you're suggesting that's the same what the renewals the price discounts at time of the renewal, that's where it was 2-3 years ago. You're saying that's a consistent number?

K Krithivasan: It could vary. I said just to give it as an example. But the point I'm trying to make is there is a productivity, but there is a volume of work that is being delivered that also increases. So by and large, the total value of the contract doesn't change or reduce much, but

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we end up delivering more volume of work, but at a higher productivity.

Keith Bachman: The second question I had was similar. As you're bidding for net new work and you're bidding in cost benefits or supply the benefits, if you will, is there more variance allowed in the contracts? What I mean by that is, are you structuring the contracts differently in that you allow for if the cost curves are better, then you allow for some sharing with the clients, if the benefits that you predicted in the contracts aren't as good than the client shares back with you. Is there more flexibility because you're adopting new technology as you're bidding out multiyear contracts?

K Krithivasan: We have been quite open to that. But at the same time, it's fair to say most contracts assume a fairly aggressive AI productivity to come in and baking the expected productivity at the beginning of the contract itself. But we would be quite open to work with our customers where we are able to get or achieve greater productivity. If you have to share it, we would be quite open. But to be fair, we are not seeing the type of contract where the flexibility is built in within the contract. Most contracts assume a certain productivity over a period of time and are priced accordingly.

Keith Bachman: All right. That's it for me. Thanks.

Moderator: Next question is from the line of Dhanshree from Choice Institution Equities. Please go ahead.

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Dhanshree: Thanks for taking my question. As you have already called out AI revenues of US\$1.8 billion, so if you can give some more color in terms of how our pipeline is led by AI? What is the growth in last 9 months in this pipeline? Growth that we see going ahead?

Aarthi Subramanian: Dhanshree, like we said, we are seeing increased momentum quarter-on-quarter and in Q3, it's the first time we started publishing our annualized AI revenues. In mid-December, this number was US\$1.5 billion annualized and quarter closure is US\$1.8 billion. We are seeing increased traction, good momentum across our client base and we expect AI revenues to continue to grow with a strong growth rate.

Dhanshree: Some color on data center operations, when the actual operations will start favoring the numbers, some cues on the timeline would be helpful.

Samir Seksaria: Dhanshree, what we had called out is, that we would be first announcing an anchor customer and basis the requirements of the anchor customer, we are going to do the build-out. Typically build out would require about 18 months, post which revenue should start ticking in.

Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over to management for closing comments. Over to you.

K Krithivasan: Thank you, operator.

In summary,

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■ The growth momentum we witnessed in Q2FY26 continued in Q3FY26.

■ In Q3 FY26, our Revenue grew 0.8% sequentially in constant currency, with an operating margin of 25.2% and a net margin of 20%.

■ Our AI services now generate US\$1.8 billion in annualized revenue and is growing at 17.3% QoQ in constant currency.

■ Our TCV was strong, at US\$9.3 billion, including a mega deal win.

I would like to conclude by reiterating that we remain steadfast in

our ambition to become the world's largest AI-led technology services company, guided by a comprehensive five-pillar strategy and our investments in becoming a full stack AI services player across infrastructure to intelligence.

These coupled with enduring partnerships and disciplined execution position us uniquely to gain leadership in AI.

With that, we wrap up our call today. Thank you all

for joining us.

Moderator: Thank you, members of the management. On behalf of TCS, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

## Call: Apr 2026

9th Floor Nirmal Building Nariman Point Mumbai 400 021  
Tel 91 22 6778 9595 Fax 91 22 6630 3672 e-mail corporate.office@tcs.com website www.tcs.com  
Registered Office 9th Floor Nirmal Building Nariman Point Mumbai 400 021  
Corporate Identity No. (CIN): L22210MH1995PLC084781  
TCS/SE/ 10/2026- 27

April 14, 2026  
National Stock Exchange of India Limited BSE Limited  
Exchange Plaza, C -1, Block G, P. J. Towers,  
Bandra Kurla Complex, Bandra (East) Dalal Street,  
Mumbai - 400051 Mumbai - 400001  
Symbol - TCS Scrip Code No. 532540

Dear Sirs,

Sub: Transcript of the earnings conference call for the quarter and year ended  
March 31, 2026  
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find  
enclosed the transcript of the earnings conference call for the quarter and year ended March 31, 2026, conducted after the  
meeting of Board of Directors held  
on April 9, 2026, for your information and records.  
The above information is also available on the website of the Company: www.tcs.com .  
Thanking you, Yours faithfully,  
For Tata Consultancy Services Limited

Yashaswin Sheth Company Secretary  
ACS 15388

Encl: As above

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Tata Consultancy Services Limited  
Financial Results Q4 & Full Year FY 2026 Conference Call  
April 09, 2026 6,19:00 hrs IST (08:30 hrs US ET)

Moderator: Ladies and gentlemen, good day and welcome to the TCS Earnings  
Conference Call . As a reminder, all participant lines will be in the listen-  
only mode and there will be an opportunity for you to ask questions after  
the presentation concludes. Should you need assistance during the  
conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this  
conference is being  
recorded.

I now hand the conference over to Ms. Nehal Shah, Head of Investor  
Relations at TCS. Thank you and over to you.

Nehal Shah: Thank you, operator. Good evening and welcome everyone. Thank you for joining us today to discuss TCS's  
financial results for the fourth quarter  
and full year FY2026 that ended on March 31st, 2026. This call is being webcast to our website and an archive including the  
transcript will be  
available on the site for the duration of this quarter.

The financial statements, quarterly fact sheets and press releases are also available on our website. Our leadership team is  
present on this call to discuss our results. We have with us today Mr. K Krithivasan, Chief  
Executive Officer and Managing Director.

K Krithivasan : Hi everyone.

Nehal Shah: Ms. Aarthi Subramanian, Chief Operating Officer and Executive Director.

Aarthi Subramanian: Good evening, everyone.

Nehal Shah: Mr. Samir Seksaria, Chief Financial Officer.

Samir Seksaria: Hello everyone.

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Nehal Shah: And Mr. Sudeep Kunnumal, Chief HR Officer.

Sudeep Kunnumal: Hello everyone.

Nehal Shah: Our management team will give a brief overview of the company's performance followed by a Q&A session. As you are aware, we don't provide any specific revenue or earnings guidance, and anything said on this call which reflects our outlook for the future or which could be construed as a forward-looking statement must be reviewed in conjunction with the risk that the company faces.

We have outlined this risk in the second slide of the quarterly fact sheet available on our website and email out to those who have subscribed on our mailing list.

With that, I would like to turn the call over to Krithi.

K Krithivasan : Thank you, Nehal.

Good day everyone and thank you for joining us today .

I would like to open with ■ve key messages for the quarter and the year:

1. First, about Q4 – We are very pleased to announce third consecutive quarter

of sequential growth. We delivered a strong 1.2%

sequentially on a constant currency (CC) basis, in the backdrop of intensifying geopolitical conflicts and macro -economic uncertainty.

This momentum was broad based across major markets, with North America growing 1.4% QoQ , UK growing 2.4% QoQ and Europe growing 1.0% QoQ in CC. Most of the industry segments also grew.

Our order book performance was also very strong in Q4, with \$12 billion in TCV including three mega deal wins from Marks and

Spencer, a leading telecom operator in the UK, and a leading American healthcare & pharmacy retailer. This underscores the

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strength of our ■ve pillar strategy and our AI -led positioning across services.

2. Second key message is on our client metrics – You will see from the factsheet that every revenue band saw healthy additions this quarter after a gap of about 2 years, which speaks to the early signs of stability and growth returning to our mid -sized and large accounts. The number of accounts where we generate more than \$ 100 million annually increased by 4 QoQ, bringing the total to 66; we added 3 more clients in the \$50 million+ band, bringing the total to 139; and 14 more clients in the \$1 million+ band bringing the total to 1,397 from last quarter.

3. Third message is on the announcement of salary increments. We have announced annual salary increments for our eligible associates across all grades, effective April 1.

4. Fourth is the momentum we see in our AI Services, which continued to accelerate impressively, standing at US\$2.3 billion on an annualized basis.

5. Lastly , the promise we see in our Hyper Vault Business – which has made significant progress this quarter on its journey to build out 1 GW of capacity. This includes winning customer commitments, land parcel ■nalizations and partnering agreements. We are actively engaging across the full ecosystem of—hyperscalers, semiconductor companies, and model providers , while TCS is the integration partner across infrastructure, engineering, and AI -led services. Demand signals remain strong and are translating into structured engagements and commitments, positioning TCS at the forefront of this build- out. As we progress, this infrastructure layer is forming the foundation of TCS's full spectrum play from infrastructure to intelligence.

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Coming to our full year performance, even though our FY 2026 revenue declined by 2.4% in constant currency, we delivered a strong \$40.7B in TCV including 5 mega deals. We maintained a strong focus on execution to deliver an operating margin of 25% . This is the highest operating margin achieved in the last 4 years.

As enterprises navigate increasing complexity across technology,

operating models, and business transformation, the role of trusted System Integrators has become even more vital. Clients are looking for partners who can bring deep technology excellence, strong enterprise and industry context, and take end-to-end accountability with confidence on outcomes and ROI. In FY26, TCS was uniquely positioned to meet these expectations through sustained investments in AI led engineering, a highly skilled and scalable talent base, differentiated solutions, and a strong partner ecosystem. This has translated into the major highlights I talked about earlier, broad based client additions across revenue bands, strong TCV, and continued momentum in large deals, with clients showing greater willingness to commit to long term, multiyear, multimillion dollar partnerships reflecting the trust they place in TCS to deliver certainty and value at scale over extended transformation journeys.

I will now invite Samir, Aarthi and Sudeep to go over different aspects of our performance during the quarter.

I will step in later to provide more colour on the demand trends we

are

seeing in our key verticals and our outlook for the next year. Over to you, Samir.

Samir Seksaria: Thank you, Krithi. Good day to all.

I will start with the commentary on the recent quarter and then proceed to the Full year numbers.

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In the fourth quarter of financial year 2026, our revenue was ₹70,698 crore, which is a quarter-on-quarter growth of 5.4%. In dollar terms, revenue was \$7.621 billion, a quarter-on-quarter growth of 1.5%. In constant currency, we had a sequential revenue growth of 1.2%. Our Q4 operating margin stood at 25.3%, a sequential increase of 10 basis points.

During the quarter, we saw an improvement in realizations driven by continued focus on value-led delivery. Currency was also supportive during the quarter, providing a translation tailwind. These factors contributed to a benefit of around 40 basis points and 110 basis points respectively.

Consistent with the 'Build-Partner-Acquire' strategy we shared at our Analyst Day, we consciously reinvested these tailwinds back into strengthening our capabilities and growth engines.

- Under 'Build', we saw higher external consultants' cost of 40 basis points, to capture the demand and to ensure delivery timelines and quality were protected while we continue to scale internal capabilities.

In parallel, we made targeted interventions in critical talent, certifications, upskilling and creation of niche delivery pods. These investments are aimed at building a scalable, future-ready AI delivery model that straddles the entire stack across our Infrastructure to Intelligence strategy layout. Also, the ongoing impact of the India wage code is included. Together these two accounted for an impact of 40 basis points.

- Under 'Partner', we stepped up investments in ecosystem partnerships, reflected in multiple announcements such as OpenAI,

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AMD and ServiceNow made during the quarter. These investments are focused on industrialising AI solutions, increasing cross-sell opportunities, and improving speed-to-value for clients through deeper hyperscaler and platform collaboration.

We also increased go-to-market activity, with higher participation in client events, showcases and industry forums. This is directly linked to expanding demand pipeline and improving conversion by demonstrating our AI and platform-led offerings. Together, these two accounted for a margin impact of 50 basis points.

- Finally, aligned to 'Acquire', we incurred integration-related investments of approximately 10 basis points, as we embedded

acquired capabilities into our operating model. This included talent alignment, platform integration, go-to-market enablement and delivery readiness, all aimed at accelerating synergy realisation and scaling new offerings.

Net margins for Q4 were 19.4%, and our EPS grew 12.2% YoY .

Our accounts receivable stood at 74 DSO in dollar terms for Q4, down 2 days sequentially.

Our cash conversion this quarter continues to be strong , exceeding 100% of our net profits. Net cash from operations was \$1.6 billion, which is 106.7% of our net income.

Invested funds at the end of the period stood at \$5.3 billion.

Coming to the full year FY26 , our revenue was ₹ 267,021 crore , which is a growth of 4.6% on a YoY basis. In dollar terms, the reported revenue was \$30.017 billion , a decline of 0.5% . In Constant currency terms , revenue declined 2.4% Yo Y.

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For FY26, our operating margin was 25% , an expansion of 70 basis points over the prior year, and at a 4 -year high.

The operating margin for the year excludes a few one -off items recognised during this year. These exceptional items relate to severance -related expenses, legal provisions, and the impact of changes in India wage code.

Net margins for FY26 were 19.8%

and our EPS grew 8.8% YoY .

Our effective tax rate for the year was 24.6% .

Going forward, we will continue our investments to maximise growth. Our operational rigor will continue to focus on optimizing margins, robust cash conversion and strengthening the balance sheet.

We remain firmly committed to returning substantial free cash flow to shareholders through a consistent and shareholder friendly dividend policy, while prudently expanding investments under the 'Build -Partner - Acquire ' framework to strengthen long -term growth.

The Board has recommended a final dividend of ₹31 per share, taking the total dividend for the year to ₹110.

I would now like to invite Aarthi.

Aarthi Subramanian: Thank you, Samir. Good evening to all of you.

FY26 was a pivotal year for enterprise AI adoption across industries. For the first time since the advent of GenAI in late 2022 , the shift from experimentation to scaled AI deployment showed a marked improvement last year. AI became a core part of our every customer conversation and solutioning, creating a tailwind for enterprise adoption. In Q4, our annualized AI revenues surpassed \$2.3 billion , driven by the accelerated deployment of AI solutions across industries.

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We experienced strong deal momentum across new services in Enterprise Transformation, Digital Engineering, and Cloud Modernization. Our HyperVault business has made significant progress since the announcement in October 2025.

Last quarter, I spoke about our two -pronged approach to engaging deeply with our customers on AI. One, to help them 'Get ready with AI ' , and two, to partner with them to 'Lead with AI ' . Let me share more detailed updates on both these areas.

Get AI Ready

While our customers want to accelerate AI adoption, their current enterprise stack lacks the readiness for what it takes to scale. We are working with our customers to address this gap by upgrading their infrastructure to be scalable and secure, modernizing their core applications and setting up modern data foundation. Significant part of the technology spend is being invested in these areas.

Let me share a few examples:

- TCS modernized mission -critical crew management systems using Generative AI for a European Airline. We reverse -engineered complex

legacy systems to reconstruct the core business logic embedded in these systems. This modernization was powered by Google Gemini platform. The airline now has a scalable foundation to build new-age crew operations solution.

- For a car rental company in US, we executed a complex, high-stakes legacy data warehouse migration, moving over 20 terabytes of mission-critical data to a Modern Data platform. This program decommissioned their legacy systems delivering an estimated \$2.5

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million in savings but more importantly, it established a scalable data foundation for them to Get Ready for AI.

Lead with AI

To help our customers implement AI in their context, we have created an AI acceleration playbook – Innovate with AI, Build with AI and Scale with AI. This year, we deployed this playbook across a significant number of our customers to solve high-value business problems in rapid deployment cycles of 12-16 weeks.

- For a leading utility company in the US, we conducted CxO-level AI immersion programs to identify challenges that can be best solved with AI. We also built their Enterprise AI Platform which provides a secure scalable foundation to industrialize AI adoption.

Physical AI deployment is also gaining traction in industrial sector. Digital twins, computer vision, quadruped-based solutions are driving efficiencies, throughput and safety.

- For an electronics manufacturer, in their fabrication facilities, we are integrating NVIDIA Omniverse-driven digital twins with autonomous quadruped-based inspection systems. This Physical

AI solution is driving better construction accuracy and proactively identifies safety hazards.

Services transformation

Redesigning every service line is central to our Five-pillar strategy. TCS has created a services re-design framework which we call our 'Human + AI'

Service autonomy model. This model integrates service line specific industry leading tools which are integral to delivering value in the customer context.

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This is resonating well with our customers as it provides a well-defined framework for consistent deployment across the enterprise. We are taking AI-led re-designed services proactively to our existing customers and new prospects.

In last 2 years, AI model capabilities have evolved tremendously and rapidly. Yet there is a gap in enterprises realizing the true potential of these technologies. One of the challenges our customers face is that they have invested in the tools but have not yet reaped the expected

productivity benefits. Our goal is to systematically help our customers address these gaps with our 'Human + AI' Service autonomy model.

- For a retailer in UK, we deployed the AI-Engineering framework with agents through the software lifecycle from translating unstructured requirements into structured specifications as well as executing spec-driven coding, testing, and deployment. Our 'Human+AI' approach accelerated software delivery and reduced the deployment cycle time by about 40%.

Business process services is becoming a fast adopter of Agentic AI. We are working with multiple customers on their AI-led GBS transformation.

- For a steel major, TCS proactively deployed AI agents in procurement bid management process, resulting in order to invoice cycle reducing from 28 days to under 10 days.

In FY26, all next-gen services delivered strong growth across industries and markets, backed by our continued investments in AI, talent, and innovative solutions.

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## Partnerships

In FY26, we invested significantly in strengthening our AI partnerships.

This includes Enterprise partners, Hyperscalers, Deep Tech AI native partners and domain specific partners.

In Q4, we forged several strategic partnerships that have expanded our joint collaboration, this includes a partnership with ServiceNow,

Google Cloud and ABB.

With Open AI, we announced a partnership spanning multiple high-impact areas - empowering Tata group employees with ChatGPT enterprise, building industry specific agents, Joint go to market initiatives and creating a state-of-the-art AI infrastructure.

## Hyper Vault

Finally, I would like to provide an update on TCS HyperVault.

Our engagements with hyperscalers and frontier AI model companies have moved beyond early exploration into design alignment, security frameworks, site due diligence, and commercial structuring. We see the demand converging around large, anchor AI workloads in the 100 –200 MW range per customer.

HyperVault has aligned a deep partner ecosystem, including Tata Power, Tata Projects, Tata Communications as well as GE, Honeywell, ABB, Siemens, and many of our customers to cover EPC, power, cooling, controls, network and security.

Some of the key announcements we made this quarter are:

- We have partnered with Open AI to build 100 MW capacity, with an option to scale to 1 GW.

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- In collaboration with AMD, we are combining their world class “Helios” rack-scale AI architecture with Tata group synergies to create high density AI capacity in India.
- We signed an MOU with ABB to strengthen collaboration across IT infrastructure and applications, digital and industrial AI initiatives, data centres, and other emerging technologies.

In summary, FY26 saw a good momentum on AI and new services. As we move into FY27, we will continue to accelerate deployment of our five - pillar AI strategy. We are well pos

itioned to support our customers with a deep knowledge of the enterprise context that we possess and our ability to integrate AI into the customer business and technology landscape to create customer value.

Thank you. I would now like to hand over to Sudeep.

Sudeep Kunnumal: Thank you, Aarthi. Good evening, all of you.

At the outset, I would like to thank all our employees and their families stationed in West Asia for their utmost dedication and resilience during these tough times.

All our employees and their families in the Middle East are safe and we are in constant touch with them providing the necessary support.

At the end of March 2026, our global headcount stood at 584,519, with associates from 149 nationalities of whom 35.2% are women.

We have announced Annual increments to all eligible employees across grades, effective April 1, with top performers getting double digit increase.

We are focused on building a future -ready organization by strategically hiring both fresh graduates and experienced professionals. Our

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recruitment efforts have been concentrated on individuals with expertise in AI, data, Enterprise Solutions, software engineering, cloud, cybersecurity, and digital engineering.

In FY26, we have also hired over 750 employees with deep advisory and consulting expertise.

We stepped up our investments in talent development initiatives as well.

- In FY26, a total of 69 million learning hours has been completed, and 5.2 million competencies have been attained by our associates.

- Over 270,000 associates now possess advanced proficiencies in AI and machine learning.
- TCS demonstrates its commitment to innovation by being its own "customer zero", adopting and refining AI technologies across internal HR practices before deploying them externally.
- Within the human resources function, we are embracing AI as follows:
- Nearly half of internal resource allocations occur through the internal Talent Market Place which uses AI driven recommendations to match demand and supply.
  - Our GenAI -powered Learning Coach platform has helped over 100,000 TCS employees improve their proficiency through targeted, role-specific learning.
  - Our GenAI enabled Interviewer accelerates hiring with technical assessments, while our AI recruitment platform enhances post-offer engagement to answer very specific queries.
  - The AI assistant provides instant multilingual, contextual HR policy support, improving employee experience.

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We have further strengthened our position as Employer of Choice globally and are pleased to have been recognized as an Enterprise-wide Top Employer for the 11th consecutive year by the Top Employers Institute - reflecting our commitment to foster an inclusive and engaging workplace where our people can thrive and grow.

I would now like to invite you back Krithi.

K Krithivasan : Thank you, Sudeep.

Scaling Enterprise AI adoption requires organizations to address technology debt, data readiness, and operating model complexity. AI will enable clients to rapidly move from end consumer feedback to demand identification to code.

With every tech cycle, clients have realized far greater value and TCS has scaled its business. With AI, TCS aspires to be the World's largest AI led Tech Services company. This aspiration is powered by:

- Capitalizing on AI led renewals, vendor consolidation and cost optimization deals resulting in market share gains.
- Using new age services & adjacencies that enable enterprises to 'Get ready for AI'
- Becoming a full stack AI services player – Infrastructure to Intelligence; thereby, delivering maximum ROI to clients on their AI investments through end-to-end industry value chain reimagination; and
- Building new revenue streams such as building AI infrastructure

ture

In FY26, we made good progress across all the above opportunities.

The strong order book closures were led by Vendor consolidation, AI led modernization, scaling AI across the enterprise, Digital core and data

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platform modernization, Operating Model transformation, and regulatory compliance.

Let me now share specific details of our industry-wise performance during the quarter.

- The BFSI vertical continued to grow this quarter.
- o Client demand across BFSI remained technology-led and outcome focused through Q4, shaped by heightened macro and geopolitical volatility. Increased uncertainty around interest rates, inflation, and central bank actions influenced client sentiment, resulting in cautious investment decision-making. Despite this backdrop, BFSI clients continued to prioritize core and legacy modernization, data estate transformation, cloud migration, and scaled AI/GenAI deployments, productivity led operating model transformation and vendor consolidation. Spending patterns increasingly shifted from experimentation to industrialized business driven transformation, with strong emphasis on cost discipline, regulatory resilience, and measurable outcomes.

- Our Consumer Business Group saw another quarter of good growth, supported by market share gains and emerging pockets of technology conviction, resilience and guarded optimism. Retail globally and TTH in UK/EMEA led the growth, while CPG and TTH North America segments declined.

- o Enterprises continued to tightly align spending to initiatives delivering near-term efficiency, cost control, and operational resilience, with growing emphasis on vendor consolidation, technology simplification, legacy modernization, and selective AI and GenAI adoption.

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- o CBG had 2 mega deal wins this quarter, which helped propel its TCV to an all-time high. One of the two mega deals was the renewal and expansion of our services to Marks & Spencer, a customer of TCS, for well over a decade. The deal is a testimony to the deep trust and strong partnership between the two organizations. The other mega deal is with a leading American healthcare and pharmacy retailer, another longstanding and trusted strategic partnership with TCS, that we are proud to have retained.

- o Clients are appreciating TCS's track record of successfully delivering transformation programs, more than ever. An excellent example is as follows:

- o A leading American healthcare and pharmacy retailer partnered with TCS to modernize its mission-critical claims processing platform. Operating at a massive scale - processing over 5 Mn prescriptions daily - the platform underpins core pharmacy operations including claims validation, accumulation and tracking of a patient's out-of-pocket (OOP) expenses, ordering, replenishment and reporting. As prescription volumes continued to rise, the legacy architecture began to limit performance, real-time visibility and scalability, creating operational bottlenecks across the ecosystem.

- o Leveraging deep domain expertise and contextual knowledge, TCS reimagined process flows and led the comprehensive cloud native re-architecture of the platform. The transformation introduced event driven processing, complex multisystem integrations and world-class, enterprise grade security to ensure resilience and compliance. This has enabled near real-time processing, compressing claims cycles from 48 hours to just 12 hours, data-driven decisioning leveraging AI, and autoscaling to support growing prescription volumes and rapid

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onboarding of new entities, positioning the client for sustained future growth.

- Life Sciences and Healthcare saw marginal growth this quarter:

- o Healthcare payers are managing rising costs and growing friction with providers due to preauthorization and

claims issues. Key priorities

include affordability, transparency, simplicity, and better patient experiences. Organizations are focusing on data marketplaces, cyber resilience, and AI to boost productivity, while regulatory changes add to compliance costs and administrative burdens, prompting selective modernization focused on efficiency.

- o The pharmaceutical industry is streamlining pipelines and adopting AI to tackle growth and pricing pressures. Companies in the Americas

and UK/EU are focusing on efficiency through vendor consolidation, tech modernization, and enterprise-wide transformation.

- The Manufacturing vertical also saw good growth this quarter despite the macro uncertainties and the impact to the global supply chains.

- o Client demand across Manufacturing remained cautious in Q4, shaped by macroeconomic uncertainty, tariff volatility, recalibration of

EV demand, and continued restraint in capital expenditure across

Automotive, Industrial, and Chemicals. Customers prioritized near-term cost optimization and operational resilience, with sustained

focus on AI-led productivity, including predictive maintenance and quality automation, alongside ERP and cloud modernization to

streamline operations and improve reliability.

- The Technology and software segment saw reasonable growth this quarter given the environment.

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o Client demand in Q4 remained disciplined amid a challenging macro environment, shaped by heightened geopolitical tensions, tariff-related uncertainty, and increasingly stringent manufacturing and data-sovereignty requirements. Customers continued to prioritize cost rationalization to fund a strategic pivot towards AI-led transformation, with spend focused on vendor consolidation, GCC expansion, and structural efficiency, and the resulting savings reinvested into scaling AI across core operations and product portfolios. Incremental investments were also directed towards digital sovereignty and supply-chain resilience.

- CMI saw a modest decline this quarter, but we are witnessing promising signs of a rebound in IT spending in CMI.

Telecommunications companies are advancing their journeys to expand into adjacent businesses while simultaneously enhancing the efficiency of their core operations. This strategic shift is paving the way for growth and innovation.

o Momentum remains strong in securing large deals within the telecommunications sector. We have signed our first mega deal in CMI this quarter - a significant expansion of its long-standing partnership with a leading UK-based telecom operator. This five-year contract will see TCS lead the operator's comprehensive IT transformation journey for its consumer business, leveraging advanced AI, Cloud, and Digital Engineering capabilities. The expansion, built on the strength of years of trusted partnership and demonstrated delivery, will see TCS take end-to-end responsibility for running the entire IT systems of the operator's consumer base and become its strategic technology partner, consolidating the entire landscape previously spread across multiple service providers.

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- ERU demonstrated robust growth this quarter. Within ERU, the Energy & Resources segment performed well, led by supply chain modernization initiatives gathering momentum in the near term.

However, the Utilities segment is experiencing stress, and significant cost optimization opportunities are opening up.

In summary, even in a year marked by global uncertainty, we have demonstrated resilience, discipline, and the ability to lead through complexity. Our performance in FY26 reflects not just strong execution, but enduring trust—from clients who are committing to longer-term partnerships, and from associates who continue to drive transformation at scale. With a robust order book, expanding client relationships across revenue bands

, accelerating AI momentum, and foundational investments like HyperVault, we are building the next phase of TCS with conviction. As enterprises increasingly seek partners who can deliver certainty, accountability, and outcomes end-to-end, TCS stands exceptionally well positioned combining technology excellence, deep contextual knowledge, and scale to help our clients navigate change and create sustainable value. We enter the new year with confidence, clarity of purpose, and an unwavering focus on delivering growth with resilience and trust.

With this, I will now open the line for questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. We'll take a first question from the line of Sudheer Guntupalli from Kotak Mahindra AMC. Please go ahead.

Sudheer Guntupalli: Hi Krithi, thanks for the opportunity. My first question, is there any foreseeable change in quantity or quality of client inquiries or even bookings around agentic AI implementation post first week of Feb when Anthropic announced a string of agentic AI launches?

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K Krithivasan : Sudheer, definitely clients are curious to know about expanding capabilities of all the models. And they also want to leverage their models to achieve both productivity as well as business value chain re-imagination , but is it because post Anthropic, I won't say that . As the model capability improves, there'll be more interest in seeing how they can leverage.

Aarthi Subramanian: Client interest and demand actually increases with new capabilities coming out of the model providers.

Sudheer Guntupalli: Fair enough. The second question, many of these frontier model companies, they're just announcing a new project or agent, which may be in their development pipeline, but not yet launched. The latest example being Claude Mythos . Is this in any way leading to client's sort of deferring their existing IT spends to maybe wait and watch, once the product actually hits the shelf, maybe a few months or years down the line?

K Krithivasan : We have not seen that, Sudheer. It's been, as I said, our clients are quite interested in leveraging it. They know this will be constantly evolving. And there is no major benefit in waiting for the next best model to come. So , clients are willing to invest now, and we have been helping them with the overall philosophy that their architecture is built for change. We are helping them in building that architecture so that they can exploit and leverage the models as they come in.

Sudheer Guntupalli: Sure, sir. Last question from my side. How do we think of FY27 growth, given the exit run rate and where our order booking is and also high expectations around some AI -led deflation?

K Krithivasan : As we mentioned , we have a good order book getting into FY27. We have strong three mega deals booked in this quarter. And as we also described, most of the industry verticals, we see a positive momentum and our new

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age services are also gaining traction. So overall, we are getting into our next year with a lot of positivity and confidence.

Sudheer Guntupalli: That's it from my side.

K Krithivasan: Thank you, Sudheer.

Moderator: Thank you. We'll take our next question from the line of Kumar Rakesh from BNP Paribas. Please go ahead.

Kumar Rakesh: Hi, good evening and thank you for taking my question. My first question was around what you were just talking about, that getting into FY27, we are exiting at a healthy growth. We are also exiting with a bulk of multiple mega deals and across verticals as well , it seems demand has started improving, at least growth for TCS has started improving . Would you call out and say that we should start getting back to 3 - 4% sort of a growth in the international business where we used to be or better than that or the recovery is going to be far more gradual this year?

K Krithivasan :

Kumar, I don't want to put a number, but I would say that, again, as I was telling Sudheer, we are quite positive about FY27, quite positive about the international growth.

Kumar Rakesh: Got it. Thanks for that and my second question was around margins , so SG&A in the second half has been elevated. So, is this the new normal we should now start looking at or it should normalize back to below 15% where it used to be?

Samir Seksaria: As you know, we have been investing on the 'Build -Partner -Acquire ' strategy and incremental investments on partnerships, on recruitment and training, on the new businesses are all reflecting on the SG&A. Some part of it will see an elevated increase , both in the absolute amount as well as in percentage of revenue.

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Kumar Rakesh: Got that. And just for a clarification, our restructuring is done or there's more cost associated to that which has to come through?

Samir Seksaria: So if you look at Q4, we have not called out any one-offs , so it is business as usual.

Kumar Rakesh: Yeah. But there is a restructuring charge, which you have booked in the quarter, right?

Samir Seksaria: We have not called out any one-off for Q4 . The combined one-off for the

year is ■ 1,300 crores; there are no one offs in t his quarter .

K Krithivasan : But Kumar, just to get the clarity, I will be speci■c. The restructuring program that we started, we have completed that program. The program towards restructuring has been completed.

Kumar Rakesh: Got it. Perfect. Thanks a lot for that.

Moderator: Thank you. We'll take our next question from the line of Yogesh Aggarwal from HSBC Securities. Please go ahead.

Yogesh Aggarwal: Hi. Thanks. Krithi, just ■rstly on the next few quarters, can we expect the similar type of seasonality going forward? Because the reason I'm asking is there's not been much headcount addition, so the typical seasonality of

better ■rst half, does that still work going forward?

K Krithivasan : We are looking at a regular Q1, regular Q2 that we are used to seeing, and this is the way we are looking at as we stand now, Yogesh.

Yogesh Aggarwal: No, Krithi, I was asking, so usually the ■rst and the second quarter are stronger than Q4 , right?

K Krithivasan : That is what I said. We are also expecting a stronger 1H. Our planning assumption is along those lines only.

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Yogesh Aggarwal: Okay, great. And secondly, just going back to this AI stuff. So usually in the past, you had all these historical relationships and partnerships with software companies like SAP and all these diamonds , platinum ratings.

Can you talk a little bit about what are these partnerships with the AI models, especially Anthropic? What is the level of tiering with them? And

does it really matter anymore? Thanks.

Aarthi Subramanian: Yogesh, I think with all the model companies, we are building strategic partnerships. We have announced with OpenAI, we are already working signi■cantly with Anthropic and will be announcing strategic partnerships with them in the near future. We are very closely working with Mistral. With all model companies, it's extremely important for us to build a strategic partnership.

But I would say that we are also trying to shape these partnerships differently than the traditional GTM partnerships of the past. So, we want to make them 360- degree partnerships . Also because of our investment in HyperVault, we have a very unique opportunity where they can become our customers.

You saw the announcement that we made with OpenAI, where there is a committed capacity of 100 MW and the opportunity to grow that to 1 GW .

So, we are having similar conversations on our opportunities with these model companies and hyperscalers. So that's one new pillar of strategic collaboration .

Apart from that, using their products, ChatGPT Enterprise, we made an announcement, so using Anthropic Claud

e , so that's the second pillar of

our collaboration. Third is industry speci■c solutions with them. The fourth one is very speci■c GTM motions, which is similar to strategic

partnerships of the past. So that is a pillar, like I said, we are trying to

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shape this partnership differently, more deep, more strategic and value for both.

Yogesh Aggarwal: Got it. Thank you. Thank you so much.

Moderator: Thank you. We'll take our next question from the line of Nitin Padmanabhan from Investec. Please go ahead.

Nitin Padmanabhan: Yeah. Hi. Good evening. Thank you for the opportunity. Krithi, initially, you mentioned some caution in BFSI during the quarter. I just wanted your thoughts on how clients are thinking about spending going forward, considering the macro.

Do you think this ends up like last year where you had the Liberation Day and we thought we were probably getting into good start, but then you had all these headwinds. So , in the context of what you see today, what are

the conversations with clients? It would be great to have your perspective there, maybe across a few key sectors at least.

K Krithivasan : See, at this time, if you look at our direct impact from the geopolitical situation, so far has been restricted to Middle East and to some extent into our travel and transportation industry and we have

not seen major impact in other industries so far.

But Nitin, as you would know, if things continue and if it results in further supply chain disruption or any other secondary issues, it may have an impact. But at this time, I think the impact will be limited to our travel and transportation and probably the work we do in Middle East. We have not been hearing any other specific concerns from our clients in other industries or other geographies.

Nitin Padmanabhan: The caution that you mentioned was very geo specific, it's not a broad-based caution?

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K Krithivasan : Yes, that's correct.

Nitin Padmanabhan: That's very helpful. The second is on, from a margin perspective, how should we think about margins going forward? Because on one hand, you do have the currency giving you a tailwind and on the other side, you have to invest on capabilities and multiple other things. So just how should we broadly think from a margin perspective as we get into the next year?

Samir Seksaria: Nitin, we are exiting FY26 at a four -year high on annual margins at 25%. And we see continued positive momentum. Our focus will be to ensure growth with profitability , so we'll not be shying away from making the right investments for ensuring strategic growth.

Stepping into FY27, the immediate headwinds would be the annual increments which we have talked about. And also, as you rightly mentioned, we'll continue our focus on the build, acquire and partner framework and investments around that would be part of it.

While some of those we would want to mitigate with better operational rigor , with the help of the usual levers which we have called out and also look at optimization on some of the non -employee expenses. As you rightly called out, the rupee depreciation does help, not guaranteed always. Overall, we'd want to balance it and keep margins within a tighter reach. We'd like to move towards 26 %, but on a longer -term basis.

Nitin Padmanabhan: Perfect. That's helpful. Just one last from my end. Overall, coming out of last year and getting into the next, do you believe that all known client -specific headwinds are behind, and we should see better revenue accretion from deal wins and from a deal win momentum perspective as well? But do you think that is on an accelerating trajectory .

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K Krithivasan : By and large, most of the headwinds we know probably are behind us, excepting few that may come up or that we have already accounted for. But at this time, we are not expecting. Of course, nobody can predict what will happen

down the line, but I think most of the issues are behind us.

Nitin Padmanabhan: That's helpful. Thank you so much and all the best.

Moderator: We'll take our next question from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.

Vibhor Singhal: Hi, thanks for taking my question. Just two questions from my side. One is, Krithi, we mentioned our AI revenue to be around \$2.3 billion annualized, that's basically almost 6.5% to 7% of our total revenue.

Wanted to basically understand, if I were to draw a parallel to the last digital cycle, there also, I think after a certain stage, we had started quantifying our digital revenue.

The way we saw that cycle play out is that initially there was cannibalization of revenue. And at the same time, we had growth from the digital revenues. And gradually the growth from the digital revenue was able to more than compensate the cannibalization of revenue.

Are we seeing a similar trend this time? Do we expect a similar cycle to follow this time also , that there are productivity gains that we are passing on to the clients because of which we are losing out revenue? On the other hand, your \$2.3 billion is going to grow much strongly.

And at some point, of time in the coming quarters, we'll probably reach an inflection point. Is that a good way to look at the GenAI cycle? How similar or different would it be from the last cycle? That would be really helpful.

K Krithivasan : Structurally what you are saying is correct, however, I don't know whether it will be the same time period in which the whole thing will change. You would expect the AI revenues to increase going forward, along with some

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of the traditional revenues to slowly taper down and AI revenue to overcompensate for the reduction in the revenue in other parts of the service line.

But the timelines probably can vary. I'm not able to predict the timelines on how all these different cycles will move. Aarthi, you want to add?

Aarthi Subramanian: Vibhor, if I may just add to that, if you have to compare to the digital transformation that you alluded to, where is the transformation budget, right, largely bucketed as AI going ?

There are three buckets , one is, Enterprise transformation. There is still a lot to be done on digital, which is still to be done in companies, whether it's cloud adoption, migrating to cloud, data modernization, cyber security, enterprise systems upgrade, whether it's S/4HANA, Salesforce, so all those are ongoing, So that's a transformation bucket.

The second one, which is very purely AI -led, is the modernization opportunities that we see. Tech debt reduction was always a priority, but that was always postponed by enterprises because it would take long, it would cost a lot , but I think AI is playing in there and helping customers clear tech debt better, faster. So that's begun. Long way to go, but that's the second vector of opportunity.

The third is the pure play AI transformation, what Krithi earlier alluded to as industry value chain transformation, where you're really doing AI engagements that create direct business impact.

Vibhor Singhal: That was really helpful, Aarthi. Krithi, one more question from my side and it's probably more at a strategy level, maybe you and basically the team can answer on that. If you look at FY26, we ended the year at -2. 4% CC YoY decline. If I compare our revenue growth this year with our closest

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competitor, the difference would be almost 5 to 6 percentage points.

That's probably the widest that the gap has ever been.

But on the other side, our margins are very, very strong, probably one of the highest margins that we have. We, of course, remain at the highest margin level in the industry, and we are very strong in margins while the

entire industry is facing a lot of margin pressure.

What is the company level strategy at this point of time, like, we want to co

ntinue to focus on the profitable growth part. Have we ever discussed that? Should we be ready to compromise a bit of margins to maybe boost growth? What is the direction in which the board and management is thinking in terms of balance between a better growth and profitability ?

K Krithivasan : Vibhor, I get the question. Fundamentally, we believe our focus on margin is not affecting our revenue growth.

Of course, at the same time, in fact, we believe the good margins we have, gives us greater flexibility to approach new deals and be more competitive in gaining market share.

And we have been able to prove that time and again. We don't lose deals on pricing. We work with our customers, we ensure that we give the best solution, and we've been able to win deals.

This is our overall thesis. We believe margin and growth are not conflicting with one another. We should be able to do well on both. And we continue to stay close to our customers. We continue to invest , the margin we have helps us to invest , like what you saw in the last two acquisitions and investment on HyperVault. They are all possible because we are able to generate margin and it gives us the ability to invest for growth. We don't

believe these are at loggerheads with one another.

Vibhor Singhal: Okay. Thank you so much for answering my question and all the best.

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Moderator: Thank you. Our next question is from the line of Ashwin Mehta from Ambit Capital. Please go ahead.

Ashwin Mehta: Hi, thanks for the opportunity. One question Samir, what is the impact of wage hikes that we see in terms of our margins next quarter? And



secondly, any color in terms of this deal ■ow that we've announced, which is pretty strong ? What is the renewal share in terms of that, given that there are quite a few deals in the press release where we have extended our relationship with these clients?

Samir Seksaria: On the wage increments, you should expect a similar impact on what we have seen in the past annual increment cycle, which had been in the range of 150 to 200 basis points.

K Krithivasan : In terms of colour or the characteristics of the deals of TCV , I would say about mostly a 50 -50 or 45-55 in terms of between renewals and new programs. I think this quarter maybe about 50% to 55% could be on renewals, around 40% to 45% would be on new programs. And this varies typically in a smaller band, between 40% to 60% band, it varies one way or another.

Ashwin Mehta: Thanks, Krithi. And just one follow- up, in terms of deals, are you seeing early renewals wherein vendors like yourself as well are going in for early renewals or the deals are largely getting renewed on time?

K Krithivasan : By and large on time, but when we also see an opportunity to go back to a customer and ensure that there is really a renewal can be done with greater AI infusion, greater productivity delivered, and at the same time, with expansion in scope. We do go to t he customers, and we offer to renew early whenever they see value and whenever it's mutually beneficial as well.

Ashwin Mehta: Thanks, Krithi. Thanks, Samir. And all the best.

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Moderator: Thank you. Our next question is from the line of Rishi Jhunjunwala from IIFL. Please go ahead.

Rishi Jhunjunwala: Yes, thanks for the opportunity. I think my questions have been answered, but maybe just a quick clarification. Just if we think about your thought process around wage hikes, right? So , we've deferred it twice in the last ■ve, six years since COVID. This time, we have reinstated it after when we announced it in September, back to the April cycle.

Just wanted to understand what's the thought process behind that, given that the overall demand environment, the supply side environment, and the macro uncertainties largely remain there and haven't seemed to be changing materially over the past six to nine months.

K Krithivasan : Rishi, it's a reflect

ion as a ■rst is we want to ensure that we properly reward all the associates who have been working tirelessly for us. And as you know, that while in September, we were able to give increments to 80% of associates, for the senior executive associates we were unable to give increments at that time.

We wanted to ensure that when we restart our increment cycle, we reset it and start for everyone. But it's also a reflection of the fact that we believe that we have enough deal momentum and demand on our side, so that

we'll be able to handle the increased wage cost, wage bill, because of increments.

Rishi Jhunjunwala: While you've started giving annualized AI revenues, would it be possible to throw some color on AI deals as well, just to get some sense of how those are progressing?

Aarthi Subramanian: Rishi, if you look at it, AI deals are -- I would say of two kinds , one is many of the mega deals that Krithi spoke about today , they have a

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significant amount of AI embedded into them, in terms of how we deliver the service, also in terms of how we transform clients' business .

But apart from this, when we are saying AI revenue, we are only calling out the specific AI for business transformation revenue, which we said has exceeded \$2.3 billion on an annualized basis and when you look at the

nature of programs, it's across industries, across markets.

And we see that a lot of these programs are rapid build, 12- to-16-week delivery type of solutions. These are high impact problems that the

customers are choosing, that we can deliver in faster cycles with forward

deployment engineers. So that is included. Some of the AI modernization I talked about, which is starting to gain momentum is all included as part

of that.

Rishi Jhunjunwala: Understood. Thank you.

Aarthi Subramanian: And one last thing is agentic BPS, which I missed talking about. I

think that's something which is gaining traction. Agentic AI in business

process services and we see that earlier in FY25, the time taken to

implement AI in business process versus this year, we are seeing faster

adoption cycles from customers, because customers are more confident of now putting AI into production. But obviously, with all the guardrails,

focus on security, governance and all of that.

Moderator: Thank you. Our next question is from the line of Gaurav Rateria from

Morgan Stanley. Please go ahead.

Gaurav Rateria: Hi, thank you for taking my questions. I have two questions for Krithi and

one for Samir. My first question for Krithi is your comment that you made on the growth in the client's band of revenue bands in mid and large size

and you talked about stability returning.

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Is this due to a lower leakage compared to the past or is it more led by

better macro, which is improving the spend in these accounts? The

second question is on AI. If you keep the macro aside for the moment,

would you expect the new AI services to be accretive to revenue growth in fiscal '27, net of all the deflation that you see in your renewals existing

business or is it too early to confirm any such trend?

And the last question for Samir is that AI for business, when you look at

the revenue productivity and the margins in that portion of the business, how does it compare to company average? Is it

better? Is it in line? Is it

lower? Thank you.

K Krithivasan : So, Gaurav, first on the client metric improvement. See it's a combination

of all the factors, because you will not be able to grow if there's no

stability or there's no revenue coming in and essentially, it's a reflection of

the fact, overall at a high level, the clients are more comfortable in getting

into larger transformation programs or some amount of discretionary

spend improving.

And, of course, it's also possible there are some cases of vendor

consolidation happening where you gain market share, but definitely, it

indicates that the stabi

lity and the increased confidence from the clients

as well. For your question about AI, again, our expectation is AI will be net

accretive, like to see the initial year, our attempt would be to ensure that

we arrest the degrowth while the AI revenue increase.

But, of course, over a period of time, AI revenue or AI related revenue, because it will become very difficult to classify after some time on what is

AI, what is AI adjacent revenue, but ensure that they all grow, we will

expect them to grow much faster. At that time, the deflation in the other

part may not matter materially like same cycle with whatever happened

during the digital transformation cycle that trend will resume.

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Samir Seksaria: Gaurav, on the AI and data part, the revenue productivity is definitely

much better than the TCS average or the traditional business, both at

onsite and offshore. Margins, I will not call out because there would be

investments which would be temporary or in the initial phase, so it

wouldn't be like to like for comparison.

Gaurav Rateria: Thank you very much and all the very best.

K Krithivasan : Thank you, Gaurav.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I

now hand the conference over to management for closing comments.

Over to you.

K Krithivasan : Thank you, operator.

- We are very pleased with the continuous revenue growth momentum

we have seen in the last 3 quarters. In Q4, our Revenue grew by 1.2%

QoQ in constant currency, with an operating margin of 25.3% and a

net margin of 19.4%.

- We had a very strong TCV of \$12 billion in Q4, with 3 mega deals.

- Annualized AI services revenue crossed US \$2.3 billion .

We remain dedicated to our goal of establishing ourselves as the world's premier AI -driven technology services provider. Our robust ■ve-pillar strategy, combined with sustained investments across Infrastructure to Intelligence, continues to advance this objective.

I extend my appreciation to all TCS employees for their unwavering commitment and professionalism, which have been instrumental to the company's continued success.

This concludes our call today.

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Thank you for your participation.

Moderator: Thank you, members of the management. On behalf of TCS, that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Note : This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.